

FEDERAL MARITIME COMMISSION

Docket Nos. 16-01, 16-07, 16-10, 16-11

IN RE VEHICLE CARRIER SERVICES

**CONSOLIDATED RESPONSE OF COMPLAINANTS
TO RESPONDENTS' CONSOLIDATED MOTION TO DISMISS**

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INTRODUCTION¹

[The Shipping Act] creates a specific forum, a specific cause of action, and a specific set of remedies for anyone who was aggrieved. So Congress has created a place where these people can go . . . —and that’s the FMC—a cause of action that they can allege—which is an action for reparations. That’s how it was specifically defined in the statute. And a series of remedies. They can get injunctive relief. They can get up to two times damages, and they can get attorneys’ fees.

Statements of counsel arguing on behalf of all Respondents before the Third Circuit, Ex. A at 41–42.

Respondents’ Consolidated Motion to Dismiss is an exercise in doublespeak that the Commission should not countenance. Before the federal district court and Third Circuit, Respondents emphatically argued that Complainants’ claims could only be heard by the Commission. To allay concerns from the federal courts, Respondents repeatedly argued that the FMC’s rules and procedures would not bar Complainants from redress. Shamelessly, Respondents now seek to bar the Commission’s doors to the numerous individuals and entities harmed by Respondents’ unlawful agreements.

Putting aside the resulting waiver and judicial estoppel resulting from the sea change in arguments the Respondents advance, the motion to dismiss should be denied for the following reasons. First, the Commission should adopt the rule first enunciated in *American Pipe & Construction Co. v. Utah*, 414 U.S. 538 (1973), and hold that the statute of limitations pertaining to these proceedings was tolled while the federal class action claims were pending in federal court. Respondents have long been on notice of Complainants’ claims, and no policy considerations

¹ This brief is filed on behalf of the Direct Purchaser Complainants (“DPCs”) and the End-Payor Complainants, Truck and Equip. Dealer Complainants, and Auto Dealer Complainants (collectively, the “Indirect Purchaser Complainants” or “IPCs”). Together the DPCs and IPCs are referred to as “Complainants.”

militate in favor of applying an inflexible statute of limitations in this case. Further, Respondents are simply wrong in arguing that public reports concerning investigatory raids of Respondents' offices triggered the statute of limitations. The fact-intensive statute of limitations inquiry should not be decided at this juncture in the proceedings.

Second, all Complainants before the Commission have standing to pursue their asserted claims. There is little doubt that this particular argument has been waived in light of Respondents' arguments to the federal courts. Moreover, the Shipping Act authorizes "any person" to file complaints alleging violations of the Act. The Commission should decline Respondents' invitation to adopt affirmatively the rule of *Illinois Brick Co. v. Illinois*, 431 U.S. 720 (1977), which limits Indirect Purchasers' ability to seek redress under federal antitrust laws. The Shipping Act is not the Sherman Act. Instead, the Shipping Act was deliberately designed to permit "any person"—without limitation—to file a Complaint before the Commission. Finally, at a minimum, the Direct and Indirect Purchaser Complainants clearly fall within the expansive definition of the term "shipper," as used in the Shipping Act.

Third, the Commission clearly possesses (and has previously recognized) its authority to adjudicate Complainants' claims on a classwide basis. The Commission may exercise that authority through utilization of its "gap-filler" rule, 46 C.F.R. § 502.12, or through the exercise of its broad authority to fulfill its statutory mandate, which is entirely consistent with sound administrative practice. Indeed, the Administrative Conference of the United States has singled out these proceedings as appropriate for disposition on a class-wide basis.

Fourth, under any pleading standard, Complainants have sufficiently pleaded actionable claims under the Shipping Act.

For all these reasons, the Commission should deny Respondents' Motion to Dismiss.

STATEMENT OF FACTS

The four Complaints before this Commission set forth a detailed account of the conspiracy by the Respondents to fix, raise, maintain and/or stabilize prices, and to rig bids to allocate the market and customers for vehicle shipping services to and from the United States.

The Complaints describe how Respondents, who provide ocean transportation of new, assembled motor vehicles by use of specialized cargo ships known as Roll On/Roll Off vessels, have for years participated in secret, unlawful, anticompetitive conduct in the market for ocean shipping of cars, small and large trucks, construction equipment, and other products.² The Complaints further detail international investigations, criminal proceedings, and civil and criminal fines levied against Respondents.³

The Complaints set out specific anticompetitive acts and agreements in furtherance of the conspiracy to fix and maintain inflated charges for vehicle carrier services, as well as to manipulate capacity and restrict the supply of such services via fleet reductions.⁴ The Complaints recite specific factual allegations concerning how Respondents allocated the market for shipping services, identifying the parties to the agreements (including in some instances identifying the specific individuals who acted on behalf of the conspiring parties), when the agreements were

² See Complaint in Docket No. 16-01, (the “DPC Compl.”); Complaint in Docket No. 16-07, (the “End-Payor Compl.”); Complaint in Docket No. 16-10, (the “Truck and Equip. Dealer Compl.”); Complaint in Docket No. 16-11, (the “Auto Dealer Compl.”). The End-Payor Complainants, Truck and Equipment Dealer Complainants, and Auto Dealer Complainants intend to amend their complaints to include claims for equitable relief in order to enforce signed settlement agreements.

³ See DPC Compl. ¶¶65–80; End-Payor Compl. ¶¶6–13; Truck and Equip. Dealer Compl. ¶¶126–140; Auto Dealer Compl. ¶¶6–13.

⁴ See DPC Compl. ¶¶12–80; End-Payor Compl. ¶¶124–175; Truck and Equip. Dealer Compl. ¶¶97–153; Auto Dealer Compl. ¶¶88–139.

made, and the shippers/manufacturers that the agreements affected.⁵ DPCs have alleged that they directly purchased Vehicle Carrier Services from one or more Respondents.⁶ The DPC Complaint explains why the DPCs are not mere purchasing agents for shippers—they are themselves shippers *vis-à-vis* carriers, including Respondents; DPCs are independent contractors hired to move customers' vehicles from point A to point B, and to that end, they directly purchase space on vehicle carriers to fulfill their contractual obligations to customers.⁷

Complainants alleged that they had no knowledge of the combination or conspiracy, or knowledge of facts sufficient to place them on inquiry notice of their claims, until no earlier than May 2013.⁸ The affirmative acts of the Respondents alleged herein, including acts in furtherance of the conspiracy, were wrongfully concealed and carried out in a manner that precluded detection.⁹

When these Complaints were filed, Complainants were already litigating claims under federal and state antitrust and consumer protection laws. *See In re Vehicle Carrier Servs. Antitrust Litig.*, No. 13-3306, MDL No. 2471. On August 28, 2015, the district court dismissed all claims before it, a ruling the Third Circuit Court of Appeals has now affirmed. *See In re Vehicle Carrier Servs. Antitrust Litig.*, No. 13-3306, 2015 U.S. Dist. LEXIS 114691 (D.N.J. Aug. 28, 2015). In their briefing and oral arguments before both the district court and the Court of Appeals, Respondents repeatedly (and successfully) took positions that stand in direct conflict and contrast

⁵ See DPC Compl. ¶¶50–62; End-Payor Compl. ¶¶128–155; Truck and Equip. Dealer Compl. ¶¶99–125; Auto Dealer Compl. ¶¶90–111.

⁶ See DPC Compl. ¶¶8–10.

⁷ See DPC Compl. ¶¶25, 87–93.

⁸ See DPC Compl. ¶¶94–102; End-Payor Compl. ¶¶196–206; Truck and Equip. Dealer Compl. ¶¶174–183; Auto Dealer Compl. ¶¶161–170.

⁹ See DPC Compl. ¶¶57, 60, 64, 94–99; End-Payor Compl. ¶¶196–205; Truck and Equip. Dealer Compl. ¶¶174–182; Auto Dealer Compl. ¶¶161–169.

to those asserted in their motion to dismiss here, including assertions that dismissal of the federal court actions was proper since Complainants would have standing to seek reparations before the Commission on a classwide basis.

ARGUMENT

I. The statute of limitations does not bar Complainants' claims.

The limitations period for Complainants' Shipping Act claims is three years from the date of accrual; a date itself subject to the "discovery rule" and other tolling doctrines such that the period of limitations does not run until Complainants knew, or with reasonable diligence, should have known that they had a claim. *See* 46 U.S.C. §§ 41301(a), 41301(a), 41305(b); 46 C.F.R. § 502.62(a)(4)(iii); *Inlet Fish Producers v. Sea-Land Serv., Inc.*, No. 00-03, Slip Op. at 17 (FMC Sept. 19, 2001). The Complaints—and the facts supporting those allegations—are clear: it was not until May 2013—less than three years before filing the Complaints before the Commission—that Complainants "knew or should have known" of the facts sufficient to trigger the accrual of their Shipping Act claims. *See, e.g.*, End-Payor Compl. ¶203. The Complaints are timely.¹⁰

Respondents' attempts to peg the accrual date to September 2012 "dawn raids" conducted at certain Respondents' offices are meritless. First, the argument is irrelevant because Complainants' antitrust suits in federal court, first filed on May 24, 2013¹¹ and based on the same facts as Complainants' claims under the Shipping Act, tolled the statute of limitations under the rule set forth in *American Pipe & Construction Co. v. Utah*, 414 U.S. 538 (1973). Second, Respondents' argument that the "dawn raids" triggered the statute of limitations is procedurally

¹⁰ The DPC Complaint, Dkt. No. 16-01, was filed December 29, 2015; the End-Payor Complaint, Dkt. No. 16-07, was filed March 24, 2016; and both the Truck and Equip. Dealer Complaint, Dkt. No. 16-10, and the Auto Dealer Complaint, Dkt. No. 16-11, were filed April 28, 2016.

¹¹ *See Nelson v. Nippon Yusen Kabushiki Kaisha*, No. 13-cv-604 (M.D. Fla.).

improper because it asks the Commission to improperly weigh the “allegations” in the Complaints against extrinsic evidence at the motion to dismiss stage. Third, even if it considered extrinsic evidence about the September 2012 raids, the Commission cannot find that the raids triggered the limitations period. Consistent with Federal Rule of Civil Procedure 11, news reports of “morning raids” are insufficient to give rise to an assertable claim in this case.

A. Under *American Pipe & Construction Co. v. Utah*, 414 U.S. 538 (1973), the antitrust class actions filed in the district courts tolled the limitations period.

The statute of limitations was tolled during the pendency of the antitrust class actions that Complainants filed in United States District Courts across the country. Under *American Pipe & Construction Co. v. Utah*, 414 U.S. 538 (1973), and its progeny, the “filing of a class action tolls the statute of limitations ‘as to all asserted members of the class.’” *Crown, Cork & Seal Co., Inc. v. Parker*, 462 U.S. 345, 350 (1983) (quoting *American Pipe*, 414 U.S. at 554). Once the statute of limitations has been tolled, it remains tolled for all members of the putative class until class certification is denied.” *Id.* at 353–54. As the Supreme Court explained in *Crown Cork*:

Limitations periods are intended to put defendants on notice of adverse claims and to prevent plaintiffs from sleeping on their rights, but these ends are met when a class action is commenced. Class members who do not file suit while the class action is pending cannot be accused of sleeping on their rights; Rule 23 both permits and encourages class members to rely on the named plaintiffs to press their claims. ***And a class complaint notifies the defendants not only of the substantive claims being brought against them[.] . . . The defendant will be aware of the need to preserve evidence and witnesses respecting the claims of all the members of the class.*** Tolling the statute of limitations thus creates no potential for unfair surprise[.]

Id. at 352–53 (citations and quotations omitted; emphasis added).

Applying *American Pipe* tolling here is consistent with the Commission’s statute of limitations precedent, the purposes of statutes of limitations, the Federal Rules of Civil Procedure, the interests of economy and efficiency, and sound administrative practice. See 46 C.F.R. § 502.12.

This is not a situation where Complainants were “aware of a cause of action but merely fail[ed] to act on that knowledge.” *Inlet Fish*, Slip. Op. at 17. Complainants did not sit on their rights but diligently pursued them in the district courts. Respondents have plainly been on notice of the fact, and extent, of the claims against them since the initial antitrust class action complaints were filed against them in May 2013.

Application of *American Pipe* is likewise consistent with the Commission’s treatment of the discovery rule, recognizing that “compelling reasons suggest[] that a flexible approach” to statute of limitation determinations “is the better course of action.” *Inlet Fish Producers, Inc. v. Sea-Land Service, Inc.*, Doc. No. 00-13, Slip Op. at 17 (Sept. 19, 2001). The Commission determined that “a flexible rule permitting the inclusion of complaints that would otherwise be dismissed under a more strict approach would allow the Commission to pass on the legality of allegedly injurious conduct.” *Id.* Application of *American Pipe* tolling is therefore consistent with this flexible approach and permits adjudication of alleged Shipping Act violations on the merits, satisfying the purposes of the statutes of limitations.

The Commission has long adopted previously unrecognized tolling principles when the equities required it. For example, in *Military Sealift Command, Dep’t of the Navy v. Matson Navigation Co.*, Doc. No. 79-68, 24 F.M.C. 572, 1982 FMC LEXIS 29 (FMC Jan. 26, 1982), the Commission adopted a tolling rule based on the Supreme Court’s decision in *Crown Coat Front Co. v. U.S.*, 386 U.S. 503 (1966). *Matson* rejected a rule which would have required the filing of a “protective action” before the Commission just to fend off a future statute of limitations defense. The same principles at work in *Matson* compel application of *American Pipe* here.

Indeed, as the Commission put it in *Matson*: “The determination of when a cause of action actually accrues should not be restricted by rigid theories but should be made on the facts of a

particular case in light of the purposes of the statute of limitations.” *Matson*, 1982 LEXIS 29 at *

6. *Matson* explained:

The objective of statutes of limitations is to prevent stale claims of which the defendant had no prior notice and the facts and merits of which become less susceptible of determination due to the fading of memories and loss of records and evidence. This objective is not contravened in this case. The claim was not stale and the evidence to support it had already been collected in the Commission’s prior proceeding. [Respondent] is well prepared to interpose its subsequent operational results as a defense and was on notice of [Complainant’s] challenge to the lawfulness of the rate increase and demand for remedial action from its inception.

Id. at *8. Given that the purposes of the statutes of limitations had been satisfied, *Matson* rejected an argument that a protective suit could have been filed (and simply remained inactive) in order to satisfy the limitations period. Here, as in *Matson*, “tolling the statute under the circumstances of this case provides for enforcement of the Act without unnecessary procedural complications and congestion of the Commission’s dockets.” *Id.* at *11.

Thus, *Inlet Fish* and *Matson* demonstrate that application of *American Pipe* tolling is fully “consistent with the overall congressional purpose” of the Shipping Act and is “nowhere eschewed by Congress.” See *Bowen v. City of New York*, 476 U.S. 467, 480 (1986). Accordingly, even if Complainants’ Shipping Act claims accrued more than 3 years prior to the filing of the Complaints—which they did not—they are still timely under *American Pipe*.

B. The facts as alleged in the Complaints—which the Commission must accept as true and not weigh against extrinsic evidence—show that Complainants’ claims did not accrue until May 2013—the date on which Complainants had completed a reasonable inquiry into the sufficiency of the factual contentions.

Under the discovery rule, a claim accrues when, and the statute of limitations does not begin to run until, “a party knew or with reasonable diligence should have known that it had a claim.” *Inlet Fish*, Slip Op. at 17. Complainants allege that they, and the members of the Classes, did not know and with reasonable diligence could not have known that they had claims against

Respondents until May 2013.¹² This is no mere conclusory allegation; it is backed by demonstrable facts recited and detailed in the Complaints; facts which Respondents can test on a motion for summary judgment, after discovery has been conducted, but which preclude dismissal of the Complaints at this stage of the proceedings. *Streak Products, Inc. v. UTi, United States, Inc.*, Doc. No. 13-04, 2013 FMC LEXIS 42, *23-27 (ALJ Oct. 23, 2013).¹³

Complainants had no means from which they could have discovered the combination and conspiracy alleged in the Complaints.¹⁴ Because of the deceptive practices and techniques of secrecy Respondents and their co-conspirators to fraudulently conceal their unlawful conduct Complainants could not have discovered the alleged combination or conspiracy at an earlier date by the exercise of reasonable diligence.¹⁵ And Complainants' inability to discover their claims prior to May 2013 makes sense given that Respondents' agreements, understandings, and conspiracy were kept secret.¹⁶ Respondents executed the conspiracy in a manner that precluded detection and took affirmative steps in furtherance of the conspiracy to conceal it.¹⁷ For example,

¹² See, e.g., DPC Compl. ¶¶94-102; End-Payor Compl. ¶¶196-206; Truck and Equip. Dealer Compl. ¶¶174-183; Auto Dealer Compl. ¶¶161-170.

¹³ Before May 2013, Complainants could not know that they had been paying collusively set supra-competitive prices for Vehicle Carrier Services throughout the United States during the Class Period, i.e., they had no knowledge of any injury that would have triggered the limitations period. DPC Compl. ¶96; End-Payor Compl. ¶201; Truck and Equip. Dealer Compl. ¶178; Auto Dealer Compl. ¶178. Nor did Complainants receive any information that should have put them on notice that they had been injured by Respondents' illegal acts. DPC Compl. ¶97; End-Payor Compl. ¶¶197-198; Truck and Equip. Dealer Compl. ¶¶180-182; Auto Dealer Compl. ¶¶167-169.

¹⁴ DPC Compl. ¶5; End-Payor Compl. ¶197; Truck and Equip. Dealer Compl. ¶175; Auto Dealer Compl. ¶162.

¹⁵ DPC Compl. ¶95; End-Payor Compl. ¶204; Truck and Equip. Dealer Compl. ¶181; Auto Dealer Compl. ¶168.

¹⁶ DPC Compl. ¶100; End-Payor Compl. ¶¶201, 205; Truck and Equip. Dealer Compl. ¶¶165, 169; Auto Dealer Compl. ¶¶178, 181.

¹⁷ DPC Compl. ¶95; End-Payor Compl. ¶202; Truck and Equip. Dealer Compl. ¶179; Auto Dealer Compl. ¶168.

Respondents met and communicated in secret and agreed to keep the facts about their collusive conduct from being discovered by any member of the public or OEMs and other direct purchasers with whom they did business.¹⁸

It is reasonable to conclude in light of the alleged facts that the public announcement of dawn raids alone did not result in Complainants “knowing” that they had a claim. Additional factual investigation—coupled with economic analysis—was necessary at that point. Complainants cannot be faulted for conducting an investigation required by the federal and Commission rules of procedure.

C. Respondents’ statute of limitations argument is procedurally improper because it asks the Commission to weigh the allegations in the Complaints against extrinsic evidence, which is improper at the motion to dismiss stage.

As the Commission has stated: “A claim that an action or portion of an action is barred by the statute of limitations is an affirmative defense. *See Streak Prods., Inc. v. UTi, United States, Inc.*, 2013 FMC LEXIS 42, *24¹⁹; *see also* Fed. R. Civ. P. 8(c)(1) (applicable to this proceeding by 46 C.F.R. § 502.12). “A party asserting an affirmative defense like the statute of limitations must establish all of the essential elements of the defense to warrant judgment in its favor;” therefore, Respondents bear the burden of establishing that “the time alleged in the statement of a claim shows that the cause of action has not been brought within the statute of limitations.” *See Streak Prods., Inc. v. UTi, United States, Inc.*, 2013 FMC LEXIS 42, *24 (internal quotations

¹⁸ DPC Compl. ¶¶99; End-Payor Compl. ¶¶203; Truck and Equip. Dealer Compl. ¶¶180; Auto Dealer Compl. ¶¶167.

¹⁹ Before May 2013, Complainants could not know that they had been paying collusively set supra-competitive prices for Vehicle Carrier Services throughout the United States during the Class Period, *i.e.*, they had no knowledge of any injury that would have triggered the limitations period. DPC Compl. ¶¶96; End-Payor Compl. ¶¶201; Truck and Equip. Dealer Compl. ¶¶178; Auto Dealer Compl. ¶¶178. Nor did Complainants receive any information that should have put them on notice that they had been injured by Respondents’ illegal acts. DPC Compl. ¶¶97; End-Payor Compl. ¶¶197-198; Truck and Equip. Dealer Compl. ¶¶180-182; Auto Dealer Compl. ¶¶167-169.

omitted) (denying motion to dismiss on statute of limitations grounds) (quoting *Robinson v. Johnson*, 313 F.3d 128, 135 (3d Cir. 2002) (quotations omitted). If the limitations bar “is not apparent on the face of the complaint, then it may not afford the basis for a dismissal of the complaint under Rule 12(b)(6).” *Id.*

Respondents’ motion improperly relies on assertions of facts outside of the Complaints to argue that the Act’s three-year limitations period bars Complainants’ claims. For example, Respondents focus on media reports that various governmental actors had raided Respondents’ businesses. That argument is improper and such “evidence” cannot, as a matter of law, support dismissal. At this juncture, the Commission may not weigh or otherwise consider those extraneous factual allegations. *Hagan v. United States*, 197 F. Supp. 3d 30, 35-37 (D.D.C. 2016) (discussing the legal bar to relying on evidence other than from the face of the complaint in deciding a motion to dismiss). Respondents point to no factual allegations in the Complaints that unequivocally establish these claims are time-barred as a matter of law.²⁰

D. The “dawn raids” in September 2012 did not trigger the statute of limitations.

Respondents’ limitations argument repeatedly points to a handful of internet links that purportedly reflect media reports published about a series of “dawn raids” of their offices on September 6, 2012 conducted by international competition authorities as the event triggering the statute of limitations. Resp. Br. at 2, 7 & nn.13–19. But the raids and media reports are—as a

²⁰ Respondents’ argument that a “rudimentary investigation” would have yielded sufficient facts to support potential Shipping Act claims (Respondents’ Brief at 20), is irrelevant given the specific factual allegations of the Complaints. What Complainants’ investigation revealed, or would have revealed, is found nowhere in the instant record other than in the Complaints, which state that Complainants’ extensive factual investigations did not uncover the details of Respondents unlawful conspiracy until May 2013. It is also belied by litigation experiences—plaintiffs did not file complaints before May 2013. It is safe to assume that had it been as easy as Respondents claim, some party would have filed.

matter of law—insufficient as a basis for dismissal of Complainants’ claims as time-barred.

First, Respondents’ statement that “leading news agencies worldwide reported on global antitrust investigations into alleged price fixing and other cartel conduct by Respondents” is unsupported by any reference to any of the Complaints (or any material properly considered by the Commission on a motion to dismiss), and therefore do not meet Respondents’ burden.²¹

Second, “courts recognize that the mere existence of investigations has little probative value in the pleading context because the outcome of those investigations cannot be predicted and because the fact that a government enforcer seeks information from a company does not imply the company’s participation in a conspiracy. *See In re Florida Cement Antitrust Litig.*, 746 F. Supp. 2d 1291, 1315–16 (S.D. Fla. 2010) (finding antitrust investigation brought by Florida Attorney General does not support plausibility of antitrust conspiracy “because the outcome of the investigation cannot be predicted.”); *LaFlamme*, 702 F. Supp. 2d at 154 (“vague allegations regarding pending investigations based on interviews with unidentified individuals and a subpoena . . . are not probative of the Sherman Act Section 1 violations”); *In re GPU Antitrust Litig.*, 527 F. Supp. 2d 1011, 1024 (N.D. Cal. 2007) (noting that a grand jury investigation may “result in indictments or nothing at all [and] . . . the scope of the investigation is pure speculation”).

Third, there is no foundation for Respondents’ assertion that there was “widespread media coverage” of the raids, and they point to no specific facts that were contained in the media reports which compel a finding that Claimants must have known they had been injured by the secret

²¹ To the extent Respondents’ citation (Respondents’ Brief at nn.13–19) to internet sites which purportedly link to reports about the September 6, 2012 raids can be construed as a request for judicial notice pursuant to Federal Rule of Evidence 201, Respondents offer no foundation for granting that request. *See* 46 C.F.R. § 502.204(a) (Presiding Officer may consider Federal Rules of Evidence for guidance as to admissibility of evidence). Complainants object to this improper request for judicial notice.

conspiracy. Resp. Br. at 13–14. *LaFlamme v. Societe Air France*, 702 F. Supp. 2d 136, 154 (E.D.N.Y. 2010) (“vague allegations regarding pending investigations based on interviews with unidentified individuals and a subpoena . . . are not probative of the Sherman Act Section 1 violations”). If the Commission accepted Respondents’ position that every time any investigation is announced any person who may have been injured by the actions under investigation must rush to file any claim they might have—depending what the investigation ultimately uncovers—dockets would be flooded, both here and before other agencies, as well a state and federal courts. That is not, and should never be, the law regarding limitations.

Fourth, Respondents’ reliance on *Rakes v. United States*, 442 F.3d 7 (1st Cir. 2006), for the proposition that the dawn raids put Complainants on constructive notice is wrong. In *Rakes*, the court was confronted with “the latest in a series of cases” arising out of a widely-publicized relationship between an FBI agent and “two Boston gangsters, James ‘Whitey’ Bulger, and Stephen ‘the Rifleman’ Flemmi.” *Id.* at 11. So notorious were the underlying facts that the First Circuit’s recitation of the newspaper articles and other information in the public record about them comprised more than three pages of the Federal Reports. *See id.* at 14-17. Given this extensive record and plaintiffs’ personal interactions with Bulger and Flemmi, (*id.* at 14-17, 22-24), the court found the requisite “local notoriety great enough that the only practicable course” was to attribute knowledge of them to the claimants. These facts simply are not present before the Commission.

Nor can Respondents rely on events that occurred *after May 2013* as support for their motion. The December 2013 “compromise agreement” with the Commission by two Respondents, and the January 2014 assertion by Respondents in the federal multi-district litigation that they would move to dismiss Complainants’ claims, are irrelevant to establishing when Complainants

claims accrued and whether they are time-barred.²² The September 2, 2015 filing of a reparations complaint by General Motors (“GM”) has no bearing on the question of when the statute of limitations began to run on Complainants’ claims. What GM knew or did cannot compel the Commission to conclude that Complainants knew or should have known that Complainants themselves had a claim before May 2013.²³

Finally, even the cases Respondents cite demonstrate that application of the discovery rule is a highly fact-specific inquiry, usually resolved at summary judgment; nor do the cases cited provide any bright line rule that can be applied in Respondents’ favor. Respondents’ selected quotations are not useful and contrary to the showing Respondents must make to prevail on their limitations defenses *in a motion to dismiss*, or under the circumstances presented.

- In *United Klans of Am. v. McGovern*, 621 F.2d 152, 154 (5th Cir. 1980), the court affirmed *summary judgment*—not a pretrial dismissal—because “plaintiff was on ‘inquiry’ where DOJ press release and national news coverage . . . reported that defendant held a press conference admitting facts supporting claim.” Resp. Br. at 18.
- In *Brumbaugh v. Princeton Partners*, 985 F.3d 157, 163 (4th Cir. 1993), involved a securities fraud case where inquiry notice came from an investment prospectus. The law on inquiry notice through investor prospectuses is unique to the securities context and provides no relevance here.
- In *Jensen v. Snellings*, 841 F.2d 600, 607–08 (5th Cir. 1988), the court *affirmed a grant of summary judgment* and held that the plaintiffs’ claims accrued when the plaintiffs were “unquestionably aware” of the damages, called the defendant a “scalawag,” and received advice from an attorney that they “might have a cause of action.”
- In *Blue Cross of California v. SmithKline Beecham Clinical Labs., Inc.*, 108 F. Supp. 2d 116 (D. Conn. 2000), the court granted *summary judgment* on plaintiffs’ claims because the record showed that the “*undisputed evidence*” of many years of reports both in the national news media and from various professional organizations (including from some organizations dedicated to investigating health care fraud and

²² Likewise irrelevant is the fact that Complainants initially sought relief in district court rather than before the Commission; Complainants’ decision to first file in the district courts does not change the date on which they knew or should have known that their claims had accrued.

²³ Respondents settled the claims GM brought against them before the Commission had adjudicated any material issues in the case.

of which some plaintiffs were members) of these defendants' fraudulent billing practices was sufficient to place plaintiffs on inquiry notice that they may have been defrauded by defendants' billing practices. *Id.* at 119-123.

- In *Go Computer, Inc. v. Microsoft Corp.*, 508 F.3d 170, 172, 178–179 (4th Cir. 2007), the court *affirmed summary judgment*, holding plaintiff was on inquiry notice of their claims that Microsoft had driven it out of business because: (1) an FTC investigator told plaintiff it looked like a “textbook case of abuse of monopoly power”; (2) OEMs told plaintiff that Microsoft’s licensing agreement made pre-installing plaintiff’s technology prohibitively expensive or outright prohibited; (3) plaintiff heard rumors that Microsoft warned software developers and hardware manufacturers not to do business with plaintiff; (4) plaintiff suggested Microsoft’s product was based on plaintiff’s trade secrets; and (5) plaintiff had already consulted a law firm about a potential lawsuit against Microsoft in 1991. *Id.* at 178.
- In *Catrone v. Thoroughbred Racing Assn’s of North America, Inc.*, 929 F.2d 881, 886 (1st Cir. 1991), the plaintiff conceded on *summary judgment* that allegedly defamatory materials were widely disseminated and it was *uncontroverted* that the plaintiff had *actual knowledge* of the defamatory materials in advance of the deadline.
- In *Dayco Corp. v. Goodyear Tire & Rubber Co.*, 523 F.2d 389, 394 (6th Cir. 1975), the court *affirmed a grant of summary judgment* where plaintiff filed an antitrust complaint in 1974, but there had been Congressional hearings in 1959 which explored some of the same violations alleged in the complaint, as well as industry-wide publicity in 1961 of a related suit brought by the FTC. *Id.* at 394.
- In *Isaak v. Trumbull Savings & Loan Co.*, 169 F.3d 390, 399–401 (6th Cir. 1999), the court *affirmed the grant of summary judgment* on limitations grounds where plaintiffs’ deposition testimony indicated that they knew of both the existence of their injury and its wrongful source and suspected that they had been defrauded outside the limitations period, retained counsel, filed complaints with governmental agencies, and abandoned properties that were the subject of the fraud.
- In *Whirlpool Fin. Corp. v. GN Holdings, Inc.*, 67 F.3d 605, 610 (7th Cir. 1995), held that a plaintiff in a securities fraud case was on inquiry notice when “the dramatic discrepancies between the very precise projections made by defendants [in a private placement memorandum] and the actual results” occur.” *Id.* at 610.
- In *In re Packaged Seafood Prods. Antitrust Litig.*, No. 10-md-2670, 2017 U.S. Dist. LEXIS 37804 (S.D. Cal. Mar. 14, 2017), the court’s determination that the plaintiffs’ claims accrued “when the DOJ investigation came to light” was the position advanced by Plaintiffs and was a conclusion that did not dispose of any claims.

A careful reading of the cases relied upon by Respondents therefore actually *confirms* that applying the discovery rule is highly fact-specific, and inherently “raises a factual dispute . . . that cannot be resolved on a motion to dismiss for failure to state a claim.” *Streak Products, Inc. v.*

UTi, United States, Inc., Doc. No. 13-04, 2013 FMC LEXIS 42, *24-25 (ALJ Oct. 23, 2013); *see also Lutz v. Chesapeake Appalachia, L.L.C.*, 717 F.3d 459, 476 (6th Cir. 2013) (issues regarding fraudulent concealment and statute of limitation defense “are questions for summary judgment or for trial, and they should not be resolved on a motion to dismiss”).

II. All Complainants have standing to pursue all claims under the Shipping Act.

Respondents make various arguments as to why no Complainant has standing to bring any claim filed in these actions. Respondents’ arguments before the Commission are directly contrary to the arguments they presented to the district court and the Third Circuit. But now that the parties are before the Commission, Respondents have flipped their position. The Commission should rule that they have waived or are otherwise judicially estopped from taking a contrary position. If the Commission reaches the merits of the standing argument, it must agree that Complainants have standing or afford them an opportunity to develop a factual record that they have standing .

A. Respondents waived the right to argue that Complainants lack standing.

The doctrine of waiver requires a showing that there has been a “voluntary, intentional relinquishment of a known right or privilege manifested either by express statement or by conduct which can only be reasonably considered consistent with such relinquishment.” *Port Authority of N.Y. v. N.Y. Shipping Ass’n.*, 22 SRR 1329, 1346 (1985).

The Commission should find that Respondents waived their right to contest Complainants’ standing and ability to seek reparations. During oral argument, the Third Circuit expressed concern that preempting Complainants’ state-law claims would leave consumers without redress for the damages that Respondents’ conspiracy had inflicted. To allay those concerns and convince the court that Complainants had an adequate remedy, counsel for Respondents emphasized that Complaints would face no obstacle to bringing their claims under the Shipping Act and before the

Commission. In fact, Respondents represented that Complainants have standing to seek reparations under the Shipping Act before the Commission.

[T]his statute creates a specific forum a specific cause of action, and a specific set of remedies for anyone who was aggrieved. So Congress has created a place where these people [Complainants] can go, a cause of action – and that’s the FMC – a cause of action that they can allege – which is an action for **reparations**.

Tr. of Oral Arg. before 3rd Cir., Ex. A at 41, *In re: Vehicle Carrier Servs. Antitrust Litig.*, No. 15-3353 (3d Cir. Nov. 17, 2016) (hereafter “3rd Cir. Oral Arg.”).

Counsel for Respondents was asked directly by the Court whether Respondents were “going to suggest as the FMC lacks the authority to adjudicate the dispute.” 3rd Cir. Oral Arg., Ex. A at 31. Respondents’ counsel replied “No, we’re not going to suggest that they lack the authority to adjudicate disputes of the type alleged in the complaint.” *Id.*²⁴

Further, Respondents represented in their briefing to the Third Circuit that Complainants can seek “reparations before the FMC”:

The district court “emphasize[d] that the putative class members can seek relief before the FMC, 46 U.S.C. § 41301(a), and then bring actions in district court as appropriate and consistent with Congress’s full intent[.]” *Ibid.* (citations omitted).

....

[I]n lieu of any Clayton Act claim, **the Shipping Act provides a clear private remedy for operating under an agreement that has not become effective or for other violations of the Shipping Act: a complaint for reparations before the FMC.** 46 U.S.C. § 41301. As the district court explained, the FMC “possesses power not unlike a district court” and may award up to double actual damages. JA51-52 (holding that, “while no private party may sue for damages or for injunctive relief under the antitrust laws for conduct [prohibited by the Shipping Act], **the FMC is empowered to order reparations**, including double damages, to impose sanctions and penalties for prohibited conduct”) (quoting *A & E Pac. Const. Co. v. Saipan Stevedore Co.*, 888 F.2d 68, 71 (9th Cir. 1989)).

See Respondents’ Consolidated Supplemental Brief to Third Circuit, *In re: Vehicle Carrier*

²⁴ The Counsel in question represented “K” Line America, Inc., but spoke on behalf of all defendant-appellees regarding the direct purchaser case.

Services Antitrust Litig., No. 15-3353 (Aug. 8, 2016), Ex. B at 9, 20.

Similarly, before the district court, Respondents argued that the FMC did not present obstacles to Complainants' recovery, stating that "**any person** can file a complaint before the FMC **and obtain reparations** for injuries caused by violations of the Act." Tr. of Oral Arg. before District Court, Ex. C at 16, *In re Vehicle Carrier Services Antitrust Litig.*, No. 13-3306 (D.N.J. July 23, 2015) (hereafter "D.N.J. Oral Arg.").

The representation that "we're not going to suggest that [Complainants] lack authority to adjudicate disputes of the type alleged in the complaint" and similar representations were not mere offhand comments on a side-issue. Respondents' positions and multiple representations to the federal courts unambiguously constitute waiver—a knowing relinquishment of the option of arguing the contrary in this FMC proceeding. Respondents arguments to the federal courts should foreclose any contrary arguments in these proceedings.

B. Respondents should be judicially estopped from arguing that Complainants lack standing.

Respondents' conduct cries out for the application of judicial estoppel.²⁵ The doctrine of judicial estoppel prevents a party from asserting a claim in a legal proceeding that is inconsistent with a claim taken by that party in another legal proceeding. *New Hampshire v. Maine*, 532 U.S. 742, 749 (2001). It "prevents a party from prevailing in one phase of a case on an argument and then relying on a contradictory argument to prevail in another phase."

The Supreme Court noted three factors for determining whether judicial estoppel applies:

First, a party's later position must be "clearly inconsistent" with its

²⁵ The Commission has repeatedly recognized the doctrine of estoppel. *See, e.g., Allied Chemical, S.A. v. Farrell Lines, Inc.*, 23 FMC 375, 377 (1980); *Financial Responsibility for Oil Pollution, Alaska Pipeline*, 20 FMC 77, 108 (1977); *Fibreboard Prods., Inc. v W.R. Grace & Company*, 3 U.S.M.C. 128, 130 (1949); *Rates from United States to Philippine Islands*, 2 U.S.M.C. 535 (1941).

earlier position. Second, courts regularly inquire whether the party has succeeded in persuading a court to accept that party's earlier position, so that judicial acceptance of an inconsistent position in a later proceeding would create "the perception that either the first or the second court was misled[.]" . . . A third consideration is whether the party seeking to assert an inconsistent position would derive an unfair advantage or impose an unfair detriment on the opposing party if not estopped.

New Hampshire v. Maine, 532 U.S. 742, 750–51 (2001) (internal citations omitted).

First, Respondents should be estopped because their "later position" before the Commission that Complainants lack standing is "clearly inconsistent with" their "earlier position" before the federal courts that "we're not going to suggest that they lack the authority to adjudicate disputes of the type alleged in the complaint." 3rd Cir. Oral Arg., Ex. A at 31–33.

Second, Respondents obtained dismissal of these same class claims in federal court, at least in part, by arguing that the Commission had the authority to hear them. A plain reading of the transcript from the proceedings reveals that the federal courts believed that sending the matter to the Commission would not bar Complainants from relief, thus the second factor weighs in favor of finding judicial estoppel.

The applicability of the third judicial estoppel factor—whether Respondents "would derive an unfair advantage or impose an unfair detriment" on Complainants "if not estopped"—is manifestly clear. Respondents' attempt to create a gap in the law allowing them to pay nothing to the individuals and entities harmed by Respondents' admitted criminal conduct is unconscionable. To prevent such gamesmanship and to protect parties injured from violations of the Shipping Act, this Commission should use the doctrine of judicial estoppel to prevent Respondents from arguing that Complainants lack standing to seek reparations.

C. All Complainants have standing to seek reparations for violations of the Shipping Act—irrespective of whether they directly purchased services from Respondents— because the Act gives "any person standing to file a

complaint.”

Respondents’ standing argument must be rejected because the Shipping Act “clearly gives ‘any’ person standing to file a complaint alleging a violation of the Shipping Act.” *See Adenariwo v. BDP Int’l Zim Integrated Shipping*, 2013 FMC LEXIS 49, at *4 n.8 (March 7, 2013) (quoting *Rohm & Haas Co. v. Italian Line*, 21 S.R.R. 212, 215-216 (1981)) (emphasis added). Specifically, the statute provides “[a] person may file . . . a sworn complaint alleging a violation.” 46 U.S.C § 41301(a). The Commission clarified in 2013 that the scope of persons with standing to sue under §41301(a) as currently drafted is no narrower than the statute’s precursor, which stated that “any person” has standing to file a violation. *See Adenariwo*, 2013 FMC LEXIS 49 at *4 n.8. The Commission noted, “[a]lthough the language of the statute has been revised, the meaning and intent that permits broad filings of complaints has not changed.” *Id.*

Allowing Complainants standing to sue—irrespective of whether they actually purchased services directly from Respondents—is entirely consistent with the purpose of the Act. As the Commission has noted the “Shipping Act is remedial” and “should be liberally construed and not read in a narrow manner to exclude jurisdiction, limit enforcement or otherwise restrict its scope.” *Anderson Int’l Transport*, No. 07-02, 2009 FMC LEXIS 46, at *10 (Aug. 28, 2009).

Because “any person” may bring a complaint, Complainants may bring claims even if they did not directly purchase services from Respondents. Respondents’ argument that Complainants have no standing to pursue the claims they have brought must be rejected.

D. The Direct Purchaser Complainants have validly pleaded that they are “direct purchasers” of Vehicle Carrier Services from Respondents.

Respondents have asserted that DPCs do not have standing to pursue their claims based on the barest lip-service to the allegations in the DPCs’ Complaint (Resp. Br. at 1-2 and n.2), and a misleading twisting of facts to fit the argument they advance.

Respondents begin by referring to the DPC as “Freight Forwarders,” as if that appellation alone governs DPCs’ ability to proceed. Respondents then attempt to obfuscate the question of whether or not DPCs are direct purchasers by citing to *Kobel v. Hapag-Lloyd A.G.*, 32 S.R.R. 1720, 1742 (FMC 2013), for the proposition that freight forwarders “are not themselves shippers.”²⁶ Respondents then make the remarkable leap, without citing any cases, to argue that “as a matter of law,” because freight forwarders “are not themselves shippers,” they are not direct purchasers and have no standing to maintain a complaint for reparations under the Shipping Act.

Respondents’ argument that DPCs do not allege that they paid the ocean freight for their “own account” also fails. First, there is no allegation in the DPCs’ Complaint to that effect, and Respondents may not go beyond the allegations in that pleading by interjecting supposed “facts” for purposes of this motion. Second, Respondents have already conceded that “the person who paid the freight to the carrier has standing to recover reparation for injury, not a secondary party, even if the latter party ultimately bore the cost of the overcharge.” Resp. Br. at 35 (citing *Sanrio, Inc. v. Maersk Line*, 19 S.R.R. 907 (ALJ Admin. Final 1979)). DPCs have alleged that they directly purchased Vehicle Carrier Services from Respondents (DPC Compl. ¶¶ 8-10, 107), which is sufficient to confer standing under the “direct purchaser” rule, as conceded by Respondents.

Moreover, Respondents have attempted to confuse the standing of the DPCs by calling them “freight forwarders” to support Respondents’ inaccurate contention that DPCs cannot be direct purchasers, but instead act only as agents of the underlying customers. However, and as Respondents are well aware, the term “freight forwarder” is a misnomer when used to describe the nature of the services provided by DPCs. When purchasing transportation services from vessel

²⁶ Notably, *Kobel* did not deal with a motion to dismiss on the pleadings, but rather a motion for summary disposition with an evidentiary record, which is lacking here.

operators such as the Respondents and reselling those services to DPCs’ customers, DPCs are in fact and law the shipper and direct purchaser because they are non-vessel-operating common carriers (or NVOCCs).²⁷ Under the Shipping Act, a non-vessel-operating common carrier is defined both as a common carrier and a shipper:

The term “non-vessel-operating common carrier” means a common carrier that—does not operate the vessels by which the ocean transportation is provided; *and is a shipper in its relationship with an ocean common carrier.*

46 U.S.C. § 40102(16) (emphasis added).

Similarly, the Shipping Act defines “shipper” to include “a non-vessel operating common carrier that accepts responsibility for payment of all charges applicable under the service contract or tariff.” 46 U.S.C. § 40102(22)(D). Thus, contrary to Respondents’ contention, see Resp. Br. at 41, DPCs are not mere purchasing agents for shippers—they are themselves shippers *vis-à-vis* carriers, including Respondents. They are independent contractors hired to move customers’ vehicles from point A to point B. To that end, they directly purchase space on vehicle carriers to fulfill their contractual obligations to customers. DPCs’ Compl. ¶¶ 1, 8-10, 25, 104, and 107.

Even if an individual DPC only acted as an ocean freight forwarder, that would not indicate—let alone establish—that it was not a direct purchaser. The Commission has made it clear that even an ocean freight forwarder, which does act as the agent of the underlying exporter to book space and process transportation document, can be a shipper and even enter into its own service contracts. In FMC Docket Petition No. P5-98, *Petition of National Customs Brokers & Forwarders Association of America for Issuance of Rulemaking or, in the Alternative, for a*

²⁷ At least two of the DPCs are or were licensed as NVOCCs during the relevant period: International Transport Management Corp. (which Respondents conveniently fail to mention in their discussion of the FMC’s licensing of DPCs) (Respondents’ Brief at 41), and Cargo Agents, Inc.

Declaratory Order, 28 S.R.R. 1042 (served July 16, 1999), the Commission specifically recognized that an ocean freight forwarder could be a “shipper” for an undisclosed (to the vessel operator) exporter as long as it controlled the transportation. Although the Commission denied the request to initiate a rulemaking proceeding, the agency concluded that carriers could properly elect to treat ocean freight forwarders as shippers and even as parties to a service contract:

Nothing in the 1984 Act’s definition of “shipper” or the FMC’s case law precludes a finding in an appropriate factual context that an individual freight forwarder’s relationship to its principal qualifies the freight forwarder to act as a shipper in connection with a particular shipment or shipments, or the relationship between the forwarder and its principal results, directly or indirectly, in the forwarder having a beneficial interest in the cargo... *Id.* at 1050-51.

And, of course, the Shipping Act makes it clear that the definition of the term shipper also includes “the person for whose account the transportation is provided.” 46 U.S.C. 40102(22)(B). Since any party that is listed on the relevant carrier bills of lading is “a person for whose account the transportation is provided” and who becomes liable for the payment of freight charges,²⁸ the issue of whether the DPCs are non-vessel-operating common carriers, ocean freight forwarders, or fit some other definition, has no relevance to their standing; as long as they booked cargo, were listed as shippers on the carrier bills of lading, and paid the freight charges, they are legitimate shippers and direct purchasers of the carrier transportation services.

Consistent with the Supreme Court’s statement of the role of freight forwarders, “reliance on agency law is misplaced” in the freight forwarder context: freight forwarders act as intermediaries that handle all aspects of preparing to transport cargo and are “‘agents’ only in their ability to contract for liability limitations with carriers downstream.” *Norfolk S. Ry. v. Kirby*, 543

²⁸ On information and belief, the bills of lading of the Respondents uniformly (1) define the “merchant” to include the shipper listed as the “shipper” in the appropriate place on the front of that document, and (2) make the merchant liable for payment of freight charges.

U.S. 14, 34 (2004); *see also Farrell Lines Inc. v. Titan Indust. Corp.*, 306 F. Supp. 1348, 1349-50 (S.D.N.Y. 1969) (freight forwarder was agent of neither shipper nor carrier, “but rather an independent contractor.”); *Strachan Shipping Co. v. Dresser Indus., Inc.*, 701 F.2d 483, 488-89 (5th Cir. 1983) (“While a forwarder performs a variety of functions benefiting both shipper and carrier, neither the shipper nor carrier retains any substantial control over the forwarder’s performance. We hold that the forwarder is an independent contractor.”).

Because freight forwarders operate between carriers and shippers, they act as independent contractors and retain their direct purchaser standing as intermediate dealers that directly pay for the services of carriers.²⁹ *See McCarthy v. Recordex Serv.*, 80 F.3d at 845 (3d Cir. 1996) (rejecting plaintiffs’ argument that they were the direct purchasers and their attorneys were “merely act[ing] as their agents in purchasing the photocopies”); *Warren Gen. Hosp. v. Amgen*, 643 F.3d 77, 82, 88-91 (3d Cir. 2011) (finding middleman to be direct purchaser); *Howard Hess Dental Labs., Inc. v. Dentsply Int’l, Inc.*, 424 F.3d 363, 373 (3d Cir. 2004) (direct purchaser was the intermediate dealer who paid for the goods, not the entity that received the goods).³⁰

²⁹ In a similar situation, in one of the largest antitrust lawsuits, which has resulted in more than \$1.24 billion in settlements—*In re Air Cargo Shipping Services Antitrust Litig.*—direct purchasers of air cargo shipping services, including freight forwarders, brought suit alleging that defendant airlines fixed prices that affected thousands of worldwide routes. In over ten years of litigation, certain plaintiffs’ status as freight forwarders was of no import and did not stop the court from denying defendants’ motions to dismiss, nor did it prevent the Magistrate Judge from issuing a Report and Recommendation on October 15, 2014 certifying a class of direct purchasers, which was adopted by the District Judge in its entirety on July 10, 2015. *See* Report & Recommendation, 06-mdl-1775, *In re Air Cargo Shipping Servs. Antitrust Litig.*, Doc. No. 2055, 2014 U.S. Dist. LEXIS 180914 (E.D.N.Y. Oct. 15, 2014). The Court found that the direct purchaser plaintiffs (which included freight forwarders) would fairly and adequately protect the class (namely, all persons or entities who purchased airfreight shipping services to or from the United States directly from any of the defendants). *See generally id.* While the *Air Cargo* case asserted claims under the antitrust laws, the issue of the status of freight forwarders as “direct purchasers” for claims under the Shipping Act is analogous.

³⁰ Respondents have not cited a single case holding that any party, even a freight forwarder, who paid ocean freight directly, did not have standing to seek reparations under the Shipping Act.

Accordingly, DPCs have sufficiently alleged that they are direct purchasers of Vehicle Carrier Services from Respondents, and therefore, as conceded by Respondents, have standing to seek reparations.

E. The supposedly narrow “direct purchaser” rule Respondents assert does not preclude IPCs from pursuing their claims before the Commission.

Citing *Government of Guam v. Sea-Land Services*, No. 89-26, 2002 FMC LEXIS 16 (Mar. 27, 2002), Respondents contend that the Commission maintains a “direct purchaser” rule where “only first-line direct purchasers” have standing to seek reparations. Resp. Br. at 33–37. The Commission should reject this argument, for four reasons: First, the Commission reached its decision in *Government of Guam*, in part, because the complainants originally took a position before the federal courts that blatantly conflict[ed]” with their position later before the Commission. Second, to the extent that a strict “direct purchaser” rule once existed under FMC precedent, its stated or implied exceptions must be used in light of the modern realities of the shipping industry and the deleterious consequences that such an antiquated rule could have on parties injured by Respondents’ blatant violations of the Shipping Act. Third, even if the Commission were to apply its “direct purchaser” rule, Respondents are not entitled to dismissal because Respondents cannot show from the face of the Complaints that IPCs fail to satisfy such a rule. Fourth, the Commission’s recognition of “shipper” standing broadens the direct purchaser requirement and was not argued or germane in *Government of Guam*.

1. Respondents’ direct purchaser argument has been waived and fails to recognize the developed law of equitable standing.

In *Guam*, the Commission rejected a party’s attempt to take one position before the federal

Moreover, to the extent that DPCs’ status as NVOCCs, freight forwarders, or any other category affects their ability to pursue these claims, that determination presents factual issues and renders them unsuitable for disposition on a motion on the pleadings.

courts and a later, conflicting position before the Commission. The “complainants previously took the position before the federal courts that the mainland shippers [direct purchasers] had standing.” *Id.* at *34. But before the Commission, the complainants switched their position, arguing that “consignees [indirect purchasers] are the parties with standing concerning prepaid shipments, rather than the mainland shippers.” *Id.* The Commission noted that the complainants’ new position before the FMC “blatantly conflicts with their earlier position in court as to the same shippers and shipments.” As in *Government of Guam*, Respondents’ arguments to the federal courts are wholly inconsistent with their argument in these proceedings that Complainants do not have standing to seek reparations. For all the reasons expressed in full in sections II.A and B, above, the Commission should follow the decision in *Government of Guam* and find that Complainants may properly bring claims for reparations in these proceedings.

2. *Government of Guam* is inapposite, and Respondents’ reliance on it should be rejected because of its conflict with the developed law of equitable standing.

Government of Guam barred the claims of complainants who were not shippers from seeking reparations. 2002 FMC LEXIS 16, at *34. The opinion itself turns on distinguishable facts and exceptions than those in the present case. Specifically, in *Government of Guam*, the “complainants did not suffer any economic harm,” “each of the complainants stipulated that it would not present any evidence that any of [the respondent’s] rates were unlawful,” and complainants stipulated that the rates at issue did not impact “complainants’ revenues, profits or profitability, including any impact on the amount of profit achieved or any sales transaction involving any commodity transported by [the respondent].” *Id.* at *27–28.

Opposite facts and circumstances are present in these proceedings. Complainants all claim economic injury flowing from Respondents’ unlawful conspiracy. The rates at issue in this case were decidedly unlawful, given that they arose from anticompetitive agreements never filed with

the Commission. And in this case, the injuries Respondents caused certainly impact Complainants' profitability and the bank accounts of American consumers. The facts in *Government of Guam* render the case inapposite to these proceedings.

The additional cases on which Respondents rely are likewise inapplicable. Respondents cite *Oakland Motors Car Co. v. Great Lakes Transit Corp.*, 1 U.S.S.B. 308 (1934), for the narrow and inapplicable proposition that the bankrupt, not the trustee, may prosecute a reparations action. Thus, the opinion is one which fundamentally deals with whether the creation of the bankruptcy trustee caused the right to recover reparations to pass to the trustee by operation of law. *See id.* at 310. Complainants here do not assert that they may recover reparations because a right of recovery passed to them by operation of law or via assignment.

And the result in *Oakland Motor* is more nuanced than Respondents allow. The opinion explains that “[a] trustee in bankruptcy may prosecute a suit commenced by a bankrupt prior to the adjudication either by the institution of a new action or by intervening in the proceeding commenced by the bankrupt.” *See id.* at 310. An opinion that is so esoteric should have no bearing on whether IPPs may recover reparations here. The other cases on which Respondents rely have little relation to these proceedings and the Commission should give them little weight.

- *Sanrio, Inc. v. Maersk Line*, 19 S.R.R. 907 (ALJ Admin. Final 1979): The decision contains virtually no factual analysis, it is unclear what happened in the case, and Respondents' brief quotes from a headnote, as opposed to the actual text. *Sanrio* does not militate in favor of dismissal here because it only is relevant when a complainant is a consignee that did not pay the freight. *See Sanrio* at 908, 909.
- *California Cartage Co. v. Pacific Maritime Association*, 23 S.R.R. 420, 424-25 (FMC 1995): The matter was decided primarily based on the retroactive effect of the 1984 Shipping Act. California Cartage's standing and cause of action were found to have been extinguished under the 1984 Act, and the complainant attempted to recover on behalf of its customers. *See id.* at 425-26. The case was decided on the law of the case doctrine. The portion of the opinion dealing with reparations standing is speculation and dicta. *See id.*
- *Carton-Print, Inc. v. the Austasia Container Express Steamship Company*, 20 FMC 31, 42 (Init. Dec., Admin. Final 1977): The case is distinguishable because the complainant

conceded it suffered no loss. *Carton-Print* only stands for the proposition that the person that suffered the loss may bring claims for reparations. In the present case, IPCs have unquestionably alleged that they suffered a loss.

- *3M v. Hapag-Lloyd*, 20 S.R.R. 1020, 1021, n.3 (FMC 1981): The decision was simply a denial of a motion for reconsideration without any substantive legal or factual analysis.
- *FMC Corp. v. Argentine Line*, 19 S.R.R. 1940, 1941 (Settle. Off. 1980): A non-consignee's claim was dismissed because the consignee had not properly assigned it. The opinion merely stands for the proposition that factual inquiry is required to determine which parties have standing to pursue reparations.
- *Stauffer Chem. Europe S.A. v. NYK Line*, 27 S.R.R. 417 (FMC 1995): The Respondents cite language from a footnote that is plainly dicta on which no reliance should be placed. The footnote stated. "It is therefore unnecessary to address whether Mr. Weiser had authority to bring this complaint on behalf of Zeneca's subsidiary company." *Id.* at 419.
- *Procter & Gamble Mfg. Co. v. Lykes Bros. SS. Co.*, 25 S.R.R. 1370, 1371 (Settle. Off. 1991): The case simply involved a settlement officer's request that complainants amend their complaint to make a corporate subsidiary the complainant instead of the corporate parent. The decision is not on point.
- *Tradecheck, LLC v. Sea-Land-Serv., Inc.*, 27 S.R.R. 334, 334 (Settle. Off. 1995): The matter involved the complainant, a freight auditor, who lacked a cargo interest and could not demonstrate actual injury—and is clearly distinguishable from the present case.

In fact, one of the cases Respondents cite, *Trane Co v. South African Marine*, 19 FMC 375 (Init. Dec., adopted 1976), militates in favor of finding that IPCs have standing. The ruling found that whether a complainant paid the freight was a question of fact. There was no rule that consignees are precluded from seeking reparations merely because of their status as consignees. *See id.* at 377 ("[C]omplainant did not establish that complainant had paid the freight although the bills of lading themselves suggested that the consignee, not the shipper-complainant had paid.").

In short, the authority Respondents cite provides anything but a clear rule of decision applicable to the issues in these proceedings.

3. To the extent that a "direct purchaser" rule exists, the rule should be rejected here in light of modern realities in the shipping industry, and the Commission should interpret the Shipping Act to protect parties like Complainants who are injured by Respondents' blatant violations of the Shipping Act.

Whatever the roots or rationale for application of the purported rule on which Respondents

rely, there is no justifiable reason to apply it to the modern circumstances presented by this case. To the contrary, as this case clearly illustrates, a direct purchaser rule is an impediment to the goals of the Shipping Act and leads to manifestly unjust results. Under Respondents' theory, Complainants who bore the costs of Respondents' violations of the Shipping Act would be barred from recovery while Respondents would be granted an unjust windfall. Such a rule would cut to the core of the Commission's ability to police the industry it regulates and to encourage competition. Further, by attempting to bar Complainants from obtaining reparations for the damages they incurred, an expansive direct purchaser rule conflicts with the remedial nature of the Shipping Act. As noted above, the Commission has repeatedly stated that the statute is remedial and should be liberally applied. *See, e.g., Anderson Int'l Transport*, 2009 FMC LEXIS 46, at *10. Finally, such a result would be particularly galling when, as in this case, many of the Respondents successfully convinced the Department of Justice government to forego any claim for reparations in sentencing the Respondents because their victims could be compensated through the class actions now before the Commission. Sentencing Agreement, *United States v. NYK Line*, No. 14-cr-0612, Doc. 20 at ¶9(a) (D. Md. Mar. 11, 2015) (attached hereto as Ex. D).

The only rationale that Respondents' provide for the application of a direct purchaser rule is to appeal to *Illinois Brick Co. v. Illinois*, 431 U.S. 720 (1977). In *Illinois Brick*, the Supreme Court ruled that federal antitrust law allowed only direct purchasers, and not indirect purchasers, to sue to recover the overcharge they had paid. The rationale for the rule was to avoid 1) the risk of duplicative recovery and 2) the complexity—and inefficiency—that would result from trying to apportion the damages between the direct and indirect purchasers. *Id.* Even *Illinois Brick* allows cases based on a cost-plus contract. *Del. Valley Surgical Supply Inc. v. Johnson & Johnson*, 523 F.3d 1116, 1123 n.1 (9th Cir. 2008) (recognizing the cost-plus exception to *Illinois Brick*). Thus,

factual examination of how cars are bought and paid for is necessary here.

The windfall benefits that parties engaging in anti-competitive conduct might obtain from the *Illinois Brick* rule led many states to reject the rule through so-called “repealer statutes” or by judicial decisions. Now, “more than thirty-five states permit indirect, as well as direct, purchasers to sue for damages under state law” *Id.* at 269. The validity of the “repealer statutes” came before the Supreme Court, and the Court held that *Illinois Brick* did not preempt the enactment of state antitrust laws, even if they had the effect of repealing the rule in *Illinois Brick*. *California v. ARC America Corp.*, 490 U.S. 93 (1989).

None of the risks of indirect purchaser actions identified in *Illinois Brick* would materially impair the Commission’s ability to adjudicate the present matter or other matters in the future. The risk of duplicative recovery is slight because the claims of the various groups generally do not overlap. Further, the Commission will address the claims of the DPCs and IPCs at the same time. Respondents will be able to present evidence of any potential duplicative recovery, and the Commission can modify any award of damages accordingly. The Commission is certainly capable of preventing double recovery in the theoretical and unlikely event that Complainants would seek to obtain duplicative recovery.

In sum, there is no rationale for barring Complainants from asserting claims in this matter based on *Illinois Brick*. To do so, would leave hundreds of thousands of American consumers and businesses without redress, would permit the Respondents to avoid payment of hundreds of millions of dollars in damages, and would frustrate the core purposes of the Shipping Act.

4. Even if a direct purchaser rule applies to remote repurchasers lacking equitable or insurable interests in some items, Respondents are not entitled to dismissal because Respondents cannot show from the face of the Complaints that IPCs, as “shippers,” fail to satisfy the rule.

Even if a direct purchaser rule applied, which it should not, the Commission should refuse

to dismiss Complainants' claims because many of the IPCs may qualify as Shippers under the Act, thus entitling them to seek reparations for damages caused by Respondents. The IPCs can present evidence showing that they qualify as "shippers" under multiple sections of the Act and are therefore entitled to seek reparations. Respondents fail to address this argument. Under 46 U.S.C. § 40102(22), a "shipper" is defined in the disjunctive to include:

- (A) a cargo owner;
- (B) the person for whose account the ocean transportation of cargo is provided;
- (C) the person to whom delivery is to be made;
- (D) a shippers' association; **or**
- (E) a non-vessel-operating common carrier that accepts responsibility for payment of all charges applicable under the tariff or service contract.

First, Complainants qualify as "shipper[s]" under §§ 40102(22)(B) and (C) because they are the persons to whom delivery was to be made and for whose account the ocean transportation was provided. The vehicles at issue were delivered to automobile, truck, and equipment dealers, as well as to end-payors to whom delivery was to be made when they ordered custom cars. Likewise, pursuant to § 41301(22)(B), delivery is made so that these dealers may sell the vehicles, as well as on account of the end-payors so that they could purchase and use the vehicle. Essentially, but for dealers or end-payors ordering the vehicles, no shipping would occur.

IPCs also qualify as "cargo owners" under § 40102(22)(A) because the dealers, and sometimes the ultimate purchasers, are the owners of the vehicles when they leave the factory gate. For example, evidence would show a vehicle's Manufacturer's Certificate of Origin ("MCO") is generated before the vehicle leaves Japan, and in plain language it grants title to the vehicle being shipped:

I, the undersigned representative of the company, firm or corporation named below,

hereby certify that the new vehicle described above is the property of the said company, firm or corporation and is transferred on the above date and under the invoice number dedicated to the following distributor or dealer.

See American Honda Motor Co., Manufacturer's Certificate of Origin, (attached hereto as Ex. E). The dealer receives the MCO prior to the vehicle's delivery. Thus, dealers own the cargo as soon as it begins the shipping process, and in many cases dealers pay the invoice, which includes the charge for shipping, before the car arrives at the dealership. Also, a Honda dealer Sales and Service Agreement provides that risk of loss passes to the dealer upon tender of the product to dealer or its authorized agent.³¹

IPCs also possess equitable interests in the vehicles, thus providing another basis why they qualify as "cargo owner[s]" under § 40102(22)(A). As the Commission has previously recognized, "the definition of 'shipper,' . . . should be interpreted broadly" such "that various entities may be 'shippers' under the Shipping Act although not normally recognized as such." *Rose Int'l, Inc. v. Overseas Moving Network Int'l, Ltd.*, 2001 FMC LEXIS 39, at *58–59 (FMC Doc. 96-05, June 1, 2001). Given how the term should be liberally construed, a "shipper" "could not be restricted to 'owners or beneficial owners' of cargo. *Id.* Thus, "[i]n any given situation the term ['shipper'] may apply to . . . non-owners of cargo, persons having no beneficial interest in cargo, small companies, large companies." *Id.*

The Commission's reference in *Rose International* to "beneficial owners" or "beneficial interests" shows that persons who do not yet possess the cargo may nevertheless have an *interest* recognized by equitable criteria. The Commission calls this a "beneficial interest," or an equitable interest, in the cargo, and such persons are included within the category of shippers.

³¹ The Isuzu truck dealer Sales and Service Agreement contains a similar provision, as does the Logistics Policy and Procedures Manual for Hino Trucks.

Here, the scale and nature of the IPCs injury justify viewing Complainants as “shippers.” The hundreds of millions of dollars of injury inflicted by Respondents and the industry’s thin margins show that the IPCs bore the unlawful overcharges resulting from the price fixing. As a result, IPCs have a practical interest and a major injury in several senses. First, they regularly shoulder the actual cost of shipment. Second, they experience the injury from those overcharges. And third, the temporary recipients of the cargo and the other direct purchasers are merely waypoints of the cargo in transit. Therefore, Complainants have a strong economic and financial interest in the cost—and overcharging—of shipping, and usually play a prominent contractual role that causes the shipping of the ordered vehicles, as the record will ultimately show here.

Consistent with such concerns, American law has traditionally recognized that a party—like the IPCs—may possess an equitable interest in vehicles, even without possession; an equitable interest substantial enough to be an insurable interest. *See Allstate Ins. Co. v. Chinn*, 276 Cal. Rptr. 264, 267 (Cal Ct. App. 1969) (recognizing that “[f]or the purpose of determining liability insurance coverage, there may be several ‘owners’ of an automobile”; *Employers Liability Assur. Corp. v. Sweatt*, 57 A.2d 157, 159 (N.H. 1948) (noting in an automobile insurance case that under “the Uniform Sales Act . . . which provides that “property in specific goods is transferred to the buyer at such time as the parties intend it be transferred . . . regard shall be had to . . . the conduct of the parties, usages of trade and the circumstances of the case.” (internal quotations omitted)).³² These are facts as to new car importation, with their special equitable and insurable interests, that IPCs

³² Several opinions confirm that there may be equitable interests in, or equitable owners of interests in, vehicles. *See, e.g., United States v. One 1972 Toyota Mark II*, 505 F.2d 1162, 1185 (8th Cir. 1974) (finding party to be “equitable owner” of automobile); *Commercial Standard Ins. v. McCollum*, 207 F.2d 768, 770 (10th Cir. 1953) (finding an “equitable interest” in an automobile); *Clouse v. Am. Mut. Liab. Ins.*, 344 F.2d 18, 21 (4th Cir. 1965) (finding “an equitable interest in the car”).

should be allowed to prove. Under the reasoning of *Rose International*, IPCs independently fall within the scope of shippers under the Act based on their beneficial interest in the vehicles being transported and the vehicles for which they ultimately pay those inflated costs.

None of the cases Respondents have cited contradicts a finding that IPCs qualify as “shipper[s]” under § 40102(22). Respondents rely on *Government of Guam v. Sea-Land Serv., Inc.*, 29 S.R.R. 894 (ALJ, Admin. Final 2002), for the proposition that only direct purchasers may seek reparations. However, *Government of Guam* is distinguishable because in that case the government sought to act for consignees and other cargo recipients in a representative capacity. Thus, the Complainants had suffered no injury. By contrast, here, the IPCs suffered injury in the form of paying inflated costs for vehicles. Moreover, *Government of Guam* is further distinguishable because the Commission disposed of the reparations claim at the summary judgment stage only after Complainants had been accorded the opportunity to develop a factual record. *See id.*

III. The Commission can—and should—adjudicate these matters as a class proceeding.

Like their standing arguments, Respondents waived and are otherwise judicially estopped from arguing that class actions are unavailable before the Commission because they took the exact opposite position before the district court and Third Circuit. In federal court, Respondents represented that class proceedings were available, which the district court and Third Circuit relied upon in finding that the FMC was the proper venue. But now that Complainants are before the FMC, Respondents argue that class proceedings are foreclosed.

Putting aside Respondents’ chicanery, the Commission has two primary sources of legal authority allowing it to adjudicate class claims. First, it should utilize its “gap-filler” rule, which requires it to follow the Federal Rules of Civil Procedure if there are no Commission rules on

point, so long as the rules are “consistent with sound administrative practice.” 46 C.F.R. § 502.12. Second, the Commission has broad authority to adopt class action procedures to fulfill its statutory mandate, just as other agencies have done.

Not only does the Commission have the authority to utilize class action procedures when necessary, but doing so would serve to provide all the salutary benefits realized by federal courts.³³ Just as the Commission’s current rules allowing the consolidation of certain claims do not diminish any party’s rights, class action procedures would merely improve efficiency without impairing rights. *See, e.g., Shady Grove Orthopedic Assocs., P.A. v. Allstate Ins. Co.*, 559 U.S. 393, 408 (2010) (“A class action, no less than traditional joinder (of which it is a species), merely enables a federal court to adjudicate claims of multiple parties at once, instead of in separate suits.”).

A. Respondents should be judicially estopped from arguing that class proceedings are barred before the Commission.

Respondents’ position that this Commission is not able to adjudicate class claims is *directly contrary* to the argument they have successfully made to other judicial bodies. Respondents repeatedly argued that the same class claims that Complainants present here should in fact be heard here before the Commission. For brevity, Complainants incorporate by reference their earlier arguments in sections II.A and B explaining why Respondents’ shifting positions constitute a waiver and judicial estoppel of their standing defenses. Complainants’ arguments apply with equal force to Respondents’ claims that the Commission cannot adjudicate claims on a class-wide basis.

Further, a finding of waiver or judicial estoppel is necessary and warranted because several

³³ Though Respondents argue, without citation to law or precedent, that the Commission should not upset the “settled expectations of the industry the Commission is charged with regulating,” Resp. Br. at 30, the industry is already well aware that it is subject to claims before the Commission. In effect, Respondents ask the Commission to protect them from claims that victims of Respondents’ admitted criminal conduct has caused—hardly the “settled expectations” of the industry.

Respondents cited expectation of liability in these class action as a reason to *reduce* the criminal penalties imposed by government regulators. Most of the Respondents in the current proceeding were criminally charged by the Department of Justice. Those same Respondents pleaded guilty. Though fines were assessed in connection with those guilty pleas, no restitution for the victims was ordered. The exclusion of such restitution was expressly based on “the civil cases filed against the defendant[s] which potentially provide for a recovery of a multiple of actual damages.” *See, e.g., NYK Line Sentencing Agreement, Ex. D at ¶9(b).* Those civil cases were, of course, Complainants’ class action claims. To now allow Respondents to avoid all civil damages liability would grant them an undeserved windfall and violate the spirit of their plea agreements with the government.

Respondents therefore waived and should be judicially estopped from now taking the inconsistent position that the Commission is precluded from hearing class claims.

B. Multiple authorities have recognized that the Commission may hear and adjudicate class claims.

The Commission itself, as well as Article III federal courts, have found that the Commission has the ability to hear class action complaints. For example, in *Mar-Mol Co. v. Sea-Land Service, Inc.*, 1997 FMC LEXIS 24, at *21 (FMC 1997), the Commission stated that “had it chosen to do so, Mar-Mol could have brought a class action before the Commission.” While the Commission rejected the complainant’s request for an “order of general restitution,” it did so because the complaint in that proceeding had *not* been structured as a class action. *Id.* The Commission, citing the “gap-filler” rule, 46 C.F.R. § 502.12, noted that Rule 23 of the Federal Rules of Civil Procedure allows class actions, and that “Commission procedural rules do not preclude litigants using the class action Rule.” *Mar-Mol Co.*, 1997 FMC LEXIS 24, at *21.

The Commission also noted that D.C. Circuit, in an appeal from a Commission decision,

suggested that class proceedings are available before the agency:

The district court suggested to appellants' counsel that there could be representation of other shippers by appellants' counsel, and that equitable and other remedies could be a part of the administrative proceedings, including requesting that the Guam shippers be certified as a class before the administrative agency. Noting that appellants' counsel had not asked the administrative agency for class relief, the district court observed that although the agency rules were silent on class relief, there was nothing to prohibit it.

Id. (citing *Gov't of Guam v. Am. President Lines*, 28 F.3d 142, 148 n.5 (D.C. Cir. 1994)).³⁴

When this case was before the Third Circuit, the Court assumed that Complainants could assert their claims before the Commission as a class proceeding. During oral argument, the Court told Complainants' counsel: "But at least one District Court opinion suggests that because the FMC follows the federal—the civil procedure in many ways, that class action—a class action approach may be available. Are you familiar with that?" 3rd Cir. Oral Arg., Ex. A at 14.

C. The "Gap-Filler" Rule, 46 C.F.R. § 502.12, allows the Commission to apply Rule 23 of the Federal Rules of Civil Procedure.

The Commission's own Rules of Practice and Procedure state that "for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice." 46 C.F.R. § 502.12. Because the Commission does not have a specific rule governing class action procedures, § 502.12 clearly allows the Commission to apply Rule 23 of the Federal Rules of Civil Procedure, as the Commission has already recognized. *See Mar-Mol Co.*, 1997 FMC LEXIS 24, at *20–21 ("Mar-Mol could have brought a class action before the Commission. . . . Rule 23 of the Federal Rules of Civil Procedure provides the mechanism by which a class action can be undertaken.

³⁴ The plain language of the court's opinion refutes Respondents' contention that the case "does nothing to shed any light on whether the Commission can hear class actions." Respondents' Brief at 27.

Furthermore, Commission procedural rules do not preclude litigants using the class action Rule.”).

And application of Rule 23 to Complainants’ claims is consistent with the Commission’s established practice of adopting and borrowing from the Federal Rules. “In a number of decisions . . . including orders granting summary judgment and orders denying motions to dismiss, the Commission has looked to the analogous Federal Rule of Civil Procedure and adopted the relevant appellate court standard of review.” *Kawasaki Kisen Kaisha, Ltd. v. Port Auth. of N.Y. and N.J.*, 2014 FMC LEXIS 36, at *19–20 (FMC 2014) (collecting cases); *see also Mckenna Trucking Co. v. Maersk Inc.*, 1997 FMC LEXIS 8, *24 (FMC 1997) (applying the Federal Rules of Civil Procedure governing motions for reconsideration); *Canaveral Port Auth. Possible Violations of Section 10(b)(10), Unreasonable Refusal to Deal*, 2002 FMC LEXIS 13, at *6 (FMC 2002) (applying the standard under the Federal Rules of Civil Procedure for consolidation of cases).

D. Adoption of class action procedures is “consistent with sound administrative practice.”

The Commission has looked to the underlying concerns motivating the Federal Rules for its interpretation when analyzing whether a given Federal Rule of Civil Procedure is consistent with “sound administrative practice.” *E.g., Maher Terminals, LLC, Complainant, v. Port Auth. of N.Y. and N.J.*, 2015 FMC LEXIS 43, at *25–26 (FMC 2015) (examining whether to apply Fed. R. Civ. P. 12 and finding that “[t]he *Iqbal*/*Twombly* plausibility standard is consistent with sound administrative practice” and that “the concerns that animated *Twombly* and *Iqbal* are relevant to Shipping Act proceedings”). “[T]he purpose of Rule 23 is to promote judicial economy by allowing for litigation of common questions of law and fact at one time,” a concern which is equally applicable to this proceeding before the Commission. *Gen. Tel. Co. of the Sw. v. Falcon*,

457 U.S. 147, 161 (1982).³⁵

Furthermore, “the Commission has long recognized that it is an administrative agency and not a court, and that its rules should be administered, if anything, *more* flexibly than a court would.” *Mckenna Trucking Company*, 1997 FMC LEXIS 8, *63 (emphasis added). This consistent and liberal incorporation of the Federal Rules supports application of Rule 23 and belies Respondents’ baseless contention that the Commission only applies the Federal Rules in a “narrow, discovery focused-role.” Resp. Br. at 25.

E. Federal Rule of Civil Procedure 23 does not conflict with any Commission rule.

Respondents mistakenly assert that the Commission cannot apply Rule 23, citing supposed conflicts with other statutes and Commission rules that are in no way material. Resp. Br. at 25. But Respondents critically ignore the absence of anything conflicting with the central purpose of the Rule 23—the efficient, fair, and economical resolution of complex cases. Thus, even if minor portions of the Rules may seem to be in conflict, the Commission can still apply the non-conflicting portion of the Rule.

For example, Respondents cite an alleged inconsistency between the attorney fee provisions of Rule 23 and the Commission’s governing statutes and regulations: whereas Rule 23 allows the recovery of attorneys’ fees and costs, the governing statute involving the Commission allows attorneys’ fees, but does not address awarding costs one way or the other. Fed. R. Civ. P. 23(h); 46 U.S.C. § 41305(e). But no such inconsistency exists. Rule 23(h) simply provides the

³⁵ Respondents take a dim view of this Commission’s capabilities, and argue that if the Commission expends the resources required to hear a class action it “can be expected to be so burdensome as to impair the Commission’s ability to meet its other obligations.” Resp. Br. at 30. In fact, the opposite is true; class action procedures would preserve this Commission’s resources by obviating the need for numerous individual proceedings based on the same underlying facts and law—which is the very purpose of the class action procedure.

mechanism through which fees and costs are awarded where they “are authorized by law or by the parties’ agreement.” Fed. R. Civ. P. 23(h).³⁶

Similarly, Respondents assert that the Commission’s rules require Complainants to specify the name and address of each complainant, 46 C.F.R. § 502.62(a), whereas Rule 23 does not have a corresponding provision. Resp. Br. at 26. In addition to being immaterial, that assertion is wrong. The Federal Rules *do* contain a corresponding provision. Rule 4 requires that a summons name the parties and provide the address of the plaintiff’s attorney, or the address of the plaintiff if the plaintiff is unrepresented, and Rule 10 requires that a caption “name all the parties.” Fed. R. Civ. P. 4(a)(1), 10(a). Respondents’ attempts to present immaterial differences between Rule 23 and Commission procedures as a basis barring Complainants from redress are meritless.

F. The Commission can adopt class action procedures even without relying on the Gap-Filler Rule just as other administrative agencies have done in similar situations.

Many federal agencies have adopted formal aggregation procedures, such as class actions, even though not explicitly provided for in their underlying statutes. In those instances, the general grant of authority under the enabling statute provides the agency power to adjudicate claims on a class-wide basis, even in the absence of a gap-filler rule similar to the one available to the Commission.³⁷

³⁶ However, even if the Commission does find any portion of the two provisions inconsistent, it is not precluded from reconciling any conflict to be consistent with “sound administrative practice.”

³⁷ Respondents also argue that “sound administrative practice, at a minimum, requires adopting implementing rules specifically providing for class actions.” Respondents’ Brief at 31. This ignores the point of the “gap-filler” rule—the Commission need not adopt specific class action rules because it may simply rely on the existing Federal Rules of Civil Procedure. This is the same practice already used by the Commission for other procedural devices such as motions to dismiss or for summary judgment. *E.g.*, *Kawasaki*, 2014 FMC LEXIS 36, at *19–20 (“the Commission

1. Administrative agencies are encouraged to develop aggregation procedures, including class action procedures.

The Administrative Conference of the United States³⁸ has recommended that administrative agencies adopt procedures to encourage formal and informal aggregation, including class actions, even going so far as to specifically mention this case as one that is appropriate for disposition on a class-wide basis. See Adoption of Recommendations, 81 Fed. Reg. 40259 (June 21, 2016; see also *Final Report: Aggregate Agency Adjudication*, ADMIN. CONFERENCE OF THE U.S. at 77–78 (June 9, 2016), (attached hereto as Ex. F)).³⁹ Courts have cited with approval the Administrative Conference’s recommendations. See also *Kurtz v. Kimberly-Clark Corp.*, 315 F.R.D. 157, 159 (E.D.N.Y. 2016) (citing the Conference’s recommendations, and noting that “[t]he newly adopted recommendation presents an important route that will be carefully considered by administrative and other agencies, as well as by the Bench, the Bar, and academia, in connection with mass actions that should be aggregated.”).

In encouraging administrative agencies to adopt class procedures, the Conference noted that while the Administrative Procedure Act does not expressly provide for such aggregation procedures, it also does not foreclose their use, and that “[f]ederal agencies often enjoy broad

has looked to the analogous Federal Rule of Civil Procedure and adopted the relevant appellate court standard of review”).

³⁸ The Administrative Conference of the United States was established by Congress to create a system “through which Federal agencies, assisted by outside experts, may cooperatively study mutual problems, exchange information, and develop recommendations for action by proper authorities to the end that private rights may be fully protected and regulatory activities and other Federal responsibilities may be carried out expeditiously in the public interest.” Administrative Conference Act, § 2(e), Pub. L. No. 88-499, 78 Stat. 615 (1964) (codified as amended at 5 U.S.C. § 591 *et seq.*). The Conference is tasked with, *inter alia*, “mak[ing] recommendations to administrative agencies...and to the President, the Congress, or the Judicial Conference of the United States.” *Id.* § 5(a).

³⁹ See <https://www.acus.gov/sites/default/files/documents/aggregate-agency-adjudication-final-report.pdf>.

discretion, pursuant to their organic statutes, to craft procedures they deem ‘necessary and appropriate’ to adjudicate the cases and claims that come before them.” 81 Fed. Reg. at 40260 (quoting Admin. Procedure Act, Pub. L. No. 79-404, 60 Stat. 237 (1946) (codified as amended at 5 U.S.C. 551–559, 701–706 and scattered sections in Title 5)).

Indeed, the Final Report commissioned by the Conference specifically mentioned the Federal Maritime Commission twice. First, the Final Report cited the class action complaint here as an example of a “manageable” aggregation, meaning that “questions about defendant’s liability are more circumscribed in time and space, or when questions of causation and damages overlap substantially.” *Final Report: Aggregate Agency Adjudication* at 78–79 (noting Complainants’ case involving “a common collusive price fixing scheme” as an example of an agency proceeding where “aggregation is manageable.”⁴⁰

Second, the Final Report recommended that:

[T]he agency should consider whether an alternative forum in federal court exists for aggregating claims more efficiently and fairly. As discussed above, both the CFTC and the FCC declined to adopt class actions in their own proceedings, in part, because parties enjoyed the option to file the same aggregated claims in a class action in federal court. Parties proceeding before the Court of Veterans Appeals, the **Federal Maritime Commission**, or the NVCIP, by contrast, may not.

Id. at 78 (emphasis added).

2. Other administrative agencies have adopted class action procedures.

Other administrative agencies have adopted class action-style procedures even without specific authorization from their organic statutes or reliance on a gap-filler rule. See Michael Sant’Ambrogio & Adam S. Zimmerman, *Inside the Agency Class Action*, 126 YALE L.J. 1634, 1706–28 (listing seventy-one administrative agencies that have adopted formal or informal

⁴⁰ https://www.acus.gov/sites/default/files/documents/aggregate-agency-adjudication-final-report_0.pdf

aggregation procedures, including class action procedures).

For example, the Equal Employment Opportunity Commission (EEOC) has adopted class action procedures to better enforce its statutory mandate based on its general statutory authorization to “issue such rules, regulations, orders and instructions as it deems necessary and appropriate to carry out its responsibilities under this section.” 42 U.S.C. § 2000e-16(b). *See Legality of EEOC Class Action Regulations*, Memorandum Opinion for the Vice President and the General Counsel of the United States Postal Service, 28 Op. O.L.C. 254, 261 n.3 (2004), <https://www.justice.gov/sites/default/files/olc/opinions/2004/09/31/op-olc-v028-p0254.pdf> (finding that *Chevron* deference to the EEOC was appropriate and upholding the agency’s use of class action procedures).⁴¹

Likewise, the United States Court of Claims, an Article I court created by statute, found it had the right to adjudicate class actions. *See Quinault Allottee Asso., etc. v. United States*, 453 F.2d 1272, 1274 (Ct. Cl. 1972) (“We reject, at the outset, the Government’s broadside challenge to the power of this court to entertain class actions. . . . [T]he class suit is basically a procedural technique for resolving the claims of many individuals at one time, comparable to joinder of multiple parties and intervention. There is no reason why this court cannot use the same device, if it is appropriate.” (citations omitted)). Thus, even without the explicit “gap-filler” rule applicable to the Commission, the agency holds the legal authority and discretion to adopt and apply a class action procedure for

⁴¹ Respondents make much of the fact that the EEOC has promulgated rules governing class actions. Respondents’ Brief at 28. However, as discussed further below, administrative agencies have significant discretion to determine the proper procedural device to implement their statutory mandates. Moreover, the important takeaway from the EEOC’s implementation of class action procedures is that the agency was legally able to do so even without an explicit statutory authorization or reliance on a “gap-filler” rule.

this—or any other appropriate—matter.⁴²

3. The Commission can implement class action procedures in the present matter without additional rulemaking.

While the broad language of the Commission’s enabling statute gives it the flexibility to develop whatever procedural rules, including the use of class action procedures, it feels necessary to enforce its statutory mandate, Respondents are simply wrong in asserting that the Commission is somehow *required* to first adopt any such class action rules *before* being able to implement class action procedures.

Initially, the statute governing the Commission provides that following Respondents’ answer to the complaint, “the Commission shall investigate the complaint in an appropriate manner and make an appropriate order.” 46 U.S.C. § 41301. Such an “appropriate manner” can certainly include class action proceedings.

And contrary to Respondents’ assertions (Resp. Br. at 28), the Supreme Court has for decades consistently held that administrative agencies possess broad flexibility to choose the best procedural format by which to implement their Congressional mandate.⁴³ This flexibility includes

⁴² Similarly, the Office of Special Masters in the National Vaccine Injury Compensation Program has relied on its general authority to “determine the format for taking evidence and hearing argument” to develop “omnibus” procedures. *See Snyder v. Sec’y of the HHS*, No. 01-162V, 2009 U.S. Claims LEXIS 193, at *7–8 (Fed. Cl. Feb. 12, 2009) (“The Vaccine Act contains no provision for class action suits or omnibus proceedings” but “the Office of Special Masters [‘OSM’] developed the concept of omnibus proceedings” pursuant to its broad grant of authority).

⁴³ *See, e.g., Heckler v. Campbell*, 461 U.S. 458, 467 (1983) (recognizing that “even where an agency’s enabling statute expressly requires it to hold a hearing, the agency may rely on its rulemaking authority to determine issues that do not require case-by-case consideration”); *Vt. Yankee Nuclear Power Corp. v. Nat. Res. Def. Council, Inc.*, 435 U.S. 519, 524 (1978) (stating that “this Court has for more than four decades emphasized that the formulation of procedures was basically to be left within the discretion of the agencies to which Congress had confided the responsibility for substantive judgments.”); *NLRB v. Bell Aerospace Co. Div. of Textron, Inc.*, 416 U.S. 267, 294 (1974) (noting that “the choice between rulemaking and adjudication lies in the first instance within the [agency’s] discretion”); *FCC v. Pottsville Broad. Co.*, 309 U.S. 134, 143 (1940)

implementing class action procedures in the appropriate adjudication, without having to first engage in a time-intensive rulemaking process—a power particularly appropriate in light of the Commission’s Gap-Filler Rule.

IV. Complainants causes of action under the Shipping Act are properly pleaded.⁴⁴

A. The Commission has subject matter jurisdiction over Complainants’ claims under § 41102(c), which Complainants have also properly pleaded.

Under 46 U.S.C § 41102(c), “[a] common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.”

Respondents first argue that the Commission lacks subject matter jurisdiction over Complainants’ claims under § 41102(c). Resp. Br. at 42–45. But as shown below, Respondents’ illegal conduct, as alleged by Complainants, falls within the scope of 46 U.S.C. 41102(c). And even if Respondents were correct, Respondents do not and cannot argue that their alleged illegal activity is outside the scope of other sections of the Shipping Act and therefore not subject to the Commission’s jurisdiction. Moreover, Respondents should be precluded from making that argument after taking a directly contrary position before the district court and the Third Circuit. Before those courts, Respondents argued that this Commission is the proper forum to adjudicate Complainants’ disputes, and are therefore (again) judicially estopped from seeking to evade liability for their actions before the Commission.

(providing that administrative agencies “should be free to fashion their own rules of procedure and to pursue methods of inquiry capable of permitting them to discharge their multitudinous duties.”).

⁴⁴ If this Court disagrees that Plaintiffs have failed to plead their claims without sufficient factual detail, Complainants request leave to amend, as permitted in authority that Respondents cited. See *Trane Co v. South African Marine*, 19 FMC 375, 380 (Init. Dec., adopted 1976).

Respondents' reliance on *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, FMC 99-24, 2000 FMC LEXIS 14 (Oct. 31, 2000), is unavailing. At issue in *COSCO* was the Shipping Act's bar on FMC jurisdiction over claims that are merely coexistent with claims for breach of contract. See 46 U.S.C. 40502(f). No such jurisdictional bar is at issue in this case.

Likewise inapposite are Respondents' arguments that Complainants' actions do not relate to the "receiving, handling, storing, or delivering property." Respondents' Motion at 44. As Respondents' concede, Section 41102(c) requires common carriers and others to "establish, observe, and enforce just and reasonable regulations and practices." Respondents do not dispute that they are common carriers and therefore subject to Section 41102(c). Instead, they argue that their alleged anticompetitive conduct in shipping cargo cannot be considered "receiving, handling, storing, or delivering property."

But Respondents' cramped reading of the statute and the allegations in the Complaints cannot withstand scrutiny. Respondents rely on language cherry-picked from a 1985 decision by the Commission declining to enact a rule defining the term "package" as used in the Carriage of Goods by Sea Act, 46 U.S.C. § 1304(5) ("COGSA"). See Resp. Br. at 44 (citing *Definition of "Package,"* 23 S.R.R. 111, 1986 AMC 403 (F.M.C. April 5, 1985)). The Commission declined to enact the rule, holding that it lacked authority to enact a rule purporting to interpret the COGSA, the enforcement of which is committed exclusively to the courts. *Id.*, 1986 AMC at 405-07. In so concluding, the Commission observed that Section 10(d)(1) of the 1984 Act, now codified at 46 U.S.C. 41102(c), does not relate to transportation of property. *Id.*, 1986 AMC at 407.⁴⁵

⁴⁵ Moreover, for example, in *Kobel v. Hapag-Lloyd A.G.*, 32 S.R.R. 1720 (FMC 2013), the FMC found that an NVOCC's alteration of bills of lading violated § 4102(c). Consequently, the Commission found that this section covers any unreasonable conduct and is not limited to acts taking place in ports.

Although it drew a distinction between “transportation”-related activities and the activities enumerated in what is now codified at 46 U.S.C. 41102(c), the Commission did **not** hold that the types of activities alleged in the Complaints at issue here do not fall within the purview of Section 41102(c). Moreover, neither do the other authorities Respondents cite. For instance, in *ANERA and Its Members – Opting Out of Service Contracts*, 28 S.R.R. 1215, 1229 (F.M.C. 1999), the Commission considered a very specific practice: whether “opting out” of service contract rates violates § 10(d)(1) of the 1984 Act.

Puerto Rico Ports Auth. v. FMC, 919 F.2d 799, 803 (1st Cir. 1990), is also inapposite. It held that jurisdiction did not lie because the entity at issue was not one of the types of persons to which Section 10(d)(1) of the 1984 Act applied, and based upon a finding that the charges at issue “related to navigation within the harbor.” In this case, there is no dispute that the Respondents are “common carrier[s],” and the conduct at issue here is not analogous to the charges in *Puerto Rico Ports Auth.* Similarly, in *Crocus Inv v. Marine Trans. Logistics, Inc.*, 34 S.R.R. 327 (ALJ June 17, 2016), the Commission lacked jurisdiction because the commerce at issue was entirely domestic, placing it beyond of the ambit of the Shipping Act completely.

The scope of conduct covered by Section 41102(c) is not so narrow as Respondents insist. *Puerto Rico Ports Auth.*, following *Bethlehem Steel Corp. v. Fed. Mar. Comm’n*, 642 F.2d 1215, 1217-18 (D.C. Cir. 1980), observed that “[a] service charge that was related *solely* to navigation would not be subject to the Commission’s jurisdiction.” *Puerto Rico*, 919 F.2d at 804 (emphasis added). Applying this reasoning, in *Louis Dreyfus Corp. v. Plaquemines Port, Harbor & Terminal District*, 25 FMC 59, 67 (July 30, 1982), the Commission held that certain charges by a local port were “terminal related” rather than “navigation related,” and thus fell within the ambit of Section 17 of the 1916 Act. In so concluding, the Court in *Louis Dreyfus* noted that providing “other

terminal facilities” which “contemplates not only physical assets such as docks, wharves and warehouses, but also encompasses services rendered ‘in connection’ with the marine terminal ‘link’ in transportation modes,” allowed the Commission to exercise jurisdiction. *Id.* at 66.

To interpret Section 41102(c) to exclude Respondents’ conduct alleged here would violate the intent of the Shipping Act and would run counter to the Commission’s mandate in enforcing it. “As described by a principal sponsor, the Act was intended to be a comprehensive scheme regulating water transportation, particularly as it affects shippers. Accordingly, the Federal Maritime commission has been granted ‘complete power and authority to prevent abuses (in the shipping industry), and to enforce regulations made by it for the protection of shippers, boat owners, and all concerned.’” *Bethlehem Steel Corp.*, 642 F.2d at 1217-18 (Bazelon, J., dissenting). It is a plausible inference from the allegations in the Complaints that the conduct at issue is not solely navigational, but also affects the Respondents’ activities in port. *See* 1C-IV Benedict on Admiralty § 30 (“The obligation for providing terminal facilities falls on the carriers.”).

Therefore, not only have Complainants brought claims within the jurisdiction of the Commission under Section 41102(c), the Complaints adequately state those claims pursuant to the standards applied by the Commission as recognized in prior actions. *See Cornell v. Princess Cruise Lines, Ltd.*, 33 S.R.R. 614, 620 (FMC 2014) (following case law under Fed. R. Civ. P. 12(b)(6)); *see also Ashcroft v. Iqbal*, 556 U.S. 662 (2009) (discussing applicable legal and evidentiary standards for a motion to dismiss under Fed. R. Civ. P. 12(b)(6)); *Bell Atl. Corp. v. Twombly*, 550 U.S. 554 (2007) (same).

B. Complainants have properly pleaded a claim under 46 U.S.C. § 41102(b) for Respondents operating under unfiled agreements.

Complainants’ claim under 46 U.S.C § 41102(b) goes to their core allegations. Section 41102(b) provides that: “A person may not operate under an agreement required to be filed . . . if

(1) the agreement has not become effective under section 40304 of this title or has been rejected, disapproved, or canceled; or (2) the operation is not in accordance with the terms of the agreement or any modifications to the agreement made by the Federal Maritime Commission.” 46 U.S.C §§ 41102(b)(1), (2).

Respondents claim that the Complaints lack sufficient “basic information about the allegedly unfiled agreements” as to provide them “‘fair notice’ of the substance of Complainants’ claims.” Resp. Br. at 48. But any reasonable reading of Complainants’ allegations show that they have more than adequately alleged that Respondents have violated § 41102(b), and provided Respondents with fair notice of their conduct being challenged by Complainants.

Specifically, Complainants recite numerous agreements among the Respondents to allocate markets and to fix prices for vehicle carrier services.⁴⁶ These are precisely the types of agreements that, if not filed pursuant to the Act, are subject to the prohibition of Section 41102(b). See 46 U.S.C. § 40301(a)(1) (agreements to “discuss, fix, or regulate transportation rates”); § 40301(a)(2) (“pool or apportion traffic”); § 40301(a)(3) (“Allot ports”); § 40301(a)(4) (“regulate the volume or character of cargo . . . traffic”); § 40301(a)(6) (“prevent competition in international ocean transportation”); § 40301(a)(7) (“discuss and agree on *any matter* related to a service contract”).⁴⁷

⁴⁶ See, e.g., DPC Compl. ¶¶50-57 (reduce fleet capacity), ¶¶58-61 (fix, raise and maintain prices), ¶¶62-64 (not to compete); End-Payor Compl. ¶¶124-129 (coordination of price increases), ¶¶130-134 (coordination of responses to price reduction requests), ¶¶135-144 (allocation of customers and routes), ¶¶145-147 (restriction of capacity); Truck and Equip. Dealer Compl. ¶¶97-107 (coordination of price increases), ¶¶108-112 (coordination of responses to price reduction requests), ¶¶113-122 (allocation of customers and routes), ¶¶123-125 (restriction of capacity); Auto Dealer Compl. ¶¶88-93 (coordination of price increases), ¶¶94-98 (coordination of responses to price reduction requests), ¶¶99-108 (allocation of customers and routes), ¶¶109-111 (restriction of capacity); Truck and Equip. Dealer Compl. ¶¶97-107 (coordination of price increases), ¶¶108-112 (coordination of responses to price reduction requests), ¶¶113-122 (allocation of customers and routes), ¶¶123-125 (restriction of capacity).

⁴⁷ Indeed, Respondents admitted this to be correct before the Third Circuit Court of Appeals. See Nos. 15-3354, 15-3355 (3d Cir.), *In re Vehicle Carrier Servs. Antitrust Litig.*, Consolidated Brief

Given the breadth with which the Act defines the agreements required to be filed, Respondents cannot plausibly suggest that the anticompetitive conduct alleged in the Complaints does not fall within the prohibition of Section 41102(b). Further, it is disingenuous for Respondents to claim that Complainants' pleading is formulaic where multiple specific agreements, including their parties and basic terms, are identified.

Complainants also adequately allege that they were harmed by the unlawful agreements, and describe with specificity the market forces that resulted in that harm. The Complaints explain how the nature of the industry involved, and the established and enduring contacts and relationships between key industry participants, enabled and furthered Respondents' ability to maintain their secret conspiracy.⁴⁸ Respondents' specific anticompetitive acts and agreements are detailed, including specific factual allegations concerning how Respondents allocated the market for shipping services, the parties to the agreements (including in some instances identifying the specific individuals that acted on behalf of the conspiring parties), when the agreements were made, and the shippers/manufacturers that the agreements affected.⁴⁹

DPCs have alleged that they directly purchased Vehicle Carrier Services from one or more Respondents,⁵⁰ and the IPCs allege (and explain) why they paid most of the overcharges resulting from Respondents' conspiracy, bore most of the actual cost of shipment, and thus suffered most

of Defendants/Appellees in Opposition to the Consolidated Appeals of Indirect Purchaser Plaintiffs/Appellants at 15 (conceding that "alleged agreements to reduce capacity are covered by the plain language of Section 40301(a)").

⁴⁸ See DPC Compl. ¶¶26–46; End-Payor Compl. ¶¶76–120; Truck and Equip. Dealer Compl. ¶¶49–95; Auto Dealer Compl. ¶¶41–86.

⁴⁹ See DPC Compl. ¶¶50–62; End-Payor Compl. ¶¶128–155; Truck and Equip. Dealer Compl. ¶¶99–125; Auto Dealer Compl. ¶¶90–111.

⁵⁰ See DPC Compl. ¶¶8–10.

of the injury from the conspiratorial overcharges.⁵¹

Finally, Respondents ignore the specific allegations relating to their guilty pleas and FMC settlements, which are at least admissions that Respondents acted pursuant to unfiled, anticompetitive agreements that were subject to the filing requirements of the Act for the simple reason that if the agreements were properly filed pursuant to the Act, Respondents' conduct would not have given rise to criminal liability.⁵² In sum, Complainants have pleaded a proper claim that Respondents violated 46 U.S.C. § 41102(b).

C. Complainants have properly pleaded a claim under 46 U.S.C. § 40302 for Respondents not filing their secret agreements with the FMC.

46 U.S.C. § 40302(a) provides that certain ocean common carrier agreements “shall be filed with the Federal Maritime Commission.” Respondents erroneously contend that Complainants allege “without explanation” that they violated § 40302(a). *See* Resp. Br. at 48. But as shown above, Complainants allege numerous, specific allegations that the Respondents entered into agreements defined under § 40301(a), and they specifically allege that those agreements were not filed with the Commission, as required by § 40302(a).⁵³ Further, Complainants have alleged that Respondents' violation of § 40302(a) damaged them. To contend that Complainants have not articulated a violation of § 40302 with sufficient specificity is utterly baseless.

Perhaps recognizing this, Respondents go on to argue that there is no private cause of action for a violation of § 40302. Respondents rely on a regulation which provides that a violation of § 40302 renders a violator liable for a civil penalty payable to the government. *See* Resp. Br. at 49

⁵¹ *See* End-Payor Compl. ¶¶16–54, 90–91, 186–194; Truck and Equip. Dealer Compl. ¶¶15–27, 164–172; Auto Dealer Compl. ¶¶19–20, 150–159.

⁵² *See* DPC Compl. ¶¶ 65–80; End-Payor Compl. ¶¶6–13; Truck and Equip. Dealer Compl. ¶¶126–140; Auto Dealer Compl. ¶¶6–13.

(citing 46 C.F.R. § 535.901). Of course, simply because a violator is liable for a civil penalty to the government does not foreclose a private cause of action. *See, e.g., Shimkus v. Gersten Cos.*, 816 F.2d 1318, 1320 (9th Cir. 1987).

Indeed, the Commission need look no further than the text of the Shipping Act itself to determine that Complainants can sue for a violation of § 40302. Section 41301(a) expressly provides that “[a] person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part,” which includes § 40302. In turn, § 41305(b) provides that for a privately-filed complaint, the “Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation *of this part*.” In light of the clear statutory text, there is simply no validity to Respondents’ argument that there can be no private cause of action for a violation of § 40302, and their reliance on case law having nothing to do with the Shipping Act is wrong. The Commission’s obligation to “liberally construe[]” the Shipping Act as it is “remedial” in nature further underscores Complainants’ ability to seek relief for the violation of § 40302

And Respondents’ argument that allowing Complainants to sue for violations of § 40302 will result in duplicative damages is another meritless contention. Merely because Complainants are entitled to sue Respondents under several theories does not mean that they will ultimately be awarded a duplicative recovery. Respondents cite no authority abrogating the principle that a plaintiff may only be awarded a single recovery for a particular set of damages regardless of the fact that the plaintiff is allowed to plead and pursue that recovery under several alternative forms of relief.⁵⁴

⁵⁴ *See, e.g.,* Fed. R. Civ. P. 8(a)(3), 8(d)(2); *Nalco Co. v. Chen*, 843 F.3d 670, 673 (7th Cir. 2016) (“Civil litigants are entitled to take inconsistent positions within a single suit”); *Rockaway v. Klockner & Klockner*, 811 F. Supp. 1039, 1053 (D.N.J. 1993) (“Although [plaintiff] may not

D. Complainants have properly pleaded a claim under 46 § 41103(a) for Respondents' improper disclosure and sharing of information.

Under 46 U.S.C § 41103(a)—§ 10(b)(3) of the Shipping Act—Respondents may not “disclose” or “receive” “any information concerning the nature, kind, quantity, destination. . . of any property tendered or delivered to a common carrier . . . if the information may be used to the detriment or prejudice of the shipper.”

Respondents' motion to dismiss on this issue proceeds from the flawed premise that § 10(b)(3) only applies to “confidential business information.” Resp. Br. at 50. But their only support for that proposition derives from a dissent in *Smart Garments v. Worldlink Logix Servs., Inc.*, 2013 FMC LEXIS 33 (Sept. 12, 2013). To the contrary, the majority in *Smart Garments* ruled that the disclosure of non-confidential information constituted a violation of § 10(b)(3). *Id.* at *10–11. In *Smart Garments*, the common carrier, Worldlink, violated § 10(b)(3) by “deliver[ing] goods without the original bill of lading.” No party argued that the information in the bill of lading was confidential.

Moreover, even if § 10(b)(3) in fact only applies to confidential business information, Complainants have more than met their pleading burden. The Complaints are replete with allegations that Respondents used confidential information without the consent of the shippers and to the detriment of the shippers.⁵⁵ In multiple paragraphs, Complainants allege with specificity how Respondents took confidential information that vehicle manufactures' submitted and then shared such information with other Respondents for the purpose of coordinating their pricing of

obtain duplicative recovery, there is no bar to the assertion of different legal theories of recovery even if they seek the same remedy or are based on the same factual predicate.”).

⁵⁵As noted above, under the Shipping Act both the DPCs and the IPCs—as well as the vehicle manufacturers—are “shippers,” which are defined to include, among other things, “a cargo owner,” “the person for whose account the ocean transportation is provided,” and “the person to whom delivery is to be made.” 46 U.S.C § 1702(21).

Vehicle Carrier Services and ultimately charging an inflated price for such services. The disclosure and sharing of such information damaged all Complainants in this matter.

For example, Complainants allege that in 2009, Suzuki submitted separate requests for “price reductions from ‘K’ Line, MOL, and NYK” for the shipment of assembled vehicles.⁵⁶ The information contained in each of Suzuki’s individual requests or offers was proprietary or confidential because Suzuki would obviously not want its offers to be shared with other Respondents. But rather than maintain the confidentiality of the information, MOL’s Mitsuoka Moriya disclosed the details of Suzuki’s request with Shimizu of NYK and Yokoyama of “K” Line.⁵⁷ Based on that information, those three Respondents coordinated their offers to Suzuki. As a result, Suzuki paid more for Vehicle Carrier Services than they would have had its confidential requests for price reductions not been shared amongst those three Respondents. Put another way, but for the sharing of Suzuki’s confidential offers, “K” Line, MOL, and NYK would have competitively bid to offer services to Suzuki, which would have allowed Suzuki to secure a lower price for Vehicle Carrier Services. Respondents similarly shared confidential information about offers that Mitsubishi, Toyota, Subaru, and other vehicle manufacturers submitted.⁵⁸

Accordingly, Complainants have pleaded sufficient facts to allege a violation of § 10(b)(3). Respondents “disclosed” and “received” information about “property tendered or delivered to a common carrier” and Respondents used the information to the detriment of the shippers.

Based on the specificity in the Complaints, Respondents cannot credibly argue that

⁵⁶ See End-Payor Compl. ¶132; Truck and Equip. Dealer Compl. ¶110; Auto Dealer Compl. ¶96; see also DPC Compl. ¶¶58, 62.

⁵⁷ *Id.*

⁵⁸ See End-Payor Compl. ¶¶134–144; Truck and Equip. Dealer Compl. ¶¶108–109, 111–122; Auto Dealer Compl. ¶¶94–95, 97–108; see also DPC Compl. ¶¶58, 62.

Complainants “fail to identify any specific confidential information allegedly disclosed.” Resp. Br. at 51. As noted above, the Complaints pointed to specific situations in which Respondents improperly used information about the terms of the vehicle manufacturers’ offers to further their collusive behavior. And in the case of Suzuki, Complainants pointed to the specific people and entities that disclosed and used the confidential information.

The Commission should also reject Respondents’ contention that Complainants cannot state a claim under § 10(b)(3) because information personal to them was not disclosed. This simply repackages the same meritless standing argument discussed earlier.

Under the plain terms of the statute, all Complainants must plead is that “information” was “disclosed [or] received” that was “concerning the nature, kind quantity, destination . . . of any property . . . delivered to a common carrier” that “may be used to the detriment of the shipper.” Nothing in § 10(b)(3) limits the class of complainants to the party whose information was disclosed. To the contrary and as explained in the section discussing the standing issue, the Shipping Act permits “any person” to seek recovery for injuries sustained from violations of the Act. Because Complainants were damaged by Respondents’ disclosure of confidential information in violation of § 10(b)(3), they may recover their damages. Respondents have cited no on-point authority to the contrary.

E. Complainants have properly pleaded a claim under 46 § 41105(6) for agreements Respondents made to allocate the market for Vehicle Carrier Services.⁵⁹

Respondents’ argument that the Complaints fail to state facts that plausibly support an

⁵⁹ Respectfully, Complainants have elected not to oppose Respondents’ Motion as to §§ IIID(2)(f), (d)—the refusal to deal allegation under §§ 41104(10 and 41105(1) and market-allocation claim under 46 C.F.R. § 535.401. Complainants note that they continue to assert their market allocation claim under 46 U.S.C § 40302.

agreement to allocate in violation of Section 41105(6) must be rejected.

The Shipping Act expressly prohibits agreements to “allocate shippers,” and the Complaints are replete with allegations that Respondents conspired to allocate the market and customers for Vehicle Carrier Services. Indeed, the core allegations asserted throughout the Complaints directly address Respondents’ agreements to allocate the market for vehicle carrier services—agreements that illegally raised the price of shipping services and damaged Complainants.

As they must, Respondents concede that “Complainants do allege ‘agreements,’” but nevertheless claim that the allegations lack sufficient detail. Resp. Br. at 55. But this argument ignores entire sections of the Complaints. After setting forth the framework for why an allocation of the Vehicle Carrier Services market violates the Shipping Act, the Complaints provide explicit factual support detailing how the Respondents unlawfully allocated the market.

For example, as to Honda, the Complaints allege that MOL and Hoegh conspired to allocate the market for Honda vehicles. Under the agreement, MOL would ship Honda vehicles and Hoegh would not bid on services for Honda vehicles, but MOL offered to use Hoegh’s vessels:

In or around 2001, MOL and Hoegh discussed American Honda business from the United States to the Middle East. MOL informed Hoegh that while MOL was not the incumbent for this particular route, MOL wanted the business. Thus, MOL requested that Hoegh refrain from bidding on the route, and in return, MOL promised to use certain of Hoegh’s vessels on the route if MOL was awarded the business. Hoegh agreed, and MOL won the bid. As promised, MOL chartered Hoegh vessels for the route.⁶⁰

The Complaints also provided specific allegations detailing how MOL and WWL unlawfully conspired in 2012 to allocate shipments of Honda vehicles, including naming the

⁶⁰ See End-Payor Compl. ¶135; Truck and Equip. Dealer Compl. ¶113; Auto Dealer Compl. ¶99; DPC Compl. ¶62(a).

specific individuals that made the allocation agreement.

In February and/or March 2012, Messrs. Noguchi of MOL and Tsuneda of WWL met to discuss their companies' American Honda contracts. MOL and WWL agreed not to compete on certain routes from the United States to China and from the United States to Korea for American Honda. WWL gave MOL a price to bid on the United States-China route and retained that business with American Honda. In exchange, MOL gave WWL a price to bid on the United States-Korea route.⁶¹

As to General Motors, the Complaints specifically allege how MOL and WWL allocated shipment of GM-manufactured vehicles:

In response to a tender issued by General Motors ("GM") in 2001 or 2002, MOL asked WWL not to submit a competitive bid out of "respect" [a term of art in Japanese business culture meaning to not bid against] for MOL's incumbent business with GM. WWL agreed. MOL likewise asked NYK Line to submit a bid higher than MOL's and gave NYK a rate to bid. NYK Line agreed and submitted MOL's preferred bid.⁶²

Later, the Complaints detail how CSAV and MOL allocated GM's business in 2010.

In 2010, CSAV asked MOL to "respect" its GM business on routes from the United States to Columbia. MOL agreed and submitted a bid at a non-competitive price provided by CSAV. This tender covered business for the years 2010 to 2012.⁶³

The Complaints similarly allege how Respondents conspired to allocate the market for vehicles manufactured by Mitsubishi⁶⁴; Ford⁶⁵; and Daimler and BMW.⁶⁶

⁶¹ See End-Payor Compl. ¶144; Truck and Equip. Dealer Compl. ¶122; Auto Dealer Compl. ¶108; DPC Compl. ¶62(g).

⁶² See End-Payor Compl. ¶136; Truck and Equip. Dealer Compl. ¶114; Auto Dealer Compl. ¶100; DPC Compl. ¶62(b).

⁶³ See End-Payor Compl. ¶142; Truck and Equip. Dealer Compl. ¶120; Auto Dealer Compl. ¶106; DPC Compl. ¶62(f).

⁶⁴ See End-Payor Compl. ¶¶139, 143; Truck and Equip. Dealer Compl. ¶¶117, 121; Auto Dealer Compl. ¶¶103, 107; DPC Compl. ¶¶58(e), 62(h).

⁶⁵ See End-Payor Compl. ¶137; Truck and Equip. Dealer Compl. ¶115; Auto Dealer Compl. ¶101; DPC Compl. ¶62(c).

⁶⁶ See End-Payor Compl. ¶¶138, 141; Truck and Equip. Dealer Compl. ¶¶116, 119; Auto Dealer Compl. ¶¶102, 105; DPC Compl. ¶62(d).

These paragraphs lay out the specific factual allegations concerning how Respondents unlawfully allocated the market for shipping services. The allegations detail the parties to the agreements (including in some instances identifying the specific individuals that acted on behalf of the conspiring parties), when the agreements were made, and the shippers/manufacturers that the agreements affected. Accordingly, the Commission must reject the Respondents' contention that the allegations in the Complaints "state no facts about . . . how [each] alleged agreement was reached or which customers allegedly were allocated." Resp. Br. at 54. Plainly, the allegations, taken as a whole, contain more than sufficient detail that Respondents improperly allocated the market and violated § 41105(6).⁶⁷

Moreover, Respondents' argument is further belied by the guilty pleas, which are specifically mentioned in the Complaints. Respondents pleaded guilty to allocating the market for Vehicle Carrier Services. For example, "K"-Line agreed to plead guilty and to pay a \$67.7 million criminal fine for its involvement in a conspiracy to allocate customers and rig bids of international ocean shipping services for roll-on, roll-off cargo, such as cars and trucks.⁶⁸

⁶⁷ Further, Respondents cannot avoid the cumulative effect of the Complaint's allegations by attempting to address each allegation in isolation. *Tellabs, Inc. v. Makor Issues & Rights, Ltd.*, 551 U.S. 308, 322–23 (2007); *In re Processed Egg Prods. Antitrust Litig.*, 902 F. Supp. 2d 704, 710 (E.D. Pa. 2012) ("Defendants' briefing attempts to dismember plaintiffs' Complaint in order to show how each allegation, in isolation, fails to sufficiently aver plausibility. However . . . the allegations in the Complaint must be viewed as a whole . . . *Twombly* emphasized context.") (citing *In re Blood Reagents Antitrust Litig.*, 756 F. Supp. 2d 623, 630–31 (E.D. Pa. 2010); *Foam*, 799 F. Supp. 2d at 782 ("[R]elevant case law counsels this Court to view the individual allegations in [the] context of the whole complaint."); *Standard Iron Works v. ArcelorMittal*, 639 F. Supp. 2d 877, 902 (N.D. Ill. 2009) ("Defendants' attempt to parse the complaint and argue that none of the allegations (i.e., quoted public statements, parallel capacity decisions, trade association and industry meetings) support a plausible inference of conspiracy—is contrary to the Supreme Court's admonition that '[t]he character and effect of a conspiracy are not to be judged by dismembering it and viewing its separate parts.'").

⁶⁸ See <https://www.justice.gov/opa/pr/japanese-company-agrees-plead-guilty-price-fixing-ocean-shipping-services-cars-and-trucks> (last visited May 10, 2017).

Respondents' heavy reliance on *In re Travel Agent Commission Antitrust Litigation*, 583 F.3d 896 (6th Cir. 2009), and *In re Elevator Antitrust Litigation*, 502 F.3d 47 (2d Cir. 2007), is misplaced because the plaintiffs in those cases alleged nowhere near the level of specificity of the allegations presented here. In *In re Travel Agent*, the allegations “aver[red] only an opportunity to conspire” and “nothing more than a legal conclusion” of an agreement. *In re Travel Agent*, 583 F.3d at 904–05. In *In re Elevator*, the plaintiffs alleged “entirely general terms without any specification of any particular activities by any particular defendant,” which the court found to be “nothing more than a list of theoretical possibilities.” 502 F.3d at 50.

And to the extent Respondents contend that dismissal is warranted because Complainants have not pleaded facts demonstrating “direct evidence” of the conspiratorial agreements, they are wrong both on the facts and the law. On the facts, as noted above, the Complaints provide direct evidence of the agreements. On the law, they are mistaken as to the standard because “direct evidence” is not necessary. *E.g.*, *In re Text Messaging Antitrust Litig.*, 630 F.3d 622, 629 (7th Cir. 2010) (noting the complaint at issue “does not allege direct evidence of such an agreement [to fix prices]; the allegation is an inference from circumstantial evidence. Direct evidence of conspiracy is not a *sine qua non*, however. Circumstantial evidence can establish an antitrust conspiracy.”); *In re Graphics Processing Units Antitrust Litig.*, 540 F. Supp. 2d 1085, 1096-97 (N.D. Cal. 2007) (“[D]irect allegations of conspiracy are not always possible given the secret nature of conspiracies. Nor are direct allegations necessary.”)

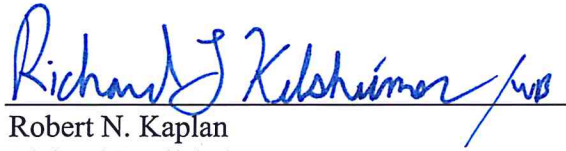
As a fallback argument, Respondents urge the Commission to find that their agreements to allocate customers in the vehicle shipping market cannot be an agreement to “allocate shippers” “because there are no facts showing specific shippers could ship only with specific Respondents,” apparently arguing that shippers are capable of “freely engaging carriers.” Resp. Br. at 56. Under

this argument, there would be no “allocation” in violation of § 41105(6) where, for example, in response to an offer from GM, MOL and WWL agreed that WWL would not submit a competitive bid so that MOL could keep the GM business. That argument is as implausible as it sounds. To accept this argument, the Commission must find that a meaningful distinction exists between a blanket refusal to do business and a bid that is so non-competitive that no rational shipper would choose the carrier. But there is no meaningful distinction between the two; a collusive non-competitive bid is just as unlawful as a collusive outright refusal to deal. *See JAWHBS, LLC v. Arevalo*, No. 15-cv-24176, 2017 U.S. Dist. LEXIS 55899, at *24 (S.D. Fla. 2017) (“An agreement that one company would not submit a bid lower than another is price fixing of the simplest kind and is a per se violation.” (quoting *United States v. Flom*, 558 F.2d 1179, 1183 (5th Cir. 1977))).

CONCLUSION

For all the foregoing reasons, the Commission should deny Respondents’ Motion to Dismiss. For over a decade, Respondents operated under secret, unlawful, and anticompetitive agreements that flouted the Commission’s regulatory authority. When hauled into federal court by the victims of their conspiracy, Respondents successfully argued that Complainants’ claims belonged before the Commission and would be adjudicated there. The Commission should not now permit Respondents to disavow the positions they adopted before the federal courts and, in so doing, to make a mockery of these proceedings.

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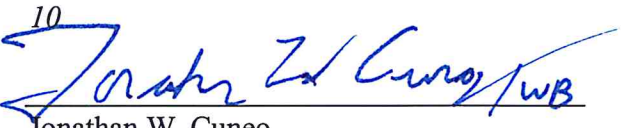
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Dated: May 24, 2017



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Federal Maritime Commission

Docket Nos. 16-01, 16-07, 16-10, 16-11

IN RE VEHICLE CARRIER SERVICES

**DECLARATION OF WARREN T. BURNS IN SUPPORT OF COMPLAINANTS'
RESPONSE TO RESPONDENTS' CONSOLIDATED MOTION TO DISMISS**

I, Warren T. Burns, declare as follows:

1. I am an attorney at law and authorized to practice before the Commission. I am counsel for End-Payor Complainants.
2. Attached hereto as Exhibit A is a true and correct copy of the Transcript of Oral Argument before the United States Court of Appeals for the Third Circuit in the matter, *In re: Vehicle Carrier Services Antitrust Litig.*, No. 15-3353 (3d Cir. Nov. 17, 2016).
3. Attached hereto as Exhibit B is a true and correct copy of Respondents' brief to the United States Court of Appeals for the Third Circuit in the matter, *In re: Vehicle Carrier Services Antitrust Litig.*, No. 15-3353.
4. Attached hereto as Exhibit C is a true and correct copy of Transcript of Oral Argument before the United States District Court for the District of New Jersey in the matter, *In re Vehicle Carrier Services Antitrust Litig.*, No. 13-3306 (D.N.J. July 23, 2015).
5. Attached hereto as Exhibit D is a true and correct copy of the Plea and Sentencing Agreement in the matter *United States v. Nippon Yusen Kabushiki Kaisha*, No. 14-cr-0612, Doc. 20 (D. Md. Mar. 11, 2015).
6. Attached hereto as Exhibit E is a true and correct copy of a Company Certificate of Origin from American Honda Motor Company with personal identifying information redacted.

7. Attached hereto as Exhibit F is a true and correct copy of an excerpt from *Final Report: Aggregate Agency Adjudication*, ADMIN. CONFERENCE OF THE U.S (June 9, 2016) (available at <https://www.acus.gov/sites/default/files/documents/aggregate-agency-adjudication-final-report.pdf>).

Signed: May 24, 2017

/s/ Warren T. Burns
Warren T. Burns

EXHIBIT A

UNITED STATES COURT OF APPEALS
FOR THE THIRD CIRCUIT

Nos. 15-3353, 15-3354 and 15-3355

IN RE: VEHICLE CARRIER SERVICES ANTITRUST LITIGATION

Direct Purchaser Plaintiffs Cargo Agents, Inc.;
International Transport Management Corp.;
and Manaco International Forwarders, Inc.;
Appellants in 15-3353

Martens Cars of Washington, Inc.; Hudson Charleston
Acquisition, LLC d/b/a Hudson Nissan; John O'Neil Johnson
Toyota, LLC; Hudson Gastonia Acquisition, LLC; HC
Acquisition, LLC d/b/a Toyota of Bristol; Desert European
Motorcars, Ltd; Hodges Imported Cars, Inc. d/b/a Hodges
Subaru; Scotland Car Yard Enterprises d/b/a San Rafael
Mitsubishi; Hartley Buick/GMC Truck, Inc. d/b/a Hartley
Honda; Panama City Automotive Group, Inc., d/b/a John Lee
Nissan; Empire Nissan of Santa Rosa, LLC,
Appellants in 15-3354

End Payor Plaintiffs; Truck and Equipment Dealer
Plaintiffs,
Appellants in 15-3355

Argued: November 17, 2016

Before: AMBRO, SHWARTZ, FUENTES, Circuit Judges

TRANSCRIPT OF AUDIO RECORDED PROCEEDINGS

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Page 10 THE COURT: Good morning. And the first is In Re Vehicle Carrier Services Antitrust Litigation, Nos. 15-3353, 54, and 55, and we have Messrs. Kilsheimer, Burns, Nelson, and Rivera-Soto; is that correct? MR. KILSHEIMER: Yes, Your Honor. MR. BURNS: Yes, Your Honor. Thank you. THE COURT: You're welcome. Whenever you're ready. MR. KILSHEIMER: Good morning, Your Honors. May it please the court, Richard Kilsheimer on behalf of the Direct Purchaser Plaintiffs. I have requested two minutes of my time for rebuttal. THE COURT: That's fine. MR. KILSHEIMER: Thank you, Your Honor. As a matter of policy, carriers should be required to file their agreements in order to obtain Clayton Act immunity. The defendants recognized this in connection with their criminal cases when they represented to the government and to the court that the pendency of the civil actions was the reason why there should be no restitution in criminal cases. The sentencing judge specifically referenced that provision in not providing for restitution to the victims of the conspiracy. In the District -- THE COURT: Does the failure to file	Page 12 Clayton Act for -- and the term's very particular -- conduct prohibited by the Shipping Act. We submit they do not need to look at what is conduct prohibited by the Shipping Act. THE COURT: And wasn't one piece of the conduct prohibited by the Shipping Act is operating under un -- basically unfiled or ineffective agreements that are the type of things that you need to have filed on, like capacity restrictions? MR. KILSHEIMER: Your Honor is referring to Section 41102(b), which provides in part that a carrier may not operate pursuant to an agreement required to be filed that has not become effective pursuant to Section 40304 or has been rejected, disapproved, or canceled. You know, we submit that that term does not include unfiled agreements because an unfiled agreement can never become effective, and we believe that that's supported -- that interpretation is supported by the reference within that specific provision -- THE COURT: You just lost me. MR. KILSHEIMER: I'm sorry, Your Honor. THE COURT: If you don't file it or if you file it and for some reason there's a problem, it's not effective; and if you don't file it, why isn't it not effective?
Page 11 automatically means that they're subject to lawsuit? MR. KILSHEIMER: Yes, Your Honor, if they are not otherwise exempted by the Shipping Act. THE COURT: Antitrust lawsuits? MR. KILSHEIMER: Yes, Your Honor. THE COURT: I mean, doesn't it mean that you still have to go through the Maritime Commission, even though there is no specific filing? MR. KILSHEIMER: You need to look, Your Honor, at the specific exemption provisions of the Shipping Act because it's well recognized that such exemptions must be narrowly construed, the exemptions that are contained in Section 40307 of the Shipping Act. 40307(a) provides that the antitrust laws do not apply if a carrier has filed an agreement and it has become effective, or if the carrier acts with the reasonable basis to believe that it is pursuant to an agreement. THE COURT: Then you also have the Clayton Act bar in (d). MR. KILSHEIMER: Pardon me, Your Honor? THE COURT: You also have the Clayton Act bar in (d). MR. KILSHEIMER: Yes, Your Honor. I was about to get to that. In 40307(d) it says that no person may collect damages or receive injunctive relief under the	Page 13 MR. KILSHEIMER: It can never become effective. The term in 41102(b) is that it has not become effective under 40304, and 40304 refers to what happens to an agreement once it has been filed, and we think that this interpretation makes sense because if that applied to unfiled agreements, you are incentivizing a carrier to not file an anticompetitive agreement. In that instance they can say -- THE COURT: There's still all kinds of enforcement activity if they can be done at the FMC, is there not? MR. KILSHEIMER: Well, it's possible, Your Honor. Well, first they say, well, if I don't file an agreement, nobody can sue me for Clayton Act liability. I'm free from treble damages. That's the top level of their argument. But if you take the logic further, an unfiled agreement is not going to be rejected or supervised by the FMC. It may never even be discovered by the FMC because it's secret. THE COURT: But when it is discovered, they can -- they can address it, can't they? MR. KILSHEIMER: Yes, Your Honor, but the intent of the Sherman Act -- THE COURT: And they can impose their own regime of penalties.

MR. KILSHEIMER: Yes, Your Honor. It is possible, and in this particular case, they did.

There was a whistleblower who went into the DOJ Leniency Program and apparently told them about this conspiracy that the four other defendants have admitted to engaging in for more than 12 years.

THE COURT: Parenthetically, you have already filed before the FMC, have you not?

MR. KILSHEIMER: We did file before the FMC, Your Honor, and after the dismissal in the case in the District Court below, the defendants had argued below that that's where we should have gone. After the dismissal, we did in fact file there. The defendants then moved to stay that case, which the motion was granted, but effectively we have been stayed, and they announced that they're going to move to dismiss our cases before the FMC and I believe they're going to oppose any class treatment before the FMC, so that the victims of the conspiracy, the admitted conspiracy, are facing the prospect of no recovery whatsoever.

THE COURT: But at least one District Court opinion suggests that because the FMC follows the federal -- the civil procedure in many ways, that class action -- a class action approach may be available.

Are you familiar with that?

MR. KILSHEIMER: I am, Your Honor, and in fact the FMC did inquire of counsel about that subject, about whether class is available. I believe there was letters that were submitted, but there's been no decision on that, there's been no full briefing on that and we are effectively subject to the stay.

THE COURT: And is the stay because of this case?

MR. KILSHEIMER: That was the argument, that we should go to the Third Circuit, find out whether we could proceed under the antitrust laws or if we were relegated solely to the FMC.

THE COURT: Well, the good news is you're here.

MR. KILSHEIMER: Thank you, Your Honor, I appreciate that. And I hope we stay here, frankly, Your Honor.

THE COURT: Well, let's see where the law and the facts take us, of course.

But I want to just make that I understand that before the District Court, as it relates to the Shipping Act claim, there was a concession that the price fixing and the market allocation agreements, quote-unquote, would have fallen within the categories that should have been filed and you were arguing, if I understood it correctly, that you didn't think the capacity restrictions were subject to the filing requirement?

Is that -- are you persisting in that position?

MR. KILSHEIMER: We are persisting in the position that capacity restrictions are not within the filing requirements under the Shipping Act. It's an alternate grounds for reversal, frankly, Your Honor. The concession was all one sentence, in which counsel said, we are withdrawing the price fixing and market allocation claims, and that was in the context of the entire argument, which focused on the capacity restriction.

THE COURT: But -- so since it's been withdrawn, it helps us focus on what's before us, which is your alternative argument on capacity restrictions not being subject to these agreement filing requirements, correct?

MR. KILSHEIMER: Yes. But again, I urge that that is an alternate basis for reversal. We believe that the initial argument that we make, that unfiled agreements are not entitled to Clayton Act immunity for the policy reasons, for statutory interpretation reasons, for the reasons of narrow construction of antitrust exemptions, for all those reasons, that that is the initial and primary basis for reversal here.

THE COURT: If you have -- you mentioned 40304.

MR. KILSHEIMER: Yes, Your Honor.

THE COURT: That says that an agreement can never become -- or an agreement can never become effective under

40304 if it isn't filed in the first place.

Isn't that what it says?

MR. KILSHEIMER: 40304 describes what happens after an agreement has been filed. It says -- initially the FMC sends a notice to the Federal Register --

THE COURT: But what if it's not filed?

MR. KILSHEIMER: 40304 doesn't apply. There's no way for 40304 to apply because it hasn't been filed.

That specifically refers to filing.

THE COURT: Going back to 40307. Under your interpretation, the FMC could impose substantial civil penalties on carriers that continue to operate under an agreement that they filed but it's no longer effective, but the FMC could not impose such a penalty if the carrier did not even file an agreement. Does that make any sense?

MR. KILSHEIMER: The point I'm trying to make, Your Honor -- and perhaps I'm not articulating it well -- is that if it's not filed, the FMC may not ever know about it. It's an unfiled agreement. It's a secret agreement.

THE COURT: Well, that's the whole point.

MR. KILSHEIMER: It's what happened here for many years, before the whistleblower came forward, and it made these defendants millions and millions of dollars.

THE COURT: But there's a huge incentive to in fact file those agreements, isn't there? Because --

MR. KILSHEIMER: There are incentives -- well --

THE COURT: Because the carrier exposes itself to substantial penalties for not filing.

MR. KILSHEIMER: Except, Your Honor, if they're engaging in an anticompetitive agreement, and let's look down at that level. If they're doing that, it is highly unlikely that the FMC is going to accept that and approve that kind of agreement. So by not filing it, they're preserving their anticompetitive conduct. They're making millions of dollars.

Under the scenario that they've presented here, they're escaping from Clayton Act liability to the victims of their conspiracy and they go on their happy way, and they did it here for 12 years or more before the whistleblower ultimate --

THE COURT: You seem to suggest that the incentive is not to file, as opposed to filing.

MR. KILSHEIMER: There is incentive.

THE COURT: In the hopes of not getting caught.

MR. KILSHEIMER: Correct, Your Honor, and you're escaping from Clayton Act liability at the same time to the victims of the conspiracy.

THE COURT: You have filed a complaint with the FMC, have you not?

MR. KILSHEIMER: We have, Your Honor.

THE COURT: And it must be based on a violation of the Shipping Act.

MR. KILSHEIMER: Yes, Your Honor.

THE COURT: Is there any activity that could be a violation of the Shipping Act, under 40301(a), that somehow does not constitute conduct prohibited by the Act under (d)?

MR. KILSHEIMER: Potentially there is, Your Honor. We believe that the conduct prohibited language in 40307(d) refers to specific provisions in the Shipping Act that says a carrier may not do the following: Such as 40102(b), as we've interpreted it; 41103, 41104, 41105, each describe conduct -- and it's interesting, because the conduct and the activities described in those sections are the way a company may do business.

It's the way they conduct their business.

THE COURT: But Section 41102, the title is General Prohibitions.

MR. KILSHEIMER: Yes, Your Honor.

THE COURT: And then (b) is Operating Contrary to Agreement. A person may not operate under an agreement required to be filed. So it is a -- it's another prohibition. You've identified other categories of prohibitions, but operating on an agreement that's not filed could not be -- it is, by definition, an ineffective

agreement. That is a prohibited act, no?

MR. KILSHEIMER: What we are saying is 41102(b) says you may not operate pursuant to an agreement required to be filed -- and that would be under 40302 -- required to be filed that has not become effective under 40304, and that language, "not become effective under 40304," has to refer to a filed agreement.

An unfiled agreement can never become effective, and is not within the scope of 40304.

THE COURT: And that means the carrier cannot operate. Not supposed to operate.

MR. KILSHEIMER: Not supposed to operate.

THE COURT: Under 40302.

MR. KILSHEIMER: Now, let's take an interesting -- if I might digress one second.

If they filed their agreement here with the FMC and it took 45 days for the FMC to do something, our contention is they would be protected, and the operator pursuant to that, before it became effective or before it was rejected, they would be entitled to claim that immunity under 40307(d) because that was conduct prohibited, operating pursuant to a filed agreement -- under our interpretation -- a filed agreement that has not become effective and has not yet been rejected.

THE COURT: Thank you very much. We'll hear from

Mr. Burns, and get you back on rebuttal.

MR. KILSHEIMER: Thank you, Your Honor.

MR. BURNS: Good morning, Your Honors.

My name is Warren Burns, and I'm here representing all the Indirect Purchaser Classes in this appeal.

THE COURT: Can I just start off with just a basic question? You are aware that there is a presumption against preemption here, but isn't there a longstanding tradition of states regulating international maritime commerce, and -- of not regulating, and it's really been traditionally regulated by the federal government.

Why is this case any different?

MR. BURNS: I can point to two cases, actually, Your Honor, and the first is United States v. Locke, which the District Court referenced in the context of whether to apply the presumption. This case is not United States v. Locke in U.S. v. Locke, Washington state, following on after the Exxon Valdez oil spill, promulgated a whole host of regulations that affected tanker design, safety requirements on oil tankers, to protect its own waterways.

In that case, the Supreme Court said this is different. These are not state laws of general applicability that apply across the board to all kinds of different activities. These are targeted at an area that

the federal government has traditionally regulated.

Again, this is not that case. The state laws at issue here are antitrust and consumer protection laws that are laws of general applicability. They apply both within and without the maritime context in this case.

THE COURT: But you're seeking to apply them in an area which has been historically recognized as a subject matter for federal supervision, and I think that's what Judge Ambro's point goes to, and so while those causes of action do reflect traditional police powers, the context in which you're asking them to apply, are asking it to basically interfere with something that is uniquely federal, the international maritime activity of the United States. Why isn't that an obstacle to Congress's goal of making sure there's a uniform regime?

MR. BURNS: Two answers to that.

First to the juxtaposition.

First I would direct you to 1 Oak. And 1 Oak, which was the Supreme Court's latest decision on field preemption, but analogous here. In 1 Oak you had regulations that the federal government had historically heavily regulated in the energy sphere. In that case, the Supreme Court also applied a presumption against preemption to the state laws of general applicability.

I think another example is ARC America. In

ARC America, the Supreme Court was confronted with the question whether the antitrust laws of the United States should preempt state antitrust laws. The laws, for all intents and purposes, are identical in that context.

Again, the Supreme Court applied a presumption against nonpreemption and refused to preempt the state laws. The inquiry on that level, as I see those cases, both U.S. v. Locke, ARC America, 1 Oak, is whether the state laws are passed pursuant to the state's general and historic police powers and are not specifically targeted at federal activity, and that is what you have in this case. Following on that, the general inquiry in conflict preemption cases is quite narrow. It's fact specific.

And it makes sense, in that context, to --

THE COURT: It seems like you're addressing both presumption against preemption, as well as conflict preemption because the way I see it, you've got a major problem with regard to conflict preemption.

MR. BURNS: Happy to address conflict preemption, Your Honor, if you'd like me to address it generally.

THE COURT: Yes, please.

MR. BURNS: Certainly. So we do believe a presumption was necessary in this case and was important because it established the burden for the appellees to meet in this case, that the District Court did not hold

them to.

Turning to conflict preemption. The touchstone here is obviously Congress, and Congress's intent.

In this case, there are two aspects of the inquiry, perhaps three. First, let's focus on the statute itself and its legislative history.

THE COURT: You're talking about the Shipping Act?

MR. BURNS: Yes, the Shipping Act.

There is no question, there was no argument below, that the Shipping Act makes no reference whatsoever to state law, nor does its legislative history. No express intent or even referenced intent on Congress's power to supplant the state laws.

Congress went even further. When Congress defined the antitrust laws in the Shipping Act, it defined it solely in reference to six federal laws.

THE COURT: Can we look at the provisions of the Shipping Act and perhaps conclude, from an analysis of the provisions, that Congress intended to cover this entire field --

MR. BURNS: I'm not --

THE COURT: -- of international shipping?

MR. BURNS: I don't think that's fair, Your Honor. Again, we have to hold Congress to its -- to its

standard as well. Congress knows how to preempt state law. It knows how to preempt state antitrust laws.

At the time the Shipping Act was promulgated back in 1982, it was amending, in part, the Federal Aviation Act. You see this in the Air Cargo case.

It knows how to say, "We are preempting state law." It did not do so in this case.

THE COURT: Let's look at what it does say.

We have a statute -- and I agree with you that the specific antitrust laws identified are all federal, but when you do -- because we're allowed to consider the purpose of the Act, and that's in the first section, is to make sure -- and I'm using words that come a little bit from the legislative history, but certainly are embodied in the purpose -- to put the U.S. shippers on equal footing with their foreign counterparts.

To allow state law to apply here, seems to interfere with the ability to carry out that goal, because the laws that you suggest -- and let's focus just on the anti -- stay the antitrust. There's no doubt that when the 1984 Act was put into place, it was done to expand the scope of antitrust immunity.

To allow the state antitrust laws then to be used, seems to undo that which Congress intended to do when it amended the 1916 Act. If that's wrong, please

tell me how that's wrong.

MR. BURNS: Here's how it's wrong, Your Honor: You have to look at conflict preemption within the narrow circumstances of this case. And I'm willing to concede, for purposes of this argument, that the first argument that we make on the sweep of 40307(b), you can assume it's wrong, okay? That federal claims have to be brought within -- within or before the FMC.

So what are we left with in that case? Congress hasn't completely done away with the competition regime. Arguably, it's replaced the Sherman and Clayton Act, with competition provisions in the Shipping Act.

And then again, under the narrow circumstances of this case, where the appellees have flouted the filing requirements and legal requirements of the Shipping Act, then they are narrowly exposed to state antitrust laws for their unfilled agreements. Again, narrow circumstances.

Why are those narrow? And I think this was a concern that the District Court had below, and you'll see that she raised -- or the District Court raised it in a -- in a hypothetical, if you will, on pages 24 and 25 of her order. The District Court essentially said, I'm not going to take silence as dispositive in this case, because if you take that silence as dispositive, a carrier like the appellees could file an agreement. That agreement could

be approved -- again, that never happened in this case -- but then they could still be subject to criminal and civil enforcement before states.

That's simply not going to be the case here. In that sense, it's just like the 1 Oak case where, in the context of field preemption, the Supreme Court said, we're going to look at the circumstances of this case and we're going to say there's no field preemption here.

The conflict preemption can act as a safeguard to the federal regulatory scheme, and where that would operate in this sense -- again, outside the confines of this narrow exception -- is if you had a filed agreement and you had agency action that exempted the carriers from the antitrust laws, then they have a completely different argument. Then they can say the federal government has established a regulatory scheme and granted us exemption from their antitrust laws. The state laws in this case would create an obstacle to that federal scheme.

But that's not this case. Again, under these narrow circumstances, the state laws and the Shipping Act's competition provisions are not in conflict. There's been no suggestion that they are. There's simply competition regimes that ensure the victims are compensated in this case.

Turning to those purposes briefly. The District

Court was primarily concerned with the impact on the regulatory side of those purposes, a uniform regulatory scheme with minimal government involvement, but in reality that purpose, first purpose in the Act, depends on filing. And the state laws at issue here -- again, in the narrow circumstances presented to the District Court -- are wholly consistent with that purpose. They further encourage filing, they further expose these carriers to liability under those narrow circumstances if they don't.

And as the District Court also realized, state laws at issue here fully supported the fourth purpose under the Act, which was to encourage competition, exactly for the American carriers that might compete with these folks, to put them on a level playing field.

The state laws at issue here, the District Court conceded or agreed, support that -- support that purpose of the Act.

THE COURT: Thank you very much.

MR. BURNS: Thank you, Your Honor.

THE COURT: We'll hear from Mr. Nelson.

MR. NELSON: Good morning, Your Honors. My name is Mark Nelson. I'm with the law firm Cleary Gottlieb Steen & Hamilton. I represent defendant appellee "K" Line, and I speak on behalf of all defendant appellees today in regard to the Direct Purchaser case.

On the Shipping Act questions, we think the District Court got it exactly right --

THE COURT: Just a general question.

What type of common carrier agreements would not fall within the Act's filing requirements?

MR. NELSON: What kind of agreements? Well, I think agreements between common carriers to restrict competition, generally would -- ongoing cooperative arrangements between them would fall within the scope of the Shipping Act, under 40301(a).

As I said, I think the District Court got the analysis exactly right, and I think that the decision below presents a well-reasoned, concise explanation exactly why the federal claims here had to be dismissed.

And the plaintiffs tried in their briefs, on appeal here, to conflate various sections of the Shipping Act and to make it seem more complex than it is, but it's really quite straightforward, as I think some of your questions suggested already this morning.

And we start by looking at the plain language of the statute, and Section 40307(d) in particular, which says that a person may not recover damages under the Clayton Act or injunctive relief under the Clayton Act for conduct prohibited by this part, meaning the entirety of the Shipping Act. So any conduct that violates the

Page 30 Shipping Act, there is no private cause of action. And I think at this stage it seems plaintiffs are arguing, well, you should read a filing obligation into that, into Section 40307(d), but we -- in order to figure out what's conduct prohibited by the Act, we look, as you suggested, to Section 41102(b) of the Shipping Act, and that -- that part of the statute, which is the general prohibition, says a person may not operate under an agreement required to be filed under Sections 40302 and 40303, if the agreement has not become effective under the Act. And so when no filing occurs, where there's an unfiled agreement for an agreement that's required to be filed, it, by definition, has not become effective; and therefore, operating under that agreement violates 41102(b) and constitutes conduct prohibited by the Shipping Act, bringing you within 40307(d). The Shipping Act, the construction of the Shipping Act and the reading of the Shipping Act, is really that straightforward. That's exactly how the District Court walked through it. And I think it's also reinforced by the fact that the Federal Maritime Commission has brought enforcement actions for the very same conduct alleged in plaintiffs' complaints here. They have reached settlements with various of the defendants for operating under the unfiled agreements that are	Page 32 issue or is that Mr. Rivera-Soto? MR. NELSON: Am I addressing the what? THE COURT: The preemption issue. MR. NELSON: The preemption issue, the conflict preemption issue, Mr. Rivera-Soto. That's the indirect, so he'll speak to that -- THE COURT: Thank you. MR. NELSON: -- momentarily. So when you look at the plaintiffs' briefs, what they seem to be doing, in my view, is conflating subsections (a) and (d) of 40307. To be clear, subsection (a) provides full antitrust immunity. That means immunity from criminal prosecution by the Department of Justice and from civil claims, and that's if you file your agreement. Subsection (d) is a limitations of remedy provision for private causes of action, for conduct prohibited by the Act. And Congress very deliberately separated the two. I think the plain language of the statute governs. That's what the District Court said. But if you look to the legislative history, they make clear that this was a deliberate decision. And the suggestion -- just as an aside, the suggestion that our arguments suggest that we should be
Page 31 alleged in the complaints here. THE COURT: And your adversary made a representation that despite sort of a request that the federal court not adjudicate this dispute and it's going to the Federal Maritime Jurisdiction -- Federal Maritime Commission, that there's going to be an application to dismiss that claim. Is it going to be because the FMC lacks the authority to decide it or is it going to be on some other ground? MR. NELSON: I can assure you that we will not say to the Federal Maritime Commission that these claims should have been brought in federal court. We may have -- we have various -- THE COURT: Are you going to suggest the FMC lacks the authority to adjudicate the dispute? You may have other grounds, but are you going to make a claim? MR. NELSON: No, we're not going to suggest that they lack the authority to adjudicate disputes of the type alleged in the complaint. We may challenge standing and we have some other claims below here in the District Court challenging whether the named plaintiffs are appropriate, whether there's any injury. So we have other defenses, but that will not be one of them. THE COURT: Thanks. THE COURT: Are you addressing the preemption	Page 33 able to get off Scott free if we don't file, there's no incentives to file, I think is simply untrue. There are very powerful incentives to file your agreement here, not least of which is that you avoid criminal liability, you avoid what could be hundreds of millions of dollars in fines. People go to jail for these. And so you have immunity from that. In addition, on the civil side there's up to double damages before the Federal Maritime Commission. Yes, that's not treble damages as you get in federal court, but the incentives are exactly the same as they would be if antitrust law did apply, with the one exception that we have double damages instead of treble damages. THE COURT: Do you know if there is a history by the Maritime Commission of sanctioning non-filers? MR. NELSON: Well, they sanctioned us in this very case, so that's -- THE COURT: You're very familiar with that. MR. NELSON: Yes, I'm aware of that history. There have been -- there have been prior fines imposed, but -- THE COURT: I suppose that's the encouragement to file, and it serves a deterrent purpose. MR. NELSON: Yes, that's an additional deterrent.

So in fact you have all of the criminal liability, fines and jail time that come with an antitrust violation of the Sherman Act, you have civil liability before the FMC, up to double damages; and as you point out, the Federal Maritime Commission itself can impose fines and injunctive relief, and in fact they have in this -- in this very case.

And so what plaintiffs, I think, are asking you to do is basically divest the Federal Maritime Commission of jurisdiction because to be clear, if -- 40307(d) says that you have no Clayton Act claim if there's conduct prohibited by the Shipping Act.

So if you find that this is not conduct prohibited by the Shipping Act, that means the FMC has no jurisdiction over these claims. They're not arguing for parallel jurisdiction. You can't have parallel jurisdiction because Congress deliberately set up the statute to avoid parallel jurisdiction.

So a ruling here that this is not -- unfiled agreements cannot be conduct prohibited by the Act, means that the Federal Maritime Commission cannot hear these claims; and therefore, the fact that they brought enforcement actions would have been outside of their authority.

And plaintiffs -- one of plaintiffs' lead cases,

where they tried to argue for their interpretation of 40307, is United States v. Gosselin, and they claim that -- in their brief they say in Gosselin, in stark -- this is a quote from plaintiffs' brief -- in stark contrast to the analysis in Gosselin, the District Court -- meaning in this case -- expressly rejected the construction of 40307(d) that limits antitrust immunity to conduct under agreements filed with the FMC.

THE COURT: But Gosselin, I don't think ever mentioned the Clayton Act bar, did it?

MR. NELSON: No.

THE COURT: Right.

MR. NELSON: That was going to be exactly my point. They refer to it as if it's talking about 40307(d), but that case is U.S. v. Gosselin. It is the government bringing a criminal action against the parties, under the Sherman Act. The court never mentions the Clayton Act, they never mention 40307(d). That case was brought entirely under 40307(a). And as a result -- and by the way, we have no disagreement that to get the protections of 40307(a), that you have to file the agreement. The statute says that.

And so we don't disagree at all with the ruling in Gosselin, we just disagree with the attempt to read it as if it's talking about 40307(d) when there were no

private causes of action at all in that case.

So I think the reading is inconsistent with the plain language of the statute, it's inconsistent with the FMC actions, enforcement actions, that were brought in this case. And we think it's also -- not that you need to go to legislative history, because the plain language dictates -- but it's also inconsistent with the legislative history in this case.

And if you look to the House report from the 1983 bill that we cite to in our briefs and that the District Court relied on not -- that they did not rely on Burrell [phonetic], but cited to Burrell, the District Court made clear that her ruling was based on a plain language reading; but nonetheless noted that the legislative history was consistent with that plain language reading.

But if you look to that report, Congress, in the legislative history, spoke to what to do with unfiled agreements, and the report says that if parties fail to do so -- meaning fail to file -- then their knowing conduct, undertaken without the benefit of an agreement being filed in fact -- so in other words, an unfiled agreement -- would subject them to limited antitrust exposure. The antitrust exposure for these so-called secret agreements is limited to injunctive and criminal prosecution by the Attorney General, and does not carry with it any private

right or action otherwise available under the antitrust laws.

That responsibility for private cause of action was given to the Federal Maritime Commission. The Federal Maritime Commission, exclusively and deliberately taken away from the courts, and that's crystal clear when you look at the legislative history.

THE COURT: Thank you very much.

MR. NELSON: Thank you.

THE COURT: Mr. Rivera-Soto.

MR. RIVERA-SOTO: Thank you, Your Honor. Good morning. May it please the court. My name is Roberto Rivera-Soto, from the law firm of Ballard Spahr, and I represent the WWL and EUKOR defendants, but it is my privilege to appear on behalf of all of the defendants in response to the appeals filed by the Indirect Purchaser plaintiffs. Excuse me.

THE COURT: One just question related to that.

There is the newly assembled vehicles service contract exception and that applies, I guess, to GM and other car manufacturers. How does that differ from the Indirect Purchasers' proposed use here?

MR. RIVERA-SOTO: Well, the Indirect Purchasers' claims are not in respect of the newly manufactured, newly assembled vehicles, but let me deal with the procedural

issue first; and that is, that issue was never raised below. That issue did not come up until after Judge Salas had issued her decision.

THE COURT: Wasn't there an attempt to raise it during the oral argument, and that it was then when Judge Salas said something like, "That's news to me," the response was, "I guess we won't go there"?

MR. RIVERA-SOTO: That's exactly right.

And it wasn't "I guess we won't there," it's, "We're not going there."

THE COURT: So there's no ruling on the issue at all?

MR. RIVERA-SOTO: There is no ruling. They raised -- they did raise it on a Motion for Reconsideration, and the court found that there was nothing that was brought forth that satisfied the requirements for reconsideration and therefore, it was not addressed substantively.

It really does not belong in this record, but even more so, the newly assembled vehicle requirement is more of a tariff than anything else. It's not in respect of whether an agreement should or should not be filed.

So it really -- it's putting a square peg in a round hole. I'd like to come back to the question about preemption, and the presumption against preemption.

THE COURT: Even before that --

MR. RIVERA-SOTO: Okay.

THE COURT: -- on the same subject, though.

Congress knows how to preempt state laws, as it has done any number of occasions.

It explicitly says, "We are preempting this area of law," but it hasn't done so in this case.

MR. RIVERA-SOTO: No, it didn't, but that is why there is a very robust body of case law that deals with those instances when you're not dealing with express preemption, and that is the implied preemption areas where the court will go through an analysis as to whether you have field preemption or whether you have conflict preemption; and even within conflict preemption, you look at two separate categories, whether there's an impossibility of performance or whether the state laws lie as an obstacle to the federal purposes.

THE COURT: Would you say that there's a conflict preemption here? I mean, given that the state laws appear to be designed to protect consumers, and perhaps prevent antitrust -- enforce the antitrust laws, whereas the federal law is intended to regulate maritime shipping.

So they have different purposes.

MR. RIVERA-SOTO: Yes and no. When you couch it that way, it does seem that way, but the state laws don't

exist in a vacuum. They all have to address -- when you're saying that there is -- there's been a restraint of trade, it has to be in respect of a trade. And here, the trade in respect of which the plaintiffs are complaining, is the maritime -- international maritime shipping trade.

THE COURT: So how are the state laws that they would like to enforce here, obstacles to the goals of Congress through the Shipping Act?

MR. RIVERA-SOTO: You have to go back to the statute itself, and let's look at the Shipping Act.

The Shipping Act sets forth a requirement that carriers must file agreements with the FMC. They can file the agreement, the agreement can be effective, and if it is effective, then all of the antitrust immunities then apply. If you file the agreement and it's not effective, or you don't file the agreement, then you receive immunity for civil antitrust claims but you'll lose your immunity for criminal antitrust claims.

That's exactly what's happened here.

In this matter there are six sets of defendants, five of whom have been indicted and convicted by plea, and have paid hundreds of millions of dollars in fines in actions brought by the United States Department of Justice Antitrust Division. The remaining set of defendants are in negotiations, like the other five, for their plea

agreements. So here we have the question of the criminal part has been taken care of. And we know from Mr. Nelson's argument before that it is clear that unfilled agreements, or what are called secret agreements, were intended to be covered by this statute and that, the legislative history tells us. It's in the House report.

THE COURT: But my question is allowing the state law claims to proceed -- these are, as Judge Fuentes was saying, aimed at consumer protection -- how is enforcing those an obstacle to the goal?

Give me a concrete example, if you can.

MR. RIVERA-SOTO: I didn't get as far as I needed to get --

THE COURT: Okay, go ahead.

MR. RIVERA-SOTO: -- to answer Your Honor's question; and that is a part of the statute that no one has seemed to want to talk about here today is that this statute creates a specific forum, a specific cause of action, and a specific set of remedies for anyone who was aggrieved. So Congress has created a place where these people can go, a cause of action -- and that's the FMC -- a cause of action that they can allege -- which is an action for reparations. That's how it was specifically defined in the statute. And a series of remedies. They can get injunctive relief, they can get up to two times

damages, and they can get attorneys' fees.

So although Congress has not said, this -- the Shipping Act of 1984 is intended to expressly preempt all state laws, how can you bring an action in state -- under state law, in whatever forum, and at the same time look at the statute that says, I'm sorry, but those claims have to be brought before the FMC? And they have to be brought in the nature of an action for reparations.

THE COURT: But there has to be violations of the Shipping Act, right? Unless -- you tell me.

Could someone bring a New Jersey Consumer Fraud Act before the FMC?

MR. RIVERA-SOTO: If the action, if the core of the New Jersey Consumer Fraud Act claim was an unfiled agreement, then the answer is yes.

THE COURT: But would they characterize it as a New Jersey consumer fraud claim, or would they have to characterize it as a violation of one of the provisions of the Shipping Act?

MR. RIVERA-SOTO: The latter, Your Honor. It would have to be before the FMC, saying, we have an unfiled agreement. The effect is to violate the New Jersey Consumer Fraud Act.

THE COURT: But how is allowing a state court claim to proceed, in conflict?

Is it because you are giving remedies potentially that were not necessarily available -- that Congress contemplated for this sort of behavior?

MR. RIVERA-SOTO: Well, that is part of it, but the other part of it is that in establishing the Shipping Act of 1984, Congress engaged in a process to comprehensively regulate an area that the court has already recognized is one that is of unique federal concern.

THE COURT: So you're talking about the kind of balance that you see in the language and why, and those sorts of things, where the federal authorities have come up with a unique balance of how to deal with a problem, and to allow the state law causes of action to proceed could disrupt that delicate balance?

MR. RIVERA-SOTO: And becomes an obstacle to that balance; and hence, obstacle conflict preemption.

And note, Your Honors, that when we look at the District Court's opinion, that is exactly the focus of the court. It is solely on obstacle conflict preemption.

And the District Court went to great pains to point out the various attributes of the Shipping Act that make it unique; in particular, the availability of a forum, a cause of action, and a remedy.

THE COURT: Could I ask you a question about that

Motion for Reconsideration on the IPP settlement that Judge Salas received? I don't know if you -- can you answer this question? But if I could ask you.

MR. RIVERA-SOTO: I'll try my best.

THE COURT: Your adversaries seem to suggest that the District Court was expressing herself in a way to suggest she didn't have subject matter jurisdiction, and tries to analogize it to a Second Circuit case.

What's wrong with that position?

MR. RIVERA-SOTO: Well, the problem with it is, is that they never put the settlements before the court. There was never a motion before the court to approve the settlements, and they went with two sets of defendants -- neither of which were my clients -- but apparently they reached some sort of agreement. Some of us found out about it the day of the argument on the motion.

THE COURT: My question doesn't really go to that part of it, it's just there's a challenge to that denial of reconsideration, asserting that the District Court made findings that she would deny reconsideration because she lacked jurisdiction. Did you understand that to be her reasoning, or did you understand it that they just didn't satisfy the three requirements for reconsideration?

MR. RIVERA-SOTO: I understood the District Court's decision to be not that she lacked jurisdiction --

I'm sorry, my time is up. May I answer?

THE COURT: Oh, absolutely.

MR. RIVERA-SOTO: Thank you, Your Honor.

THE COURT: Didn't she lack jurisdiction, once she said this case belongs before the Maritime Commission, and that's where it should have gone? I don't --

MR. RIVERA-SOTO: I think as a -- as a practical matter, I think Your Honor is right, because the moment the District Court said they're dismissed with prejudice, which is what happened here --

THE COURT: She already said they belonged in the Maritime.

MR. RIVERA-SOTO: They belong elsewhere.

THE COURT: I thought that's what she said.

MR. RIVERA-SOTO: That is what she said.

So I don't -- in more direct response to Your Honor's question, I think what Judge Salas was saying was not that, I lack jurisdiction, but that this properly belongs before the FMC. If you want to set a settlement, do it there.

And the rationale is important to understand. These are settlements, reportedly class action settlements. And as you know, it's not like two private parties can say, okay, we decide to settle. The court has a very important, and in fact crucial role, in the

settlement of class actions. It has to determine that, first, all the procedural requirements for getting into a settlement are satisfied, and then has to make the substantive determination that it is fair to the class to enter into that settlement. And then, and only then, can the settlement be effected.

How can a court that has determined that the matter has been dismissed with prejudice, retain that kind of jurisdiction? And the answer is they're not. If there is going to be a settlement -- and again, my client was not part of that -- but if there is going to be a settlement, that belongs before the FMC, where the rest of this case belongs, and where they have already filed their complaints. Thank you, Your Honors.

THE COURT: Thank you very much. Mr. Kilsheimer.

MR. KILSHEIMER: Thank you, Your Honors.

Briefly, there's been considerable discussion about the deterrent effects of the various provisions of the Shipping Act, but the point of fact here is those deterrents didn't work. The defendants engaged in a anticompetitive conspiracy for more than 12 years, earning hundreds of millions of dollars as a result, and those deterrent effects didn't occur here until a whistleblower came along and told the government about this thing.

THE COURT: But the question here is, is there a

violation, but it's not conduct prohibited by the Shipping Act, and you need to look at the narrow interpretation that you then give to antitrust exemption provisions.

Just briefly, if I may, Your Honor -- I see my time is up.

THE COURT: Go ahead.

MR. KILSHEIMER: There was reference to the legislative history. If you're going to look at the legislative history, we think you should look at the legislative history of the Act, that repeatedly says agreements must be filed.

And -- and also there is considerable legislative history about prohibited activity, and those parts of the legislative history refer to the kinds of conduct that's reflected in 41103, 41104, 41105.

It doesn't -- that part of the legislative history does not refer to 40302, the requirement to file an agreement. I think my time is up.

THE COURT: Thank you very much. Thank you, all counsel. Very well presented arguments, and we'll take the matter under advisement.

(End of recording.)

Clayton Act bar that applies to unfiled or so-called secret agreements.

MR. KILSHEIMER: Correct, Your Honor.

Now, Mr. Nelson, in discussing 40307(d), said that any conduct that violates the Shipping Act cannot give rise to the Clayton Act liability, but that's not what 40307(d). 40307(d) says that it has to be conduct prohibited by the Shipping Act.

And he also said that if we are correct and we are able to proceed under the Clayton Act --

THE COURT: Well, is it not filing an agreement, conduct prohibited by the Shipping Act?

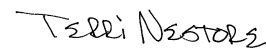
MR. KILSHEIMER: The specific provision says that all agreements must be filed. It's not that carriers may not do something. It's not conduct prohibited. It's an affirmative -- and it's frankly -- it's frankly a ministerial type act, filing or not filing, frank -- is a ministerial act. It's not the way a carrier would conduct its business, as reflected in the statutes that I cited before, like 41103 and 41104.

We're not claiming that if we're -- if we can proceed under the Clayton Act, that the FMC loses all jurisdiction over these defendants. They can -- the FMC can proceed under 41103 or 41104. They can -- it can proceed and say, you should have filed. That was a

C E R T I F I C A T E

I, TERRI NESTORE, Certified Shorthand Reporter/Transcriptionist, do hereby certify that I was authorized to transcribe the foregoing recorded proceeding, and that the transcript is a true and accurate transcription of my shorthand notes, to the best of my ability, taken while listening to the provided recording.

Dated this 13th day of April, 2017.



TERRI NESTORE, CSR, RPR, CRR

EXHIBIT B

**UNITED STATES COURT OF APPEALS
FOR THE THIRD CIRCUIT**

Consolidated Cases Nos. 15-3354, and 15-3355

IN RE VEHICLE CARRIER SERVICES ANTITRUST LITIGATION

ON APPEAL FROM THE UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF NEW JERSEY,
CASE NO. 2:13-CV-03306, MDL No. 2476,
BEFORE THE HONORABLE ESTHER SALAS, U.S. DISTRICT JUDGE

**CONSOLIDATED BRIEF OF DEFENDANTS/APPELLEES
IN OPPOSITION TO THE CONSOLIDATED APPEALS
OF INDIRECT PURCHASER PLAINTIFFS/APPELLANTS**

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Nissan Motor Car Carrier Co., Ltd.*

CORPORATE DISCLOSURE STATEMENT
(pursuant to Fed. R. App. P. 28(a)(1))

*Wallenius Wilhelmsen Logistics AS
Wallenius Wilhelmsen Logistics America LLC,
and EUKOR Car Carriers, Inc.
("the WWL/EUKOR Defendants")*

1. Defendant/Appellee Wallenius Wilhelmsen Logistics AS is a privately held corporate entity; Wilh. Wilhelmsen ASA, a publicly held corporate entity, owns 10% or more of the stock of Defendant/Appellee Wallenius Wilhelmsen Logistics AS; and Wilh. Wilhelmsen Holding ASA, a publicly held corporate entity traded on the Oslo Stock Exchange, owns 10% or more of the stock of Wilh. Wilhelmsen ASA.

2. Defendant/Appellee Wallenius Wilhelmsen Logistics America LLC is a privately held limited liability company that is wholly owned by Defendant/Appellee Wallenius Wilhelmsen Logistics AS.

3. Defendant/Appellee EUKOR Car Carriers, Inc., is a jointly held private corporate entity; each of Wilh. Wilhelmsen ASA and Hyundai Motor Company, both publicly held corporate entities, own an interest in it of 10% or more.

CORPORATE DISCLOSURE STATEMENT
(pursuant to Fed. R. App. P. 28(a)(1))

*Nippon Yusen Kabushiki Kaisha
and NYK Line North America Inc.
("the NYK Defendants")*

1. Defendant/Appellee Nippon Yusen Kabushiki Kaisha is a publicly held corporate entity traded on the Tokyo Stock Exchange and no shareholder owns more than 10% of its stock.

2. Defendant/Appellee NYK Line North America Inc. is wholly owned by NYK Group America, a holding company which is wholly owned by Defendant/Appellee, Nippon Yusen Kabushiki Kaisha.

CORPORATE DISCLOSURE STATEMENT
(pursuant to Fed. R. App. P. 28(a)(1))

*Höegh Autoliners AS
and Höegh Autoliners, Inc.
("the Höegh Defendants")*

1. Defendant/Appellee Höegh Autoliners AS is a privately held corporate entity; Höegh Autoliners Holdings AS owns 10% or more of the stock of Defendant/Appellee Höegh Autoliners AS; and A.P. Moller – Maersk A/S, a publicly traded company, owns 10% or more of the stock of Höegh Autoliners Holdings AS.

2. Defendant/Appellee Höegh Autoliners, Inc. is a privately held corporate entity; Defendant/Appellee Höegh Autoliners AS owns 10% or more of the stock of Defendant/Appellee Höegh Autoliners, Inc.; Höegh Autoliners Holdings AS owns 10% or more of the stock of Defendant/Appellee Höegh Autoliners AS; and A.P. Moller – Maersk A/S, a publicly traded company, owns 10% or more of the stock of Höegh Autoliners Holdings AS.

CORPORATE DISCLOSURE STATEMENT
(pursuant to Fed. R. App. P. 28(a)(1))

*Kawasaki Kisen Kaisha, Ltd
and “K” Line America, Inc.
 (“the ‘K’ Line Defendants”)*

1. Defendant/Appellee Kawasaki Kisen Kaisha, Ltd is a publicly held corporate entity traded on the Tokyo Stock Exchange. Kawasaki Kisen Kaisha, Ltd. does not have any parent corporation, and no publicly held corporation owns 10% or more of the stock of Kawasaki Kisen Kaisha, Ltd.

2. Defendant/Appellee “K” Line America, Inc. is a privately held corporate entity that is wholly owned by Defendant/Appellee Kawasaki Kisen Kaisha, Ltd.

CORPORATE DISCLOSURE STATEMENT
(pursuant to Fed. R. App. P. 28(a)(1))

*Mitsui O.S.K. Lines, Ltd.,
Mitsui O.S.K. Bulk Shipping (U.S.A.), LLC.
World Logistics Service (U.S.A.) Inc.,
and Nissan Motor Car Carrier Co., Ltd.
("the MOL Defendants")*

1. Defendant/Appellee Mitsui O.S.K. Lines, Ltd. is a publicly held corporate entity; Japan Trustee Services Bank, Ltd. owns 10% or more of the stock of Defendant/Appellee Mitsui O.S.K. Lines, Ltd.

2. Defendant/Appellee Mitsui O.S.K. Bulk Shipping (U.S.A.), LLC is a privately held corporate entity; Defendant/Appellee Mitsui O.S.K. Lines, Ltd. owns 10% or more of the stock of Defendant/Appellee Mitsui O.S.K. Bulk Shipping (U.S.A.), LLC.

3. Defendant/Appellee World Logistics Service (U.S.A.) Inc. is a privately held corporate entity; Defendant/Appellee Nissan Motor Car Carrier Co., Ltd. owns 10% or more of the stock of Defendant/Appellee World Logistics Service (U.S.A.) Inc.

4. Defendant/Appellee Nissan Motor Car Carrier Co., Ltd. is a privately held corporate entity; Defendant/Appellee Mitsui O.S.K. Lines, Ltd.

owns 10% of more of the stock of Defendant/Appellee Nissan Motor Car Carrier Co., Ltd.; and Nissan Motor Co., Ltd. owns 10% of more of the stock of Defendant/Appellee Nissan Motor Car Carrier Co., Ltd.

CORPORATE DISCLOSURE STATEMENT
(pursuant to Fed. R. App. P. 28(a)(1))

Compañía Sud Americana de Vapores, S.A.
and CSAV Agency, LLC
(“the CSAV Defendants”)

1. Defendant/Appellee Compañía Sud Americana de Vapores, S.A. is a publicly traded company; Quiñenco S.A. is a holder of more than ten percent of Compañía Sud Americana de Vapores S.A.’s stock, and is the parent corporation of Compañía Sud Americana de Vapores S.A.

2. Defendant/Appellee CSAV Agency, LLC is a privately held corporate entity; Hapag-Lloyd AG is the parent corporation of CSAV Agency, LLC.

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I. JURISDICTIONAL STATEMENT.

Plaintiffs/Appellants -- three groups of indirect purchaser plaintiffs (“the IPPs”) -- filed separate consolidated amended complaints against Defendants in this multi-district litigation (“MDL”) proceeding. By an order and opinion dated August 28, 2015, the United States District Court for the District of New Jersey dismissed all of the complaints with prejudice.

Pursuant to 28 *U.S.C.* § 1291, this Court has jurisdiction over this appeal as an appeal from the final decision of the United States District Court for the District of New Jersey.

II. STATEMENT OF THE ISSUES PRESENTED FOR REVIEW.

1. Did the district court err as a matter of law when it concluded that the IPPs' state law claims were conflict preempted by the Shipping Act and that the proper forum for the claims raised by the IPPs is the Federal Maritime Commission ("FMC")? Defendants respectfully submit that the answer is "no."

2. Did the district court abuse its discretion or otherwise err when it denied the IPPs' motion for reconsideration to retain jurisdiction over settlements in principle reached between the IPPs and two of the six sets of Defendants? The "K" Line Defendants and the MOL Defendants ("the Settling Defendants") respectfully submit that the answer is "no."

III. STATEMENT OF RELATED CASES AND PROCEEDINGS.

A. The IPPs' motions for reconsideration and to vacate the judgment.

On September 11, 2015, following the entry of the district court's August 28, 2015 opinion and order dismissing all complaints with prejudice, JA21; JA29-58, the auto dealer indirect purchaser plaintiffs ("the Auto Dealer IPPs") [appellants in Case No. 15-3354], the end-payor indirect purchaser plaintiffs ("the End-Payor IPPs"), and the truck centers indirect purchaser plaintiffs ("the Truck Center IPPs")¹ [the End-Payor IPPs and the Truck Center IPPs are the appellants in Case No. 15-3355] moved for reconsideration. The IPPs asserted that they had notified the court -- before the August 28, 2015 dismissal -- that they had agreed in principle to settle with the Settling Defendants.² The IPPs requested that the district court "retain jurisdiction over claims asserted against the Settling Defendants for the limited purpose of considering the parties' motions for preliminary and final approval of . . . settlements and to provide notice to the class

¹ For ease of reference, the End-Payor IPPs, the Auto Dealer IPPs and the Truck Center IPPs collectively are referred to as "the IPPs."

² The IPPs had neither finalized full settlement agreements with the Settling Defendants nor filed any preliminary motions for approval of the settlements. JA 29, 60.

of those motions so that all affected class members have notice and an opportunity to be heard.’” [JA60.]³

On November 4, 2015, the IPPs moved to vacate the August 28, 2015 order dismissing the IPPs’ complaints with prejudice, raising -- for the first time -- the assertion that, “under the Ocean Shipping Reform Act of 1998, the Shipping Act does not reach the claims at issue in this matter and, therefore, the [Federal Maritime Commission] has no jurisdiction over those claims.”⁴ [JA61.]

By an opinion and order dated April 25, 2016, the district court denied both the IPPs’ (a) motion for reconsideration and (b) motion to vacate judgment. JA28; JA59-71.

B. The FMC Complaints.

After the district court dismissed their complaints with prejudice, each group of plaintiffs – including the freight forwarders/direct purchaser plaintiffs (“the DPPs”) -- filed separate actions before the Federal Maritime Commission (“FMC”) for reparations under the Shipping Act as follows:

1. On December 29, 2015, the DPPs’ filed *Cargo Agents, Inc., et al. v. Nippon Yusen Kabushiki Kaisha, et al.*, FMC Docket No. 16-01, DA201-248;

³ Because the motion was not addressed to them, the WWL/EUKOR Defendants, the NYK Defendants, the Höegh Defendants and the CSAV Defendants took no position in respect of that motion.

⁴ The IPPs have abandoned that claim on appeal. See p. 9 n.6, post.

2. On March 18, 2016, the End-Payor IPPs filed *Alban, et al. v. Nippon Yusen Kabushiki Kaisha, et al.*, FMC Docket No. 16-07, DA249-306;

3. On April 21, 2016, the Truck Center IPPs filed *Rush Truck Centers of Arizona, Inc., et al. v. Nippon Yusen Kabushiki Kaisha, et al.*, FMC Docket No. 16-10, DA307-365; and,

4. April 22, 2016, the Auto Dealer IPPs filed *Landers Brothers Auto Group, Inc., et al. v. v. Nippon Yusen Kabushiki Kaisha, et al.*, FMC Docket No. 16-11, DA366-418.

IV. STATEMENT OF FACTUAL AND PROCEDURAL HISTORY.

As found by the district court, the relevant facts are as follows:

Defendants are ocean shipping companies engaged in the transportation of large numbers of cars, trucks, and other vehicles, including agricultural and construction equipment, between foreign countries and the United States using Roll On/Roll Off (“RO/RO”) or specialized car carrier vessels. (DPP Compl. ¶¶ 16–22, 25–28; End-Payor Compl. ¶¶ 2, 59–72; Auto Dealer Compl. ¶¶ 2, 44–57; Truck Center Compl. ¶¶ 3, 45–47). As alleged in the complaints, “vehicle carrier services” refer to the paid ocean transportation of new, assembled motor vehicles by RO/RO or specialized vehicle carrier vessels. (End-Payor Compl. ¶ 2; Auto Dealer Compl. ¶ 2; Truck Center Compl. ¶ 3).

Defendants sell vehicle carrier services to original equipment manufacturers (“OEMs”)—mostly large automotive, construction and agricultural manufacturers such as Honda, Volkswagen, Mitsubishi, Toyota, Nissan, and Subaru—which purchase vehicle carrier services from Defendants to transport vehicles manufactured by the OEMs outside of the United States to purchasers in the United States. (End-Payor Compl. ¶ 82; Auto Dealer Compl. ¶¶ 21, 23, 27, 33, 37, 39, 41; Truck Center Compl. ¶¶ 21, 23, 25, 27, 29, 31, 33, 35, 37, 39, 41, 43).

Both DPPs and IPPs allege that Defendants entered into various collusive, secret agreements to fix and increase the prices for vehicle carrier services to and from the United States. These include:

- (i) coordination of price increases, (DPP Compl. ¶¶ 62, 63; End-Payor Compl. ¶¶ 125–30; Auto Dealer Compl. ¶¶ 113–18; Truck Center Compl. ¶¶ 108–18);

- (ii) agreements not to compete, including coordination of responses to price reduction requests made by the OEMs and allocation of customers and routes, (DPP Compl. ¶¶ 64, 65; End-Payor Compl. ¶¶ 131–45; Auto Dealer Compl. ¶¶ 119–32; Truck Center Compl. ¶¶ 119–32); and
- (iii) agreements to restrict capacity by means of agreed upon fleet reductions, (DPP Compl. ¶¶ 55–61; End-Payor Compl. ¶¶ 146–48; Auto Dealer Compl. ¶¶ 133–40; Truck Center Compl. ¶¶ 133–35).

....

. . . . The Auto Dealers and the Truck & Equipment Dealers are automobile dealers and truck & equipment dealers, respectively, in the United States that allege that they purchased automobiles or trucks & equipment from the OEMs that were transported to the United States in Defendants’ RO/RO or specialized vehicle carrier vessels. (Auto Dealer Compl. ¶¶ 21–43; Truck Center Compl. ¶¶ 21–44). The End-Payors are individuals who allege that they purchased or leased automobiles from Auto Dealers in the United States. (End-Payor Compl. ¶¶ 20–58). Each of the IPPs alleges that they are “indirect purchasers” of vehicle carrier services because, purportedly, the cost paid by the OEMs for vehicle carrier services was passed on to them as part of the purchase or lease price they paid for the automobiles or trucks. (End-Payor Compl. ¶¶ 10, 182, 183; Auto Dealer Compl. ¶¶ 10, 172–76; Truck Center Compl. ¶¶ 10, 157–62).

[JA31-32.]

Procedurally,

[t]hese civil antitrust actions were precipitated by the disclosure in September 2012 of raids upon certain Defendants' offices by governmental agencies in connection with antitrust investigations. (See DPP Compl. ¶¶ 66–71; End-Payor Compl. ¶¶ 6–8, 190–92; Auto Dealer Compl. ¶¶ 6–8, 184–86; Truck Center Compl. ¶¶ 4, 5, 7, 169–71). On May 24, 2013, the first of the cases that comprise this MDL was filed in this Court. (See D.E. No. 1). On October 8, 2013, the Judicial Panel on Multi-District Litigation selected this Court as the transferee court in this MDL for coordinated or consolidated pretrial proceedings, pursuant to 28 U.S.C. § 1407. (D.E. No. 21).

[JA33 (footnote omitted).]

On August 28, 2015, the district court granted Defendants' motions to dismiss, dismissing all of the complaints with prejudice. JA26; JA29-58. Specifically, the district court concluded that "because '[a] person may not recover damages under section 4 of the Clayton Act (15 U.S.C. [§] 15), or obtain injunctive relief under section 16 of that Act (15 U.S.C. [§] 26), for conduct prohibited by [the Shipping Act]," 46 U.S.C. § 40307(d), the DPPs' claim under section 4 of the Clayton Act and the IPPs' claims under section 16 of the Clayton Act will be dismissed with prejudice." JA44-45 (footnote omitted). The district court further concluded that "the state laws at issue conflict with the Shipping Act and are therefore preempted because they stand as an obstacle to the accomplishment and execution of the full purposes and objectives of Congress." JA48. It held that "[p]ermitting private actions under a patchwork of state laws for the same exact

conduct that is exempt from federal antitrust law, 46 U.S.C. § 40307(d), and within the purview of the FMC complaint process, *id.* § 41301, directly undermines the ‘certainty and predictability’ Congress sought to achieve in passing the Shipping Act of 1984.” JA57 (citation omitted). The district court “emphasize[d] that the putative class members can seek relief before the FMC, 46 U.S.C. § 41301(a), and then bring actions in district court as appropriate and consistent with Congress’s full intent[.]” *Ibid.* (citations omitted).⁵

On September 11, 2015, the IPPs moved for reconsideration, requesting that the district court “‘retain jurisdiction over claims asserted against K Line and MOL for the limited purpose of considering the parties’ motions for preliminary and final approval of . . . settlements and to provide notice to the class of those motions so that all affected class members have notice and an opportunity to be heard.’” JA60.⁶

⁵ As noted in the statement of related cases and proceedings, the DPPs and the IPPs each followed that direction and filed their respective complaints before the FMC. *See also* IPPs’ Br. at 43 n.12; DPPs’ Br. at 11 n.5.

⁶ As also noted in the statement of related cases and proceedings, on November 4, 2015, the IPPs moved to vacate the August 28, 2015 order dismissing the IPPs’ complaints with prejudice, raising -- for the first time -- the assertion that, “under the Ocean Shipping Reform Act of 1998, the Shipping Act does not reach the claims at issue in this matter and, therefore, the FMC has no jurisdiction over those claims.” JA61. The IPPs have abandoned that claim on appeal. *See* IPPs’ Br. at 14-28 (omitting any argument related to Ocean Shipping Reform Act of 1998).

By an opinion and order dated April 25, 2016, the district court denied both the IPPs' (a) motion for reconsideration and (b) motion to vacate the judgment. JA28; JA59-71. In denying the IPPs' motion for reconsideration, the district court held that the "IPPs have not shown that 'dispositive factual matters or controlling decisions of law were overlooked by the court in reaching its prior decision,' as is required to support reconsideration." JA62 (citation omitted). It concluded that the "IPPs have not identified an intervening change in the controlling law, alerted the Court to the availability of new evidence that was not available when the Court issued its Opinion, or alleged that the Opinion was the result of a clear error of fact or law or will result in manifest injustice." JA62-63.

On June 20, 2016, the IPPs filed their consolidated appeal brief before this Court.

This consolidated opposition followed.

V. SUMMARY OF ARGUMENT.

The IPPs assert on appeal that the district court erred when it concluded that the IPPs' state law claims conflict with the Shipping Act and, hence, are preempted. They urge the incongruous conclusion that the same Congress that carefully eliminated private antitrust remedies in federal court for Shipping Act violations nevertheless intended that the same activities be subject to private damages actions under state law. Defendants respectfully submit that the district court correctly concluded that the IPPs' state law claims conflict with the Shipping Act and properly concluded that those claims are preempted.

The IPPs also assert that the district court should have granted their motion for reconsideration and should have enforced settlements for which (a) no finalized settlement agreement had been reached and (b) no motion for preliminary -- much less final -- approval of the settlements had been filed. The Settling Defendants respectfully submit that the IPPs fail to meet their burden to show that the district court abused its discretion or otherwise erred in denying their motion for reconsideration.

VI. **ARGUMENT.**⁷

A. **The district court correctly concluded that state antitrust laws conflict with the Shipping Act.**

1. Statement of the standard or scope of review.

The IPPs claim that the district court erred as a matter of law when it concluded that (a) the IPPs' claims under Section 16 of the Clayton Act are barred by the Shipping Act, and that (b) the IPPs' claims are in conflict with the Shipping Act and, therefore, are preempted. Stated differently, that claim alleges that the district court erred in formulating or applying a legal precept, which renders this Court's review plenary. *McCandless v. Beyer*, 835 F.2d 58, 60 (3d Cir. 1987) ("In determining whether the district court erred in formulating or applying a legal precept, our review is plenary.").

2. Conflict preemption principles bar the IPPs' claims.

"[U]nder the Supremacy Clause . . . any state law, however clearly within a State's acknowledged power, which interferes with or is contrary to

⁷ Defendants incorporate by reference the arguments advanced in their brief in opposition to the DPPs' appeal (Case No. 15-3353), also filed today. In particular, because the IPPs' arguments regarding the construction of the Shipping Act in respect of federal Clayton Act claims are substantially similar to those presented by the DPPs (and are incorporated in the DPPs' brief), Defendants have addressed those arguments in their brief filed in the DPPs' appeal. See DPPs' Br. at 15 n.6 (incorporating IPPs' argument); see also JA35 (explaining that "IPPs incorporated and adopted DPPs' arguments with respect to their claims for injunctive relief under the Clayton Act").

federal law, must yield.” *Gade v. Nat’l Solid Wastes Mgmt. Ass’n*, 505 U.S. 88, 108 (1992). “And even if Congress has not occupied the field, state law is naturally preempted to the extent of any conflict with a federal statute.” *Crosby v. Nat’l Foreign Trade Council*, 530 U.S. 363, 372 (2000). Federal law need not contain an express preemption clause to displace state law. *See ibid.* (under doctrine of implied preemption, “[e]ven without an express provision for preemption . . . state law must yield to a congressional Act”). The Supremacy Clause operates with equal force under principles of implied conflict preemption wherever “state law stands as an obstacle to the accomplishment and execution of the full purposes and objectives of Congress.” *Arizona v. United States*, ___ U.S. ___, ___, 132 S. Ct. 2492, 2501 (2012).

The governing principle is clear:

“What is a sufficient obstacle is a matter of judgment, to be informed by examining the federal statute as a whole and identifying its purpose and intended effects: ‘For when the question is whether a Federal act overrides a state law, the entire scheme of the statute must of course be considered and that which needs must be implied is of no less force than that which is expressed. If the purpose of the act cannot otherwise be accomplished—if its operation within its chosen field else must be frustrated and its provisions be refused their natural effect—the state law must yield to the regulation of Congress within the sphere of its delegated power.’”

[*Crosby v. Nat’l Foreign Trade Council*, 530 U.S. 363, 373 (2000) (quoting *Savage v. Jones*, 225 U.S. 501, 533 (1912)).]

On the specific topic of antitrust exemptions, courts frequently conclude that a federal exemption implies an equivalent exemption from relevant state laws. For example, *Flood v Kuhn*, 407 U.S. 258 (1972), reaffirmed the baseball antitrust exemption, holding that the federal exemption perforce applied equally to state law claims. *Id.* at 284-85 (affirming dismissal of state law claims “because state antitrust regulation would conflict with federal policy and because national uniformity is required in any regulation of baseball” (internal quotation marks and alterations omitted)); *see also Major League Baseball v. Crist*, 331 F.3d 1177, 1179 (11th Cir. 2003), (holding that federal exemption led inexorably to exemption from state law claims); *In re Initial Public Offering Antitrust Litig.*, 287 F. Supp. 2d 497, 524 (S.D.N.Y. 2003), *rev’d on other grounds sub nom Billing v. Credit Suisse First Boston Ltd.*, 426 F.3d 130 (2d Cir. 2005), *rev’d*, 551 U.S. 264 (2007). (holding that “reason and common sense compel the conclusion that the same conduct that is immune from Sherman Act antitrust scrutiny must also be immune from state antitrust scrutiny”); *San Jose v. Office of the Comm’r of Baseball*, 2013 U.S. Dist. LEXIS 147543 (N.D. Cal., Oct. 11, 2013), *aff’d*, 776 F.3d 686 (9th Cir.), *cert. denied*, ___ U.S. ___, 136 S. Ct. 36 (2015) (dismissing state competition law claims).

Where, as here, Congress grants an administrative body exclusive jurisdiction over a particular subject -- such as remedies for Shipping Act

violations -- the most minor obstacle will not be tolerated: “The test therefore is whether the matter on which the State asserts the right to act is *in any way* regulated by the Federal Act. If it is, the federal scheme prevails though it is a more modest, less pervasive regulatory plan than that of the State.” *Rice v. Santa Fe Elevator Corp.*, 331 U.S. 218, 236 (1947) (emphasis supplied).

The conflict preemption inquiry thus requires careful consideration of Congress’s full purposes and objectives in passing the Shipping Act of 1984. As the district court held, “the state laws at issue conflict with the [Shipping] Act’s first purpose of minimizing government intervention and regulatory costs.” JA51. While that certainly is correct, they also clearly conflict with congressional intent in many other ways as well.

- a. The district court correctly declined to address the presumption against preemption.

The district court correctly recognized that the field of national and international maritime commerce is one “where the federal interest has been manifest since the beginning of the Republic and is now well established.” *United States v. Locke*, 529 U.S. 89, 90 (2000).⁸ For that reason, “there is no beginning

⁸ For example, *Gibbons v. Ogden*, 22 U.S. (9 Wheat) 1 (1824), held that a state may not exclude from its local waters carriers holding a federal license. Likewise, *Sinnot v. Davenport*, 63 U.S. (22 How.) 227 (1859), held that even a simple requirement that carriers in state waters file a certificate of ownership with the state was an affront to the federal scheme, because it “impose[d] another and an additional condition to the privilege of carrying out this trade within her waters.”

assumption that concurrent regulation by the State is a valid exercise of its police powers. Rather, [courts] must ask whether the local laws in question are consistent with the federal statutory structure[.]” *Id.* at 108.

Although the IPPs note that states traditionally regulate restraints of trade, IPPs’ Br. at 30-31, they gloss over the fact that the presumption against preemption does not apply to areas traditionally regulated by federal law. Incorrectly relying on dicta in *Sikkelle v. Precision Airmotive Corp.*, 822 F.3d 680 (3d Cir. 2016), the IPPs fail to account for this Court’s clear reasoning that “there is a strong presumption against preemption *in areas of the law that States have traditionally occupied.*” *Id.* at 687 (emphasis supplied). Here, state laws regulating alleged anticompetitive conduct affecting those states conflict with federal regulation of international maritime commerce, an area not traditionally occupied by states. *See Locke*, 529 U.S. at 108 (“The state laws now in question bear upon national and international maritime commerce, and in this area there is no beginning assumption that concurrent regulation by the State is a valid exercise of its police powers.”).

Ibid. The Court rejected a claim that the law was valid because it was within the police power of the state, explaining that “[t]he whole commercial marine of the country is placed by the Constitution under the regulation of Congress, and all laws passed by that body in the regulation of navigation and trade, whether foreign or coastwise, is therefore but the exercise of an undisputed power.” *Ibid.*

Nor does *Oneok, Inc. v. Learjet, Inc.*, ___ U.S. ___, 135 S. Ct. 1591 (2015), support the IPPs’ assertion that the presumption against preemption must apply here. *Oneok* addressed the Natural Gas Act, which Congress had “drawn with meticulous regard for the continued exercise of state power, not to handicap or dilute it in any way.” *Id.* at ___, 135 S. Ct. at 1599.⁹ In stark contrast, the Shipping Act includes no such deference to state law.¹⁰

The IPPs’ reliance on academic literature also is misplaced. Professor Hovenkamp’s article addressed whether state antitrust laws are preempted by federal antitrust laws, not whether state antitrust or competition laws are preempted by federal maritime laws.¹¹ See H. Hovenkamp, *State Antitrust in the Federal*

⁹ There are at least two other reasons *Oneok* is inapplicable. First, as correctly noted by the district court, *Oneok* only addressed field preemption, and expressly declined to address conflict preemption. *Oneok*, ___ U.S. at ___, 135 S. Ct. at 1595, 1602. Second, unlike this case, *Oneok* involved conduct relating to retail sales, which were not under the purview of the Natural Gas Act, which is limited to wholesale sales. *Oneok*, ___ U.S. at ___, 135 S. Ct. at 1596.

¹⁰ The IPPs argue that Congress’s silence on state law issues shows that Congress intended to leave powers to the states. As noted below, that reasoning is in error.

¹¹ For the same reason, the IPPs’ reliance on *California v. ARC America Corp.*, 490 U.S. 93 (1989), adds nothing. *ARC America* addressed the general question of whether the *Illinois Brick* rule prohibiting indirect purchasers from suing for damages under federal antitrust law “also prevents indirect purchasers from recovering damages flowing from violations of state law, despite express state statutory provisions giving such purchasers a damages cause of action.” *Id.* at 94. Neither the district court nor this Court has been asked to address the preemptive reach of the federal antitrust laws in respect of state antitrust laws generally. The

Scheme, 58 IND. L.J. 375, 431 (1983). Likewise, Professor Casto notes that state courts were permitted concurrent jurisdiction over limited actions, but through an express savings clause, something absent here. See W. Casto, *The Origins of Federal Admiralty Jurisdiction in an Age of Privateers, Smugglers, and Pirates*, 37 AM. J. LEGAL HIST. 117, 140 (1993).¹²

3. Even assuming a presumption against preemption, state antitrust law poses an obstacle to Congress's goals in enacting the Shipping Act, and is therefore preempted.

Even when a presumption against preemption exists, if “the state Act presents a sufficient obstacle to the full accomplishment of Congress’s objectives under the federal Act,” conflict preemption will be found. See *Crosby*, 530 U.S. at 374 n. 8; see also *Deweese v. National R.R. Passenger Corp. (Amtrak)*, 590 F.3d 239, 250 (3d Cir. 2009) (holding that Amtrak’s enabling statute preempted state sovereign immunity despite presumption against preemption); *Fasano v. Fed. Reserve Bank of N.Y.*, 457 F.3d 274, 283 (3d Cir. 2006) (holding that state laws frustrated purpose of Federal Reserve Act and were conflict preempted despite presumption against preemption).

issue here is discrete: whether the Shipping Act preempts state law antitrust claims. *ARC America* offers no guidance on that issue.

¹² Prof. Casto also notes that “[i]t is not a remedy in the common-law courts which is saved, but a common-law remedy.” *Id.* at 141. At issue here is whether private antitrust damages are an available common-law remedy. Regardless, Section 40307(d) makes clear that private antitrust damages are explicitly barred, so there is no remedy -- either of the common-law variety or otherwise -- to be saved.

The FMC is the acknowledged “public arbiter of competition in the shipping industry.” *FMC v. Pac. Maritime Ass’n*, 435 U.S. 40, 53 (1978). In the 1984 revision of the Shipping Act, Congress intended to reconfirm and strengthen that role by creating a specialized, industry-specific regulatory regime to govern international ocean shipping under which conduct that otherwise may violate the antitrust laws that, in certain circumstances, is fully exempted from antitrust scrutiny, and is subjected only to limited antitrust exposure in all others. In light of Congress’s goals in enacting the Shipping Act, there is no question that the IPPs’ proposed application of state law antitrust remedies in this case ““stands as an obstacle to the accomplishment and execution of the full purposes and objectives of Congress.”” *Edgar v. MITE Corp.*, 457 U.S. 624, 631 (1982) (quoting *Hines v. Davidowitz*, 312 U.S. 52, 67 (1941)); *Farina v. Nokia, Inc.*, 625 F.3d 97, 115 (3d Cir. 2010) (same).

- a. Congress designed the Shipping Act to provide the exclusive private remedy for violations of the Act and to reduce regulatory uncertainty.

The language and structure of the Shipping Act make clear that Congress intended that the Shipping Act govern certain enumerated categories of agreements “between or among ocean common carriers,” 46 U.S.C. § 40301(a). If the common carriers’ agreement “has been filed and is effective,” then the “antitrust laws do not apply.” 46 U.S.C. § 40307(a). Stated differently, ocean

common carriers operating under a filed and effective agreement have full antitrust immunity, including immunity from (i) both criminal prosecution by the Department of Justice under the Sherman Act and (ii) private civil actions under the Clayton Act. *See* 46 U.S.C. § 40102(2) (defining “antitrust laws” to include, among other things, Sherman Act and Clayton Act).); *see also* Defs.’ Consol. Br. in Opp. to DPPs’ Appeal at VII.A.

If, however, the ocean common carriers’ agreement is not filed with the FMC, then the ocean common carriers are subject to criminal or civil prosecution by the Department of Justice under the Sherman Act, but they remain immune from private suits under the Clayton Act. *See* 46 U.S.C. § 40307(d). This is so because, in lieu of any Clayton Act claim, the Shipping Act provides a clear private remedy for operating under an agreement that has not become effective or for other violations of the Shipping Act: a complaint for reparations before the FMC. 46 U.S.C. § 41301. As the district court explained, the FMC “possesses power not unlike a district court” and may award up to double actual damages. JA51-52 (holding that, “while no private party may sue for damages or for injunctive relief under the antitrust laws for conduct [prohibited by the Shipping Act], the FMC is empowered to order reparations, including double damages, to impose sanctions and penalties for prohibited conduct”) (quoting *A & E Pac. Const. Co. v. Saipan Stevedore Co.*, 888 F.2d 68, 71 (9th Cir. 1989)). With the

1984 overhaul of the Shipping Act, “Congress removed the private right of action for antitrust violations based on conduct prohibited in the Act.” *Seawinds Ltd v. Nedlloyd Lines, B.V.*, 80 B.R. 181, 184 (N.D. Cal. 1987), *aff’d*, 846 F.2d 586 (9th Cir. 1988).

In addition to the plain reading of the statute, the legislative history also clearly demonstrates that Congress intended that the Shipping Act provide the sole remedy for violations of its terms, including operating pursuant to an unfiled agreement. In those cases “[t]he antitrust exposure for these so-called ‘secret’ agreements is limited to injunctive and criminal prosecution by the Attorney General, and does not carry with it any private right of action otherwise available under the antitrust laws.” Report of the House Committee on Merchant Marine and Fisheries, H.R. Rep. No. 98-53, pt 1, at 12, 177. Congress also intended “that violations of this Act not result in the creation of parallel jurisdiction over persons or matters which are subject to the Shipping Act of [1984]; the remedies and sanctions provided in the Shipping Act of [1984] will be the *exclusive remedies* and sanctions for violations of the Act.” *Ibid.* (emphasis supplied).

The district court properly relied on this legislative history when it held that “the state laws at issue conflict with the [Shipping] Act’s first purpose of minimizing government intervention and regulatory costs” and are therefore preempted. JA51. The IPPs, however, argue that the legislative history of a House

version of a bill -- H.R. 1878 -- must be ignored because Congress later enacted the Senate's version of the bill, S. 47, albeit during the same Congressional term. The IPPs' reading of the legislative history is factually wrong. Congress actually adopted the House provisions of Section 7. H.R. (Conf.) Rep. No. 98-600, 98th Cong., 2d Sess. 37 (February 23, 1984) ("Section 7 defines the limits of antitrust immunity for conduct pursuant to this Act. The provisions in the House and Senate bills were similar. The conferees agree to the House provisions with a few exceptions."). In any event, the IPPs fail to point to any substantive differences, as related to the Clayton Act bar, between these versions of the law or the current Act. Their failure is understandable: the language is identical. *Compare* H.R. 1878 section 7(c)(2), *with* S. 47 section 8(c)(2). This is the language that ultimately was enacted and became law. *See* 46 U.S.C. § 40307(d).

Even if there had been changes to this portion of the law, courts understandably are free to consider the legislative history of draft versions of the law. *See Dawson Chem. Co. v. Rohm & Haas Co.*, 448 U.S. 176, 204 (1980) ("Although the final version of the statute reflects some minor changes from earlier drafts, the essence of the legislation remained constant[.] Accordingly, we regard each set of hearings as relevant to a full understanding of the final legislative product."); *Roe v. Casey*, 623 F.2d 829, 835 (3d Cir. 1980) ("The Congressional debates on the previous versions of the Hyde Amendment are analyzed extensively

in the opinions of [other Circuits.] Our independent analysis of the[] most recent debates indicates that they reveal the same Congressional concerns and the same Congressional intention as the earlier ones. We therefore conclude that in enacting the present . . . Hyde Amendment, Congress intended, as it had in the earlier Hyde Amendments, to alter the scope of Title XIX to restrict the funding of abortions.”).

The 1983 House Report, as relied on by the district court, explicitly is applicable to the successful 1984 legislation, which was just a later, substantially similar version of its 1983 version. Because Congress intended to create a comprehensive statutory scheme in dealing with this issue, it took several years and multiple sessions of Congress to finalize; the 1983 version was an important precedent step to the eventual 1984 Act. By asking the Court to ignore all previous versions and iterations and the related debates, the IPPs assume that these have no relevance at all; that ostrich-like approach ignores the nature of the legislative process and contradicts the lessons of *Dawson* and *Roe*.¹³

Tellingly, the district court was not the first court to rely on the 1983 House Report; twenty-eight years earlier, the United States District Court for the Northern District of California relied on this same report, holding that “the

¹³ The 1983 House Report acknowledges the evolution and provenance of the 1984 Shipping Act: “H.R. 1878 has its genesis in three major pieces of legislation considered by this Committee in the 95th, 96th and 97th Congresses.” Report of the House Committee on Merchant Marine and Fisheries, H.R. Rep. No. 98-53, pt. 1, at *4.

legislative history to the Act reflects Congress's intent that the 'remedies and sanctions provided in the Shipping Act of [1984] will be the exclusive remedies and sanctions for violation of the Act.'" *Seawinds, Ltd.*, 80 B.R. at 184 (citing 1983 House Report); *see also Am. Ass'n of Cruise Passengers v. Carnival Cruise Lines*, 911 F.2d 786, 791-92 (D.C. Cir. 1990) (relying on 1983 report to conclude that Shipping Act barred private Clayton Act claims against ocean common carriers in respect of anticompetitive boycott agreements).¹⁴

Even if one ignores the 1983 House Report in its entirety, the Joint Conference Report from 1984 -- cited by the IPPs a number of times -- likewise supports preemption; it states plainly that "[p]rivate suits for damages under the antitrust laws will no longer be permitted when the injury is the result of conduct prohibited by the Shipping Act." H.R. (Conf.) Rep. No. 98-600, 98th Cong., 2d Sess. 40 (February 23, 1984).

- b. The IPPs' state law claims stand as an obstacle to the Shipping Act's purposes and objectives.

Allowing the IPPs to bring private antitrust claims under the laws of dozens of states (as well as the District of Columbia and various territories) plainly

¹⁴ These earlier reports, including the 1983 House Report, also are cited by the FMC in construing the Shipping Act. *Ocean Common Carriers Subject to the Shipping Act of 1984*, 28 SRR 1414, 1418-19 (FMC 2000); *Edaf Antilles, Inc. v. Crowley Caribbean Logistics, LLC*, 2015 WL 6275657, Docket No. 14-04 (Init. Dec., Admin. Final 2015).

“stands as an obstacle to the accomplishment and execution of the full purposes and objectives of Congress.” *Edgar*, 457 U.S. at 631 (quoting *Hines*, 312 U.S. at 67); *Farina*, 625 F.3d at 115 (3d Cir. 2010). Subjecting Defendants to a wide variety of laws, jurisdictions, and remedies in courts around the country for conduct exempt from federal antitrust law would eviscerate, rather than promote, the “certainty and predictability in regulation” that Congress sought to achieve. Report of the House Committee on Merchant Marine and Fisheries, *supra*, at *4.

The IPPs would have this Court believe that Congress’s silence as to state antitrust laws means that Congress did not intend to preempt state antitrust law. That interpretation fails for at least five separate reasons. First, even absent an express provision, federal law can and does preempt state law; that is the basis for *implied* preemption. *See, e.g., Crosby*, 530 U.S. at 372 (under doctrine of implied preemption, “[e]ven without an express provision for preemption . . . state law must yield to a congressional Act”).¹⁵

¹⁵ As this Court has emphasized, courts should give weight

not only to Congress’s express statements, but also to the structure and purpose of the statute as a whole, as revealed not only in the text, but through the reviewing court’s reasoned understanding of the way in which Congress intended the statute and its surrounding regulatory scheme to affect business, consumers, and the law.

Second, the IPPs concede that silence in the Shipping Act is not dispositive. They acknowledge that state antitrust laws are preempted when carriers operate pursuant to an effective agreement under § 40307(a),¹⁶ despite the fact that § 40307(a) itself is silent as to state antitrust law. *See* IPPs’ Br. at 36–37. At the same time, the IPPs illogically claim that § 40307(d)’s silence as to state antitrust law must mean that state antitrust law is not preempted. That simply makes no sense. The IPPs cannot have it both ways: *either* silence as to state antitrust laws in the Shipping Act means that there is no preemption, resulting in state criminal and civil antitrust liability for carriers otherwise immune from federal antitrust law -- an “absurd result” that IPPs acknowledge cannot be the case, *see* IPPs’ Br. at 36-37 -- *or* silence as to state antitrust laws in the Shipping

[*Farina*, 625 F.3d at 115 (quoting *Medtronic, Inc. v. Lohr*, 518 U.S. 470, 486 (1996))].

See also Lockyer v. Dynegy, Inc., 375 F.3d 83, 849 (9th Cir. 2004) (“Preemption of state law is compelled whether Congress’ command is explicitly stated in the statute’s language or implicitly contained in its structure and purpose”).

¹⁶ One must assume that the IPPs intended to refer to § 40307(a), which applies to filed and effective agreements, and not § 40307(d) -- as cited in their brief -- which applies to agreements that have not been filed. *See* IPPs’ Br. at 36-37 (“Appellants agree that should the case ever arise where a plaintiff files state law antitrust claims seeking to impose liability for actions done pursuant to a filed or exempt agreement, those claims should be preempted since the carriers ought to receive the protection of § 40307(d)[.]”). As explained here, however, state antitrust laws are preempted by § 40307(d).

Act is not dispositive, requiring that one look to Congressional intent as a part of the preemption inquiry. The IPPs must “pick their poison.”

Third, the IPPs’ reliance on *Pennsylvania Medical Society v. Marconis*, 942 F.2d 842 (3d Cir. 1991), is misplaced. The Congress that drafted the relevant law in *Marconis* received a report which listed the state law prohibitions at issue; it also received a report from the General Accounting Office surveying the costs and benefits of relevant state practices. *Id.* at 849-50. In those circumstances, this Court concluded that “Congress was and has been undisputedly aware of the fact that at least four states had balance billing restriction statutes and that similar restrictions had been considered by some 18 states.” *Id.* at 850. In contrast, the IPPs cite no evidence that Congress considered state antitrust laws when drafting the Shipping Act of 1984.¹⁷ Indeed, as the IPPs stated in their supplemental brief to the district court, the legislative history is “bereft of meaningful discussion of state antitrust laws.” JA53 (citing IPPs’ supplemental brief). As the district court reasoned, this “lack of discussion makes sense given the dearth of state tort litigation in the field of national and international maritime commerce when Congress passed the Shipping Act.” JA53-54. Notably, with the

¹⁷ The legislative history shows that the definition of “antitrust laws” was “adapted from section 15 of the 1916 Act.” S. Rep. 98-3 at 19 (1983). Thus, it can be inferred that Congress did not consider the state antitrust laws in drafting and enacting the Shipping Act of 1984.

exception of *Zachry-Dillingham v. American President Lines, Ltd.* -- a decision of the intermediate appeals court in Texas discussed *infra.* at n.24 and accompanying text -- the dearth of state law claims continued in the 30 years after passage of the 1984 Act.

Fourth, the existence of an express preemption provision in 46 U.S.C. § 31307 does not foreclose implied preemption. The IPPs correctly note that this statute explicitly bars state law civil actions,¹⁸ but they fail to distinguish that this was a different act – addressing commercial instruments and maritime liens -- passed by a different Congress four years after the Shipping Act of 1984 was adopted.¹⁹ Even if there is an express preemption clause in one subsection of the Shipping Act of 1984, “the expression of preemption in one subsection does not mean that preemption was not intended by the language of another subsection on another topic” because “the purpose of Congress is the ultimate touchstone in every preemption case.” *Deweese*, 509 F.3d at 249 (internal citations omitted). Further, in conceding that state law is preempted for agreements effective under § 40307(a), the IPPs perforce concede that Congressional intent, and not the

¹⁸ Section 31307 states in full that “[t]his chapter supersedes any State statute conferring a lien on a vessel to the extent the statute establishes a claim to be enforced by a civil action in rem against the vessel for necessities.” 46 U.S.C. § 31307.

¹⁹ The legislative history of this subtitle never references the 1984 Shipping Act or, save for one analogy, the FMC. H. R. Rep. 100–918 (1988).

existence of explicit preemption elsewhere in a statute, is the determining factor. At the same time, the IPPs do not provide any logical explanation for the distinction they seek to draw: that state antitrust law should be impliedly preempted for effective agreements pursuant to § 40307(a) but not for unfilled agreements subject to § 40307(d). This Balkanized reading of the statute is untenable.

Finally, the IPPs' assertion that allowing them to pursue their state law antitrust claims furthers the FMC's regulatory process by "incentivizing carriers to submit their agreements for review by the FMC[,]" IPPs' Br. at 35, fails to recognize that the Shipping Act already provides significant incentives for carriers to file agreements with the FMC and runs contrary to Congress's intent to eliminate private antitrust damages. Ocean common carriers that operate under agreements that are on file and have become effective receive full antitrust immunity, including immunity from criminal prosecution; ocean common carriers that operate under an unfilled agreement or one that has been filed but it not effective receive no immunity from criminal prosecution under the Sherman Act and are subject to up to double damages in claims brought before the FMC. 46 U.S.C. §§ 40307(a), (d); 41301, *et seq.* Congress already determined that additional private antitrust remedies were not only unnecessary, but undesirable. This was the point of barring private antitrust claims pursuant to the Clayton Act in

§ 40307(d), and instead requiring that plaintiffs bring all claims before the FMC. That comprehensive scheme furthers both the Shipping Act's first purpose of minimizing "government intervention and regulatory costs" for carriers and its fourth purpose of promoting "competitive and efficient ocean transportation." 46 U.S.C. § 40101. Undaunted, the IPPs ask that this Court ignore Congress's decision to eliminate private antitrust claims under the Clayton Act and allow them to bring claims under state antitrust laws in furtherance of the Shipping Act's fourth purpose.²⁰ They do so ignoring that any marginal benefit from allowing the IPPs' state antitrust claims is irrelevant.

c. The IPPs wrongly rely on cases that do not address the Shipping Act of 1984.

The IPPs try to salvage their claims from the preemptive reach of the Shipping Act by asserting that no court has held that state antitrust claims are

²⁰ The law is clear: even a state law that is harmonious with or supplements the federal regime is preempted. *See, e.g., Locke, supra*, 529 U.S. at 115 ("When Congress has taken the particular subject-matter in hand coincidence is as ineffective as opposition, and a state law is not to be declared a help because it attempts to go farther than Congress has seen fit to do"); *Ark. La. Gas Co. v. Hall*, 453 U.S. 571, 584 (1981) ("[T]o allow the State to grant a remedy here which has been withheld from the [agency] only accentuates the danger of conflict.") Moreover, preemption law counsels that preemption is especially appropriate where there are multiple purposes to balance. *See, e.g., Farina, supra*, 625 F.3d at 123 ("The Supreme Court's preemption case law indicates that regulatory situations in which an agency is required to strike a balance between competing statutory objectives lend themselves to a finding of conflict preemption." (citations omitted)).

conflict preempted by the Shipping Act. *See* IPPs’ Br. at 38. They concede, however, that no court ever has addressed “the precise question” at issue in this case: “whether the Shipping Act preempts state antitrust laws.” IPPs’ Br. at 38. Faced with an admitted lack of on-point precedent, the IPPs scavenge for support in four cases interpreting statutes other than the Shipping Act of 1984. Because the preemption inquiry is inherently statute-specific, the IPPs’ invocation of these cases does nothing to bolster their claim.

For example, the IPPs cite *Pacific Merchant Shipping Ass’n v. Aubry*, 918 F.2d 1409 (9th Cir. 1990), and *Wylie v. Foss Maritime Co.*, No. C 06-07228 MHP, 2008 WL 4104304 (N.D. Cal. Sept. 4, 2008), to argue against conflict preemption. Neither case deals with the Shipping Act of 1984. Both *Aubry*²¹ and *Wylie* address 46 U.S.C. § 8104, which is located in Subtitle II (“Vessels and Seamen”) of Title 46 of the U.S. Code. Notwithstanding the common usage of the statutory title “Shipping Act” and the IPPs’ unfounded assertion that both cases “held that no actual conflict existed [under] the *Shipping Act of 1984*,” IPPs’ Br. at 38 (emphasis supplied), neither *Aubry* nor *Wylie* deals with the Shipping Act of 1984, which in fact is codified in Subtitle IV (“Regulation of Ocean Shipping”) of Title 46 of the U.S. Code, as noted by the district court. JA56 (“[I]n *Aubry* and

²¹ *Aubry* refers to 46 U.S.C. §§ 2101-14701 as “The Shipping Act.” That is a historical anomaly: *Aubrey* was decided in 1990, when the Shipping Act of 1984 was codified elsewhere, at 46 U.S.C. App. §§ 1701 *et seq.*

Wylie, reference to the ‘Shipping Act’ is to a different statute than the one before the Court here.”). Neither *Aubry* nor *Wylie* supports the IPPs’ attempt to undermine the preemptive force of the Shipping Act of 1984 vis-à-vis state antitrust laws.²²

The IPPs fare no better in their reliance on *Zachry-Dillingham v. American President Lines, Ltd.*, 739 S.W.2d 420 (Tex. App. 1987), writ denied (Jan. 27, 1988), cert. denied, 487 U.S. 1218 (1988). *Zachry-Dillingham* does not support the IPPs’ argument: it addresses the Shipping Act of 1916, not the Shipping Act of 1984. The statutory provision on which it relies was “repealed by the Shipping Act of 1984[,]” *id.* at 421 n.1;²³ and there is no doubt that the

²² To the extent these cases are considered for their preemption analysis, they are readily distinguishable. For example, *Wylie* addressed the manning provision of 46 U.S.C. § 8104, mandating a maximum 12-hour work day, and Section 510 of the California Labor Code, requiring overtime pay for hours worked in excess of eight hours; it concluded that there was no conflict because the California Labor Code only required “payment of a higher rate of wages . . . but stopped short of setting a firm maximum on hours of work . . . different from the hours permitted under 46 U.S.C. § 8104(b).” 2008 WL 4104304 at *9-10. That is not the case here: permitting the IPPs to recover under state antitrust laws clearly conflicts with Congress’s intent that the Shipping Act provide the “exclusive remedy” for violations of the Act. Further, states historically have had a significant role in regulating labor -- the subject of 46 U.S.C. § 8104(b) -- in contrast to maritime law, which traditionally has been regulated exclusively by federal, and not state, law.

²³ See Section 20(a) of the Shipping Act of 1984, Pub.L. 98-237 § 20(a), 98 Stat. 67, codified at 46 U.S.C. App. § 1701, *et seq.* (Supp. III 1985).

Shipping Act of 1984 substantially amended the Shipping Act of 1916.²⁴ Further, as the district court explained, *Zachry-Dillingham* “is entirely devoid of analysis with respect to Congress’s purposes of minimizing government intervention and regulatory costs.” JA28.²⁵ In short, the district court correctly concluded that *Zachry-Dillingham* is irrelevant to whether the Shipping Act of 1984 preempts the IPPs’ state antitrust claims.

The IPPs also urge that this Court simply ignore the Shipping Act of 1984 and rely instead on *Carnation Co. v. Pacific Westbound Conference*, 383 U.S. 213 (1966), which also interprets the Shipping Act of 1916 and which was decided 18 years before the Shipping Act of 1984 was adopted. *Carnation* held that the existence of reparations under the Shipping Act of 1916 did not affect rights under the antitrust laws, thereby giving plaintiffs a choice. Although Section 15 of the Shipping Act of 1916 provided specific remedies for violations of that

²⁴ See, e.g., H. R. Rep. 98-53, pt. 1, at *4 (“To avoid the uncertainty created by the vagueness of the 1916 Shipping Act, the Committee intends that violations of this Act not result in the creation of parallel jurisdiction over persons or matters which are subject to the Shipping Act of [1984]; the remedies and sanctions provided in the Shipping Act of [1984] will be the exclusive remedies and sanctions for violations of the Act.”).

²⁵ Even assuming that *Zachry-Dillingham* correctly concludes that “[i]mmunity from the Texas DTPA is not necessary to the accomplishment of any congressional objective expressed by the Shipping Act [of 1916],” that plainly is not the case under Section 40307(d) of the Shipping Act of 1984. Application of state antitrust laws to conduct exempt from federal antitrust law severely undermines the “certainty and predictability in regulation” that Congress sought to achieve in passing the Shipping Act. See H.R. Rep. No. 98-53, pt 1, at *4.

act, nowhere did it limit recovery to the remedies provided by the Shipping Act of 1916. But, that was then and this is now: section 40307(d) of the Shipping Act of 1984 explicitly eliminates private antitrust remedies pursuant to the Clayton Act, thereby removing the choice to pursue private antitrust remedies. If this explicit limitation is not enough, the legislative history also makes clear that Congress intended for the Shipping Act to provide the “exclusive remedies” for violations of the Shipping Act, such as operating under an unfiled agreement.²⁶ The IPPs also conveniently ignore that the legislative history of the Shipping Act of 1982 -- which should be considered part of the relevant legislative history for the Shipping Act of 1984 -- specifically noted that Congress had determined “to legislatively overturn *Carnation, Sabre* . . . and their progeny.” 34.²⁷

4. The district court correctly concluded that the Shipping Act preempted the IPPs’ state law claims.

In sum, the district court correctly determined that permitting the IPPs to bring claims under state antitrust laws conflicts with the central purposes of the

²⁶ As is clear from the legislative history and the plain meaning of the Act, the Shipping Act of 1984 overruled *Carnation*. The addition of section 40307(d) -- eliminating the availability of damages under the Clayton Act -- and its legislative history make clear that this was both the intent and the effect of the amendments resulting in the Shipping Act of 1984.

²⁷ Congress identified the dangers posed by such parallel jurisdiction and multiple liability, noting that carriers “have been subjected to multiple jeopardy for Shipping Act violations; civil penalties, criminal sanctions, and private treble damage actions.” S. Rep. No. 98-3, 98th Cong., 1st Sess. 12 (Feb. 17, 1983).

Shipping Act of minimizing government intervention and regulatory costs. Once that conflict was identified, preemption necessarily followed, particularly as the Shipping Act itself provides a proper forum for the IPPs' complaints: the FMC. And, the IPPs already have sought relief in that forum.

In the end, the IPPs provide no viable explanation for their tortured reading of the Shipping Act, which they concede preempts state antitrust laws for certain purposes. Their remaining arguments ignore case law regarding implied preemption and instead focus on the lack of preemption under unrelated statutes. For those reasons, this Court should affirm the district court's conclusion that the IPPs' state law claims are preempted.

B. The district court did not abuse its discretion or otherwise err in denying the IPPs' motion for reconsideration to retain jurisdiction to effectuate settlements.²⁸

1. Statement of the standard or scope of review.

The district court denied the IPPs' motion for reconsideration because the "IPPs have not shown that 'dispositive factual matters or controlling decisions of law were overlooked by the court in reaching its prior decision,' as is required to

²⁸ This argument is advanced solely on behalf of the Settling Defendants. The remaining, non-settling Defendants -- the CSAV Defendants, the Höegh Defendants, the NYK Defendants, and the WWL/EUKOR Defendants -- had not settled with the IPPs and, hence, took no position on the IPPs' motion for reconsideration before the district court. JA59. They likewise take no position here.

support reconsideration.” JA62 (citation omitted). It further concluded that the “IPPs have not identified an intervening change in the controlling law, alerted the Court to the availability of new evidence that was not available when the Court issued its Opinion, or alleged that the Opinion was the result of a clear error of fact or law or will result in manifest injustice.” JA62-63.

The denial of a motion for reconsideration is generally reviewed for an abuse of discretion. *United States v. Smith*, 445 F.3d 713, 716 (3d Cir. 2006). To the extent that the denial of a motion for reconsideration is based on “the interpretation and application of a legal precept[,]” this Court’s review is plenary. *Koshatka v. Phila. Newspapers, Inc.*, 762 F.2d 329, 333 (3d Cir. 1985).

2. Background.

On July 23, 2015 and August 17, 2015, with motions to dismiss pending before the district court, the IPPs notified the court that they had agreed in principle to settle with the Settling Defendants. JA29 n.1. On August 28, 2015 -- before the IPPs finalized full settlement agreements with the Settling Defendants or filed any preliminary motions for approval of the settlements -- the district court dismissed with prejudice the IPPs’ consolidated complaints against all Defendants, holding that the Shipping Act bars the IPPs’ federal claims and preempts their state law claims, over which the FMC has exclusive jurisdiction. JA45-57. Following the dismissal, the IPPs moved for reconsideration, requesting that the district court

“retain jurisdiction over [the Settling Defendants] for the purpose of consummating and enforcing the settlement agreements reached in principle.” JA63. The district court denied that motion because jurisdiction over the IPPs’ claims properly lies with the FMC. JA64. This appeal followed.

The Settling Defendants are prepared to abide by their agreements with the IPPs, provided, of course, that the district court has jurisdiction to oversee settlement proceedings and deliver effective class-wide releases for which the Settling Defendants have bargained. The district court, however, lacks jurisdiction to oversee settlement proceedings because it lacks jurisdiction to hear the IPPs’ case; this is so because, as the district court held, the IPPs’ claims are preempted by the Shipping Act.

3. The district court must have jurisdiction in order to enforce the settlements.

“[F]ederal courts have an independent obligation to ensure that they do not exceed the scope of their jurisdiction, and therefore they must raise and decide jurisdictional questions.” *Henderson ex rel. Henderson v. Shinseki*, 562 U.S. 428, 434 (2011). This includes questions “that the parties overlook or elect not to press.” *Ibid*. Even if a plaintiff appears to establish jurisdiction at the outset of a case, the district court may later conclude that it lacks jurisdiction. *See, e.g., Robinson v. Hornell Brewing Co.*, No. CIV. 11-2183 JBS-JS, 2012 U.S. Dist. LEXIS 176699 (D.N.J. Dec. 13, 2012) (holding that court could not retain

jurisdiction after denying class certification for lack of standing under Class Action Fairness Act); *Falcon v. Phillips Elecs. N. Am. Corp.*, 489 F. Supp. 2d 367, 368 (S.D.N.Y. 2007) (holding that jurisdiction under Class Action Fairness Act may be lost if class certification was denied on basis that precludes reasonably foreseeable possibility of subsequent class certification).

Federal courts do not have jurisdiction to enforce a settlement agreement merely because the agreement resolved underlying claims brought in federal court. See *Kokkonen v. Guardian Life Ins. Co. of Am.*, 511 U.S. 375, 380–81 (1994) (“[T]he concept of limited federal jurisdiction [does not] permit[] us to assert[] ancillary jurisdiction over any agreement that has as part of its consideration the dismissal of a case before a federal court.”); *In re Phar-Mor, Inc. Securities Litig.*, 172 F.3d 270, 274 (3d Cir. 1999) (“[M]ere approval of a settlement agreement does not confer subject matter jurisdiction to enforce that agreement.”).

The cases on which the IPPs rely do not hold otherwise. *In re Stock Exchanges Options Trading Antitrust Litigation*, 317 F.3d 134 (2d Cir. 2003), for instance, confirms that a district court may not oversee settlement proceedings where it lacks jurisdiction over the case itself. The defendants argued, and the district court agreed, that because the federal securities laws impliedly repealed the antitrust laws in respect of the defendants’ conduct, the court was stripped of

federal subject matter jurisdiction over the case. Because the Court concluded that it lacked jurisdiction, it refused to entertain the motion for approval of the class settlement. *Id.* at 143-44. The Second Circuit disagreed that the implied repeal stripped the court of subject matter jurisdiction. *Id.* at 152. On that basis, and noting that the parties sought approval of their settlement agreements *before* the court had adjudicated the question of implied repeal, the Second Circuit concluded that the district court had jurisdiction to entertain and rule on the motions for approval of the proposed settlements. *Id.* at 153. Nothing in *In re Stock Exchanges Options Trading Antitrust Litigation* suggests that where, as here, the court lacks jurisdiction over claims as a result of preemption, it nevertheless can retain jurisdiction and hold open a matter to rule on yet-to-be-filed settlement motions and to enforce the same.

Another instructive case from the Second Circuit is *In re Literary Works in Electronic Databases Copyright Litigation*, 509 F.3d 116 (2d Cir. 2007), *rev'd on other grounds*, 559 U.S. 154 (2010). In *Literary Works*, the district court approved class settlements concerning unregistered copyrights but “never considered whether it had jurisdiction to certify a class consisting mostly of claims arising from unregistered copyrights, or to approve a settlement resolving those claims.” *Id.* at 120. The Second Circuit vacated the settlement based on its view that the copyright registration requirement “is a jurisdictional prerequisite to a

copyright infringement suit,” and therefore “the District Court lacked jurisdiction to certify the class and approve the settlement agreement.” *Id.* at 125, 128. The Supreme Court later reversed the former of those points without opining on the latter. *See Reed Elsevier, Inc. v. Muchnick*, 559 U.S. 154, 169 (2010) (explaining that the “registration requirement is nonjurisdictional”).

In short, the IPPs do not -- and cannot -- argue that a district court has the power to oversee settlement proceedings pursuant to *Rule* 23 if it otherwise lacks jurisdiction over the case.²⁹

4. The district court correctly held that jurisdiction over the IPPs’ claims lies with the FMC.

The district court held that the IPPs’ claims are preempted and that jurisdiction properly lies with the FMC. JA57, 64. Although the IPPs argue that the district court’s holding does not divest the court of jurisdiction, IPPs’ Br. at 45-46, the cases on which they rely focus on whether preemption provides a basis for removal from state court to federal court. *Ibid.* (citing *Vorhees v. Naper Aero Club, Inc.*, 272 F.3d 398 (7th Cir. 2001), and *In re Processed Egg Prods. Antitrust*

²⁹ The IPPs cite cases for the undisputed proposition that a valid settlement agreement is binding upon the parties. IPPs’ Br. at 46–47. The IPPs also argue that there is a “strong judicial policy in favor of parties voluntarily settling lawsuits” and argue that the district court “should have exercised its discretion and its jurisdiction to effectuate the settlements agreed to by the parties and [to] bring to a close a large portion of the case before it.” *Id.* at 47–48. But none of the cases the IPPs cite holds that a district court has inherent authority to enforce a class settlement agreement if the district court otherwise lacks jurisdiction.

Litig., 836 F. Supp. 2d 290 (E.D. Pa. 2011)). The issue here is not whether the Shipping Act appears on the face of the IPPs' complaints. Rather, it is whether the district court can retain jurisdiction over the parties' settlements when it lacks jurisdiction over the IPPs' claims. In any event, the removal cases the IPPs cite highlight circumstances in which preemption is jurisdictional: when Congress intended the federal cause of action to be exclusive; and when Congress provided an alternative forum for that cause of action. *See Vorhees*, 272 F.3d at 403; *In re Process Egg Prods.*, 836 F. Supp. at 300–01.

Both conditions are satisfied here, and they support the district court's holding that the Shipping Act deprives it of jurisdiction to hear the IPPs' claims. First, "the remedies and sanctions provided in the Shipping Act of [1984] will be the exclusive remedies and sanctions for violations of the Act." JA54 (citing Report of the House Committee on Merchant Marine and Fisheries, H.R. Rep. No. 98-53, pt. 1, at 12 (1983), reprinted in 1984 U.S.C.C.A.N. 167, 177 ("House Report")). Second, "the Shipping Act of 1984 . . . vest[s] in the [FMC] exclusive jurisdiction over administration of the Shipping Act's provisions." JA55 (citing House Report at 3–4, 168–69). Based on those principles, the district court concluded that defendants cannot be subject to "private actions under a patchwork of state laws for the same exact conduct that is exempt from federal antitrust law," and that aggrieved parties must avail themselves of the exclusive remedial scheme

established by the Act: pursuing a claim with the FMC. JA57; *see also Kontrick v. Ryan*, 540 U.S. 443, 455 (2004) (explaining that rule is properly referred to as “jurisdictional” where it “delineat[es] the classes of cases . . . falling within a court’s adjudicatory authority”).

This Court has not considered the discrete question presented here: whether the FMC’s exclusive authority to hear private actions alleging conduct covered by the Shipping Act is a restriction on the power of federal courts. However, several courts outside this Circuit have concluded that it is. For example, the Ninth Circuit held that the Shipping Act “bars private antitrust lawsuits, providing instead for an administrative complaint and review process before the FMC, which has *exclusive jurisdiction* over all such matters.” *A & E Pac. Constr. Co. v. Saipan Stevedore Co.*, 888 F.2d at 71 (emphasis supplied). Similarly, the Northern District of California has explained that “Congress intended to clarify shippers’ potential liability for conduct previously covered by the antitrust laws, to restrict remedies and sanctions therefor to those enumerated in the 1984 Act, and to vest *exclusive jurisdiction* in the FMC for the oversight of this remedial scheme.” *Seawinds Ltd.*, 80 B.R. at 184–85.

In the context of an analogous statutory regime, federal courts have concluded that they lack jurisdiction to resolve certain state law claims that are preempted. The Railway Labor Act (the “RLA”), 45 U.S.C. § 151, *et seq.*, governs

labor relations in the railroad and airline industries. Under the RLA, certain disputes concerning a collective bargaining agreement cannot be heard in federal court because they are “subject to compulsory and binding arbitration” before a body titled the “Adjustment Board.” *Consol. Rail Corp. v. Ry. Labor Executives’ Ass’n*, 491 U.S. 299, 303–04 (1989) (explaining that Adjustment Board “has exclusive jurisdiction over minor disputes”); *see also Int’l Ass’n of Machinists & Aerospace Workers v. U.S. Airways, Inc.*, 358 F.3d 255, 260 (3d Cir. 2004) (noting Adjustment Board’s “exclusive jurisdiction”). The RLA channels “minor disputes”³⁰ to the Adjustment Board and preempts state law claims that depend on the interpretation of a collective bargaining agreement. For example, in *Andrews v. Louisville & Nashville Railroad Co.*, 406 U.S. 320 (1972), a plaintiff brought a state-law claim for “wrongful discharge.” *Andrews* held that the plaintiff’s claim, even though characterized as one brought under state law, was governed by the RLA and thus was “subject to the Act’s requirement that it be submitted to the Board for adjustment.” *Id.* at 324. This Court likewise has explained that, where a state law claim involves a “minor dispute” within the meaning of the RLA,

³⁰ “Minor dispute” is a term of art that does not indicate the importance or severity of the conduct at issue. *See, e.g., Consol. Rail Corp.*, 491 U.S. at 302 (“[The Court] adopted the major/minor terminology, drawn from the vocabulary of rail management and rail labor, as a shorthand method of describing two classes of controversy Congress had distinguished in the RLA: major disputes seek to create contractual rights, minor disputes to enforce them.”).

“arbitration of the [plaintiffs’] claims is mandatory, and the courts are without jurisdiction to hear the dispute.” *Pa. Fed’n of Bhd. of Maint. of Way Emps. v. Nat’l R.R. Passenger Corp. (Amtrak)*, 989 F.2d 112, 116 (3d Cir. 1993). In other words, the RLA -- like the Shipping Act --directs “which forum can hear the dispute.” *Ibid.*; see also *Hawaiian Airlines, Inc. v. Norris*, 512 U.S. 246, 261 (1994) (explaining that “where the resolution of a state-law claim depends on an interpretation of the [collective bargaining agreement], the claim is pre-empted” by RLA). Both the Shipping Act and the RLA vest in a non-Article III tribunal “exclusive jurisdiction” to hear claims under the relevant statute, and thereby preempt claims challenging conduct governed by the respective statute. JA55; *Consol. Rail Corp.*, 491 U.S. at 304.

Because the Shipping Act provides that the FMC, not the district court, must adjudicate the IPPs’ claims, the district court properly described the provision requiring that claims be directed exclusively to the FMC as jurisdictional. *Henderson*, 562 U.S. at 435 (“We have urged that a rule should not be referred to as jurisdictional unless it governs a court’s adjudicatory capacity, that is, its subject-matter or personal jurisdiction.”).

VII. CONCLUSION.

For the foregoing authority, arguments and reasons, Defendants respectfully pray that the judgment of the district court be affirmed.

Respectfully submitted,

DATED: August 8, 2016

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VIII. CERTIFICATE OF COMPLIANCE.

I hereby certify that:

1. This brief complies with the type-volume limitations of *Fed. R. App. P.* 32(a)(7)(B) because this brief contains 11,104 words, excluding the parts of the brief exempted by *Fed. R. App. P.* 32(a)(7)(B)(iii).

2. This brief complies with the typeface requirements of *Fed. R. App. P.* 32(a)(5) and the type style requirements of *Fed. R. App. P.* 32(a)(6) because this brief has been prepared in a proportionally spaced typeface using Microsoft Word 2010 in 14-pt. Times New Roman font.

3. Pursuant to *L.A.R.* 31.1(c), the text of the electronic brief is identical to the text of the paper copies, and a virus detection program --System Center Endpoint Protection, version 4.3.220.0 -- has been run on the file and no virus was detected.

DATED: August 8, 2016

/s/ Roberto A. Rivera-Soto

IX. CERTIFICATE OF SERVICE.

I hereby certify that, on August 8, 2016, a true and correct copy of the foregoing consolidated brief in opposition to the IPPs' appeal was filed with the Court via the CM/ECF System. All participants in this appeal are ECF Filing Users, and are served electronically by the Notice of Docket Activity generated by the CM/ECF System.

DATED: August 8, 2016

/s/ Jason A. Leckerman

EXHIBIT C

1 UNITED STATES DISTRICT COURT.
2 FOR THE DISTRICT OF NEW JERSEY
3 CIVIL 13-3306 ES.

4 F. RUGGIERO & SONS, INC., ET AL, .
5
6 PLAINTIFFS, .

7
8 V.

Transcript of
Proceedings

9 MOTIONS

10 NYK LINES, INC., ET AL,
11
12 DEFENDANTS.

13 - - - - -

NEWARK, New Jersey
JULY 23, 2015

14 B E F O R E: HONORABLE ESTHER SALAS,
15 UNITED STATES DISTRICT JUDGE.

16
17 A P P E A R A N C E S:

18 WARREN BURNS, ESQ.
19 JAMES CECCHI, ESQ.

AND

20 CUNEO, GILBERT & LA DUCA, LLP.
BY: JONATHAN CUNEO, ESQ.

AND

21 COHN, LIFLAND, PEARLMAN, HERRMANN & KNOPF LLP
22 BY: PETER S. PEARLMAN, ESQ.

AND

23 JOSEPH DEPALMA, ESQ.

AND

24 FREED KANNER LONDON & MILLEN.
BY: STEVEN A. KANNER, ESQ.

25

1 COHEN MILSTEIN
2 BY: DAVID A. YOUNG, ESQ.
3 AND
4 DUANE MORRIS
5 BY: J. MANLY PARKS, ESQ.
6 AND
7 MC ELROY, DEUTSCH, MULVANEY & CARPENTER.
8 BY: LEWIS H. GOLDFARB, ESQ.
9 For the PLAINTIFFS.

10 CROWELL & MORING.
11 BY: CHAHIRA SOLH, ESQ.
12 AND: DANIEL A. SASSE, ESQ.
13 FOR PLAINTIFF GM.

14 BALLARD SPAHR LLP
15 BY: ROBERTO A. RIVERA-SOTO, ESQ.
16 AND.
17 CLEARY GOTTlieb STEEN & HAMILTON LLP.
18 BY: MARK W. NELSON, ESQ.
19 AND.
20 COZEN O'CONNOR.
21 BY: MELISSA H. MAXMAN, ESQ.
22 FOR THE DEFENDANTS.

23 Pursuant to Section 753 Title 28 United
24 States Code, the following transcript is certified to
25 be an accurate record as taken stenographically in the
above-entitled proceedings.

S/LYNNE JOHNSON

- - - - -
26 LYNNE JOHNSON, CSR, CM, CRR
27 OFFICIAL COURT REPORTER
28 UNITED STATES DISTRICT COURT
29 P.O. BOX 6822
30 LAWRENCEVILLE, NEW JERSEY 08648
31 EMAIL: CHJLAW@AOL.COM

1 THE COURT: We are on the record in the
2 matter of In Re Vehicle Carrier Services Antitrust
3 Litigation, master docket number 13-3306.

4 Let me have appearances by counsel.

5 MR. CECCHI: Good morning. James Cecchi on
6 behalf of the indirect purchasers. With me is
7 co-counsel, Warren Burns from Susman Godfrey.

8 MR. PEARLMAN: Peter Pearlman, Cohen
9 Lifland, for on behalf of the automobile dealer
10 plaintiffs. With me is my co-counsel, Jonathan Cuneo
11 from Cuneo, Gilbert and Laduca.

12 MR. PARKS: J. Manly parks, Duane morris, on
13 behalf of the Rush entities, truck and equipment
14 dealers.

15 MR. KANNER: Steven A. Kanner, Freed, Kanner
16 London & Millen.

17 MR. GOLDFARB: Lewis Goldfarb, McElroy,
18 Deutsch, Mulvaney & Carpenter.

19 THE COURT: All counsel that have entered
20 their appearances, at the break please confer with
21 Ms. Johnson, my court reporter, and make sure that she
22 has got your names down for the record. It is hard to
23 hear with the acoustics.

24 For the defense.

25 MR. RIVERA-SOTO: Good morning. I will try

1 to make it easier. We are just going to have the
2 appearances of those who will be speaking in the
3 Court.

4 Good morning, your Honor. May it please the
5 Court. My name is Roberto Rivera-Soto, Ballard Spahr.
6 I will be speaking on behalf of all of the defendants
7 in respect of the motion to dismiss, the indirect
8 purchasers complaint. I will also be speaking in
9 respect of the end payors' request for judicial
10 notice, again on behalf of all of the defendants. And
11 I will be speaking on behalf of the two sets of
12 defendants in respect of the motions involving General
13 Motors.

14 THE COURT: Okay.

15 MR. RIVERA-SOTO: I should note, your Honor,
16 that although I will be speaking on behalf of all of
17 the defendants for the indirect purchasers, Mr. Nelson
18 will be speaking on behalf of all of the defendants in
19 respect to the direct purchasers complaint, Ms. Maxman
20 on behalf of Hoegh, they filed a separate motion, and
21 they want to be heard, however briefly, in respect to
22 their motion.

23 THE COURT: I sent out an itinerary so all
24 counsel of what I intended to cover today. We will
25 see how we are doing on time. I read all the briefs.

1 I am going to outline everything I reviewed, and the
2 only issues that I sent out to counsel earlier this
3 week, and I believe counsel received it probably
4 Monday morning, was the itinerary of what I wanted to
5 cover for oral argument. So I will do my best to
6 accommodate counsel that want to be heard, but I just
7 am going to remind counsel that we are sticking to the
8 order and the itinerary that was previously submitted.

9 MS. MAXMAN: Understood. Thank you, your
10 Honor.

11 THE COURT: All right. So let's go over,
12 bear with me, everyone. There are a number of
13 documents. I want to put them on the record to
14 address what I just covered. Pending before the
15 Court are motions, and briefs that have been reviewed
16 by me. The following motions. End-payor plaintiffs'
17 request for judicial notice. Docket entry number 212.
18 Defendants' consolidated brief in opposition, docket
19 entry 213. Defendants' consolidated motion to dismiss
20 indirect purchaser complaints, docket entry number 2
21 09. Indirect purchaser brief in opposition, docket
22 entry number 210. Reply brief in further support,
23 docket entry number 211. End-payor letter brief
24 regarding Oneok and that is docket entry number 251.
25 Defendants' consolidated letter brief in response,

1 docket entry 252.

2 Defendants' consolidated motion to dismiss
3 direct purchaser complaint, docket entry number 218.
4 Direct purchasers brief in opposition, docket entry
5 number 219. Reply brief in further support. Docket
6 entry number 220. EUKOR's motion to dismiss all
7 complaints, docket entry 214. Direct purchaser
8 plaintiff opposition brief, docket entry number 215.
9 Indirect purchaser plaintiffs' opposition brief,
10 docket entry number 216. EUKOR reply brief docket
11 entry number 217. Hoegh's motion to dismiss direct
12 purchaser complaints, docket entry number 227. Direct
13 purchaser plaintiff opposition brief, docket entry
14 number 228. Hoegh reply brief, docket entry number
15 229. Hoegh motion to dismiss indirect purchaser
16 complaints, docket entry number 230. Indirect
17 purchaser plaintiff, opposition brief, docket entry
18 number 231. Hoegh reply brief, docket entry number
19 232.

20 Defendants' consolidated motion to stay the
21 time to answer, move or otherwise respond to the
22 complaint of General Motors, docket entry 255.

23 General Motors brief in opposition, docket
24 entry 261. General Motors motion to serve certain
25 foreign defendants through U.S. counsel, docket entry

1 number 256. Defendants' brief in opposition,
2 originally filed, docket entry number 262. Docket
3 entry number 263 was also filed to make a correction
4 with respect to docket entry 262. That was accepted
5 by the Court. General Motors reply brief, docket
6 entry number 265.

7 Are those all the motions that the Court
8 should have reviewed in anticipation of today's oral
9 argument.

10 MR. BURNS: I believe so, your Honor.

11 MR. RIVERA-SOTO: I certainly hope so, your
12 Honor.

13 THE COURT: So do I. Counsel, as I have
14 noted earlier, I have read all these motions. I
15 believe, other than the issues that have been
16 identified, I am satisfied that I can rule on with
17 what has been prepared in writing for the Court. So
18 the itinerary that we are going to focus on is really
19 where I believe I need to hear counsel. I set aside
20 the day today. Do I think we are going to use the
21 entire day? I hope not.

22 But if we do, we do. We are going to take
23 our time with these issues. We are going to go
24 through these issues one by one, and I appreciate
25 counsels' arguments in advance. I want to say thank

1 you. It is going to be a long day. We will take some
2 breaks in between. But I am ready to start
3 immediately with the judicial notice issue that has
4 been forwarded to the Court. And that of course is
5 the motion by plaintiffs' counsel, and I will hear
6 counsel. Just let me say for the record it is my
7 understanding that end-payor plaintiff's have
8 requested that the Court take judicial notice of seven
9 documents relating to two criminal actions brought by
10 the antitrust division of the United States Department
11 of Justice against CSAV and K Line, and quite frankly,
12 as I see it, practically speaking, there are three
13 categories, we are talking about court filings,
14 consisting of the CSAV information, CSAV plea
15 agreement, K Line information and the K Line plea
16 agreement.

17 Then we have the sentencing transcript from
18 those proceedings as well as the press releases.
19 Counsel has asked the Court to take judicial notice.

20 +MR. BURNS: Thank you, your Honor. Warren
21 Burns. Today I will be arguing on behalf of all of
22 the indirect purchasers, both for this motion as well
23 as the response to the motion to dismiss.

24 I don't want to belabor this particular point
25 too much, your Honor. I think there is, I would say

1 broad agreement on one point, that the Court can
2 consider items like plea agreements, like
3 informations, at least for the existence of
4 proceedings below. I don't think the defendants
5 dispute that.

6 If there is a dispute, I think it is with
7 respect to press releases. The defendants cite a
8 case, Schmidt v. Scolis for the proposition the press
9 releases are not susceptible to notice. I don't think
10 that is -- I don't think the case actually goes that
11 far. It is, the facts of that case were that the
12 press releases were being used to demonstrate
13 knowledge for purposes of limitations defense. They
14 were press releases issued by some of the parties, and
15 I don't think, frankly, they fall within the scope of
16 the rule.

17 Here, rule 201 (b) (2) is relatively clear.
18 It says the Court may judicially notice a fact that is
19 not subject to reasonable dispute because it can be
20 accurately and readily determined from sources whose
21 accuracy cannot reasonably be questioned. I think
22 that is the touchstone for your Honor and we ask you
23 to consider these documents in that light.

24 At your Honor's discretion, we have or we
25 would submit a supplement that also advises the Court

1 of the NYK guilty plea which occurred earlier this
2 year, but I didn't want to trouble the Court with
3 another filing until you had consider this motion.

4 THE COURT: It is just the press releases. I
5 want to hear counsel on all matters, but you cite a
6 copy of an order from the Automotive Parts Antitrust
7 Litigation where the Court take judicial notice of the
8 sentencing transcript and a press release. And you
9 state that it is docket entry 122 dated June 5, 2013,
10 and provided the number of the docket 12-MD- 2311.
11 But we looked that up, and it is just a notice of
12 appearance, at least what I looked up under docket
13 entry 122.

14 Can you explain where I would find an order
15 by the Court that it said it took judicial notice of
16 the transcript and the press release because it is not
17 122, unless I am looking at something else.

18 MR. BURNS: Certainly. I think we may have
19 directed you to the wrong place. If I may, I will
20 submit that proper citation to you. I don't have it
21 now.

22 THE COURT: If you look for that, I am
23 curious to see it.

24 MR. BURNS: Absolutely.

25 THE COURT: Thank you.

1 MR. BURNS: Your Honor, I am sorry. My
2 liaison counsel reminded me of something which I was
3 going to address in response to the motion to dismiss.

4 I just didn't want to briefly advise the
5 Court that the indirect purchasers who are today
6 represented by myself, Mr. Cuneo and Mr. Parks,
7 reached a settlement in principal with K Line last
8 night. The monetary value of that settlement is
9 confidential for the time being but we are authorized
10 to tell the Court in camera, we will submit it for
11 approval, preliminary approval of course, but I wanted
12 to advise the Court of that fact.

13 THE COURT: Thank you.

14 So counsel, there are an objection. You are
15 indicating that the Court should take, may take
16 judicial notice of the existence of the Court filings
17 only. But not the actual statements made during a
18 sentencing hearing, statements made in the press
19 release. And why do you oppose that?

20 MR. RIVERA-SOTO: If I may, I would like to
21 start at a point a little earlier than that, and that
22 is whether the Court should be entertaining this
23 application at all.

24 What is before your Honor is a motion to
25 dismiss the complaint. Motions to dismiss the

1 complaint are determinative of the sufficiency of that
2 complaint. Not as to extraneous facts. The only
3 exception to that rule is if the complaint makes
4 reference to a document that then the other side can
5 rely upon that document to attack the sufficiency of
6 the complaint.

7 Here we are having someone saying to your
8 Honor we would like you to take judicial notice of
9 facts that are not referenced in the complaint, and in
10 addition to that, we want you to take judicial notice
11 of transfers of proceedings that are transcripts of
12 proceedings that are not referenced in the complaint
13 and press releases that are not referenced in the
14 complaint.

15 It strikes me that, on a threshold basis, the
16 first answer has to be no, you do not get judicial
17 notice under these circumstances, because this is
18 either a rule 12 motion, or it is a summary judgment
19 motion, but it is a rule twelve motion where the scope
20 of review by the Court is limited by the four corners
21 of the complaint.

22 So as a threshold matter, I don't think we
23 even get to the discussion here.

24 THE COURT: Let me ask you a question. And I
25 am going to apologize in advance to counsel. I have a

1 lot of questions so I may interrupt you.

2 MR. RIVERA-SOTO: I prefer it, your Honor.

3 THE COURT: I do apologize in advance.

4 MR. RIVERA-SOTO: No apology necessary.

5 THE COURT: Don't we take a somewhat
6 inconsistent position when we cite and when you use
7 statements that were made by the FMC with respect to
8 preemption, and there were at least, as I recall, at
9 least one document, I will go and actually get it now,
10 it is not coming to me, but there was at least
11 reference to a document that was outside the
12 pleadings, and I wanted to see whether you were
13 indicating to me that I should consider that document
14 but not consider these.

15 MR. RIVERA-SOTO: Actually, I think what your
16 Honor is referring to is the statements made by a
17 single commissioner --

18 THE COURT: No, no, that is the plaintiff.
19 That is at statement by the Commissioner whether he
20 thought the Shipping Act would include capacity
21 restriction issues. I understand that. There is
22 definitely a place where I recall there was some
23 usage.

24 But in any event, you take the position that
25 the Court should not stray outside the four corners of

1 the pleadings when accepting the motions for today.

2 MR. RIVERA-SOTO: That is the threshold
3 position that we take. And I think, I am trying to
4 think in my mind of the submissions that were made. I
5 think the only thing that we had before the Court that
6 was not straight out case citations was the
7 legislative history of the shipping act.

8 THE COURT: No. Fine.

9 MR. RIVERA-SOTO: Be that as it may, there is
10 a lot here. I am sure I, in my dotage I am forgetting
11 things. As a threshold matter, we think the Court
12 should not be concerned.

13 THE COURT: For the record, it was exhibit L
14 to the IPP moving brief.

15 In any event, I see your position and the
16 position is, I understand, and I obviously I
17 understand that you are asking that the Court consider
18 the motions without obviously considering extraneous
19 other documents.

20 MR. RIVERA-SOTO: Correct. But if your Honor
21 does want to consider them, then there are certain
22 things that the Court should consider, certain things
23 it should not. Your Honor knows what those are. I
24 don't mean to belabor the record on those.

25 THE COURT: Perfect. Thank you very much,

1 counsel.

2 I will keep that under advisement. We are
3 now going to move to defendants' consolidated motion
4 to dismiss indirect purchaser plaintiffs, what I will
5 be referring to as IPP through the course of today's
6 arguments. I want to hear from defense counsel,
7 please.

8 MR. RIVERA-SOTO: Good morning again, your
9 Honor.

10 THE COURT: There is a lot to cover here and I
11 do have questions. Let me at least let you start your
12 argument and then we will delve into some of these
13 more specific questions I have.

14 MR. RIVERA-SOTO: Your Honor, I would like to
15 start the argument with a little bit of a disclaimer.

16 When we were preparing for the hearings today
17 and we were dividing up the duties, Mr. Nelson was the
18 lucky recipient of arguing the Shipping Act issue but
19 of course he was going to do that in the context of
20 the direct purchasers motion, and I was going to
21 enlarge and maybe piggyback on him, so there will be
22 points in this argument, your Honor, where I am going
23 to ask the Court for its indulgence and to hold on
24 that question to when Mr. Nelson is before you. Let
25 me give you as good as I can give you under the

1 circumstances.

2 We start with what is the Shipping Act all
3 about? And the purpose is clear, because it says so
4 clearly within the four corners of its legislative
5 history as well as the cases that have interpreted it,
6 and that is to put all issues involving ocean freight
7 before one administrative and regulatory and
8 adjudicative body. That is the Federal Maritime
9 Commission.

10 And perhaps the best exposition of that
11 rationale comes from Sea Winds case that, it is from
12 the Northern District of California, 1987, three years
13 after the Act was adopted and it is a court of
14 concurrent jurisdiction, it is not binding on this
15 Court. But I would suggest it is extremely
16 persuasive.

17 In that case, the Judge plainly explained
18 that the Shipping Act of 1984 expressly bars private
19 antitrust suits based on conduct that is prohibited by
20 the Act. It tells us that in place of private
21 antitrust actions the act itself establishes an
22 administrative complaint procedure before the FMC.
23 And any person can file a complaint before the FMC and
24 obtain reparations for injuries caused by violations
25 of the Act.

1 And it highlighted that Congress intended to
2 clarify shippers' potential liability for conduct,
3 previously covered by the antitrust laws to restrict
4 remedies and sanctions there for to those enumerated
5 in the '84 Act and to vest exclusively jurisdiction in
6 the FMC for oversight of this remedial scheme.

7 It went further and said by limiting
8 jurisdiction to the FMC and restricting the
9 commission's regulatory scope, Congress implemented
10 the goal of reducing government involvement in
11 shipping operations. By removing the courts from this
12 regulatory process, Congress removed the potential for
13 continuing regulatory uncertainty.

14 The purpose then for claims like these to go
15 did a specific place where there is specialized
16 expertise. That is the Federal Maritime Commission.
17 And it is not just the Northern District of California
18 that says that, but also the DC Circuit in the
19 American Association of Cruise Line Passengers, Inc.,
20 case, from 1990.

21 There the Court said that claims against
22 common carriers are to be heard at the FMC.
23 Non-common carrier claims are to be heard in the
24 District Court. And they explain, and I quote, we
25 must abide by the allocation of jurisdiction that

1 Congress made.

2 It is not a matter of choice, as the DC
3 Circuit explains it. Congress has made the judgment,
4 these claims belong before the FMC.

5 Now, I note, your Honor, that neither Sea
6 Winds case nor the American Association of Cruise Line
7 Passengers case was cited by the plaintiffs in their
8 papers, even though we did --

9 THE COURT: But they do cite, and they do
10 cite Wiley and they say courts have repeatedly
11 rejected arguments that the Shipping Act is a
12 comprehensive regulatory scheme that occupies the
13 field.

14 When we are dealing with, obviously we are
15 dealing with implied preemption. We are looking at
16 fields and conflict. And what I notice in the
17 briefing is that we had really, in the moving, we
18 addressed a lot of field. Then opposition addressed
19 it, and then in reply with the plaintiff, I am very
20 interested in hearing the plaintiffs on conflict.

21 When we are dealing with Wiley, what do you
22 say to Wiley? And I know what you said in your
23 response, your reply brief on page 39, but tell me why
24 is Wiley really not instructive?

25 MR. RIVERA-SOTO: We don't believe that Wiley

1 is instructive because we believe that it
2 misapprehends the purpose of the Shipping Act. That
3 when one reads the Shipping Act in its context,
4 particularly in light of robust legislative history
5 that accompanied it, and I have the benefit of talking
6 to lawyers who were involved in getting the Shipping
7 Act passed, the purpose of it was to avoid the almost
8 Byzantine process that existed under the Shipping Act
9 of 1916 where you would have common carriers being
10 sued in every jurisdiction over any theory whatsoever,
11 and so that Congress's purpose was to say, no, no, no,
12 we cannot have that any more. We have to have a
13 consolidated unified system by which these disputes
14 are going to be heard.

15 And it is a common sense notion, your Honor,
16 it just makes sense to say, a court in Minnesota
17 should not be deciding what goes on on the high seas.
18 That is an area that is uniquely federal jurisdiction.
19 And therefore, the federal government has determined
20 by an act of Congress that this is how these
21 determinations are going to be resolved. So when I
22 look at it, I look at it in its context. I come to it
23 with the instruction from U.S. versus Locke that tells
24 us maritime jurisdiction is uniquely federal in nature
25 which, frankly, is self evident, it strikes me that no

1 one would argue that proposition, and that once you
2 put those two together, the notion that there should
3 be one place where these things are resolved, makes
4 all the sense in the world. And that is exactly how
5 the statute is structured.

6 THE COURT: So when we are dealing with, and I
7 think I do want to seque into conflict in a moment,
8 but you say if I am looking at fields preemption that
9 you think it is clear, based on what you submitted,
10 the legislative history, the act itself, that it is
11 clear that what Congress intended.

12 MR. RIVERA-SOTO: Correct. And if you look
13 at both of the cases that I cite the to your Honor,
14 Sea Winds and American Association of Cruise Line
15 Passengers, both of those included both federal and
16 state claims. And both of them were sent to the FMC.

17 THE COURT: With respect to conflict, I mean I
18 think I looked at this in the area of either a
19 physical impossibility or an obstacle in achieving the
20 objectives of the statute. Which do you think
21 applies?

22 MR. RIVERA-SOTO: I think the latter, your
23 Honor. I don't think I can credibly argue, I don't
24 believe that I can say that. It is a logical
25 incongruity in my point but I don't know that I can

1 say it is a physical impossibility.

2 But clearly under the second prong or second
3 avenue of conflict preemption, it certainly would be
4 an obstacle to the accomplishment and execution of the
5 full purposes and objectives of Congress. We know
6 what Congress intended under the Shipping Act. We
7 know that they intended it to be exclusive methodology
8 for resolving disputes. We know that because they
9 told us that.

10 Under those circumstances it seems to me that
11 if it is not field preempted, which it strikes me is
12 the proper way of looking at it, then it is at least
13 conflict preempted because clearly any action here
14 would run contrary did those clear express purposes of
15 the Shipping Act.

16 THE COURT: Is there in your mind a
17 difference between regulations and remedies?

18 MR. RIVERA-SOTO: There is, but it only goes
19 to the extent of how far you drill down. And by that
20 I mean if you had a statutory scheme that did not
21 provide for civil remedies for someone then I think
22 that would be an argument to say, well, it is not
23 preempted, but this statute provides for it. They
24 call it something different. They call it
25 reparations.

1 But the section on reparations says you can
2 get up to double damages and attorney's fees. So once
3 that statutory scheme sets up not only the regulation
4 of it, but also the remedies for its violation, and
5 again, when the federal government sues under it, they
6 are not looked for damages. That clearly has to deal
7 with an individual seeking relief. If you look at the
8 statute, it says any person may file a complaint.

9 THE COURT: How do you reconcile Oneok?

10 MR. RIVERA-SOTO: I don't think of have to.
11 I don't think Oneok applies. I think if you look at
12 Oneok under the Natural Gas Act, the Natural Gas Act
13 purported to apply only to interstate transactions.
14 If you look at the transactions involved in Oneok,
15 they were intrastate transactions that were otherwise
16 not governed by the Natural Gas Act, whereas here we
17 have only intrastate, not interstate, but foreign
18 commerce that is being dealt with. And that typically
19 is the province of the federal government. If it is
20 not, it certainly, under the interstate commerce
21 clause, the law is supreme.

22 THE COURT: Before I hear from plaintiffs, we
23 do have this issue with respect to CSAV and K Line. I
24 know there is a settlement reached with K Line, but
25 with respect to this concept of judicial estoppel, and

1 the idea that they do make a point in their opposition
2 brief at 61 of saying, you know, the FMC jurisdiction
3 is not exclusive. For example, the DOJ may pursue
4 Sherman Act criminal enforcement for unfiled
5 agreement.

6 I want to deal with those obviously separate.
7 But what do you say with respect to the fact that the
8 DOJ may pursue criminal action, and does that speak to
9 on the issue of preemption?

10 MR. RIVERA-SOTO: I think the statute
11 specifically says that. Which is if you look at, let
12 me make sure I have the right citation, your Honor. I
13 tabbed it just in case. If you look at section 40307,
14 that is 40307, if you look at A, A is what provides
15 the exemption from the antitrust laws. If you file
16 your agreement, and it is not rejected by the FMC.
17 But B says that if you don't have a filed agreement
18 you can't recover damages under the Clayton Act
19 section that provides for damages, or injunctive
20 relief for conduct prohibited by its party. The
21 conduct prohibited by its party is the action without
22 a filed agreement. O is what says you can be subject
23 to criminal liability whereas if you filed your
24 agreement, you get, you do not get out of jail free
25 card. If you file the agreement, even if it violates

1 every antitrust law known to man, if it is filed, it
2 is okay. If you don't, then what happens is you
3 subject yourself to criminal liability, but any action
4 for damages has to be prosecuted under the Shipping
5 Act. You still don't get to go off and file in the
6 Circuit Court of some county in Iowa. It doesn't
7 belong there. So that kind of says it from beginning
8 to end.

9 THE COURT: What about with respect to
10 judicial estoppel.

11 MR. RIVERA-SOTO: Well, how are you estopped
12 from something that doesn't apply? They have pled
13 guilty to it, but they pled guilty to an antitrust
14 violation. The claim, if it exists, is a claim for a
15 violation of the Shipping Act. So estoppel does not
16 apply.

17 THE COURT: All right. Anything else,
18 counsel?

19 MR. RIVERA-SOTO: On that subject, no, your
20 Honor. I think our briefs, especially our brief, is
21 very much on point. And again, it is all with the
22 disclaimer that Mr. Nelson knows a whole lot more
23 about this than I do and he will make a whole lot more
24 sense than I have.

25 Thank you.

1 THE COURT: Thank you, counsel.

2 I want to start with the explanation, or
3 concentration on the Wiley reference for now. Are we
4 talking about different acts?

5 MR. BURNS: No, your Honor, it is our belief,
6 we looked, that was an argument that was made in the
7 reply brief of the defendants. It is our belief that
8 that fits within the broad scheme work of the shipping
9 act itself. That is our understanding. It is not
10 dealing with some of the issues or some of the
11 provisions that are most directly at issue in this
12 case, obviously, Wiley was dealing with other state
13 law issues, not antitrust issues.

14 Your Honor, with your discretion I did
15 prepare some slides.

16 THE COURT: Can you try to get through them?
17 I will let you get through them, but I have questions.
18 Feel free to set them up, I would love to see them if
19 you prepared them, I would love to see them, but I
20 would like to get to this issue. I know you say in
21 your opposition brief at page 53 that there is a
22 presumption against preemption. You believe that the
23 Court, that that is a high burden that the defendants
24 bear.

25 MR. BURNS: That's right. There is a

1 fundamental fallacy with the defendants' argument. I
2 think you heard part of it today. Mr. Rivera-Soto
3 talked at length about cases that address federal
4 antitrust claims, and the Shipping Act's preemption of
5 the federal antitrust claims. We have not alleged
6 those claims. We have alleged state law claims.

7 The defendants rely on Locke, the case that
8 is cited extensively in the brief. And say there is
9 no presumption against preemption in this case because
10 there is a uniquely maritime issue. Locke is
11 inapposite, your Honor. Locke dealt with a Washington
12 statute that was centered directly on maritime
13 matters. That is not the case here.

14 Here we are dealing with state law, state
15 laws of generally applicability. They are laws that
16 apply in an American context, apply in a MacDonald's
17 context, a CVS context. They apply across the board.
18 These are not laws directed specifically at federal
19 activities where Congress has legislated. That is the
20 context. That is why Locke doesn't apply. That is
21 why Wyeth does apply. That is why, I call it Oneok, I
22 am used to hearing it.

23 THE COURT: You say "One Oak.".

24 MR. BURNS: I am used to that. I am from
25 Texas. I call it "One Oak," that is why Oneok

1 applies.

2 What was remarkable is I heard Mr.
3 Rivera-Soto saying Oneok doesn't apply all. There
4 were distinctions with the Natural Gas Act and you
5 shouldn't look at it at all. But your Honor will
6 recall that in the defendants' opening brief they
7 spent pages on Leggett and other cases that dealt with
8 the Natural Gas Act and which Oneok overturned. Why
9 did Oneok overturn it?

10 The Supreme Court looked and said, listen, we
11 have gotten narrower and narrower with our application
12 of federal preemption. We are not going to preempt
13 in this case state antitrust laws that are general
14 applicability. Oneok makes that point because
15 Congress hasn't demonstrated its intent to do so.

16 Your Honor, with your discretion, I think I
17 will begin on these claims if I can get to them. What
18 defendants are asking you today to do is truly
19 remarkable, for at least three reasons. First of all,
20 there is absolutely no evidence that Congress
21 expressly intended to preempt state law. Just doesn't
22 exist. It is not in the Congressional record, it is
23 not in the act itself. Defendants haven't pointed you
24 to any evidence. No evidence whatsoever that Congress
25 intended to preempt the state laws of dozens of state

1 jurisdictions by enacting the Shipping Act.

2 Defendants haven't pointed, second point,
3 defendants haven't pointed to you a single case where
4 a federal court or a state court has looked at the
5 Shipping Act and said, you know, you are right. The
6 Shipping Act preempts all the state antitrust laws.
7 We are not going to touch on it. We found one of
8 those cases since the briefing came out, I will direct
9 you to it in just a moment, your Honor, where a court,
10 my home state of Texas looked at this issue, back in I
11 believe 1987, three years after the Act was
12 promulgated and said no. Congress didn't intend to
13 preempt state laws like our tort laws, like our
14 consumer protection laws. Those type of claims can go
15 forward. They haven't pointed you to that. They
16 haven't pointed to you a direct cite in the
17 Congressional Record where Congress said, you know
18 what? We have a problem with all the state laws.
19 They are causing such a big issue that we will preempt
20 all the antitrust laws of the state. Why?

21 The truth of the matter is it is because
22 those laws have existed long before the federal anti-
23 trust laws. They walk hand in hand together for over
24 a hundred years. This is a quote from a Law Review by
25 Herbert Hovenkamp, who your Honor knows and

1 practically everyone in this room knows, wrote the
2 book on antitrust law.

3 What he pointed out is before 1890 when the
4 first antitrust law comes into effect, the state had
5 already legislated it. Congress didn't intend to
6 preempt the state legislation when it enacted the
7 Sherman Act. It intended to supplement it. Courts
8 have, since then, reflected on it, including
9 California vs. ARC America.

10 ARC America is important. After the
11 Illinois, it is 1989, after Supreme Court said you
12 can't proceed with indirect purchaser claims in
13 federal court. In ARC America the defendants argue,
14 you know what? Because you can't proceed in federal
15 court, you don't have any federal claims any more.
16 You can't seek damages claims in these individual
17 states, indirect purchasers, because the federal law
18 preempts that. Federal antitrust law says your claim
19 is too remote.

20 The Supreme Court looked at that case and
21 said, no. That is not what we meant. What it said
22 was these state laws, these state antitrust laws have
23 existed for time immemorial essentially and we are not
24 going to displace them. That gives us the modern era
25 which is before that of state antitrust indirect

1 purchaser actions.

2 As I said, your Honor, there is no express
3 preemption here. What we have to look at, according
4 to Wyeth, is the intent of the Congress.

5 Wyeth informs us on at least one issue. It
6 says when Congress is silent, that kind of weighs
7 against the field preemption argument we made here.
8 It says silence on the issue coupled with awareness of
9 the prevalence of state law litigation tends to
10 convince us that Congress didn't intend to preempt.
11 That is what we have here.

12 1984, Shipping Act comes out, eleven years
13 after Illinois Brick. State antitrust laws have been
14 in existence for nearly a hundred years, if not more.
15 Congress doesn't reference state law, only federal
16 law. The Congress is silent on state law. Under
17 those circumstances, I think the logical conclusion is
18 that Congress did not intend to preempt state laws.

19 Another thing we know from the Supreme Court
20 cases, Cipollone, is that Congress enactment of a
21 provision defining the preemptive reach of a statute
22 is indicative of its intent, makes logical or common
23 sense. It implies before that reached are implied

24 What we know from the Shipping Act is that
25 Congress referred to claims for damages under the

1 Clayton Act, federal antitrust law. Nowhere in there
2 do you find a reference to the state laws. The
3 procedures, it refers to states action. Cippollone
4 says you should consider that.

5 The third thing I point to is as I noted
6 Congress is aware of indirect purchaser actions in
7 1984, but more than that, it also knows how to preempt
8 state law when it wants to. When it passes the
9 Federal Aviation Act, what does it do? It expressly
10 preempts state court. Same with Export Trading Act,
11 same with National Cooperative Research Act. I think
12 we cited a few more in our briefing. Congress knows
13 in 1984 how to preempt state law. It did not do it.

14 And so this brings me to exactly Dillingham
15 versus American President Lines, Texas Appellate court
16 out of San Antonio. 1987. The question was what do
17 we do with state laws dealing with fraud and deceptive
18 trade practices. The Appellate court looked at the
19 Shipping Act and examined the Congressional record and
20 it says we don't find any evidence that it was
21 Congress's intent to preempt our state laws. These
22 types of claims can proceed.

23 THE COURT: Counsel, I am going to redirect
24 you here. I am quite frankly, without tipping my
25 hand, I think that the field preemption issue is

1 weaker. I am concerned about the conflict issue. I
2 see on page 4 you say the defendants have waived
3 conflict preemption argument.

4 MR. BURNS: We are prepared.

5 THE COURT: Not going there.

6 MR. BURNS: Don't need to.

7 THE COURT: All right. So, you know, I
8 thought an interesting point, it does, it resonated
9 with me. I want to hear you. This came out of the
10 reply brief, page 40 to 43. Counsel for the defense,
11 it does not make sense that Congress exempted common
12 carriers from federal antitrust laws only to subject
13 to them to multiple lawsuits in numerous courts
14 applying various state laws. The Shipping Act's
15 exemption from private suits under federal antitrust
16 laws would be rendered meaningless if the same conduct
17 that is exempt under federal law could be challenged
18 by private plaintiffs under the antitrust laws of any
19 of the 50 states.

20 I have to say that gives me pause. That is
21 where I quite frankly have concerns, when we are
22 dealing with conflict preemption, and you know, and we
23 look at this Act, and the ability for this Act for
24 there to be remedies contained therein for violations.
25 I mean it just seems like Congress was focusing on

1 when there are violations what you could subject
2 yourself to criminal prosecutors for an unfiled
3 agreement. Then of course the FMC does its own
4 investigation in matters, we know that they do that.

5 I mean, this is where I think, obviously it
6 is not a physical impossibility, but obstacles to
7 achieving the objectives of the statute are ones that
8 I think are critical in this Court's analysis.

9 MR. BURNS: Thank you, your Honor.

10 What I say is let's look at those at those
11 purposes.

12 THE COURT: I like Power Point, but sometimes
13 I like us to talk. If you want to use them, fine.
14 But I prefer you and I having a discourse right now.
15 Talk to me about conflict preemption and why I should
16 be concerned about it.

17 MR. BURNS: Sure. Your Honor, first of all,
18 conflict preemption, I think is a harder hurdle for
19 the defendants to surmount than field preemption. It
20 only applies in narrow circumstances. I think
21 defendants concede that is what the law tells us.
22 Here we heard a concession today, impossibility
23 doesn't apply. We are only looking at conflict with
24 the full purposes of the statute.

25 But remember, your Honor, again, it is a high

1 hurdle. Why? Because what we are saying is as we
2 look at these particular state statutes and really
3 from an as applied sense because that is what Wyeth
4 and a number of Supreme Court cases tell us we have to
5 do, we are not dealing with sort of uncertainties, and
6 conjecture about what may or may not conflict.

7 The relevant question is does the application
8 of these antitrust laws conflict with the purposes of
9 the Shipping Act. Now, the shipping acts purposes are
10 laid out in the statute in the most relevant ones are
11 here. So to establish a nondiscriminatory regulatory
12 process for the common carriage of goods by water in
13 the foreign commerce of the United States with a
14 minimum of government intervention and regulatory
15 costs.

16 I didn't think there is a conflict here,
17 there is none with the regulatory process. The states
18 again are not regulating Maritime commerce. These
19 laws have been around long before the Shipping Act.

20 The question is other purposes, we have to
21 promote the growth of United States exports through
22 competitive and efficient ocean transportation. The
23 state laws do nothing more than supplement the federal
24 laws, which is kind of reverse if you look at their
25 order on competitive issues.

1 And that is not just me saying that, your
2 Honor. But that is the Supreme Court saying it.
3 California versus ARC America. State laws to this
4 effect are consistent with the broad purposes of the
5 federal antitrust laws. Deterring anti competitive
6 conduct and ensuring the compensation of victims of
7 that conduct.

8 Now, let's talk a little bit about context in
9 the Shipping Act. We heard from Mr. Rivera-Soto on
10 that in his argument. But, that had shut out the
11 field. Basically notwithstanding Congress didn't
12 mention that no other law should apply. Okay.
13 Context.

14 11 years after Illinois Brick. Century after
15 state law claims have been received. What we have is
16 Congress saying federal laws, we have a different
17 structure for certain antitrust claims under the
18 Shipping Act. Doesn't say anything about the state
19 laws.

20 Congress knows, is presumed to know of state
21 court actions, state litigation at the time dealing
22 with antitrust violations. Congress should also know
23 after Illinois Brick, this is after numerous Illinois
24 Brick repeal statutes have been passed that the states
25 have opened up a new remedy for their citizens to seek

1 private damages in your own courts for antitrust
2 violations.

3 Another point on this issue. Mr. Rivera-Soto
4 made the point that any person can go before the
5 Federal Maritime Commission and lodge a complaint.
6 Defendants haven't pointed you to a single case,
7 single action by the maritime commission, where a
8 litigant in the shoes of my clients and the clients of
9 the other indirect purchasers, an indirect purchaser
10 not seeking claim under federal law, has been able to
11 go before the Federal Maritime Commission and seek a
12 redress for their damages.

13 In arguing that they have the burden here, to
14 show that conflict preemption applies. In arguing
15 that look, these guys can go through the Federal
16 Maritime Commission, it is really their burden to show
17 you that, your Honor. We have looked. We haven't
18 found any. But I am surprised that they haven't come
19 to you and made those claims. So we don't think there
20 is a conflict. In fact, we think that in terms of
21 supporting the purposes of the Shipping Act, that the
22 state antitrust laws which largely mirror federal
23 antitrust law, there is no one cited you to any actual
24 conflict between the state laws and federal antitrust
25 law, no one told you they are inconsistent. In fact

1 Mr. Rivera-Soto had to concede a person could comply
2 with the federal antitrust laws and the federal
3 Shipping Act at the same time. No question of
4 impossibility.

5 As applied, looking at this case and its
6 context, there is really no credible allegation that
7 these antitrust laws, the 30-some-odd states, in any
8 way conflict with the purposes of the Act or preempt,
9 or prevent its operation.

10 THE COURT: Okay. Thank you, counsel. Any
11 response?

12 MR. RIVERA-SOTO: Very briefly, your Honor.
13 And I will be very brief because my horoscope this
14 morning said it was lunch at Forno's for me today.

15 A couple of things. I don't know how Oneok
16 is pronounced. I pronounced it the way it is written.
17 But I do know how Cippilone is pronounced, and that is
18 what it is supposed to be.

19 In any event, counsel has said there is no
20 evidence of preemption. Well, you only look for
21 evidence of preemption if you are talking about
22 express preemption, preemption not implied. Here our
23 argument is that clearly if you look at these factors
24 as a whole, it intends to preempt all of these claims.

25 Now, why do I say that? Excuse me. If, if,

1 if it didn't, this would be the result. Someone who
2 is immune on a filed agreement from the federal
3 antitrust laws could still, under the plaintiffs'
4 concept, be sued in state court for the same conduct.
5 Yet isn't that what the statute says it is intended do
6 avoid?

7 I will take it one step further. Someone who
8 files an agreement and therefore is totally immune,
9 even from criminal prosecution for violation of the
10 criminal antitrust provisions, could still be
11 prosecuted in state court if they have a criminal
12 antitrust statute. Now, that can't be. That doesn't
13 make any sense at all. Yet that is what they are
14 offering you.

15 In order to save their claims, they have to
16 tell this Court that this Court has to take this
17 comprehensive exclusive statutory scheme as divided by
18 Congress and has to say it has only limited
19 application. Well, if it has only limited
20 application, it is not exclusive, and yet the case law
21 is clear, including the cite that your Honor read,
22 that it is intended to be exclusive.

23 THE COURT: What do you say in response to
24 the fact that you haven't cited a single case where
25 any IPP has gone before the FMC to address that

1 concern?

2 MR. RIVERA-SOTO: He is right, we didn't
3 because we don't have to. The statute is the answer.
4 The statute says, Section 41301 A, a person may file
5 with the Federal Maritime Commission a sworn complaint
6 alleging a violation of this part. Any person. Or a
7 person. That doesn't say a person other than any
8 direct purchaser. It says a person may file. And if
9 you lead the statute through, it says when you file,
10 then the FMC has the right to investigate or not.

11 As a practical matter, matters can proceed
12 before the FMC much like they do in this court. They
13 are NOT assigned to a District Court Judge, but an
14 ALJ, there is discovery and you have a hearing and it
15 goes before the FMC proper and that is the final
16 determination.

17 THE COURT: So the fact that there isn't one
18 that you can cite to is of no moment, you say, because
19 clearly people can, and the statute permits a person
20 or persons to file a complaint.

21 MR. RIVERA-SOTO: And I cannot be responsible
22 for someone not having done it when the statute
23 clearly allows for it.

24 THE COURT: What do you say with respect to
25 the concept of a high burden on you, this issue of

1 preemption?

2 MR. RIVERA-SOTO: Well --

3 THE COURT: And counsel, I think said in his
4 opinion you have a harder argument when dealing with
5 conflict as opposed to field. You want to respond to
6 the issue of whether there is a presumption against
7 preemption, and do you think you need it in any event?

8 MR. RIVERA-SOTO: I don't think it matters
9 whether there is or isn't a presumption. I don't
10 think it matters whether the burden is slight or high.
11 I think it is painfully clear in this case that if
12 their claims are not preempted under these
13 circumstances, then no claims are ever preempted under
14 any circumstances. Because there cannot be a clearer
15 instance of implied preemption than what we have in
16 this statutory scheme.

17 So I really don't care what someone says my
18 burden is. It really doesn't matter to me because if
19 this doesn't meet it, then it will never be met. And
20 that is clearly not the case.

21 THE COURT: Any response?

22 MR. BURNS: Yes. Just two points, your
23 Honor.

24 First of all, Mr. Rivera-Soto just said,
25 what, if a shipper went and filed their agreement,

1 whatever it was, before the Maritime Commission, I am
2 assuming the Maritime Commission approves that and it
3 goes through the other functions of the Act, that all
4 my clients can bring a claim under state law. That
5 actually falls squarely within the impossibility arm
6 of conflict preemption. If not, just the --

7 THE COURT: I didn't understand that. Say
8 that again.

9 MR. BURNS: In that scenario you have a
10 person that has complied with a federal law, and
11 presumably the Maritime Commission, although this
12 isn't necessary, but the Maritime commission has said
13 we approved this agreement. If I bring a claim in
14 state court or federal court for that same action, at
15 a minimum we have an impossibility issue under
16 conflict preemption because I can't bring that because
17 I am saying the shipper has to comply with my state
18 laws and the federal laws, the immediate defense is I
19 can't comply with your state laws because the federal
20 law, I have already complied with the federal law.

21 That is classic conflict preemption but that
22 is not what we have here. There is no allegation that
23 these conspiratorial agreements were ever filed with
24 the Commission, that they were blessed by the
25 Commission, that they in some way complied with the

1 Shipping Act. That is just not present here.

2 It goes to the second point as well, your
3 Honor. Mr. Rivera-Soto points to a provision in the
4 Shipping Act that says you can bring a claim for a
5 violation of this part before the FMC. He says I
6 don't have to cite you a case because the statute says
7 I can do this. Well, the words of the statute matter.
8 The statute says you can bring a claim for a violation
9 of this part, the Shipping Act. All of its rules and
10 regulation. It doesn't say anything about state law,
11 your Honor. It doesn't say whether you can bring a
12 claim for a violation of state antitrust law before
13 the FMC, if there is variance with the Shipping Act.
14 Or otherwise.

15 So I don't think that is dispositive. I
16 think it is an important fact that there are no cases
17 cited by the defendants before the FMC which have
18 dealt with indirect purchaser claims under state law,
19 where indirect purchasers have a remedy.

20 THE COURT: Okay. Let's move now to the next
21 area. And I would actually, counsel, we are going to
22 go to antitrust standing AGC. And then we will deal
23 with Article III standing, for that.

24 MR. RIVERA-SOTO: Good morning, your Honor.
25 The initial antitrust standing is a hybrid question.

1 Because what the Court must determine is whether there
2 has been an antitrust injury, and an antitrust
3 standing so the injury involved a plaintiff
4 demonstrating they have more than just an injury
5 causally related to an illegal presence or activity in
6 the market. They have to prove an antitrust injury.
7 And Brunswick court, the U.S. Supreme Court in 1977,,
8 explained that this is the type of injury the
9 antitrust laws were intended to prevent, and that
10 flows from that which makes defendants' acts unlawful.

11 The injury should reflect the anticompetitive
12 effect either of the violation, or of the
13 anticompetitive effects made possible by the
14 violation. It should, in short, be the type of loss
15 that the claim of violations would be likely to cause.
16 In the Third Circuit we have West Penn.

17 THE COURT: That is where I want to focus our
18 argument. Here is where I, plaintiffs should be
19 prepared to really answer this question for me.
20 Plaintiffs say to me in their opposition brief on page
21 14, note 7, they said regardless of which Third
22 Circuit formulation the Court relies on, the antitrust
23 injury boils down to a simple question, whether IPP's
24 injury is so causally related to the conspiratorial
25 act that it requires compensation under the antitrust

1 laws.

2 Now, you know, boiling it down to the simple
3 question is problematic for me because we have a Third
4 Circuit case, which is our most recent, and I think
5 the plaintiffs are going to have to concede that our
6 2010 case is more recent than Gulfstream, a '93 case,
7 or Warfarin, a 2000 case.

8 So we have the Circuit saying that as a
9 general matter, the classic plaintiffs capable of
10 satisfying the antitrust injury requirement is limited
11 to consumers and competitors in the restrained market,
12 that being the market for vehicle carrier services,
13 and those whose injuries are the means by which the
14 defendants seek to achieve their anti- competitive
15 ends.

16 That is my standard, isn't it?

17 MR. RIVERA-SOTO: Your Honor just read the
18 quote that I have spread out.

19 THE COURT: I want to understand, tell me to
20 boil it down to a simple question, it was problematic
21 for me. I spent some time trying to reconcile what,
22 why we were dealing with boiling it down when we have
23 a 2010 case that really tells me what the controlling
24 standard is.

25 So we are then looking at whether indeed

1 there are consumer and a competitor, or a competitor,
2 right, and a competitor, or whether then again it is
3 this means to an end, which is what I am calling it,
4 right?

5 So let's deal with consumers, because we know
6 that they do say on page 8, that you know what? They
7 are consumers down the chain of distribution, and that
8 is this whole component part argument that they make.
9 And then I want plaintiffs to clarify because they use
10 this inextricably intertwined argument. And they use
11 it, as I see it, both in the consumer, in the consumer
12 setting, as well as this new exception to the rule
13 setting, and so I was a little confused and really had
14 to pull apart the argument in preparation.

15 But talk to me about, you know, the fact
16 that, are we dealing with a consumer and how are we
17 reconciling some of these component parts cases?

18 MR. RIVERA-SOTO: That is how I started the
19 antitrust issues, I think that is the threshold. They
20 are not the consumers of vehicle carrier services.
21 They are purchasers of cars or trucks.

22 That is like saying that if there had been
23 anti-competitive events that affected the cost of the
24 gasoline that is put in the vehicle in order to drive
25 it onto the ship and then drive it off, that somehow

1 they are adversely affected by that. And what is
2 curious about that is that they can't agree among
3 themselves because you have the auto dealers saying,
4 well, pretty much all of the cost we paid for. You
5 got the end-payor saying, oh, no, no, we pay that cost
6 and you truck centers saying we kind of paid all of
7 that, too.

8 So which one is it? You can't all have paid
9 for all of it. And yet those are their pleadings.
10 They are stuck by that language. I will be happy to,
11 your Honor just cites us to the paragraphs in the
12 complaint but they can't do that. They can't stand
13 here and say, we are now consumers, frankly, because
14 it doesn't make sense. Here you have a service that
15 was provided in order to have the car delivered to the
16 United States. It is not like a component part. The
17 component part doesn't dissipate. The service does.

18 A component part, if you had an alternator
19 that was the subject of antitrust behavior, that
20 alternator is still in your car when you get it. If
21 that car was transported by ship, or by rail, or by
22 truck, none of that is present when you buy it, either
23 as an auto dealer, a truck center or an end-payor.
24 That is dissipated, it is gone. The services were
25 purchased by the OEM to get the truck transported.

1 And by the way, we are only talking about
2 imports, not exports. Because they can't be claiming
3 they have, the documents of the purchaser of the car
4 that was exported from the United States. As a
5 practical matter it doesn't make sense for them to be
6 able to claim they have an antitrust injury here.
7 Why? Because they don't.

8 THE COURT: But again, they say on page 9,
9 the defendants' vehicle carrier services are a
10 component of the vehicle cost, as are wire harnesses
11 and other auto parts. Markets for components and the
12 finished product are inextricably intertwined to
13 demand for the finished product -- strike that, the
14 demand for the finished product creates a demand for
15 the component parts. That being obviously the service
16 itself.

17 So you don't have ro-ro, but for the fact
18 that you need to get these newly assembled cars on to
19 these ships and to the U.S We know there isn't a
20 difference really with goods and services unless there
21 is a difference with respect to component part
22 theories.

23 MR. RIVERA-SOTO: Well, I think there is with
24 respect to component parts. If they had purchased
25 their cars from abroad, if, for example, if they had

1 gone to Volvo over in Sweden and said we want to buy
2 2000 Volvos, and they have to be transported to the
3 United States, then I think they would have something
4 to complain about.

5 That is not what happened here. They bought
6 their cars in the United States. They are already
7 here. They were already here. So they could have
8 gotten here by ship, they could have gotten here by
9 some other form. They could have been teleported
10 here. It doesn't matter to them. They bought them in
11 the United States. They are not a consumer of those
12 services.

13 THE COURT: So you say first they are not a
14 consumer, and as to sort of, even if it is, you know,
15 down the line of distribution, you would say it is
16 still not a consumer of the services which is what the
17 Court is looking at.

18 What about, they say a number of courts have
19 recognized antitrust injury in cases where the IPP's
20 have purchased the finished product containing a price
21 fixed component part. And that this vehicle carrier
22 service cost, the supra competitive cost, is a fixed,
23 part of that cost of the vehicle. Does that make a
24 difference in terms of the argument?

25 MR. RIVERA-SOTO: I think it does, your

1 Honor, because first of all there is a difference
2 between a tangible item, which is what the Auto Parts
3 case, for example, is all about, and services. There
4 is a difference when you are talking about somebody
5 who is saying there was collusion in the pricing of
6 items that ended up inside a car that that are
7 necessary for the car to be a car. Tires. Gasoline.
8 Transporting is not necessary for the car to be a car.
9 It is just necessary to get it from point A to point
10 B. That doesn't change the nature of the product
11 being purchased. But a car without wheels is not a
12 car. A car without an alternator is not a car. Those
13 are component parts.

14 THE COURT: Anything else, counsel?

15 MR. RIVERA-SOTO: I can talk a little bit
16 more about antitrust standing, your Honor. I again
17 would, and the AGC factors, I think we would be going
18 fairly deep in the weeds if we did that, but just to
19 point out that we understood that, which is why we did
20 the charts that we did for the Court attached to our
21 pleading. We hope they are of aid to the Court
22 because I think they represent an honest effort to try
23 to sort of parse this out in a way that is more
24 accessible to the Court than having to go through each
25 and every item.

1 But other than that, I don't think there is
2 a--

3 THE COURT: We are going to deal with the AGC
4 and whether it should a play to state cases. But I am
5 going to want to hear before we get that, I would like
6 to hear some response from plaintiffs' counsel. Can
7 you just talk to me a little bit about Judge
8 Debevoise's opinion in our district, In Re Magnesium
9 Oxide.

10 Let's assume that there is a cost associated,
11 that is fixed in the price of these vehicles. You
12 make an argument with respect to whether that cost
13 would be enough, and specifically, you talk about the
14 district courts denied standing to IPP's when the
15 product purchased contain up to 4 percent of the
16 allegedly price fixed ingredient which was not enough
17 to suggest that an increase would have a significant
18 foreseeable effect of the price of the purchased
19 product.

20 And that is a 2012 opinion in our district.

21 I want to hear you on that because obviously
22 they would then counter, well, we need discovery to
23 see what the actual costs are and determine whether
24 that cost is significant enough to either distinguish
25 Magnesium, to distinguish Magnesium or not. What do

1 you say to that? Do you need discovery to understand
2 whether this injury could even amount to something
3 that the Court then would consider with respect to
4 standing?

5 MR. RIVERA-SOTO: Why do they need discovery?
6 They know what the price of the car is here. Let's
7 say, let me take Volvo again. They know what the
8 price of a Volvo in Sweden is, where it is
9 manufactured. What do they need discovery for? I can
10 go on the internet and find out the answer to those
11 two questions right now. What is the manufacturer's
12 suggested retail price?

13 It is not like when you go to the
14 supermarket, and a can of beans costs 33 cents. When
15 you are dealing with vehicles you are dealing with
16 suggested retail prices that are not necessarily and
17 properly ought not to be the price that in fact a
18 consumer pays.

19 But putting that to the side, you can go on
20 the internet today and you can find out how much a
21 Volvo costs in the United States and you can find out
22 how much it costs in Sweden, and you can make a
23 credible argument at that point that the difference
24 between those two prices has to be the cost of
25 transportation, and some bid for some currency

1 exchange. Did they do that? The answer is no. They
2 didn't. Why? Let's think about it for a moment.

3 These cars, taking an average, \$30,000
4 apiece. Okay. How much do the transportation
5 services costs have to be in order to make it
6 material? And I am pretty sure that the cost, the
7 actual cost is nowhere near that. I am not saying I
8 am hiding the ball here from them because they can
9 find out what that is, too, by Checking our final
10 tariffs. That will tell you what the cost of
11 transportation is. The facts are readily available.
12 They don't need discovery for any of it. They could
13 have done it and they didn't do it. That I think
14 tells you what you need to know.

15 THE COURT: Also, could you address sort of
16 the second, it is the inextricably intertwined
17 argument that is found on page 12 of their brief, and
18 I think if I am reading that correctly, that also went
19 to the narrow exception to the rule that antitrust
20 injury is limited to market participants, to the
21 market participant. That would arise when the
22 plaintiffs' injury is the means by which the defendant
23 seek to achieve the anticompetitive end.

24 So assuming that we take this inextricably
25 intertwined argument, and say that it is, it fits into

1 the narrow exception, if the Court finds it is not a
2 consumer and competitor, then can you address this
3 argument? And I know you do specifically in your
4 reply brief, footnote 7 on page 12. I would like to
5 hear argument on that.

6 MR. RIVERA-SOTO: I think in addition to what
7 we said in the brief there is sort of a common sense
8 reaction to the assertion that is made by plaintiff.
9 And that is do you really think, this is purely
10 rhetorical. Do you really think that assuming the
11 truth of the allegations in the complaint, that these
12 people got together and decided that they were going
13 to increase the prices for ocean shipping. And by the
14 way, that is not the allegation. The allegation is
15 that they colluded on the prices. Not that they
16 credit. But that they colluded on the prices in order
17 to stick it to the guy who bought the car in Iowa.

18 THE COURT: Or the dealer.

19 MR. RIVERA-SOTO: Or the dealer or the truck.
20 Is that what they intended to do, because unless they
21 satisfy that but for analysis, to me they are not
22 inextricably intertwined. They are not the object of
23 the purpose of the wrongful action. So to me, in
24 addition to what we have argued, it is a position that
25 is frankly has been bothering me from day one about

1 the allegations in this complaint. You have people
2 who were saying, look, we were harmed, this, that, and
3 the other thing. The harm, if you had any, was so
4 minimal I am not so sure under Magnesium Oxide you
5 should even be here in the first place.

6 But in addition to that, don't flatter
7 yourself. Don't think that we did this in order to
8 put the screws to you. Because you were not in
9 anybody's thought process.

10 According to the allegations in the
11 complaint, the thought process was to preserve loyalty
12 among lines with their customers and to ensure
13 everybody remained competitive and everybody had
14 their piece of the pie. That is what they have
15 alleged. To take that and then take the next step and
16 say they did this in order to --

17 THE COURT: What would you be, if we accept,
18 the theory is, I guess plaintiffs' counsel will fill
19 in that blank for me, but sort of what would be the
20 anticompetitive end to the dealer or to the end user?

21 MR. RIVERA-SOTO: The interesting question is
22 what does the OEM say about it, because if the OEM
23 says yes, we were charged higher prices and we
24 absorbed 100 percent of it, where do these claims lie?

25 THE COURT: Okay.

1 MR. RIVERA-SOTO: We have one of those
2 complaints already that says exactly that.

3 THE COURT: Let's hear from plaintiffs'
4 counsel .

5 MR. RIVERA-SOTO: Thank you, your Honor.

6 THE COURT: Can we start with, at least
7 concession, I hope, that the controlling standard is
8 the 2010 case? Instead of asking me to sort of tag
9 this, you know, whether IPP's injury is so causally
10 related to the conspiratorial act that it requires
11 compensation under the antitrust laws. When I am
12 trying to understand why we wouldn't just look,
13 obviously at West Penn.

14 MR. BURNS: With due respect to your Honor, I
15 am not going to make that concession. The reason is
16 West Penn doesn't apply. West Penn is a direct
17 purchaser case. This is an indirect purchaser case,
18 asserting claims under state law. They are different
19 standards that you must apply.

20 Mr. Rivera-Soto is not telling you that.
21 That is the issue here, your Honor. West Penn
22 directed at the purchaser. We cited you to the
23 relevant cases under Third Circuit and there is no
24 insinuation that Warfarin has been overturned. If
25 West Penn were the standard, it would be in conflict

1 with McCready and the Supreme Court and you would see
2 efforts to overturn it. It is not the standard this
3 Court has to apply.

4 This brings me back to a central point, your
5 Honor.

6 I guess respectfully you heard just
7 additional support for this argument today.
8 Defendants are asking you again to do something
9 extraordinary. And that is to ignore the vast body of
10 indirect purchaser law that says in cases like this, I
11 will get to the point about the distinction between
12 services and components, but there is no distinction.

13 THE COURT: I know, I asked counsel to
14 concede that. I think there is and you cited it
15 clearly that there is no difference between --
16 services and components.

17 MR. BURNS: The defendants are asking you to
18 ignore, the Judge in Detroit, ignore the Judge in
19 California on Lithium batteries, the raft of other
20 decisions, somehow all the courts got the wrong and
21 the circuits around the country, you should apply the
22 test that says these indirect purchasers pursuing
23 claims under state law have to be in the same market
24 as the initial round of conspiracy. That is not the
25 law.

1 THE COURT: There is plenty of law that talks
2 about down the distribution chain. My problem is
3 trying to understand how you are arguing you are a
4 consumer down this distribution chain. Maybe you can
5 spend time. I am trying to understand that argument.
6 I think it is distinguishable from some of the cases
7 when we talk about flash cards, flash memories, and
8 cell phones, and technology that but for that
9 technology which allows you to do certain
10 extraordinary things faster communication, all that,
11 then but for that technology, that would really,
12 without that technology, render the ultimate finished
13 product useless. I get those cases. But I am trying
14 to understand how the services is, as you say, so
15 critical to the actual purchase of the final product.

16 MR. BURNS: Yes, your Honor. Let's look at
17 that directly. Let's think about it. A car purchaser
18 buying a car in Tennessee. They are going to buy a
19 Civic LE. Unbeknownst to them, they have no control
20 over it, that Civic LE was produced in Japan. Made in
21 Japan, shipped across the ocean and it comes to
22 Tennessee.

23 At the point of purchase, your Honor, it is a
24 car. The consumer doesn't know whether, I guess I can
25 look and figure out whether it was shipped from

1 overseas, but the point of purchase, your Honor, no
2 distinction is drawn between a shipping charge and the
3 car itself, even though the shipping charge is
4 necessary to get that car to Tennessee. It didn't
5 magically appear there. It wasn't produced down the
6 block from the Civic LE plant. It came from Japan,
7 shipped overseas.

8 The OEM paid the charge and it is our
9 allegation that charge was passed down the change of
10 distribution. So the distinction here, the important
11 thing that you should consider, your Honor, is the
12 fact that when my consumer, when my client purchases
13 the car in Tennessee, there are no two markets. There
14 are no separate markets. He is buying a car. He is
15 in the car buying market. Part of that car buying
16 market includes the vehicle carrier service charge.
17 Just like that car also includes wire harnesses, dual
18 senders, spark plugs, all of which are included in the
19 car. There are separate markets if you want replace
20 meant parts. My client wants a car.

21 THE COURT: They are still in the car when
22 you get it versus the service that ends at the port,
23 right?

24 MR. BURNS: The car would not be there if it
25 weren't for the shipping that occurred and brought it

1 overseas. Your Honor, I wanted to go back to there.
2 I think it reinforces this point. Also touches on a
3 couple of issues you also raised. Feel free if you
4 want to talk to me about anything in particular, which
5 I know you will.

6 We are not talking about the time to charge
7 here. As alleged in our complaints, the average is
8 anywhere around \$300, could be higher or lower to ship
9 a car from overseas. Depends where it comes, depends
10 on the deal that was negotiated. The point Mr.
11 Rivera-Soto raised, this idea that all this
12 information is before us. They don't file their
13 agreements with Honda, with Toyota, they are not
14 required to under the Federal Maritime Act. That is
15 simply wrong, when he told you I can go to the
16 Commission and look at their filed rates. I can't
17 find their filed rate for Honda and I can't find what
18 the manufacturer paid to produce the car in Japan on
19 the internet. I suspect Toyota tries to protect that
20 information. It is not given to me.

21 None of those things are true. None of those
22 things are alleged in this complaint. What is
23 alleged, your Honor? We have a significant charge
24 that as alleged in the complaint is paid by the
25 vehicle -- is paid by the automobile manufacturer.

1 That is the first transaction. The automobile
2 manufacturer incorporates that within his price and
3 that is common sense. We all know that any business
4 is not going to say, you know what, they are charging
5 me \$300 for you to ship this car. I will eat that.
6 Of course not. In this industry in particular they
7 will try to offset the cost. We allege that. They,
8 the automobile manufacturer passes it down to the
9 dealership. That is one step in the chain of
10 distribution.

11 The final step is to the consumer. We are
12 not talking about 16 steps in the chain. We are
13 talking about, at best, three. If you count the
14 first. A single charge, which at the end of the day,
15 when it comes to the consumer who is buying the car,
16 he buys the car whose price reflects incorporation of
17 that charge, incorporation of the wire harness,
18 incorporation of the steering wheel and incorporation
19 of the windshield wipers.

20 There is no credible distinction between
21 services in this case, and component parts in the Auto
22 Parts case.

23 THE COURT: Let's deal with, I thought it was
24 on page 18 of the moving brief. And I want to hear
25 you on this, because I would like a response from you.

1 I know the ICT purchasing theory, a buyer of a car
2 also could claim to be an indirect purchaser of the
3 electricity used to power the automotive plant, for no
4 other reason than that the OEM paid for the
5 electricity and at some element of the cost was, and
6 that some element of the cost was incorporated into
7 the ultimate price of the car.

8 And you know, it takes it to an nth degree, I
9 realize that. But I mean at what point do we stop? I
10 am trying to understand how this service of moving
11 cars from point A to point B somehow could be
12 distinguished from now, hey, electricity and other
13 things that cost money, and if they were subject to
14 anticompetitive prices and is that going to be an
15 avenue for you now to pursue a claim? Talk to me
16 about that, that point that I think is a critical
17 point in my analysis.

18 MR. BURNS: Two aspects to answer, your
19 Honor. One, first of all, you are looking at the
20 allegations in this case obviously and the starting
21 point for any inquiry there would be whether there has
22 been some type of fix on the price of electricity.
23 And we don't have those allegations here. More
24 broadly electrical costs, things along those lines,
25 the cost of the broom that we put in the closet,

1 generally included in variable costs, they are lumped
2 together, maybe there is some sum that is associated
3 with it. But here, as alleged in the complaint and
4 based on the information that we have and the research
5 we did before filing the complaint, we have a distinct
6 charge.

7 Just like the wire harness is distinct when
8 it is put in the car. Wire harness, it is a wire
9 harness. Can you touch it? You can't touch a vehicle
10 carrier charge. At the end of the day the wire
11 harness cost \$500. The vehicle service, carrying
12 charge cost \$500.

13 THE COURT: You don't think you run into a
14 Magnesium Oxide problem based on what Judge Debevoise
15 ruled?

16 MR. BURNS: I don't in this case. I think
17 the allegations you have before you take this clearly
18 into the realm of possibility and possibility as it
19 relates to pass-through.

20 I was lead counsel in the Auto Parts case. I
21 know a little bit about this case. We have a pretty
22 significant charge here. \$300 compared to some of the
23 charges that we had in the Auto Parts case. For
24 example, a fuel cylinder in Auto parts, which survived
25 a motion to dismiss, proceeding along the discovery

1 route now, cost maybe \$30, some cost less. A, what
2 econometricians will tell you is yes, they can look at
3 the input costs that go into the vehicle, one of which
4 is the vehicle carrier charge, one is the wire
5 harness, they can look at those and perform their
6 magic and at the end of the day they can trace that
7 charge through to the chain, through the chain of
8 distribution.

9 I think that from the realm of the
10 possibilities standpoint, if this were a 40-cent
11 charge, and it was a little tiny connector, you have a
12 better argument that there is no way you are ever
13 going to figure out how that is passed through.

14 That is not the case here. It is not as we
15 have alleged. It also defies just common sense. It
16 is a significant charge. \$300 at least as alleged,
17 could be more.

18 Again, this isn't something we can go on
19 Google and figure it out. We can look and see, we can
20 see what the MSRP is in Sweden and see what it is in
21 New Jersey. That tells us nothing about what it
22 actually cost to make the product, what the charges
23 are that go into it, what the rates of profit are.
24 Tells us none of that.

25 I think it is a bit of a stretch to say we

1 can get that information right now.

2 But bottom line is, and I put up here the
3 allegations that you find in wire harness, you find in
4 vehicle carriers, and the, they are very similar, it
5 is a distinct charge. The market as it is makes it so
6 that that charge is going to be passed down the chain
7 of distribution. And the trick is, you know, all
8 sides will have economists who will figure out how
9 much was passed down. I can guarantee you at that
10 point the defendants would not say, hey, it is okay if
11 you go check out Google. They will require more from
12 us on class certification of summary judgment if the
13 Court denies their motion.

14 But it is, as I said, the distinction without
15 a difference. We think we easily satisfactory the
16 correct standard here which this Court should apply.
17 That is the Warfarin standard. I will apologize, it
18 may have been me, for trying to boil down that
19 concept. Maybe we are a little too glib about West
20 Penn.

21 But what we are getting at here, and I was
22 going to boil it down again for you today, what you
23 see in McCready and Warfarin, the courts there are
24 focused on a concept of proximate cause. Is it
25 foreseeable the guy in court, me, in front of you,

1 your Honor, and his clients, were injured by the
2 activity. Our allegations meet that test. Our
3 allegations say in the market as it exists when the
4 vehicle service charge is assessed against the OEM,
5 market conditions make it so it can be passed down the
6 chain, and you are right. There are different levels
7 of indirect purchasers here, there are the dealers and
8 we have the end payors. Two sets of dealers.
9 Obviously it is the same as we have in Auto Parts.
10 This isn't anything unusual.

11 What is unusual is trying to suggest that
12 because there are two levels of indirect purchasers,
13 somehow this case can't go forward because that lapse
14 on a number of indirect purchasers cases. It is not
15 an issue and we can get to this in the ADC factors.

16 THE COURT: Right. But in terms of just, I
17 want you to respond to something that was in the reply
18 brief by defendants. They say that your reliance on
19 Sea-Land and In Re Rail Fuel, is misplaced because in
20 this instance the IPP's do not claim that any OEM
21 contracted on their behalf. Is your reliance on those
22 cases misplaced?

23 MR. BURNS: I don't think so. The reliance is
24 going to the fact that we say look, there are courts
25 that have looked at services as opposed to component

1 parts and said services can't, the price of services
2 can't be passed down the chain. Those are factual
3 distinctions and that is certainly true.

4 It doesn't change the standard that this
5 Court has to apply which is the standard in Warfarin
6 of proximate cause. It doesn't change the allegations
7 in their case which make the vehicle carrier charge
8 look like a component charge.

9 And that is my answer.

10 THE COURT: So before I hear from Mr.
11 Rivera-Soto, you would say again the standard for me
12 then, I shouldn't be looking at West Penn because that
13 is a direct purchaser case, that I should be looking
14 at Gulfstream and Warfarin because those haven't been
15 overturned and you believe then, based on their
16 findings, it is really more of this melded question
17 and position that you are taking.

18 MR. BURNS: It is really a proximate cause
19 question ultimately. I would also direct the Court to
20 your sister court in the Ductile Pipe Fittings --

21 THE COURT: What?

22 MR. BURNS: In Ductile Pipe Fittings your
23 sister court looked at the case in the way I am asking
24 this Court to look at this case. It did not throw out
25 the indirect purchaser claims on West Penn. I believe

1 that was a 2013 case, if my memory is serving.

2 THE COURT: That is, as far as Warfarin, that
3 is the foreseeable victim.

4 MR. BURNS: What I call the proximate cause
5 test referenced in there.

6 One last point, it is a major point the
7 defendants make. I want to make sure it is on the
8 Court's radar. They spent pages saying this case is
9 just like Visa Mastercard. They say you should throw
10 it out, it is like that. It is not true.

11 Our allegations are completely different in
12 this case. In Visa Mastercard what you had was the
13 card companies saying merchants, if you want to use
14 our cards, you have to accept debit cards that have
15 our brand on them. So the allegations were that the
16 merchants paid higher overcharge service pricing
17 charged by the increased credit card companies and
18 then they passed those charges throughout their stock.
19 So imagine if you are in that CVS, I have got tens of
20 thousands of products. I have spread those, that
21 overcharge throughout those products. And it doesn't
22 matter if I come in to a store and I pay using a debit
23 card, a Mastercard or cash. The allegations there is
24 I am paying a higher price because it has been spread
25 out throughout all these products.

1 As you know, your Honor, you have got a \$3.00
2 tube of toothpaste in CVS, you have a \$9.00 collection
3 of toilet paper or paper towels. The prices are going
4 to vary. You would have to do a unique analysis for
5 each one to see if there was pass-through on those.
6 Those are the circumstances in Visa Mastercard. I
7 think it is reasonable to say no, a court can't get
8 over that.

9 It is not the case here. Single identifiable
10 charge, significant price. Paid as part of the
11 purchase of the single identifiable product. At end
12 of the day it is completely foreseeable that our
13 clients would pay that.

14 I understand you take the position that West
15 Penn isn't the standard, but assuming it would be the
16 standard and I find that it is the standard, can you
17 give me then your arguments in a nutshell as it
18 relates to whether you are a consumer and the
19 inextricably intertwined argument that you made on
20 page 9, and then of course you said a few pages on
21 page 12, talking about it, and I believe that you were
22 again, you weren't really focusing on the means to an
23 end prong which is sort of that limited though narrow
24 exception.

25 But do you think you could at least appease

1 me and sort of make the argument that in a nutshell as
2 it relates to consumers and the narrow exception of
3 the brand.

4 MR. BURNS: My clients are obviously
5 consumers. I would also argue that the dealers in
6 this instance because they are down the chain of
7 distribution, are also consumers of the automobile at
8 certain points in that chain.

9 THE COURT: So you are a consumer of the
10 service.

11 MR. BURNS: Right.

12 THE COURT: And you are a consumer of the
13 service how again?

14 MR. BURNS: Because the service is
15 inextricably intertwined. It is part of the vehicle
16 we are purchasing. There is no way to separate it.
17 If I want to buy that car that is produced in Japan.
18 There is simply no, it is just part of that car, in
19 the some way --

20 THE COURT: That is the consumer. Is there a
21 narrow exception?

22 MR. BURNS: I think there is some conflicts
23 of these exceptions, a bit. I think there is language
24 and they are talking about the inextricably
25 intertwined which really is the Warfarin formulation

1 for indirect purchaser claims, and ultimately again
2 that is a proximate cause formulation.

3 THE COURT: Okay. Thank you, counsel.

4 MR. BURNS: Just to wrap that point up, if I
5 may. This means to an end argument. If the Court
6 went down that route, and I hope it doesn't, but if
7 the Court does, it would make it easy to see this as a
8 means to an end. The end they are trying to work is
9 to overcharge their direct customers. The shipping
10 lines are trying to overcharge the OEMs. But they
11 know what the market looks like. They know that that
12 charge is going to be passed down. They don't care.
13 They didn't care about me, or you or any other
14 consumer and they don't care about the automobile
15 dealers err ships.

16 Applying that charge so that they can reap
17 record profits is a, the means to the end is that they
18 know the charge is going to pass down the change and
19 we are going to pay, and that ultimately the OEMs may
20 not, but that is not their problem. They have
21 overcharged, whether it passes.

22 THE COURT: Ultimately the OEMs may not a --

23 MR. BURNS: Ultimately they may pass that
24 charge on 100 percent, but the charge still exists.
25 They have applied it. They know that it will pass

1 down the chain of distribution. So the act of
2 application of the charge would be the means to the
3 end and its flow through that chain I think would
4 satisfy that test.

5 Again, I am trying to cabin something into a
6 standard that I think is -- Mr. Rivera-Soto is telling
7 me why he is telling me the wrong standard in a
8 moment. I found the briefing to be excellent on both
9 sides. But it is a little frustrating because where
10 we have no concessions, even when it comes to AGC and
11 whether the Supreme Court in Nebraska and Iowa have
12 found that you apply the AGC factors and you guys have
13 argued to me that somehow they haven't, you are not
14 going to concede that point, it gets a little
15 frustrating when there is really never an agreement on
16 certain things that basically one could probably agree
17 on ultimately. But --

18 MR. BURNS: I have got a big concession
19 coming. If you want it now.

20 THE COURT: I haven't and, there haven't been
21 a lot in this case.

22 Mr. Rivera-Soto, are you pulling the wool
23 over my eyes? Are you telling me West Penn is the
24 standard when it is not because it deals with direct
25 purchasers? And really, are we looking at Warfarin, a

1 2000 case that talks about a proximate cause and that
2 is ultimately what I should be looking at? Tell me
3 that.

4 MR. RIVERA-SOTO: If I thought I could pull
5 the wool over your eyes I would, but I don't think I
6 can, so I am not.

7 Actually, I think Mr. Burns misspoke when he
8 described West Penn. West Penn is actually a cause of
9 action by one competitor against another competitor.
10 They are not a purchaser at all. It is a competitor
11 suing another competitor. It is one health system
12 suing another health system. In that context, talking
13 about antitrust injury. That is where the Third
14 Circuit made clear as to what an antitrust plaintiff,
15 regardless of whatever variety they may be.

16 THE COURT: Was there a qualifier?

17 MR. RIVERA-SOTO: There were no qualifiers at
18 all. I will read the quote. "As a general matter,
19 the class of plaintiffs capable of satisfying the
20 antitrust injury requirement is limited to consumers
21 and competitors in the restrained market and to those
22 whose injuries are the means by which the defendants
23 seek to achieve their anticompetitive ends."

24 So it is not sliced quite as thinly as the
25 plaintiffs would have you do. The Third Circuit has

1 said forget about all these categories. If you want
2 to be an antitrust plaintiff, you must have antitrust
3 injury. And if you have an antitrust injury, you must
4 have these qualifications. They do not qualify.

5 Now, the other part that I don't think anyone
6 has focused on because it has been presumed by the
7 plaintiff, is that the plaintiffs have presumed that
8 every single car that they allege to have purchased
9 was somehow affected by the bad act that they complain
10 of.

11 They haven't said in their pleadings that
12 every single car that was purchased was transported by
13 ocean. We know because we all read newspapers that
14 Toyotas are built in Tennessee. I think Mercedes has
15 a plant in Alabama. So you might be talking about a
16 car that was domestically manufactured. How are they
17 affected? The answer is not under the plaintiffs
18 theory, not at all possible.

19 Then you also get, I know we are probably
20 going to talk about this a little bit when we talk
21 about the --

22 THE COURT: Before we move from West Penn,
23 though. I would note that West Penn does seem to cite
24 to McCready which is the case that Warfarin cites to
25 with respect to the proximate cause formulation. What

1 am I doing with that? I have got West Penn citing to
2 McCready, which obviously Warfarin cited to, is there
3 a way to reconcile sort of this, or are you saying
4 that the Circuit sites to it to it but they do clearly
5 and explicitly state the standard.

6 MR. RIVERA-SOTO: I think what the Circuit
7 intended on, because it did cite to Blue Cross, was to
8 say regardless of what kind of antitrust case you
9 have, there is a standard that must be satisfied, this
10 is the standard that must be satisfied. Regardless of
11 whether you have competitor versus competitor, you
12 have direct purchaser versus industry, indirect
13 purchaser versus industry. This over-arching standard
14 must be satisfied.

15 That is why I believe they that they used the
16 language that they did. This was Judge Smith who as
17 you know tends not to use language loosely. And I
18 read this opinion within the context of who its author
19 is and I say to myself, he picked these words on
20 purpose. I know because I did that myself. He picked
21 the words on purpose because you know that they are
22 going to have a life springing from the page. The
23 fact that Judge Sprit went forward and cited to Blue
24 Cross tells me that he made his pronouncement in light
25 of Blue Cross, not in spite of it.

1 THE COURT: With respect to just
2 understanding because we, you did say in your opening
3 remarks that you thought there was a distinction
4 between goods and services and again you did note in
5 the reply brief that you thought counsels' reliance on
6 Sea-Land and In Re Rail Fuel was misplaced, counsel
7 said, well, wait a minute, we are talking in this, in
8 that services nor the treated any differently than
9 goods. So I wanted some clarification from you on
10 this goods versus services issue.

11 MR. RIVERA-SOTO: I think the difference
12 there was that in those two cases the plaintiffs were
13 the ones who contracted for the services. So they are
14 no different than an OEM would be here. They actually
15 contracted for the transportation services.

16 THE COURT: So that is the distinguishing --

17 MR. RIVERA-SOTO: Absolutely. But once you
18 get, once that gets attenuated, once you step away
19 from direct purchase, and my response is, no. You did
20 not buy services, you bought a product. And that is
21 the difference between the component part cases and
22 this one. Because by the time you purchased it, that
23 service was dissipated. It is gone. And I am not
24 even addressing the issue as to whether you actually
25 paid for the services. One way or the other. Because

1 frankly, we can't tell based upon the complaints that
2 we have here whether they in fact paid for them
3 because depending on which complaint you read, each of
4 them claims that they paid the full amount. That
5 can't possibly be, but that is what they came claim.

6 THE COURT: Could you arguably pass that cost
7 down the line.

8 MR. RIVERA-SOTO: If you passed it 100
9 percent to the guy down, you have no damages, you have
10 no place filing the lawsuit.

11 THE COURT: You being the dealer.

12 MR. RIVERA-SOTO: Anybody who claims this
13 they passed, they all have to say, in order to have
14 standing here, that is the catch 22. In order to have
15 standing here, they have to say that they paid at
16 least part of that. What is curious to me, they each
17 say they all paid all of it. That doesn't work.

18 THE COURT: Okay. Counsel. I think you
19 might have to, I think you might have to reschedule
20 the lunch plans. We are going to let counsel --

21 MR. RIVERA-SOTO: Everyone is invited. Mr.
22 Burns is paying.

23 THE COURT: I was going to let counsel
24 respond to that. Then I will move.

25 We will break after your response. And then

1 we will move to this issue of whether AGC factors
2 should be considered as to all the states.

3 MR. BURNS: Thank you, your Honor. I will be
4 brief.

5 First of all, I apologize if I muddled the
6 water. It with not the first time I have misspoken.
7 But I think Mr. Rivera Soto has clarified the issue
8 for us. The purchaser.

9 MR. RIVERA-SOTO: Your Honor, there is your
10 first concession.

11 MR. BURNS: I am telling you there is a
12 bigger one coming. If not a direct purchaser, you
13 have a situation where you have competitors suing in
14 federal court under federal antitrust laws.

15 Here is the primary distinction, your Honor,
16 and why Warfarin makes sense in this case. Warfarin
17 is applying its test to indirect purchaser claims. It
18 is just like what I am asserting here, and in the same
19 context. I can't bring damages claims under federal
20 law. I can only bring an injunctive claim under
21 federal law. Injunctive claims are treated
22 differently, under federal law, and Warfarin treated
23 them differently in the context of the standing issue.
24 That is why it comes in, relying on McCready, with a
25 proximate cause formulation. Because it is a federal

1 court that is not applying federal damages laws. It
2 is applying something different. We know they treat
3 it differently. We know you treat it differently
4 because you don't apply in the injunctive relief
5 context the AGC factors which are federal law and also
6 apply to standing.

7 For indirect purchasers seeking injunctive
8 relief under section 16 of the Clayton Act you apply
9 Warfarin, precedent in this Circuit, that was utilized
10 by Ductile Pipe Fitting and you apply the proximate
11 cause here, that is inextricably intertwined.

12 For the reasons I addressed earlier, it is
13 inextricably intertwined. There is a point made also
14 about really what is alleged in the complaint, whether
15 it is sufficient. As much as I would like them to,
16 the dealers are under no obligation to be nice to me
17 and say that they passed on some of the charge to me.
18 They are entitled to their allegations. And the
19 reason I make those allegations now is because that
20 issue, the issue of pass-through, is going to be
21 subjected to a whole lot of discovery and expert work.
22 They can't tell you and I can't tell you, to be
23 honest, that 48 percent was charged through. It is my
24 view on these market conditions that our allegations
25 are accurate and there was pass-through, but that is

1 also satisfying. It is really a distinction without a
2 difference there, and to be clear, there is another
3 point that was raised about domestic cars, and the
4 confusion there.

5 In each of these complaints, under the class
6 allegation that is alleged, the indirect purchasers
7 have -- are seeking damages and the damages class
8 where people who paid the vehicle services cars, they
9 were vehicles that were subjected to the vehicle
10 services charge. That is sufficient under any view of
11 federal pleading standards.

12 I think that is it, your Honor, unless there
13 is something else you would like.

14 THE COURT: Okay, we will break until 12:30.

15 MR. RIVERA-SOTO: One point in surrebuttal.

16 Your Honor, if they don't know how much of
17 the surcharge they passed on, who does? What
18 discovery do they need to figure out what their own
19 records should show? If they don't know how much they
20 passed on, I don't know who does.

21 MR. BURNS: Briefly, your Honor?

22 THE COURT: Briefly, counsel.

23 MR. BURNS: It is not indirect purchaser law,
24 your Honor. We have to get into discovery. Believe
25 me, at summary judgment and class certification they

1 will be here telling you we don't figure out how much
2 was passed through, not that we knew it all along.
3 That argument I think --

4 MR. RIVERA-SOTO:

5 THE COURT: All right. 12:30, I will see you
6 back. We will get to AGC factors.

7 (Recess.).

8
9 THE COURT: Back on the record in the matter
10 of In Re Vehicle Carrier Services antitrust
11 litigation. We are now going to the next phase of
12 argument and that has to do with the AGC factors, and
13 I would like to hear from defense counsel. I would
14 like to take this argument generally. So do AGC
15 factors apply to the state antitrust statute, and if
16 so, whether the application of the factors warrants
17 dismissal of the plaintiffs' complaint.

18 So let's keep it in a more general concept.
19 And then of course we will hear from plaintiffs
20 counsel, and the only more specific argument that I
21 want from plaintiffs' counsel is the issue of Nebraska
22 and Iowa and deal with that carved out limitation and
23 not getting to all of the states in its analysis.

24 MR. RIVERA-SOTO: As your Honor requested, I
25 am not going to go into each of the AGC factors. It

1 is important, as your Honor noted, we talk about in
2 more global cases we have provided the Court a number
3 of exhibits that attracts what states have adopted the
4 AGC factors, either by the state Supreme Court, or
5 either intermediate appeal courts or trial courts or
6 federal courts sitting in that state, or those states
7 that have mandatory arbitration provisions that would
8 adopt the AGC standards.

9 I think what is important to remember in this
10 context is that state antitrust law is not a terribly
11 well developed system of law. It certainly is not
12 nearly as well developed as the federal antitrust law
13 is. And in that context, it is important then to
14 realize that most of the states that have addressed
15 the issue have either adopted the AGC factors, or
16 adopted the AGC factors with some small moderation or
17 have said, well, no, we don't want the AGC factors, we
18 are going to do our own, but when you translate what
19 their own are, they sure look like the AGC factors.

20 So in large measure, when what we have is a
21 recognition from most of the states that have spoken
22 on the issue that they are going to look to the AGC
23 factors to determine whether a state antitrust
24 plaintiff has standing to present antitrust claim.

25 Now, in large measure, that just simply makes

1 sense. And it makes sense because it is at the
2 federal system where the law is very well developed,
3 and it is where most, if not all of the states,
4 ultimately end up. So I don't think that although we
5 provided the business information to your Honor, I
6 don't think it makes much of a difference one way or
7 the other.

8 THE COURT: Let me interrupt. You said most
9 of the states have adopted the AGC factors. But I
10 think it is only Nebraska and Iowa that explicitly
11 have adopted that, their Supreme Court, correct?

12 MR. RIVERA-SOTO: I think that's correct,
13 your Honor.

14 THE COURT: And then of course you then ask
15 me to consider some of the intermediary courts, and,
16 but, one of the things that plaintiffs say in their
17 papers is they say that really that each of the states
18 really haven't spoken to this, and in fact, the Court
19 is required to do an individual state-by-state
20 analysis.

21 And so I think we can't just gloss over and
22 say they have adopted it. They haven't. There are
23 various states that have the harmonization analysis
24 that they have utilized. You are saying when you look
25 at all these states, it appears, but wouldn't that

1 still require me to do a state-by-state analysis?

2 MR. RIVERA-SOTO: I hesitate to answer
3 because the answer sounds insane to me, that this
4 Court should have to sit there and do a state-by-state
5 analysis of the AGC, whether the AGC factors apply or
6 don't apply in states that haven't spoken in respect
7 to this issue.

8 It seems to me that the better route, the
9 more common sensical route, is to say, look, we have
10 the AGC factors. They exist. The antitrust tends to
11 be something that has been developed certainly more
12 profoundly and more deeply in the federal courts. The
13 AGC factors are in the something that is hidden. They
14 come from a Supreme Court case. Any state that has
15 wanted to opt out of the AGC factors should have had
16 an opportunity by now and I would use the almost
17 silence is consent argument to say if they had had the
18 opportunity to say differently, and they didn't, then
19 it seems to me that this Court can say I can in
20 overall cases apply the AGC factors.

21 THE COURT: That is a bold step, that is a
22 bold step even for me.

23 MR. RIVERA-SOTO: This is a different matter
24 all together. I was going to say it is not a bold
25 step for me. But I am not there. I am here. I think

1 that though that it has to, it has the blessing of
2 making sense. And that is what I think this Court
3 needs to do, is sort of as a sideline, is because the
4 notion of sitting there and going through state by
5 state, and your Honor, I did it when we did the brief.
6 And there were moments when suicide was not such a bad
7 alternative.

8 And I don't want to wish that on your Honor,
9 and certainly, I would like to avoid it as much as I
10 can, but it seems to me that I don't know what is
11 gained by the Court engaging in that kind of
12 painstakingly detailed analysis. It seems to me that
13 is what the plaintiffs wanted you, if that is what
14 they wanted you to do, that is what they should have
15 laid out and they didn't. They should have laid out
16 for the Court much in the way that that we did what
17 the Court should have done.

18 So do I have to concede that I don't have a
19 case for each of the 50 states that says we apply the
20 AGC factors? I have to concede that. I have given
21 the Court what we found. We tried to find ways around
22 that by talking about permissive versus mandatory
23 harmonization. We tried to find ways around that by
24 throwing into the mix federal courts sitting in
25 diversity who were determining state laws. And still

1 applied the AGC standards. There was no guidance from
2 states, either Supreme Court or intermediate courts.

3 In the end, though, for those states that
4 haven't spoken, there is a lot of them, and this Court
5 would have to engage in the inquiry of saying, well,
6 if presented with this issue, would the Supreme Court
7 of X adopt the standards or not? And I think that the
8 Court can say that kind of on an overall basis, and
9 still remain true to the Court's obligation to
10 determine each case on its own merits. I think that
11 by saying it on an overall basis doesn't detract from
12 the fact that the Court didn't do it on a state-by-
13 state basis.

14 THE COURT: So let's assume then that the
15 factors would apply. Have they be met?

16 MR. RIVERA-SOTO: We don't think so, your
17 Honor. And we don't believe so because the factors
18 themselves tell us that the plaintiffs have not
19 satisfied them.

20 Let's take the first one. There has to be a
21 causal connection to plead an antitrust violation and
22 the harm to the plaintiff, and the intent of the
23 defendants to cause that harm. What proof is there in
24 these pleadings? We are talking about a motion to
25 dismiss. What is in these pleadings that says that

1 these defendants intended to harm these indirect
2 plaintiffs?

3 Am I going to assume the truth of it by
4 engaging in a process that resulted in higher costs
5 for ocean transport? There is none. And I think it
6 is fair to say, your Honor, that one can do all the
7 discovery in the world about it, and no one is going
8 to say that when they sat down and they decided, we
9 are going to respect your routes here, you are going
10 to respect our routes here, that they ever said, an
11 oh, by the way, we are doing this because we intend to
12 harm the guy who buys the Toyota Celica in Des Moines,
13 Iowa. That is clearly not here and it is not pled in
14 the complaint. So they don't satisfy the first
15 factor.

16 Now, again, no one factor is determinative.
17 But let's look at them one by one.

18 The second one is whether the injury itself
19 is of the type which the antitrust laws are intended
20 to redress. That one is closer. Concededly so.
21 Because the claim is that you engaged in
22 anticompetitive behavior and as a result there was
23 an increase in the price. That is the allegation in
24 the case.

25 The allegation is also we were harmed. I

1 have a little bit of difficulty with that second part
2 because in every cause of action you have to allege
3 not only the cause of action itself, but you also have
4 to allege damages. And here, again I go back to the
5 fact that these complaints are all contradictory in
6 that respect. Not all three of them could have had
7 the full damages that they claim. Because the auto
8 dealer said we paid everything. The truck centers say
9 we paid everything, and the end payors below them say
10 they paid everything.

11 Well, my mother would tell me that that can't
12 happen. You either did or you didn't but you don't
13 have it both ways, on the few occasion that's my
14 brother and I tried to cover for each, we learned
15 better than that.

16 The third thing is the directness of the
17 injury. Your Honor, I can't imagine a set of
18 circumstances that is more attenuated than this one.
19 The injury, if there was one, was to the OEMs when
20 they were overcharged. Whether anybody else in the
21 distribution chain after that was overcharged is not
22 our doing. That is assuming that they were
23 overcharged we are not conceding. But if there was an
24 overcharge, was not our doing.

25 THE COURT: So if there was an overcharge, it

1 was direct to the OEM.

2 MR. RIVERA-SOTO: Direct to the OEM.

3 THE COURT: And any other injury is?

4 MR. RIVERA-SOTO: Incidental.

5 THE COURT: Is moot?

6 MR. RIVERA-SOTO: Incidental.

7 THE COURT: Three and four work together,
8 with it being the victim.

9 MR. RIVERA-SOTO: You are right. There is a
10 third one which is the potential for recovery and
11 complex of the a, apportion the damages. I don't have
12 to say anything other than to say it clearly applies
13 here.

14 I think the difficulty your Honor is going to
15 have to deal with is to say, look, they sound
16 sympathetic. And I don't, that will be my second
17 concession of the day. They do sound sympathetic.
18 But sympathy does not a cause of action make. They
19 have not pled with standing to assert the causes of
20 action that they have asserted and therefore, this
21 case should be denied.

22 THE COURT: Thank you, counsel.

23 MR. BURNS: Your Honor, several times today I
24 have heard counsel refer to plaintiffs' theory of this
25 conspiracy, and various theories, and conjectural

1 injuries, and just recently an injury if there was
2 one. I think we should make reality a touchstone
3 here.

4 There are lawyers on this side of the
5 courtroom who represent three defendants who have
6 pleaded guilty to this conspiracy, who have pleaded
7 guilty to violating the antitrust laws of the United
8 States. It is not conjecture for us to say that they
9 have engaged in a conspiracy. It is not conjecture
10 for us to bring these claims under antitrust law. It
11 simply is not.

12 Again, your Honor, defendants are asking you
13 to do something extraordinary. First, and I will come
14 back to this briefly. First they are asking you to
15 say, ignore what Ductile Pipe says, ignore what
16 precedent says. Apply AGC across the board because
17 silence is dispositive. I have noticed the defendants
18 can do a lot with silence, they can do a lot with
19 silence in the Shipping Act. Here they can do a lot
20 with silence and Supreme Courts. But that is not the
21 case here.

22 But the second and more troubling aspect is
23 that at the base their argument is, your Honor, all
24 these, I am right. All the other courts got it wrong.
25 Mr. Burns is coming up with novel theories but you

1 should ignore Auto Parts, Lithium Batteries. Ductile
2 Pipe. They are indistinguishable from this case, but
3 ignore them because we want you to apply the law in
4 such a way that no indirect purchaser can ever bring a
5 claim. That is the basis of their argument. They are
6 asking to you apply standards that don't apply. They
7 are asking you to ignore allegations in the complaint.
8 Reality should be oh touchstone.

9 So let's talk about AGC. I promise you a bit
10 of a concession. Okay. My concession as I was
11 thinking about this case, and I again was lead counsel
12 in Auto Parts for the end payors. Was to say to you,
13 look, there is a bit of a shortcut. It is what Judge
14 Battoni did in Auto Parts. Same arguments on AGC
15 raised by other defendants. What she said is let's
16 assume AGC applies across the board. Why not make
17 that my first step? And If I find that the plaintiffs
18 still allege a claim under AGC, still have standing
19 under AGC, well, then my inquiry is pretty much dead.

20 What Judge Battani did is apply AGC, she
21 found, and I hope you will here, based on the
22 arguments I will give you that we satisfy AGC under
23 any reading of that statute. And she moved on. In
24 this district. The law is clear. It is a state court
25 issue. You should apply state court antitrust

1 standing. Inquiries to each of these states. As you
2 see in Ductile Pipe, what the Court did there was it
3 looked at AGC and it looked at the allegations and
4 what the defendants had raised in their arguments and
5 said, I will go with you on certain states or it may
6 apply in certain states. But for everything elsewhere
7 if you haven't shown me it doesn't apply, then I am
8 not going to engage in that inquiry. It I essentially
9 what Judge Battani did. Okay. So that is somewhat of
10 a concession. I hope it is a way to guide the Court.

11 But I do want to address now these AGC
12 factors. I will begin briefly with Nebraska and Iowa.
13 I don't want to belabor. The distinction there is
14 those are both Visa cases which is what we have on the
15 board here now. They are distinguishable because they
16 are not classic indirect purchaser cases like this
17 one. Why this one is classic, to run through the
18 point, and emphasize one that I may not have before,
19 it goes to the heart of this case. They are saying it
20 is not like a component charge, it is like
21 electricity, and gasoline, like air. I don't know.
22 It is not. Why? Because it is a per unit charge. We
23 know, that is what our investigation shows. It is a
24 per unit charge. The charge is applied to individual
25 vehicles.

1 When Volvo goes up to ship 500 cars to the
2 United States, the deal they reach with Hoegh or WWL
3 or one of the other defendants is I am going to pay
4 \$350 per vehicle, that is a per vehicle charge, just
5 like you have per vehicle component costs. It makes
6 this very distinguishable from, or actually gives the
7 lie to the whole services distinction argument.

8 But again, it is a single identifiable per
9 unit charge. Significant charge over \$300. Passed
10 down through the chain of distribution.

11 It is not Visa, where the reason these cases
12 get kicked out, there is no standing, it is what I was
13 pointing out is allegations in Visa are that the
14 overcharges are applied across the board to all kinds
15 of purchasers and it doesn't matter whether you
16 purchased with a Visa or Mastercard or not. You are
17 still paying an overcharge, even on products where
18 there was no real chain. Okay. That is the
19 distinction. That is why those cases go that way.
20 But I wanted to answer the Court's question on that
21 point.

22 I am not going to belabor it. Again, let's
23 look at AGC.

24 First factor is of course the causal
25 connection. And here again, I think we demonstrated

1 that through a very short chain of distribution, a
2 service charge that looks a whole lot like a component
3 charge and makes this, this case indistinguishable
4 from Auto Parts, from Lithium, from Ductile Pipe.
5 This Court only need to look at Ductile Pipe or the
6 award in the same circuit. In indirect purchasers,
7 this is the ordinary type of allegation you get.
8 There is pass-through of that charge. And there is a
9 causal link in that pass-through. I mean, that is the
10 basis of an indirect purchasers claim.

11 Fundamentally, your Honor, although I am
12 going to argue AGC and I am going to tell you we
13 satisfy it, the reason why some states have deprived
14 it, this is federal law, we are grafting on to state
15 law that permits indirect purchaser claims. A federal
16 standard where there is no indirect purchaser claims.
17 Some of these are screwy. This one is not.

18 There is a causal connection and most courts
19 in the indirect purchaser cause found that allegations
20 like ours establish the causal link. The next
21 question is a type of injury, whether plaintiffs
22 allege injuries is the time which antitrust laws were
23 designed to provide redress. Ductile Pipe. Warfarin,
24 Lithium. Look at Lithium. Courts have determined
25 discrete injuries traceable through the chain, that is

1 the allegation, that is what you have to accept as
2 true, tilt this in favor of the antitrust claim. We
3 satisfied that.

4 Directness of injury. Here again we are
5 trying to apply a federal standard with no indirect
6 claims to state law, indirect claim. In re Ductile
7 Pipe, indirect purchasers, which is who you are
8 dealing with, satisfied the burden of pleading by
9 alleging that the cost was passed down the chain.
10 That simple. That is what we alleged. There is no
11 question that is what we alleged in this case.

12 Again, short chain of distribution.
13 Existence of more direct victims. Again, different
14 standards, but for the sake of argument we will apply
15 it here. Of course there are more direct victims.
16 Direct purchaser class, different levels in the chain
17 of distribution. That is the nature of indirect
18 purchaser cases, your Honor. Ductile pipe. This is
19 an indirect purchaser case. This is what we do.
20 Ductile Pipe didn't apply much weight to this factor
21 because there are more direct victims. It doesn't
22 tilt the balance against the indirect purchaser.

23 Last, duplicative recovery and apportionment.
24 Pretty much black letter law after ARC America, your
25 Honor, that the Supreme Court has allowed indirect

1 purchaser claims which permit recovery of damages
2 under state law to proceed. Even when there are
3 direct purchasers who have the same claims and are
4 obtaining redress and damages under federal law.

5 So on the distinction between indirect
6 purchasers and direct purchasers, it is a function of
7 the system, the federal system we live in and the
8 Supreme Court said federal laws don't have anything to
9 say on that. The states can legislate here and they
10 can assess damages. So we have that right under state
11 law.

12 So then the question is what do you do about
13 the fact in this case that there are two levels of
14 indirect purchasers. That becomes an issue of
15 apportionment. It is going to be the subject of
16 significant factual discovery and expert work. But at
17 the end of the day, you and a jury would be asked to
18 decide how much did they pass down to my clients. How
19 much did the dealers pass down to the consumers.

20 And it is going to be an issue for the
21 court, but it is an issue in every indirect purchaser
22 case which has multiple levels, and so there is going
23 to be factual discovery, expert work at the end of the
24 day, the risk of any duplication there is limited by
25 the fact that you have parties with different

1 interests that are going to litigate that issue.

2 So your Honor, I think under any reading of
3 AGC we satisfy every factor, except the more direct
4 victims. But again, as in Ductile Pipe and as in
5 these many other cases that have assessed the issue,
6 that factor alone does not tilt the balance in favor
7 of the standard.

8 THE COURT: Thank you, counsel. I believe I
9 heard enough argument as to that point.

10 Now we move to state law standing in article,
11 and Article III.:

12 Go ahead, counsel.

13 MR. RIVERA-SOTO: Thank you, your Honor. The
14 issue of standing in respect to state law claims, I
15 think probably can best be summarized, an indirect
16 purchaser plaintiff lacks standing to assert a claim
17 other than those from its own home state, or a state
18 in which they were injured because no indirect
19 purchaser plaintiff has claimed here injury in any
20 state other than their own home state, the analysis
21 should be limited to just that perspective only.

22 Now, why do I say that? Well, we just heard
23 from Mr. Burns, whose reliance on which indirect
24 plaintiffs place on Judge Thompson's decision in *In re*
25 *Ductile Iron Pipe Fittings*. Mr. Burns told the Court

1 several times today that he has been counsel in the
2 Auto Parts case. I plead guilty to being counsel to
3 one of the defendants in the DIP case. What I can
4 point out to the Court, there is a fundamental
5 difference between that case and this one. In that
6 case what was being sold was a product. It was a
7 large physical product, iron pipe fittings for water
8 systems where a great deal of water is passed through.

9 The defendants confront the direct and
10 indirect claims. The direction were the wholesalers
11 who purchased them from the defendant distributors
12 slash manufacturers. And then you have these indirect
13 plaintiffs who were the construction companies that
14 purchased from the home sellers, and the
15 municipalities or water systems that had it installed.
16 In those instances, it is fairly clear to trace where
17 the harm, if any, existed. But what Judge Thompson
18 did in that case is that she specifically said unless
19 you can show me that you are harmed, someone else in
20 your own state, I am going to pare out all of those
21 claims. That analysis applies with equal force here.

22 Here we have, for the truck centers
23 complaint, we have an allegation of 12 jurisdictions
24 but only six of those jurisdictions allow any indirect
25 purchaser claims. Remarkably, they assert the laws of

1 28 jurisdictions. That just doesn't make any sense.
2 The auto dealers claim that they represent nine
3 jurisdictions but they assert claims under the laws of
4 29 jurisdictions. Again, makes no sense.

5 The end payors come closer where they have 30
6 jurisdictions, but they have alleged claims under the
7 laws of 32 different states.

8 Now, your Honor, we tried again to make this
9 simpler for the Court, and that is exhibit I which is
10 the chart of all the states in which the indirect
11 purchaser plaintiffs are resident for purposes of
12 standing.

13 So going back to what the underlying issue
14 is, as DIP states, and I quote, a class representative
15 for a particular claim must himself have a cause of
16 action on that claim. The U.S. Supreme Court has told
17 us that standing is not dispensed in gross. It also
18 told us that it is not sufficient, that injury has
19 been suffered by other unidentified members of the
20 class which they belong and to and which they purport
21 to represent.

22 It also has told us that none of the main
23 plaintiffs purporting to represent a class establishes
24 the requisite case or controversy with the defendants,
25 none may seek relief on behalf of themselves or any

1 other member of the class. And that ultimately brings
2 us to the conclusion which is ignoring that bedrock
3 principle would, in the words of the Eastern District,
4 I quote, "allow main plaintiffs in proposed class
5 actions with no injuries in relation to the law
6 certain states referenced in their complaint to embark
7 on lengthy class discovery with respect to injuries in
8 potentially every state of the union."

9 THE COURT: So then counsel, what do you make
10 of Amchem and Ortiz? And its logically antecedent
11 argument that counsel, seems to say that, we argue
12 this another day and obviously you can disagree
13 vehemently. What are we doing with that? As I
14 understand those were, I think they both were global
15 settlements than and I think that is an issue.
16 Obviously, the Court was confronted with a global
17 settlement. I think in one of them it may have been
18 even a nonparty.

19 So I mean, is that a distinguishing issue
20 that is not before this Court right now?

21 MR. RIVERA-SOTO: I don't think that either
22 of those cases is apropos of what the issue is before
23 the Court. This Court has to determine whether these
24 pleadings state a cause of action. In doing so, one
25 of the things that has to be looked at first is the

1 case law tells us clearly standing is a threshold
2 issue. Is standing, the question then becomes, can
3 somebody who is in Iowa file a claim and he is located
4 in Iowa, he doesn't want out of Iowa, file a claim
5 asserting the violation of New Jersey law.

6 Now, when one states it that way it surely
7 sounds silly. It doesn't sound any better simply
8 because they pled it in the complaint.

9 THE COURT: And isn't the issue, in instances
10 again, where that would be permissible, is, there is a
11 traceable injury to that state.

12 MR. RIVERA-SOTO: They have to do better.
13 Let's say you have a company that is in Delaware.
14 They are incorporated in Delaware. They have to do
15 business in the state of Delaware. That is their home
16 state. But they have an office in Oklahoma. Okay.
17 If they got harmed in Oklahoma, fine. They can allege
18 Oklahoma. But they can't just pick Oklahoma out of a
19 hat. There has to be a causal nexus to be able to say
20 I am invoking the protection of the laws of X state.
21 You can't just decide on that willy-nilly.

22 THE COURT: What about their argument that
23 some states don't have an in-state requirement?

24 MR. RIVERA-SOTO: I don't think it is
25 relevant as to whether they do or they don't. The

1 question is whether they have standing in this Court
2 to assert that. They want to go to that state and
3 make a claim in that state, where that is not an
4 element of standing, go right ahead. But this Court
5 jurisprudentially has to determine Article III
6 standing, which under this state law they are not
7 entitled to.

8 THE COURT: Okay, counsel.

9 MR. RIVERA-SOTO: Thank you, your Honor.

10 MR. BURNS: Your Honor, I am actually going
11 to keep this brief and answer any questions you might
12 have.

13 But I think the simple answer is you are
14 presented with a choice of whether to go along with
15 the courts that found that Article III, the Article
16 III inquiry as it relates to states not represented by
17 plaintiffs at this stage is logically antecedent to
18 class certification and whether you should postpone
19 that inquiry.

20 THE COURT: What if I find it is not
21 logically, and I found Amchem and Ortiz are not on
22 point? Then what am I doing?

23 MR. BURNS: We would point you to our
24 argument outlined in our brief, that it is not that
25 simple, that certain states do not require --

1 THE COURT: That was a great point. Then you
2 can go to Ohio, if Ohio doesn't have an in-state
3 residence requirement and bring the action but you are
4 here in New Jersey, in federal court.

5 MR. BURNS: I have been lumped here. We have
6 capital to deal with and we are here under the MDL
7 process. And I am happy to be here.

8 THE COURT: Maybe not so much.

9 MR. BURNS: Maybe not right now. But, your
10 Honor, I am not telling you that this is cut and dry.
11 Courts have gone the other way. They certainly have.
12 The reasons, though, that courts find this issue
13 logically antecedent is some of the issues, the flow
14 of vehicles you pointed out and where the injury
15 occurred, where the vehicles were shipped to, will
16 become issue of discovery. That is something that is
17 going to be down the road if we get past this stage.

18 Another issue is that look, as we march
19 toward class certification, changes occur in the case.
20 Often times you will have people substituted in, we
21 may come to you and ask to bring new class plaintiffs
22 in for whatever reason. And our claims may be refined
23 and narrowed during that, during the course of the
24 proceedings. That is why courts have said I am not
25 going to decide this now. We are going to push it off

1 to class certification and see what happens in between
2 now and then as long as you met all the other other
3 requirements of bringing the case as it sits here in
4 federal court.

5 That is what we urge the Court to do. I am
6 not going to deny that there are other ways to do it.
7 And if you were to go down that road, I think it would
8 be a, speaking particularly on behalf of the
9 dealership plaintiffs, I think it would be appropriate
10 in this circumstance with this narrow issue to permit
11 me to replead on some of these issues because of the
12 fact that there may be class representatives that come
13 into the fold since this complaint was filed and we
14 can address that as well.

15 Thank you, your Honor.

16 THE COURT: Counsel, stay at the podium if
17 you will. We are going to briefly talk about unjust
18 enrichment. I have to say I think it is going to be
19 brief in terms of argument --

20 MR. RIVERA-SOTO: I hate to interrupt.
21 Before we go to unjust enrichment, if I may?

22 THE COURT: You are ahead, counsel.

23 MR. RIVERA-SOTO: I wanted to bring, I should
24 have done this earlier. I wanted to bring to the
25 Court's attention a decision yesterday from the Third

1 Circuit in Neale versus Volvo Cars of North America,
2 LLC. In that case the Court determined that
3 jurisprudential issues of standing had to go first and
4 it distinguished --

5 MR. BURNS: Could I have the cite?

6 MR. RIVERA-SOTO: I will give you my copy.

7 THE COURT: We will consider it. Counsel, if
8 you want to be heard at the next break, I will let you
9 be heard on it. I see a pleadings problem with unjust
10 enrichment.

11 MR. BURNS: I will address that but I have
12 the cite for you for the press release, whenever you
13 want that.

14 THE COURT: Okay. Give me that.

15 MR. BURNS: The problem here is that there
16 are subdirectories because of Auto Parts and the
17 multiple plaintiff classes, they are sub directories.
18 I am told you need to look specifically at 12-103.
19 The ECF number should be 122. Filed on behalf of the
20 end payors. There is an over arching docket, MDL
21 02311 I believe but there is a sub directory for the
22 wire harness case.

23 THE COURT: Thank you.

24 MR. RIVERA-SOTO: You have to look first
25 under what?

1 MR. BURNS: Original is 12 MD 02311.

2 MR. RIVERA-SOTO: 02311. Thank you.

3 THE COURT: We are at unjust enrichment at
4 this point. I wanted to spend a little time on it. I
5 don't really need all that much more argument than
6 what is provided in the briefs. But I just have a
7 problem, counsel, with the fact that we didn't
8 identify the various, specifically identify for the
9 Court where and how we are asserting the unjust
10 enrichment claims in each of the states. You know and
11 I am looking at a series of cases now where the courts
12 threw those out as well, without, we need to at least
13 identify what we are relying on here.

14 MR. BURNS: Just so are clear, a couple of
15 distinguishing points. I know exactly what you are
16 talking about, your Honor. Frankly, it could be
17 clearer. Here is the basis of our argument. When we
18 speak of the allegations with respect to unjust
19 enrichment, we speak in the end-payor complaint, with
20 respect and in relation to the indirect purchaser
21 states.

22 Our argument is that we have identified those
23 states because it is capitalized define term and this
24 is not, as the defendants argue, an end run around any
25 law. Because we have limited it to the indirect

1 purchasers states as we have defined, it is a claim
2 that is co-extensive with other claims we have brought
3 in those states.

4 It is not like we are trying to assert Texas
5 unjust enrichment cause of action and seek to recover
6 under Texas law. And so I understand the Court's
7 concern. I beg to replead on that issue. But that is
8 the basis for our --

9 THE COURT: I think that is where we are
10 going. You want to be heard on that?

11 MR. RIVERA-SOTO: I would rather quit while I
12 am ahead. He can happily replead at the federal --

13 THE COURT: All right. We are, because of
14 the hour, I am going to really just, under failure to
15 state a claim, I would like to focus argument on
16 Montana, South Carolina, and Illinois antitrust acts,
17 and this issue of Shady Grove. And obviously,
18 counsel, moving counsel can be heard first. And then
19 of course I will hear from plaintiffs' counsel. Then
20 I know we have to switch counsel, and what we have,
21 once we have argument on Shady Grove we will take a
22 break, and I will state at the break, but I actually
23 will say it now, that for the record, I have all the
24 briefing that I need on the issues that have not been
25 touched upon at oral argument, and I don't believe I

1 need any further argument on those points as it
2 relates to the AGT. We will deal with failure to
3 state a claim. Shady Grove, break, allow counsel to
4 switch chairs. We will then probably take 30 minute
5 break, and then resume with addressing the additional
6 issues.

7 Before we do that, I am reminded, counsel,
8 for the plaintiff, with respect to Tennessee, and
9 Vermont, I assume at this point there was a
10 concession.

11 MR. BURNS: There was. I believe in the
12 briefing we even had a concession.

13 THE COURT: I would like it for the record.

14 MR. BURNS: Yes, we will make that concession
15 and withdraw the allegations as per our brief.

16 THE COURT: Thank you.

17 Proceed, counsel.

18 MR. RIVERA-SOTO: Good afternoon, your Honor.
19 I understand that you want to do this hopefully as
20 truncated as possible. And I am going to be as brief
21 as I can in answering your Honor's questions. I think
22 to take the first question that your Honor had which
23 was how does the, how are these claims not otherwise
24 barred by the laws of certain states which we had
25 argued in our brief, honestly I don't have much to add

1 to what is in the brief and I don't want to take your
2 Honor's time. If you have any questions as to it, I
3 can. I mean I can talk about how the intersection of
4 Shady Grove with those statutes may be, but I am not
5 so sure --

6 THE COURT: Well, I do want to hear it
7 because I think when you look at it, and again, I am
8 looking at In Re Package Dye antitrust litigation and
9 there are a series of cases that are on page 66. I
10 mean. I am trying to understand how you would
11 characterize those cases and their holdings, in
12 particular, explaining if anything how they are wrong.
13 I am on In Re Package Dyes.

14 MR. RIVERA-SOTO: Page 66 of the plaintiffs'
15 brief?

16 THE COURT: 66 of the opinion. But,
17 obviously, just give me your argument then counsel in
18 a nutshell as it relates to Montana, South Carolina
19 and Illinois antitrust laws.

20 MR. RIVERA-SOTO: Your Honor, it strikes me
21 -- let me find it.

22 THE COURT: I am sorry. It is 659. 659. I
23 misspoke. I apologize.

24 MR. RIVERA-SOTO: Thank you. It strikes me
25 that the language of the statutes tells us what can or

1 cannot be bought. We have cited the language of the
2 statutes, Montana Consumer Protection Act, South
3 Carolina Unfair Trade Practices Act and the Illinois
4 Antitrust Act, all of which have similar language that
5 essentially says, look, you can bring an action, you
6 just can't bring a class action, under those laws.

7 Now, Shady Grove might be authority to say,
8 well, since Rule 23 is procedural, it applies in
9 federal court and not state court law. But we are not
10 at that juncture yet. Because right now, none of
11 these cases is a class case. They are putative class
12 cases, but there has been no petition for
13 certification, class certification filed in this case
14 and the issue is not before the Court. The question
15 is do these complaints, as they stand, which are the
16 allegations of individual loss plaintiffs, who may
17 seek class certification later, but right now are
18 unable to assert claims under these specific statutes.

19 And what and where are we going? I think
20 that the answer is as set forth in our brief, which is
21 they cannot maintain those claims right now, given
22 what they have alleged.

23 Shady Grove is an issue but it is a bridge we
24 will have to cross at a later time, hopefully we will
25 never have to cross at all.

1 THE COURT: Okay. Response, counsel?

2 MR. BURNS: Just briefly, your Honor. We are
3 obviously relying on those cases. Shady Grove I mean
4 the essence of the Shady Grove holding is that we are
5 in federal court, we are benefitting from Rule 23 and
6 the class action procedure there. And have to comply
7 that rule.

8 To the extent that Rule 23 and a state
9 procedural rule are in conflict, then Rule 23 of the
10 federal court supplants the state rule. I think a
11 number of courts have found since Shady Grove that
12 South Carolina and Montana Acts are procedural in
13 nature, as it pertains to that class action.

14 THE COURT: All right. Counsel, we are going
15 to break for 30 minutes. Then when we, we are back
16 together again, we will start with the defendant's
17 motion to dismiss direct purchaser complaints, docket
18 entry number 218. Thank you.

19 (Luncheon recess.)
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1 A F T E R N O O N S E S S I O N.

2 THE COURT: Please be seated. I do want to
3 ask Mr. Burns, and also Mr. Rivera-Soto to, I need
4 more on conflict preemption. So I would like five
5 pages, no more than five pages on conflict preemption
6 and I need it soon. Because I intend on ruling in the
7 next few weeks.

8 MR. BURNS: Thank you, your Honor.

9 THE COURT: Next Tuesday, simultaneous
10 submission.

11 MR. BURNS: That is fine with us.

12 THE COURT: Five pages enough?

13 MR. RIVERA-SOTO: Well, we will make five
14 pages to be enough.

15 MR. BURNS: That is my answer, too.

16 MR. RIVERA-SOTO: Double spaced?

17 THE COURT: It can be single spaced. Five
18 pages should be fine. Single spaced. And I am
19 letting you both know it is an issue for me. So.

20 MR. RIVERA-SOTO: Thank you, your Honor.

21 THE COURT: Make it good.

22 MR. BURNS: Believe me, I will.

23 MR. RIVERA-SOTO: I am hurt.

24 THE COURT: Mr. Burns?

25 MR. BURNS: I have to run to Denver for a

1 deposition tomorrow. I may leave a little early this
2 morning, if that is okay.

3 THE COURT: That is fine.

4 MR. BURNS: Unless you want to grill me more.

5 THE COURT: No, it is someone else's turn.

6 MR. BURNS: Fair enough.

7 THE COURT: Okay. We now move to the motion
8 against, as to direct purchaser plaintiffs, and we
9 start with the Shipping Act of 1984, and whether it
10 bars the federal claims.

11 Counsel, and Mr. Nelson, correct?

12 MR. NELSON: Thank you, your Honor. Good
13 afternoon. Mark Nelson, with the law firm of Cleary,
14 Gottlieb & Hamilton. I am speaking on behalf of all
15 of the defendants.

16 As I noted in your itinerary for today, we
17 have three bases for dismissal of plaintiffs'
18 complaint, and I will start, as you requested, with
19 the Shipping Act which we believe compels dismissal of
20 plaintiffs' claims with prejudice. I am going to go
21 into the details of the statute. If you want to start
22 with questions I am happy to take whatever questions
23 you have. I thought it might be useful to step back
24 and give a little background on the structure and
25 purpose of the Act and as it interacts with the

1 antitrust laws to level, to set the --

2 THE COURT: I may interrupt from time to time
3 with questions. But please proceed.

4 MR. NELSON: Thank you.

5 So the Shipping Act governs international
6 ocean transportation generally, for most of what we
7 are talking about here today, it governs agreements
8 between carriers, like defendant, and it does that by
9 requiring certain agreements, there is a long list of
10 agreements which I will come to later that have to be
11 filed with the Commission.

12 Then the Commission goes through a process
13 where it sits for 45 days, the Commission has the
14 opportunity to ask questions. They can issue an
15 information request, which the parties have to respond
16 to, then there is another 45-day period before the
17 agreement goes into effect. But if the Commission
18 doesn't raise any issues, it goes into effect after 45
19 days, and whatever immunities and exemptions apply
20 after that.

21 And it is just an extended review period.
22 Same with the back end, 45-day period.

23 In any event, if you file, you have an
24 agreement that has gone through this process, and is
25 on file with the Commission, and you have complied

1 with the fact, and the conduct under that agreement is
2 in compliance with the Act, is protected with the Act,
3 the complete antitrust, it should be clear means
4 immunity from criminal prosecution under the Sherman
5 Act and any other antitrust law and it also means
6 immunity from federal court actions by private
7 plaintiff. Under the Clayton Act.

8 That was a very deliberate choice by
9 Congress. They debated and discussed this in the
10 context of the 1984 Act, and dealing with antitrust
11 and encroachment of antitrust on the Shipping Act,
12 over the years, was one of the main reasons for the
13 1984 Act, and it is why it is so clear in setting out
14 what the immunity is and is not.

15 Congress was also very clear about what they
16 intended to do with civil causes of action, what they
17 intended to do there and did in the statute is say you
18 have to take those, as we talked about earlier today,
19 you have to take those to the Federal Maritime
20 Commission, if you have a cause of action. You may
21 not bring them to federal court. And the statute
22 expressly prohibits bringing a private cause of action
23 for violations of the Act.

24 So again, we are talking about if you don't
25 comply, if you comply with the filed agreement,

1 complete immunity. If you don't comply with your
2 agreement, I am sorry, if you don't file your
3 agreement, therefore are in violation of the statute,
4 you have immunity from a federal court claim under the
5 Clayton Act, but you can still be prosecuted by the
6 Attorney General for criminal violation of the
7 antitrust laws.

8 The statutory language and legislative
9 history are clear. We talked about that in the
10 briefs. I don't think there is an ambiguity and I
11 don't think plaintiffs dispute that. If the Shipping
12 Act applies, if you are in violation of the Shipping
13 Act, you may not bring a Clayton Act claim. Full
14 stop. That is what the statute says. Like I said,
15 plaintiffs concede that. In fact, they concede that
16 the Shipping Act bars recovery for most of their
17 allegations.

18 THE COURT: We are really talking about
19 capacity restrictions at this point in time.

20 MR. NELSON: Yes. They concede that. In the
21 papers, they, in conceding price fixing and customer
22 allegation --

23 THE COURT: Let's not assume concessions
24 here. We don't know. I didn't get a lot last oral
25 argument. But assuming that we follow the logic of

1 their opposition, then we are really talking about
2 capacity restriction, and they point to the FMC
3 Commissioner, I think it is Khouri, K H O U R I, and
4 his statements that were made at a international trade
5 symposium on May 13 of 2010, and they say that that is
6 proof positive that indeed one of their commissioners
7 is saying that this capacity restriction issue isn't
8 covered by the Shipping Act and thus actionable under
9 antitrust laws.

10 So we are really now boiling this down to
11 this capacity restriction issue, and whether the Act
12 covers it. And I want to hear you on that because as
13 I see it, what I found very interesting in your reply
14 brief are these forms that are submitted. And you
15 know, when I looked at the forms, they seem to address
16 head on capacity restrictions. They call it
17 rationalizations but I don't know if it can be seen as
18 anything other than capacity restrictions.

19 MR. NELSON: I don't think it can. In fact,
20 we can talk about some of the regulations, those are
21 promulgated as part of the regulations, the form, the
22 information form, monitoring report, that go in, that
23 refers to capacity rationalization agreements.

24 THE COURT: Would you argue that capacity
25 rationalization, and again, I am referring to exhibit

1 1 of your reply brief, and on page 4, it says, E,
2 authority to discuss or agree on capacity
3 rationalization. And could that mean anything other
4 than capacity restriction?

5 MR. NELSON: Not at all. I think part 535 of
6 the Code of Federal Regulations, Title 46, defines
7 statute regulations very broadly as, quote --

8 THE COURT: What are you reading again?

9 MR. NELSON: 46 CFR 535, 104 E. This defines
10 capacity rationalization. It refers to a concerted
11 reduction, stabilization, withholding or other
12 limitation in any manner whatsoever by ocean common
13 carriers on the size or number of vessels or available
14 space offered collectively or individually to shippers
15 in any survey. I read that to cover anything that is
16 alleged and more. It is very broadly defined. There
17 is more color on it in the regulations if you read
18 into them, where the regulations discuss the forms you
19 mentioned, information form, monitoring report, it
20 talks about the need to report capacity
21 rationalization agreements. There is another section.
22 So just to point you to 535.702 (A) (1), which is the
23 monitoring report, we can put this up on the
24 projector.

25 THE COURT: Sure.

1 MR. NELSON: You have the green by you. I
2 have my highlighted version. 535.702 (A) (1) talks
3 about including and monitoring, these are quarterly
4 reports that are submitted to the Commission. An
5 agreement that contains the authority to discuss or
6 agree on capacity rationalization. Even discussion.
7 Not just an agreement, but even discussion, either or
8 has to be reported.

9 Then if you look at 535.703 (C), which is
10 highlighted there, this is just discussing more detail
11 and what goes into the form. But it talks about you
12 shall submit a narrative statement on any significant
13 reductions in vessel capacity that the parties will
14 implement under the agreement.

15 One of the core allegations on capacity
16 restriction here by the plaintiff is the scrapping or
17 laying up of vessel.

18 THE COURT: You read my mind. I sort of
19 wanted you to address that head on, whether the
20 scrapping of vessels entirely is separate and apart
21 from, say, you know, capacity in a particular vessel.

22 MR. NELSON: I think that it is clear when
23 you read the definition of capacity rationalization
24 and you look at the statute that the statute comes at
25 this in several different ways. They intend to cover

1 every form of capacity rationalization. This is not a
2 side show for the Commission. They are focused on,
3 first of all, I think it is in the plain language of
4 the +statute which doesn't use the word capacity, but
5 it talks about capacity, using other terms, that I
6 think are pretty straightforward. It talks about sets
7 out on voyages, which is vessels, and separately it
8 talks about cargo, which is how much is carried on the
9 vessel. Like I say, it comes out a different way, and
10 the implementing regulations which I think are well
11 within the discretion in interpreting the statute
12 defines capacity rationalization as falling within the
13 Act and includes things like scrapping or laying up of
14 vessels which I think would be any significance
15 reduction in vessel capacity. Which is what is being
16 discussed in 535.703.

17 To be clear, the statutory language, if you
18 like, the practice -- not, the practice, not what is
19 in the regulations, but the practice has long been to
20 file the capacity rationalization agreement. There
21 are dozens of these that have been placed on file with
22 the Commission over the years and they take
23 jurisdiction over them, they look at them.

24 There is a case not too long ago that was
25 around the time the Commissioner Khouri's remarks that

1 rejected, well, I shouldn't say that. They sent one
2 of the information requests I mentioned previously and
3 the parties abandoned the agreement sensing it. There
4 are, there are many examples of capacity
5 rationalization agreements being filed with the FMC,
6 with the parties and the Commission fully
7 understanding these are covered by the fact.

8 I think the implication of what plaintiffs
9 are arguing, I don't think is tenable that is all of
10 those were point less filings. They had no effect,
11 because they were talking about something not covered
12 by the statute so putting them on file doesn't
13 protected you at all because it wasn't covered by the
14 statute. That cannot be what Congress intended.

15 Taken to the logical conclusion, it means
16 that I put on file a capacity rationalization
17 agreement, pointless filing, according to the
18 plaintiffs, plaintiffs did not cover it, but more to
19 the point, I have no protection, not just from civil
20 liability, but potentially from criminal liability. I
21 can put this thing on file and the excision could not
22 object to it and it becomes effective and then I can
23 be sued by the Attorney General. I don't think that
24 is what Congress intended. I am quite sure that is
25 not what Congress intended in the statute.

1 I can walk through some of the statutory
2 language.

3 THE COURT: I cut you off. I am sort of
4 interested to hear the history. You opened with sort
5 of wanting to give me the backdrop and set the stage.
6 And I did I did cut you off.

7 I am interested if you want to go in that
8 route, I would appreciate it.

9 MR. NELSON: Okay. Over the years the
10 Shipping Act of 1916 has been eroded by a number of
11 cases including the a Supreme Court cases like the
12 Carnation case, which allowed more and more
13 encroachment into federal maritime law by the
14 antitrust laws, from finding no implied preemption, or
15 immunity under the antitrust laws. So the shipping,
16 by the early eighties, Congress sensed that maritime
17 law was not any longer just the province of the
18 Federal Maritime Commission, that antitrust laws,
19 among other things, were starting to eat away at the
20 authority of the Federal Maritime Commission and their
21 desire to put regulation broadly into the hands of the
22 Federal Maritime Commission has really been taken away
23 over the years.

24 So what they said was, we want to set up a
25 scheme that puts this in the hands of the Federal

1 Maritime Commission. More or less entirely in their
2 hands. The one exception they deliberately carved out
3 from that is if you don't comply with the Act the way
4 you are supposed to about these agreements between
5 competitors, we are going to leave it to the DOJ to
6 come in and sue you for an anti -- or bring a criminal
7 action against you for antitrust allegations. If you
8 don't want to file your agreement with us, we are not
9 going to protect you for that.

10 But for civil disputes, those are at the FMC.
11 That was the, there is a quote in our brief from the
12 legislative history, the report, which is cited at
13 page 6, footnote 2 of our opening motion to dismiss
14 brief. It is the report on the House Committee on
15 Merchant Marines and Fisheries. I will quote from the
16 language.

17 "If parties who could avail themselves of the
18 antitrust immunity by submitting to regulation under
19 the terms of the Shipping Act of 1983," later become
20 '84, "failed to did so, then their knowing conduct
21 undertaken without the benefit of an agreement being
22 filed and in effect will subject them to limited
23 antitrust exposure."

24 So just pausing there. What they are saying
25 is we told you under the Act you can file and get plea

1 immunity. If you don't do that, you are going to have
2 limited antitrust exposure. The antitrust exposure
3 for the so-called secret agreement, meaning they were
4 not filed is limited to injunctive and criminal
5 prosecution by the Attorney General and does not carry
6 with it any private right of action otherwise
7 available under the antitrust laws. Very clear. The
8 Attorney General can come and get you; a private
9 plaintiff cannot.

10 I don't think the plaintiffs dispute that
11 point. The Act says that directly. Their dispute is
12 about the capacity rationalization. That goes to
13 structure. I think what it is broadly about is
14 leaving in the hands of the Federal Maritime
15 Commission decisions around the dispute. Because
16 there will be inevitably be disputes about what is and
17 is not covered by filed agreement. It is not always
18 crystal clear. You want the FMC, the expert agency,
19 to resolve that. Because it is a world of difference
20 if you are within that or not and your antitrust
21 exposure.

22 Let me explain it. If I file an agreement
23 and there is some dispute about whether or not I am
24 within it, within that, operating within that or not,
25 the statute says that I have immunity from the

1 criminal prosecution, the Attorney General can't come
2 after me, if I have a good-faith belief, I am within
3 the scope of my filed agreement.

4 And the FMC is the right place to make that
5 determination. They are the expert agency.

6 If you allow the civil liability to sit out
7 there as a threat with treble damages, attorneys'
8 fees, like that, all of that, that is when you distort
9 things. That is exactly the kind of distortion that
10 Congress is trying to avoid by leaving it in the hands
11 of the Federal Maritime Commission. So there are a
12 lot of issues that could arise, and it is not just
13 under agreements between common carriers. There are
14 many issues that Congress wanted to leave with respect
15 to international ocean shipping and to the Federal
16 Maritime Commission. That was the reason for the
17 changes to the Act and certainly the changes that
18 exist that we discussed that are pertinent to
19 antitrust law.

20 So that is some of the basic background. And
21 then in describing the types of agreements that need
22 to be filed with the Commission, the statute uses very
23 broad language, and if I may, I will do another one of
24 these.

25 THE COURT: One of the things that again the

1 other side is going to say is that these agreements
2 that are being alleged weren't filed. They weren't
3 filed, right?

4 MR. NELSON: We wouldn't be here.

5 THE COURT: Right. So if they weren't filed,
6 and I know this is bleeding into the earlier argument
7 as it relates to state antitrust issues and I know Mr.
8 Burns is still here, but, and I, and the IPP claims,
9 but I am curious to hear some of your argument as to
10 whether indeed we have preemption from state antitrust
11 claims, and obviously, a bar as to the federal claims
12 with the exception of capacity restriction that we are
13 dealing with here.

14 You again think that the way that this was
15 handled by Congress, and the way that the law was
16 drafted, it was clear that they were trying to avoid
17 civil litigation, as to issues with either, with
18 nonfiling of an agreement.

19 MR. NELSON: Absolutely. As I said, the
20 overriding objective of these modifications and the
21 way the Act came out is to put this in the hands of
22 the Federal Maritime Commission. It was a very
23 deliberate decision. I think as my colleague, Mr.
24 Rivera Soto said, the, it would make no sense to allow
25 state law to come in and undermine all of what they

1 were trying to achieve by keeping the Clayton Act
2 claims out. I still think the logic of
3 notwithstanding Mr. Burns' response, I think the logic
4 of their position is that you could be criminally
5 prosecuted under state law. It is not impossible to
6 comply with both laws.

7 If you file an agreement, you are permitted,
8 not required to do what the, you are permitted to do
9 what you said you wanted to do and have whatever
10 discussions you have, but their position is, because
11 that immunity only says federal law to be clear, that
12 the immunity for a filed agreement, like the immunity
13 for the unfiled agreement, the Clayton Act, the filed
14 immunity only lists federal statute, it doesn't list
15 the state statutes. You can't be prosecuted
16 criminally by the state, but you can be prosecuted
17 civilly by the state law. I think Congress clearly
18 intended to occupy the whole area, put all this under
19 the FMC, did not intend either federal or state law to
20 encroach on that --

21 THE COURT: How do you reconcile Wiley?

22 MR. NELSON: I don't know. I have to defer
23 to my colleagues.

24 THE COURT: There was a division of labor.
25 Okay. Fair enough.

1 We are back to looking at this issue, I think
2 there is a concession on the other side, and I think
3 your brief lays out sort of sections in, and the
4 treatment of certain sections, certain sections, 10 C,
5 10 B. But you clearly think that most of the claims
6 are covered, and are addressed by the law itself.

7 MR. NELSON: I think plaintiffs concede that
8 price fixing is covered by the Act. Customer
9 allocation, which is in a different part of the Act,
10 plaintiff cites in their brief, and price fixing is
11 the first category of agreement on your 40301 (A) (1),
12 no dispute about that. The boycotting, an outright
13 bar of the Shipping Act elsewhere. Any violation of
14 the Act would, 40307 (D) says is that you cannot bring
15 a Clayton Act claim for any violation of the Act,
16 through boycott, customer allocation or unfiled
17 agreement, and price fixing is one of the unfiled
18 agreements. What they dispute is the rest of these
19 amount to, do these capture capacity restrictions.

20 THE COURT: I was going to say, I am trying
21 to see how six does it.

22 MR. NELSON: I agree. I was going to start
23 with 6 even though it is not first on the list.
24 Control regulate or prevent competition of ocean
25 transportation.

1 Frankly, all of that falls within the
2 category because under the law they have to allege, in
3 order to have a state antitrust claim, they have to
4 allege an agreement in restraint of competition. That
5 is fundamental to an antitrust claim. That is
6 coextensive with subpart 6. This more or less is the
7 same thing as an antitrust claim. I think items 3 and
8 4 on that list also come at the capacity. In a
9 different way. Allots ports or regulate the number
10 and character of voyages. They are talking about
11 voyages on ships, obviously. Four is talking about
12 the volume of cargo.

13 THE COURT: And I recognize you highlighted 2
14 and 4. The problem I have is taking vessels out of
15 the water. I don't necessarily know whether that
16 would fall with 4. That really seems to be addressing
17 actually the cargo on a particular vessel versus sort
18 of removing the options and taking ships off line.

19 MR. NELSON: Right. I think 3 addresses
20 voyages, which I think get at ships more directly. If
21 you remember in the complaint they talk about this low
22 down ships as a means of decreasing the capacity. I
23 don't know how to say it more plainly than character
24 of voyages. Slowing down ships is clearly character
25 of voyages. All of them fall within number 3.

1 Number 4, it talks about cargo, and you can
2 read that as within, or on a ship. I wouldn't want
3 to take chances, if I am taking ships out I am
4 reducing cargo capacity as well.

5 6 and 3 are dispositive. You don't have to
6 go beyond that. The statutory language ends it. I
7 will mention that number 5 on the list which refers to
8 cooperative working arrangements has been read as
9 Congress intended the FMC as a catch-all. And there
10 is another regulation which is 535104 I, which is the
11 FMC describing, implementing regulation with respect
12 to this provision, and it describes it as covering
13 cooperative working relationships that are subject to
14 the acts that do not fall within the parameters of any
15 specifically defined agreement.

16 I don't think you have to go past 6, or 6 and
17 3, 6, 3 and 4. If you want a catch-all, there is 5.
18 That is before we get to the regulation. The
19 regulations we discussed before, I had up earlier,
20 there is another like that on the information form, it
21 would be just duplicative. But those are all put in
22 place under authorization by Congress, given the
23 authorization of the FMC to issue regulations through
24 a normal notice of comment, rule-making procedure of
25 the sort that is entitled to Chevron deference by the

1 Court.

2 I think you don't have to go past the
3 statutory language but if you do you have regulations
4 that I think are crystal clear on what capacity
5 rationalization means and that the FMC believes that
6 the capacity rationalization agreements need to be
7 filed with the Court, I am sorry, filed with the
8 state, so that leaves the plaintiffs really with one
9 element which is the personal remarks of a FMC
10 Commissioner named Khouri, as mentioned earlier.

11 Really, at the end of the day we are relying
12 almost exclusively on those remarks, that one
13 paragraph in the speech of a few years ago. I have a
14 few things to say about that.

15 First, plaintiffs' interpretation of those
16 remarks are plainly inconsistent with the statutory
17 language, and the regulation, and I think therefore,
18 don't have to be taken into account. Second,
19 Commissioner Khouri disclaimed his reports. In the
20 speech he says the remarks are his personal views and
21 thoughts which quote are not offered as the official
22 position of the United States or the Federal Maritime
23 Commission. And as such, his personal remarks can't
24 override the statutory language, obviously, but they
25 are also not entitled to Chevron deference as

1 plaintiffs claim. I think that argument is borderline
2 frivolous given the disclaimer that he made.

3 Black letter law that Chevron deference
4 requires agency actions that carry the force of law,
5 such as the formal notice and comment rulemaking
6 procedure, that these regulations I mentioned earlier
7 went through.

8 So I think all of that is dispositive on the
9 remarks. I don't think they need be given deference.
10 They don't override the statutory language. On a
11 closer read of his remarks, I have to say looking at
12 them, this is by the history of the FMC, there are a
13 lot of agreements, this isn't a side show. They care
14 about the capacity rationalization agreement. I am
15 puzzled why he would say it seems inconsistent.

16 In preparing for the hearing, looking closely
17 at the speech I think I now understand and don't see
18 the remarks as inconsistent with the position. So I
19 think it is useful to turn to the actual language of
20 those remarks, which is exhibit C of the opposition
21 brief. I am just putting one page up the plaintiffs
22 cite to, the second-to-last paragraph, that starts
23 with one final comment. The language used is very
24 important. Commissioner Khouri says here, recent
25 reports of increases in annual trans Pacific contract

1 rates have heightened shipper concerns that these rate
2 hikes are facilitated by carriers using, first, their
3 legal authority to discuss voluntary general rate
4 guidelines, with second, discussions to agree on
5 capacity restriction.

6 Pausing there, when Commissioner Khouri
7 refers to legal authority to discuss voluntary rate
8 guidelines, he is referring to an agreement that is on
9 file with the Commission, and the conduct that is
10 protected by the fact. He goes on to say in the next
11 section it is legal under the Shipping Act. That is
12 straightforward.

13 The reason he is saying that is legal, you
14 have a filed agreement that allows carriers to talk to
15 each other, competitors to talk to each other about
16 voluntary generate guidelines. But as to capacity
17 restrictions, noise were not part of a filed agreement
18 and therefore were not protected by the Shipping Act.

19 And as I mentioned at the outset, if you
20 haven't put something in the filed agreement, you
21 remain subject to prosecution by the Attorney General
22 for violations of the Sherman Act. So what he is
23 saying is, as I read it, what he is saying here is
24 that you could be, this could be pursued as a criminal
25 violation, criminal liability, and nothing more. He

1 says nothing about the Clayton Act, nothing about the
2 private civil liability at all. And I think that
3 reading of this is perfectly consistent with our view
4 of the case.

5 In any event, even if you could argue this as
6 susceptible to differing interpretations, that just
7 reinforces the point that they shouldn't be taken for
8 the Court's review of this issue. I think now
9 understanding where he is coming in and understanding
10 some of the background behind it with these filed
11 agreements, including, as I mentioned earlier, the
12 Commission having rejected amendment to the agreement,
13 that was going to go to capacity rationalization, it
14 makes sense that the Commissioner of the FMC is
15 focused on government enforcement and not talking
16 about civil liability.

17 If you read the whole of the speech, it is
18 all about federal enforcement priorities and what the
19 government is going to do. He mentions immunity from
20 civil liability, but it focuses on government
21 enforcement.

22 I wouldn't read the reference to not being a
23 violation -- I am sorry, being a violation of the
24 Sherman Act anything more than --

25 THE COURT: At least in that section it

1 doesn't seem to differentiate between civil and
2 criminal, and very well, as you said, you file, you
3 have 45 days. If the agreement is permitted, then
4 there is complete immunity from criminal or civil.
5 Obviously. Right? And if you don't file, then you
6 open yourself up to either a complaint that you would
7 argue must go through the FMC, or criminal prosecution
8 by the DOJ. So.

9 MR. NELSON: Or both.

10 THE COURT: Or both. That wouldn't be
11 contrary to, the second discussion that they occurred,
12 if they occurred would be outside the Shipping Act
13 purview and would therefore be a violation of the
14 Sherman Act, which it would be a violation of,
15 criminally --

16 MR. NELSON: Exactly. I think the natural
17 reading of this, I can't speak for Commissioner
18 Khouri, but the natural reading of this, knowing what
19 we know is he is thinking about, he is telling his
20 audience those capacity discussions are not protected
21 by the Shipping Act because they weren't filed.

22 THE COURT: In other words, no complete
23 immunity.

24 MR. NELSON: Right. And could be prosecuted
25 under the Sherman Act. That is how, staring at that a

1 little while in preparation for the hearing, I don't
2 see it as being inconsistent, but obviously we can try
3 to get inside his head, we can have competing version
4 goes of what we want him to mean or think he means,
5 which is all the more reason the Court need not take
6 that into account.

7 That is Commissioner Khouiri's remarks, the
8 practice, regulations, his remarks. The only other
9 arguments plaintiffs have on the shipping map fares no
10 better. And that is they claim that the Court should
11 discount the Shipping Act argument made by my client,
12 K-Line, and CSAV because our plea agreement with the
13 Department of Justice acknowledged the existence of
14 this litigation.

15 Just a few comments on that, presuming you
16 want to hear about that.

17 First, neither CSAV nor K-Line waive any
18 arguments with respect to the civil proceeding, or
19 related to the Shipping Act at all in our plea
20 agreement. The only mention in the plea agreement is
21 the reference to the fact that the case as filed,
22 quote, potentially provide for recovery of multiple
23 actual damages. At most, the parties admitted the
24 existence, but by no means promised not to exert
25 defenses.

1 Elsewhere in the plea agreement we do make
2 promises and waive rights, including our right to
3 appeal, we promise not to appeal the agreed sentence
4 and we haven't. But nowhere in the plea agreement is
5 there a promise not to assert the defenses in the
6 civil case.

7 Second, even if we. CSAV or K-Line wanted
8 for some reason to waive those rights, they can't by
9 agreement with the Department of Justice or anybody
10 else create a remedy that Congress has expressly
11 foreclosed. It is simply impossible.

12 And third, plaintiff has raised this as a
13 note that somehow delay defenses in court. We aren't
14 saying there is no cause of action together. As Mr.
15 Rivera-Soto said, they can go to the FMC and they can
16 potentially get up the double damage, they can get
17 attorneys' fees, which is not that difference
18 represent than what the antitrust statute allows. So
19 we, the Court never asked about it, we never discussed
20 it with the Court.

21 There is just this one reference and
22 plaintiffs brought up that NYK subsequently plead
23 guilty, that the Department of Justice knew full well
24 and had the briefing in this case. They knew full
25 well that we were asserting these defenses at the time

1 of that. I don't think there was any consideration
2 given to the civil cases being federal antitrust
3 claims in this Court or some other forum for recovery.

4 So I don't think that it is at all true in
5 anyone was permitted to lag about whether we would be
6 asserting all of our defenses in this case.

7 So on all of those issues, we contend
8 plaintiffs' complaint should be dismissed.

9 One other thing I forgot to mention.
10 Plaintiff, as I said, has conceded the price fixing
11 and customer allocation, parts of the their complaint.
12 They contest capacity reduction agreement. In the
13 complaint they never assert that CSAV was part of the
14 computer capacity rationalization. First of all,
15 they conceded it could be dropped from the case, other
16 than the point about the plea agreement. Our position
17 is you should dismiss the case as to all of the
18 defendants.

19 I just note if it were limited to capacity
20 rationalization, CSAV should sanctioned.

21 THE COURT: Thank you, counsel.

22 MR. DE PALMA: Good afternoon, your Honor.

23 May it please the Court, Joseph DePalma for
24 the direct purchaser plaintiffs.

25 Your Honor, the Shipping Act provides only

1 limited antitrust immunity. It does not bar all
2 private actions and certainly doesn't bar this one. A
3 private party may bring a Clayton Act suit for
4 damages, or for injunctive relief under Section 4 or
5 16 of the Clayton Act, where the conduct is not
6 prohibited by the Act.

7 Your Honor, a private lawsuit under the
8 Clayton Act is going to fall under, within three
9 buckets. The red bucket has been discussed by Mr.
10 Nelson already. That is the bucket that if a case
11 falls in there, there is complete antitrust immunity.
12 An agreement has to be filed, and it has to be
13 effective. If those two things occur, everybody is
14 out.

15 The government, the FMC and private parties.
16 That top left portion of my pie chart has no
17 applicability to this case because we have alleged the
18 existence of a secret agreement that violates the
19 antitrust laws.

20 So what is left? It is either a case that
21 involves conduct that is prohibited by the Act or
22 conduct that isn't prohibited by the Act. Your Honor,
23 when you look at 40307 D, the Clayton Act bar, it
24 states that a person may not recover damages or obtain
25 injunctive relief for, quote, conduct prohibited by

1 this part, the part meaning ocean shipping, it is
2 whole kit and caboodle. So everything turns on
3 whether conduct is prohibited or not.

4 We fully understand the legislative history
5 and the purpose of the Act and Congress's desire to
6 pull a lot of antitrust stuff away from private
7 plaintiffs. They did that in two of the sections.
8 They did it in complete antitrust immunity section and
9 they did it in the Clayton Act bar, but they only did
10 it with respect to conduct that is prohibited by the
11 Shipping Act. So what is prohibited?

12 Your Honor, the Shipping Act contains some
13 very specific specifications about prohibited conduct.
14 It is part 411 of the Shipping Act. It is section 41,
15 pertinent provisions, 41102, dealing with general
16 prohibitions, 41103, dealing with disclosure of
17 information, 41104, dealing with prohibitions,
18 specifically common carriers, and 41105, dealing with
19 concerted activity. Those are the prohibitions.
20 Those are what Congress intended to put into that blue
21 bucket.

22 Now, if it is not prohibited, then Congress
23 did not intend to remove Clayton Act remedies for
24 private citizens like our parties.

25 Your Honor, I want to divide my discussion to

1 two topics. I want to start with capacity
2 restrictions.

3 THE COURT: I want to hear, are you conceding
4 most of the claimed conduct is covered?

5 MR. DE PALMA: That is the second topic. I
6 think with capacity restrictions, that is one of our
7 chief arguments. But with respect to NEW assembled
8 motor vehicles, my position is that because those are
9 exempt, there is no filing required, for reasons I
10 will discuss either now or in a little bit, we
11 maintain that our price fixing and market allocation
12 claims still can be maintained with respect to new
13 cars. But not with anything else.

14 THE COURT: Point me to where in your brief I
15 can see that.

16 MR. DE PALMA: Your Honor, our brief
17 essentially --

18 THE COURT: Your brief, you are going down a
19 road that is sounding new to me -- Anything that
20 sounds new to me I get nervous about.

21 MR. DE PALMA: I hear you. And your Honor, I
22 think that the brief, to be frank, on the new car
23 exception, it talks about it, it talks about it in the
24 context of the final rate doctrine. It probably could
25 have been clearer, that because something doesn't have

1 to be filed at all, it is outside the scope of the
2 jurisdiction of the Federal Maritime Commission. But
3 I would like to, if I may, first focus on the bulk of
4 our argument which is capacity restriction as we --

5 THE COURT: I will tell you, counsel, that
6 the bulk of your argument in the brief, which I
7 prepared for, was capacity restriction. And I will
8 tell you that if we think we are going to throw in a
9 new argument at oral argument that I have not seen,
10 the other side hasn't briefed, it is not happening.

11 So let's focus the argument on capacity
12 restriction, which is what was forwarded in the
13 opposition.

14 But anything that we are going to try to
15 argue now as new arguments, I am not permitting.

16 MR. DE PALMA: Your Honor, I am not make
17 those arguments.

18 Acting pursuant to a secret agreement to a
19 new capacity is not enumerated anywhere as a
20 prohibited act. The test isn't whether capacity
21 restrictions are mentioned in other sections of the
22 Act. Defendants have pointed to other sections of the
23 Act where perhaps one can argue that an agreement
24 involving capacity has to be filed. But that is not
25 the inquiry.

1 The inquiry is whether, as Congress has set
2 forth, to pull out from existence Clayton actions for
3 private citizens, the inquiry is whether it is
4 prohibited by the Act, not whether it appears in other
5 sections.

6 And the prohibitions, Congress was very
7 careful to contain the part 411. Now, you could read
8 the prohibitions in 41102 to 41105, up and down,
9 backwards and forwards, and you will not see anything
10 in the prohibition section, in the prohibition
11 section, talking about anything having to do with
12 capacity restrictions. Anything.

13 Your Honor, Congress could have listed
14 capacity restrictions among the many other things that
15 are listed in the prohibited parts section. But they
16 didn't. Congress could have also put different
17 language in the Clayton Act bar. They could have said
18 instead of barring suits that are subject to the Act
19 they could have board suits that are subject to
20 section 1 and Section 2 of the Sherman Act but they
21 didn't. They chose the language that said that what
22 we can't get to in that blue bucket are suits that
23 involve conduct prohibited by the Act.

24 So I draw your Honor's attention to every
25 single statute section within the prohibited parts,

1 part of the Act and I will say, your Honor, you will
2 not see capacity restrictions anywhere there. This
3 isn't an oversight. Capacity restriction is not some
4 esoteric concept. It is well known to the courts and
5 to antitrust practitioners and in fact it is one of
6 the few things that the courts recognize is a per se
7 violation of the antitrust laws.

8 Plain and simple, since anti competitive
9 conduct involving capacity restrictions are not
10 enumerated as a prohibited act, the Clayton bar does
11 not apply in our case.

12 THE COURT: Can you talk to me then about
13 what is the difference between capacity
14 rationalization and capacity restrictions. Is there a
15 difference?

16 MR. DE PALMA: Whether there is a difference
17 or not from my point of view matters not because those
18 issues go to what has to be filed under Section 43301,
19 the slide that was up here earlier. I can pull the
20 exact cite up here.

21 There are instances where the statute speaks
22 to things having to do with capacity, the regulations
23 that speak to on it, but my point, your Honor, is that
24 it is not prohibited. It is something that needs to
25 be done but it is not listed as a prohibited act. It

1 doesn't make it right that they don't file a document,
2 it doesn't make it right that that they do capacity
3 regulation filing wrong. What only matters is whether
4 capacity regulation -- restraints are listed as a
5 prohibited act. That is our point.

6 THE COURT: But if you don't have to file
7 something -- let me say it the other way. If you are
8 required to file something and you don't, and
9 therefore, subject to criminal prosecution by the DOJ,
10 and potential investigation by the FMC, in the form of
11 a civil complaint, by not doing something, isn't it a
12 prohibited act?

13 By not, you are requiring people to do
14 things, I am having trouble following the logic. Why
15 would they require you to do something and if you
16 didn't do it you are subject to penalty but because it
17 is not listed in Chapter 411, you say it is not a
18 prohibited act that then would -- maybe I am missing
19 something. Maybe you should start over. Because I am
20 not, I am missing the argument then totally.

21 MR. DE PALMA: I don't think that you are
22 missing anything. I am prepared to address that.

23 What the defendants realize, I think, is that
24 they are trying to cure a problem. They know the
25 capacity restrictions are not addressed in 41102 to

1 105. They make this argument that because we allege
2 to that they were supposed to -- that they were
3 supposed to operate under an agreement, they operated
4 under a secret agreement that was supposed to have
5 been filed and it wasn't, that they have violated the
6 Act.

7 So we need to find out whether operating
8 under a secret agreement is contained in any of the
9 prohibited sections of the Shipping Act. And to
10 support their argument, they rely on section 41102.
11 So what does 41102 say?

12 Does it talk about operating pursuant to a
13 secret agreement? Because if it doesn't, then
14 operating pursuant to a secret agreement is not
15 prohibited under part 411. It is not prohibited.

16 First, operating contrary to an agreement.
17 That is prohibited. We allege, your Honor, that these
18 defendants agreed to fix prices, agreed to allocate
19 markets, and agreed to capacity restrictions. And
20 then acted in accordance with that agreement. So
21 41102 (B) (2) doesn't apply. That says that a person
22 may not operate under an agreement required to be
23 filed if the corporation is not in accordance with the
24 terms of the agreement. So half that statute is out
25 the window.

1 What is left? It says a person may not
2 operate under an agreement required to be filed under
3 40302, it says, if the agreement has not become
4 effective under 40304.

5 THE COURT: Can I ask where these argument
6 are in your opposition because I want to follow along?

7 MR. DE PALMA: Your Honor, we say in our
8 brief, we say that the Shipping Act does not apply at
9 all to unfiled, secret unfiled agreements.

10 THE COURT: Get me the page cite, counsel. I
11 want to read along with you.

12 (Pause).

13 MR. DE PALMA: Your Honor, forgive me for not
14 being able to pull it immediately.

15 THE COURT: I will take a break. Let's take
16 a break. I want to see where this is laid out for me.

17 MR. DE PALMA: On page 4.

18 THE COURT: I want to take a break.

19 (Recess)

20 THE COURT: I am looking at page 4, for the
21 life of me, I don't know I could infer the arguments I
22 am hearing now.

23 MR. DE PALMA: Thank you for giving me the
24 ability to regroup, so I could respond to your Honor's
25 inquiry.

1 The defendants raised in their reply papers
2 at page 3 an argument that a person may not operate
3 under an agreement required to be filed, under Section
4 40302 if the agreement has not become effective. And
5 quoting what I have up here.

6 They say further that the failure to file an
7 agreement to control, regulate or prevent competition
8 in international ocean transportation constitutes
9 conduct prohibited by the Shipping Act.

10 And your Honor, with your Honor's indulgence,
11 I am responding to that argument by positing our
12 position that operating pursuant to an agreement not
13 filed does not violate the provision that they
14 referenced in the reply brief.

15 THE COURT: And I would say to you, counsel,
16 that I am an incredibly accessible person, that if you
17 felt that this argument required sort of now this new
18 argument that you are making, then you had access to
19 me to request some kind of surreply. And you never
20 did that.

21 You come cold at oral argument with what
22 seems to be a brand new argument that is being
23 forwarded by you and I can tell you that if it is not
24 evident from me, one, I am not happy with that
25 decision and two, I am not prepared and I am not, I

1 assume the other side is not. I will not permit
2 further argument on this.

3 I may bar it completely for your failure to
4 request at least something in writing to the Court so
5 I would have been prepared for this new argument at
6 oral argument. What I am certainly going to do,
7 probably, as I have done since I have been a Judge,
8 even a Magistrate Judge since 2006, probably bar it
9 all together. But assuming I don't, make your best
10 oral argument now. Then I will put the defendant on
11 the spot and they may get to respond in writing
12 briefly.

13 I will tell you now that my inclination is to
14 not accept any of these arguments. That being said,
15 make them.

16 MR. DE PALMA: Thank you. Thank you, your
17 Honor.

18 Your Honor, the statute, the section that
19 they rely upon for their proposition that acting in
20 accordance with a secret agreement not filed before
21 the Federal Maritime Commission in their reply points
22 to section 41102. And they say that this agreement,
23 this section, says a person may not operate under an
24 agreement required to be filed under 40302. They say
25 in their reply if you look at 40302 it references

1 40301, we heard this today and 40301 has subsections 6
2 and 4 and 3 and they say that is where you get to
3 market allocation.

4 What I am saying, your Honor, is that they
5 are making two arguments, and they made the first one
6 in their reply. They are arguing that apart from,
7 they are arguing the capacity restrictions are covered
8 by the Act. They argue wrongly that it is prohibited
9 conduct. I don't see it in the prohibited conduct
10 section.

11 They make a new argument in their reply, and
12 they say that apart from that, simply operating
13 pursuant to a secret agreement, violates the general
14 prohibition section of part 411. Remember I had
15 mentioned that there were the four parts, 41102 to
16 105. This is their argument in reply. And your
17 Honor, thank you for allowing me to briefly address
18 it.

19 And I will make my best argument to respond
20 to something that was raised in their reply. 41102
21 doesn't stop where the defendants had it stop in their
22 reply brief. It doesn't say a person may not be, may
23 not operate under an agreement required to be filed.
24 It goes on. It says if, and it is a big if, the
25 agreement has not become effective under section

1 40304.

2 So you have to read 40304 in conjunction with
3 this general prohibition statute. And you have to ask
4 yourself is the defendant correct in their reply when
5 they say that apart from capacity restrictions, the
6 operation that they have conducted pursuant to a
7 secret agreement violates this statute. So we need to
8 look at whether their statement in their reply is
9 accurate, and all I am doing, your Honor, I hope all I
10 am doing is putting up before your Honor the statute
11 that they referred to in their reply brief.

12 If you look at the statute it doesn't talk at
13 all about secret agreements. It talks about other
14 things. It talks about operating contrary to an
15 agreement. It talks about operating pursuant to an
16 agreement which has been rejected by the Federal
17 Maritime Commission. It talks about an agreement
18 which has been disapproved by the Federal Maritime
19 Commission and it talks about operating pursuant to an
20 agreement that has been cancelled by them. Either
21 operating contrary to an agreement, or acting, or in
22 agreement, has been rejected, disapproved or
23 cancelled. That is what is enumerated in the
24 prohibited conduct section of --

25 THE COURT: Secret agreements are not

1 prohibited?

2 MR. DE PALMA: Secret agreements are
3 prohibited, but it puts our case -- they are not
4 prohibited conduct under the Act.

5 THE COURT: You are saying secret agreements
6 are not prohibited. Therefore, since they are not
7 specifically prohibited, then they are not entitled to
8 protection.

9 MR. DE PALMA: Since they are not
10 specifically enumerated as a prohibited act --

11 THE COURT: A secret agreement or a capacity
12 restriction or body?

13 MR. DE PALMA: They are making an argument
14 that you have to look to both things. They are
15 saying, look, capacity restrictions are not listed in
16 the Act. In the prohibited section of the Act,
17 anywhere. What they are saying is, look, we had to
18 file agreements regarding capacity, and we didn't, and
19 because you have alleged that we acted secretly, we,
20 according to them, put into play this statute, because
21 it is the only statute in the prohibited part section
22 that gets them a hook into asserting what conduct is
23 prohibited by the Act.

24 The only hook they have, and it is not the
25 capacity restriction hook because this is nowhere to

1 be found.

2 The only hook they have what is they did in
3 their reply. What they do in their reply is they say
4 this section, this section says that operating in
5 accordance with, not contrary to, operating in
6 accordance with the secret agreement is listed
7 somewhere. And it is not.

8 And your Honor, the other reason I was going
9 to bring 40304 in was just to be complete because you
10 can't look at there statute that they cited in their
11 reply, without looking at what 40304 says. And so --

12 THE COURT: Wait. Isn't a secret agreement
13 an agreement that hasn't become effective?

14 MR. DE PALMA: That is what 40304 talks
15 about.

16 THE COURT: Isn't that what we are talking
17 about?

18 MR. DE PALMA: We are talking about what this
19 section says. What this section says is, it says a
20 person may not operate under an agreement required to
21 be filed under section 40302. It doesn't stop there.
22 If it stopped there, it is a different argument. It
23 says if, if, the agreement has not become effective
24 under 40304. What we need to do is look at 40304.
25 And what does 40304 proscribe.

1 Everything about it presupposes a filing.

2 40304 (A)talks about --

3 THE COURT: I would have known to go to 40304
4 based on the reply? I should have known to go to
5 40304?

6 MR. DE PALMA: No, your Honor. But your
7 Honor, I think if I may, and I apologize for my view
8 of what the oral argument role is here, I think that I
9 have been in situations, I shouldn't be in the
10 situation here today, where I am able to articulate
11 something that was raised in reply.

12 THE COURT: No, I allow to you do that. In
13 fact, I asked Mr. Burns to do that for me. Several
14 times throughout the course of today. This is a new
15 argument, counsel, that you are trying to now cloak as
16 sort of a response to a reply. Let's call it what it
17 is.

18 This is a new argument. That clearly could,
19 was in your cites at opposition and you chose not to
20 do that. You chose to then lay in wait for today.
21 And that to me is not fair to the Court, it is not
22 fair to your adversary, it is not fair to this process
23 and it is not fair to, quite frankly, as I see it, the
24 genuineness of many of the arguments that have been
25 forwarded today.

1 So I am going on record. You can make a
2 record and the Circuit will tell me if I am wrong, but
3 I am telling you that I am not comfortable with being
4 bombarded with a brand new argument which is what I am
5 getting right now.

6 Go ahead, counsel.

7 MR. DE PALMA: Your Honor, in 40304, there is
8 five subparts, and none of them speak to operating
9 pursuant to a secret agreement. It talks about within
10 seven days of agreement being filed, the Federal
11 Maritime Commission has to transmit it to the Federal
12 Register.

13 Subsection A doesn't apply because you can't
14 transmit to the Federal Register notice of something
15 you don't have in the first place.

16 B talks about a preliminary review and
17 rejection. And Mr. Nelson had referred to some of
18 these in his opening remarks regarding the purpose of
19 the Act and how it works. And what this says is that
20 once something is filed, there has to be a preliminary
21 review and it could be rejected if it doesn't meet
22 certain requirements. B doesn't apply. 40304 B
23 doesn't apply because you can't review something you
24 don't have in the first place.

25 And your Honor, C, I apologize for not having

1 submitted this earlier. But let me just go through
2 it.

3 C talks about review and effective date. It
4 says that if an agreement isn't rejected during this
5 preliminary review process, it becomes automatically
6 effective after the passage of time. So C can't apply
7 because you can't reject an agreement that has never
8 been filed and it can't become effective under the
9 passage of any theory of its time because it is not
10 before the Federal Maritime Commission.

11 There are two more, B, there is D and E. The
12 Commission can't request additional information if it
13 doesn't have any information to begin with. That is
14 D. That is not applicable. It can't modify a review
15 period if there is nothing to review. That is E.

16 So my point, your Honor, coming back to the
17 section that they quoted, I think in part, its general
18 prohibition section, 41102, integrates the statute I
19 just walked the Court through with the general
20 prohibitions, and nowhere, nowhere in 40304 does it
21 talk about operating pursuant to an unfiled agreement.

22 What this provision prohibits is acting
23 contrary to an agreement, and acting where an
24 agreement has been rejected, disapproved or cancelled.

25 And my argument, your Honor, is that that

1 puts our indication in that third bucket. It is
2 conduct that is not prohibited by the Act because it
3 is not delineated, it is not delineated anywhere in
4 the prohibition sections.

5 Because it is not delineated as a prohibition
6 the Clayton Act bar doesn't apply.

7 I respectfully submit, your Honor, that our
8 case insofar as it relates to capacity restrictions
9 should proceed.

10 And yes, we are withdrawing our price fixing
11 and our market allocation claims, your Honor.

12 THE COURT: Thank you, counsel. Now I need
13 defense counsel to do your best to respond to what I
14 view as a new argument that is being forwarded at oral
15 argument.

16 MR. NELSON: The first thing I would like to
17 do, a few responses.

18 THE COURT: Is this an argument that was fair,
19 that it was a fair, you know, when one reads page 3 of
20 your reply brief, was that a fair, I mean is that a
21 fair reply to the positions that you forwarded in your
22 reply brief?

23 MR. NELSON: I would suggest you first have
24 to look at page 9 of our opening brief. That is where
25 we raised --

1 THE COURT: Go ahead. I will get it. Page
2 9, go ahead.

3 MR. NELSON: The suggestion that we raised
4 for the first time that the way all of this worked,
5 the way the statute fits together and you get at
6 unfiled agreements is through 41102 (B). We raised
7 for the first time, if you look at page 9 of our
8 opening brief. I will leave it at that.

9 THE COURT: Counsel was on notice with
10 respect to the argument that you forwarded in moving.
11 Duly noted.

12 MR. NELSON: Right. I think that should
13 inform your decision on whether that can be taken into
14 account.

15 But in terms of how this new argument and how
16 it is being articulated, I think with what plaintiffs'
17 counsel is trying to do is say, okay, I have a secret
18 agreement, it has gone on and try to file it, he is
19 saying, the first part of this is I don't think, a
20 person may not operate under an agreement required to
21 be filed. We have to file it. But we didn't file it.
22 And what he seems to be saying is that subpart one
23 only comes into play if you try to file it, as I
24 understand it, under 40304 which doesn't make a lot of
25 sense.

1 Read literally, you don't have to go beyond
2 the statutory language here. Let's assume that they
3 allege in their complaint the dropped the -- they are,
4 we have the secret agreement on capacity regulation.
5 They are alleging that we operated under an agreement.
6 Think are disputing whether it had to be filed, which
7 had to be filed, covered by the enumerated categories.
8 There is no question alleging we operated under an
9 agreement that had to be filed. That did not become
10 effective under Section 40304. It didn't, we never
11 filed it.

12 I don't know that we need to go beyond that.
13 The notion, absolutely right, 40304 talks about the
14 mechanism for filing. But that is besides the point.
15 This did become effective because we didn't file it.

16 I read earlier some language from the House
17 Report, the House Committee on Merchant Marine and
18 Fisheries, where they talk about the antitrust
19 exposure for the so-called secret agreement is limited
20 to injunctive and criminal prosecutions by the
21 Attorney General and does not carry with it any
22 private right of action otherwise available under the
23 antitrust laws. That is legislative history.

24 I think the statute is clear enough. But the
25 legislative history makes perfectly clear that if we

1 didn't notify it, they want it to be an exempt from
2 civil liability and under 40307. I am happy to walk
3 through how all the statutes fit together if you would
4 like.

5 THE COURT: Do it one more time for me.

6 MR. NELSON: Okay. So 40302 (A) -- let me
7 back up.

8 We are in agreement with plaintiffs that this
9 comes in through, in the prohibition section which are
10 40102 to 40105, the failure to file an agreement
11 allegation which is what we are now to, capacity
12 rationalization, that comes in through 41102 (B) (1).
13 The fact that that group of sections never mentions
14 the word capacity is really besides the point because
15 we are coming into the statute through this provision
16 which is in the agreement, you have to go back to the
17 list of agreements to know what the enumerated
18 categories are. By the way, price fixing isn't
19 mentioned either in that 41102 and 41105. It comes
20 in.

21 THE COURT: Say it again. Price fixing what?

22 MR. NELSON: The reason price fixing is a
23 violation of the Act is because you have a price
24 fixing, if you want to get together as competitors and
25 set rates, you have to file an agreement. And that is

1 40301 (A), that I had up on the projector before.
2 What they enumerate here are the categories of
3 agreement that have to be filed. The first is an
4 agreement to discuss the rates. And the others, talk
5 about which one's cover capacity rationalization. The
6 prohibition sections don't say you can't price fix.

7 THE COURT: That is my section under
8 prohibitions and penalties, chart 411, is price fixing
9 listed.

10 MR. NELSON: No, the reason it is not listed
11 is because it is not, per se, a violation of the Act.
12 You can do it if you file an agreement. And so what
13 it says is you, in 40307, it says if you file your
14 agreement you can do it. It is okay.

15 THE COURT: So in other words, obviously,
16 you are not going to enumerate things that you can do.
17 There can be capacity restriction. Right? There can
18 be capacity rationalization, right? And so it is not
19 that it was listed as a prohibited act. There can be
20 a capacity, there can be capacity rationalization, but
21 you have to file in an exhibit, the forms, the
22 necessary forms. You have to tell everybody you are
23 doing it. You have to tell the FMC you are doing it,
24 why you are doing it, what is the reason for it. And
25 then they can decide whether within that 45-day

1 period, you know what? This explains, we are going to
2 accept it.

3 And then if they did, great, you are immune.
4 But that is the whole point, is that under prohibited
5 act it is not going to list price fixing or capacity
6 realization or restriction because not every
7 prohibited act, first of all, it is not a prohibited
8 act because if you tell people about it, then it is
9 authorized provided the FMC said so.

10 MR. NELSON: That's right. The FMC can take
11 you to federal court if they want to challenge an
12 agreement like that. So the 40302 (A), this is all in
13 our opening brief, says that an agreements being, be
14 enumerated in 40301 (A) shall be filed. There is the
15 obligation to file.

16 Then you go to 41102 (B) which says if you
17 operate under an agreement that is not filed, then you
18 are in violation of the Act. So the prohibition is
19 coming in as a failure to file an enumerated
20 agreement. No more complicated than that. You have
21 to jump through a few statutory steps. That is in our
22 opening brief.

23 THE COURT: What page? I want to look at
24 that.

25 MR. NELSON: Page 9. We say in the middle of

1 brief we say that according to DPPs, defendants imply
2 that it is alleged a filed agreement would be a
3 violation of the Shipping Act which mandates that an
4 agreement between ocean common carriers, discussed,
5 would regulate transport rate or control regulate or
6 prevent competition in international ocean transport.
7 That is A, shall be filed with the Federal Maritime
8 Commission. 40302 (A).

9 Indeed, Section 10 of the Shipping Act,
10 titled "Prohibited Act," prohibit the common carrier
11 from operating under or implementing an agreement to
12 fix transportation rates or prevent competition if the
13 agreement at the time has been filed with FMC. 41024.
14 (B). That is in our opening brief.

15 THE COURT: All right. Let's move on. We
16 now move to the next argument. That is standing.

17 MR. NELSON: I will try to make this brief.
18 I will answer any and all questions you ask. I would
19 like to emphasize two points on standing: Plaintiffs
20 failed to meet their burden to establish standing in
21 two respects. First is they do not establish a causal
22 nexus between the conspiracy alleged and their alleged
23 injury so they fail, they lack Article III standing.

24 Second, they fail to allege sufficient facts
25 to show that they were affected directly, and

1 therefore, lacks the antitrust standing. First, on
2 Article III standing, under associated general
3 contractors, plaintiffs have to show, among other
4 things, the causal connection between the alleged
5 antitrust allegation violation also and their alleged
6 injury. The plaintiffs enumerate in their complaint a
7 fair number of detail about the alleged conspiracy, in
8 all the respects we discussed before. But they don't
9 allege anywhere which defendant they purchased from,
10 which routes they bought service on, and when the
11 alleged purchases took place.

12 All these facts are known to the plaintiff.
13 Just to be clear, when I say they enumerate a lot of
14 details about the conspiracy, they are alleging price
15 fixing on route A, there A to B with Honda, or
16 whatever the OEM was. They are fairly specific. They
17 talk about conversations about specific kind of tracks
18 that took place in specific years. They never say
19 they bought transport on those routes or with those
20 types of cars or in those years. They are not, they
21 haven't alleged an over-arching conspiracy that
22 necessarily covers all cars. So they need to have
23 more specificity to tie themselves to that
24 conspiracy.

25 THE COURT: Here is what I would like for

1 both sides to do, and I thought you did a good job in
2 sort of breaking things, breaking the industry down
3 for me on page 14 of your moving brief. So you say,
4 listen, we have three entities involved here. We have
5 got carriers, the defendants who operate ships and
6 provide transport services for cargo. You have the
7 shippers. That is OEMs.

8 Then we have ocean transportation
9 intermediaries, and on one end you have got non-vessel
10 operating common carriers, and that doesn't appear to
11 be at issue here. We are really looking at freight
12 borders. One of the things that the plaintiffs do on
13 pages 17 and 18 is they say listen, you got it wrong,
14 the way you are defining us as freight forwarders,
15 that is wrong. We are independent contractors. So I
16 am trying to understand how the industry, maybe it is
17 a loss, maybe I would like both sides to tell me how
18 are freight forwarders paid.

19 I understand you cite to a number of cases
20 and talk about listen, reality is that if someone, if
21 for example, a freight forwarder is used, but someone
22 fails to pay us, the carriers, we are going to go
23 after the OEM for payment. I get all that. Sort of
24 what I am trying to understand is how the freight
25 forwarders are paid, are they paid by a commission

1 from the OEM, depending what they do, because if this
2 was a scenario I keep trying to put in my head which
3 is if I am in the industry of going and gobbling up
4 space on a cargo, and I gobble it all up, and then I
5 say, well, now you have to buy space for me from me
6 because it is my space. That is a different scenario,
7 right?

8 Then I think we are right on point with what
9 we are, with what would be a problem here. But that
10 is not how I understand freight forwarders, they don't
11 buy space and then resell it, do they?

12 MR. NELSON: That is -- they are not alleged
13 that they are -- they are based on, from what we can
14 discern, there have been allegations, they say they
15 arrange for transport, some of them are named freight
16 forwarders. They know they are freight forwarders.
17 They acknowledge that I think in their reply brief.
18 Or opposition brief. It is a little easier in this
19 industry than in some of the other industries that are
20 cited in the numerous cases.

21 THE COURT: I want you to address the airline
22 case, the air cargo case that they cite, because that
23 was something that I am interested in hearing from you
24 on. But go ahead. Tell me how this industry works.

25 MR. NELSON: So my understanding of the

1 industry is there re shippers who are OEMs, private
2 parties, if you or I needed to have our automobile
3 transported from here to Japan, we go to a freight
4 forwarder for that. So you are the shipper, the owner
5 of the vehicle is the shipper. A freight forwarder,
6 in a carrier is the vessel owner.

7 The freight forwarder is somebody who acts as
8 an intermediary in order to facilitate getting your
9 vehicle on to that ship and transported. There is one
10 case, I think it was DePrima, (phonetic) case, the
11 Second Circuit, acts as a travel agent. They get paid
12 a service, they get paid a fee from the carrier, they
13 get a fee from the shipper, or both. But they
14 basically act like a travel agent. They get paid for
15 facilitating, but there is no mistake the \$500 you pay
16 for a flight, you are paying that money is going to
17 the airline and the airlines pays for that. But you
18 pay \$25 to the agent for ticketing that and they may
19 be an independent contractor.

20 Another case cited in our brief where the
21 independent contractor freight forwarder was taking
22 similar, I don't think being an independent contractor
23 necessarily matters to this purpose. The real
24 question is the one you raised which is I think goes
25 to the question of are they a purchaser at all.

1 Forget about the direct, indirect. Are they a
2 purchaser at all. And a travel agent doesn't purchase
3 the plane ticket. They get it for you. Literally the
4 money passes through their hands, clearly the case
5 that is not enough. They are not on the hook for
6 that. They are not working out what that rate is.
7 They are not making the decision that, is that too
8 high or too low of a price.

9 Freight forwarders are heavily regulated. If
10 you look at the regulations and statutes on freight
11 forwarders, it is pretty well defined role and there
12 are, there are regulations that define what kind of
13 compensation they can take. I think we cite in our
14 briefs to Section 51542 (C), instead of saying a
15 freight forwarder may not own an interest in the
16 cargo. There are provisions that govern how they are
17 paid, as you asked. And very much constrain whether
18 they can take money from one side and give it to the
19 other.

20 And I don't know all of the reasons behind
21 the detailed regulations, but I suspect one of the
22 core purposes of the Act is to prevent discrimination
23 among shippers that they don't want carriers through
24 freight forwarders to kickback money to some shippers
25 and in effect give them a lower rate. And published

1 tariffs, my understanding is these are all of the
2 named plaintiffs buy the published tariff, you don't
3 want a freight forwarder to circumvent those tariffs.
4 There are cases that say this is a factual inquiry but
5 they do not -- their burden in the first instance is
6 to put enough into the complaint, this is not
7 something they need discovery on, this is asked about
8 them. I think it was a strategic decision to leave
9 all of these facts about who pays the money, who
10 negotiates the rate, all of that, to leave that out
11 because the more they say about the freight forwarder
12 role, the clearer it is going to be.

13 THE COURT: Well, that is my next question,
14 which is aren't we going outside the pleadings and
15 aren't we necessarily, isn't this an issue that is
16 better left for summary judgment? But now your
17 argument, which I think is a stronger argument, which
18 is that there are critical facts that are left out of
19 the pleadings that enable, that would enable the Court
20 to make a determination at this point. And by
21 crafting language in such a way that doesn't permit me
22 to do sort of the analysis I need to, is it fair to
23 put you through the cost of discovery, and you know,
24 obviously discovery and time that would ultimately
25 could take years?

1 MR. NELSON: Given what we know, and they do
2 say that, in the pleadings they say they arranged for
3 transportation service they arrange for transportation
4 services for others, and their only allegations that
5 they were directly affected here are using the word
6 directly. We directly purchased, we were directly
7 affected. They never give any specificity. I think
8 under Twombly and Iqbal, Supreme Court cases that that
9 is not enough. They can't just make conclusory
10 allegations like that and use them as substitutes for
11 factual allegations.

12 As I said, it might be a different story if
13 this wasn't a strategic decision. They know all of
14 these facts. They have all of these facts in hand.
15 They could have alleged them. And they shouldn't be,
16 in my view, rewarded for leaving out all the facts and
17 putting in just the statement that that we were
18 directly affected and they think that that should be
19 enough, particularly where they acknowledge that they
20 arrange for the international ocean transport of
21 vehicles. And they never bother to describe any
22 details, who the transport is for, or with whom.

23 THE COURT: There is a certain level, I think
24 at a certain point they didn't have to allege
25 everything that they are claiming. I don't think that

1 is what you are saying.

2 But you are saying at minimum, there is no
3 fact to support the conclusory statement that they
4 directly purchased, or how did they purchase or what
5 is the relationship, and I still, having obviously
6 don't understand necessarily how these, are they
7 buying these, are they directly purchasing for an OEM,
8 are they purchasing them to be later reimbursed. That
9 is not clear. And so that is what we are confronted
10 with.

11 MR. NELSON: The plaintiffs claim in a
12 footnote to their opposition brief, they say that our
13 position is a parody of our positions, they have to
14 name every make and model of car. We are not asking
15 that.

16 THE COURT: What are you asking? What do you
17 think at minimum they should be required to do?

18 MR. NELSON: They should have been, as I said,
19 I think even on the standing issue it should be
20 dismissed with prejudice, this was a strategic
21 decision of theirs. I think you shouldn't let them to
22 replead. I didn't think they asked to that. I think
23 the facts that they would put forward would only make
24 their standing argument worse.

25 Now with this issue aside, I think they need

1 to explain how they are the purchaser of the vehicle.
2 Why they should be considered by this Court to be the
3 purchaser of the vehicle. Are they the ones truly
4 paying that price. Who are they buying for? Who are
5 they getting this from? They ought to --

6 THE COURT: They not saying they are
7 purchasers of the vehicle. On page 7 they say DPP's
8 are independent contractors hired to move customers'
9 vehicles from point A to point B. To that end they
10 directly purchase space on vehicle carriers to fulfill
11 their contractual obligations to customers. That is
12 what they say on page 17 of their opposition. Then on
13 page 18 they say independent contractors, that they
14 are independent contractors and retain their direct
15 purchaser standing as intermediaries. As
16 intermediary dealers.

17 So that is the argument. So if they are not
18 saying they purchased the vehicles, but they are
19 saying they purchased the space.

20 MR. NELSON: That is true of a travel agent
21 as well. They are being careful only to say so much.
22 The travel agent could honestly say I purchased a
23 plane ticket for Mr. Nelson. But they are not
24 explaining why it is them and not their customer who
25 is the direct purchaser. And they know full well what

1 the answer to that question is, they could have pled
2 it, and they didn't. And those, the specificity you
3 just read from their brief isn't in their complaint,
4 of course. That is fine. Even that --

5 THE COURT: You can't amend a pleading by an
6 argument in a plea. We know that.

7 What about page 20 of their opposition? They
8 talk about this In Re Air Cargo Shipping Services
9 antitrust litigation out of the Eastern District of
10 New York? And they say that in one of the largest,
11 reading from page 20, in fact in one of the largest
12 antitrust lawsuits that has resulted in more than 900
13 million settlements to date, that being In Re Cargo,
14 Freight Forwarders brought suit under the Sherman Act
15 against roughly 30 airlines alleging that the
16 defendants, defendant airlines fixed prices that
17 affected thousands of worldwide routes. And that they
18 say in over eight years of litigation plaintiffs
19 status as freight forwarders has been of no import and
20 has not stopped the Court from denying defendants'
21 motion to dismiss, nor did it prevent the magistrate
22 judge from issuing a report and recommendation
23 certifying the class.

24 And so this is for them, really, here we have
25 freight forwarders. I need to hear from you as to how

1 you are dealing with air cargo.

2 MR. NELSON: Three things about that. First
3 of all, they say it was of no import, but the issue
4 was never raised in the brief. The issue of standing
5 of the freight forwarders was not challenged.

6 Second, the initial complaint, as I
7 understand, the initial complaint that would have been
8 subject to a challenge included various plaintiffs who
9 were much more obviously direct purchasers, it wasn't
10 freight forwarders, which might explain why there
11 wasn't a motion to dismiss on the basis of lack of
12 standing.

13 Third, freight forwarders, as I understand it
14 in the air cargo business and ground transportation,
15 freight forwarders as well operates under an entirely
16 different regime, their role is not statutorily or
17 regulatorily constrained in the same way that it is
18 here. We know from the FMC regulations in terms of
19 the inability of a freight forwarder to own an
20 interest in the cargo, for example, and the inability
21 to pass money from one hand to the other, which really
22 confines them, in our view, to taking a service fee
23 like a travel agent, and not having any interest in
24 what that price is of the transportation services
25 itself.

1 I don't know all of the details of how that
2 works in the air cargo area. But those are the three
3 distinguishing features from our perspective.

4 THE COURT: Okay. Thank you, counsel.

5 MR. DE PALMA: Your Honor, with regard to
6 standing, the defendants elect a straw man argument
7 when they say that as a matter of law the freight
8 forwarder really never has standing to assert a direct
9 action because they are mere agents. They assert, for
10 example, that the freight forwarders don't own the
11 cargo. But that is not the correct inquiry for
12 standing.

13 The correct inquiry here is who paid the
14 vehicle carrier service charges, and that is what
15 matters, not who owns the cars. Defendants state at
16 page 15 of their opening brief something that is just
17 flat out wrong. They say tellingly, quote, tellingly,
18 DPP's do not allege that they, as opposed to their
19 clients, actually paid for the vehicle transportation
20 services they arranged.

21 Your Honor, much as the defendants wished
22 this were true, the allegations of the complaint speak
23 otherwise.

24 Your Honor, I submit that it is an allegation
25 of fact when we say that client A directly purchased

1 from one of the defendants all carrier services. That
2 is like me saying I walked through that door when I
3 left the courtroom. It is not, no conclusion needs to
4 be drawn from that. It is a statement complete --

5 THE COURT: Can you explain how the industry
6 works for me? Not that I am, I just want to
7 understand it. Tell me what a freight forwarder does
8 and how he has that freight forwarder, how he is paid.

9 MR. DE PALMA: A freight forwarder has an
10 important role. They facilitate the transfer of
11 cargo, in this case, overseas on ships. They are
12 responsible in some instances where an entire vessel
13 isn't going to bring one set of goods from one
14 customer to one point. They are operating at, in the
15 logistics field, they are operating as an independent
16 contractor, on putting cargo onto ships that in turn,
17 they are charged by the common carrier for that
18 process.

19 Your Honor, I want to take a half step back
20 and remind the Court we are not asserting in our case
21 that we represent a class of freight forwarders. We
22 say in our case that we represent direct purchasers of
23 vehicle carrier services. Our clients here happen to
24 be freight forwarders. We have alleged that these
25 three plaintiffs have directly purchased vehicle

1 carrier services from these defendants. That is a
2 statement of fact. That is not a conclusion. That is
3 not to say, we all know what conclusory allegations
4 are, but that statement is complete in itself.

5 Now, do we have to attach an invoice to prove
6 that? No.

7 Do we have to say from which defendant we
8 purchased? At this stage on a motion to dismiss
9 stage? No.

10 So I think, your Honor, the proper inquiry
11 is, is it true what they are saying that as a matter
12 of law, as a matter of law, we can never be direct
13 purchasers? What we are alleging in our complaint
14 that we are. They put a material fact in dispute and
15 we know from Phillips versus County of Allegheny that,
16 you know, all facts are to be taken, now, as true and
17 that they dispute a material fact, it is to be
18 ignored. This is a material fact. We say at
19 paragraphs 1, 3, 13, 14, 15, 30, 90, and 94, that we
20 are direct purchasers. We say it flat out. That is
21 what we need to do at this stage. And your Honor, at
22 footnote 6 of our brief at page 15 we say that, we
23 cite to case law that says that that is all we need to
24 do, I think.

25 If I may, the air cargo case is attached to

1 our briefing. And the Court, the Magistrate Judge in
2 a 111-page report and recommendation found that the
3 freight forwarders were typical and adequate under
4 Rule 23.

5 At page 54 just for the convenience of the
6 Court of that report and recommendation, I don't know
7 why it is not coming up, it is half a sentence, the
8 Court said here the entire class purchased essentially
9 the same service, and shared the same opportunity to
10 negotiate.

11 So it is not correct that as a matter of law
12 freight forwarders can never be the purchasers. They
13 can be, they are. They are in this industry. As my
14 understanding of the industry, your Honor, is that
15 freight forwarders often contract directly with the
16 carriers.

17 They often pay for vehicle carrier service
18 directly, as we have alleged our clients have done
19 here. So I think that this strawman argument that
20 they are trying to challenge us to take down really
21 doesn't belong here and I think that there is clear
22 standing.

23 Your Honor, if I just may turn to air cargo
24 for a second. You know, it is one of the largest
25 cases now pending. It is over, as we said, millions

1 of dollars in settlement, brought by freight
2 forwarders. It survived a motion to dismiss. The
3 class was certified by the Magistrate Judge. If I
4 may, your Honor, just very recently the District Judge
5 fully adopted that report and recommendation. And I
6 can get you that order. It was just a couple of days
7 ago.

8 The issue of standing in the Third Circuit is
9 in the Abbott Labs case. Basically, what we need to
10 do is establish causation as antitrust injury. We
11 need to establish the link between the antitrust
12 violation and the harm to the plaintiff. That is
13 causation. And we need to discuss, establish whether
14 the harm is of the type the antitrust laws are
15 designed to protect.

16 Your Honor, to satisfy those requirements at
17 the leading stage, at this motion to dismiss stage, we
18 need only to allege that the plaintiffs directly
19 purchased from the defendants at super competitive
20 prices within the conspiracy period. And we cite to
21 Auto Parts, Ductile, Magnesium Oxide, cases that were
22 discussed earlier.

23 Your Honor, I want to draw the Court's
24 attention to the particularized allegations that
25 plaintiffs purchased directly motor vehicle carrier

1 services from the defendants.

2 As I mentioned earlier, it is paragraphs 1,
3 3, 13, 14, 15, 30, and I said earlier, usual, from
4 memory I said innocent, but it is 91 and 94. These,
5 as I said earlier are statements of fact. They are
6 statement of fact. We also allege, your Honor, that
7 the plaintiffs paid higher prices for the vehicle
8 carrier services. We say it was due to the illegal
9 concerted action and we say that they were harmed as a
10 result. And your Honor, for the record, I could give
11 the parts of the complaint where we mention each of
12 those.

13 They are all over. I mean this complaint is,
14 you know, as specific as you can get, it has names of
15 individuals. It has the number of vessels that were
16 scrapped. It has just about everything you need to
17 put into a complaint. And there certainly is no, from
18 our view, Iqbal or Twombly problems with it. But for
19 those, for the antitrust injury, it is paragraphs 1,
20 11, 52, 57, 61, 63, 65, 76, 78, 79, and finally 103 to
21 106. The complaint is chock full of tying our
22 clients, who paid for these vehicle carrier services
23 to the type of injuries that the antitrust laws are
24 designed to protected, injuries that by the way, three
25 of the seven defendants have already pleaded guilty

1 to.

2 THE COURT: Okay. I have heard enough. The
3 hour is late. I still have to get to GM motions and
4 issues there. We are going to really just, the file
5 rate doctrine. I want to focus argument on very
6 briefly, on whether self publications viewed as, if
7 that counts as filed. That is all I want to hear
8 argument on.

9 MR. NELSON: I will try to be brief, your
10 Honor. I think the way to cut through some of this is
11 filed rate doctrine is intended to were any action
12 challenging rates that are in the purview of the
13 regulatory agency. I won't go through the Supreme
14 Court background on it. Suffice it to say it is
15 crystal clear that applies to antitrust claims.
16 Plaintiffs do not dispute that.

17 At the core of the filed rate doctrine is the
18 question whether Congress is empowered the agency to
19 regulator oversee the rates at issue. Once they have
20 agencies have broad discretion in how they exercise
21 that regulatory authority. Courts have applied the
22 filed rate doctrine across a wide range of industries
23 with various practices overseeing those rates. As we
24 described in our briefs, the courts have frequently
25 applied the file rate doctrine, rates that are not

1 formally filed, but are subject to agency oversight.
2 We cite several cases upon the filed rate doctrine,
3 where the federal energy regulatory Commission has
4 allowed the rates at issue to be set by market forces.
5 Those are not filed rates.

6 In our case we are talking about published
7 rates, published rather than filed. In the FURC
8 (phonetic) cases you are talking about rates that,
9 aren't cases but are set by market forces. That was
10 asked by the Third Circuit in the Utilimax.com
11 (phonetic) case, we cited several other cases from
12 other circuits, also dealing with FURC (Phonetic),
13 using market rates. We cite to the Third Circuit case
14 in TNT Terminal Packaging which is a preemption case
15 not directly a filed rate doctrine case. Same
16 principle.

17 Other courts have read it favorably as
18 supporting a filed rate finding but the Ocean
19 Logistics Management case in the district of Puerto
20 Rico which we cite in our briefs. But in that case,
21 GNC Terminal Packaging, the antitrust claim dropped
22 out by stipulation. They didn't treat it as a filed
23 rate doctrine. They only needed to deal with
24 preemption. It is the same principles. The Court
25 said that the private civil claims were preempted,

1 were the rates at issue which is for the shipment of
2 potatoes were fully exempted by the Interstate
3 Commerce Commission. It wasn't a question of filing
4 versus publication, as it us here. It went a question
5 of even market rate versus filed rates. The fur
6 cases, the Third Circuit says even where the ICC
7 exempted the defendants from filing or publishing
8 preemption applies, it says the ICC was still
9 exercising its authority in the internet. It may seem
10 counter intuitive to say the filed rate doctrine
11 applies when the rates aren't filed. I get that, or
12 are exempted from filing requirements. But the reason
13 is if you look at the body of cases they have
14 repeatedly, particularly the Third Circuit cases,
15 neither the form of the rates nor the disclosure to
16 regulators is dispositive.

17 What matters is whether the rates are subject
18 to oversight by a regulator by the ICC, FURC,
19 (phonetic) the FCC or in our case the FMC. File rate
20 doctrine is fundamentally about not having courts step
21 into the role of regulating rates when specialized
22 regulatory agencies have authority to do so. So the
23 Third Circuit said in *In Re New Jersey Title Insurance*
24 *Litigation*, quote, The non-justiciability strand is
25 one of the two bases on which the Third Circuit said

1 you can apply the filed rate doctrine, in that case at
2 page 459, the non-justiciability strand recognizes
3 that federal courts are ill equipped to engage in rate
4 making process which does not depend on whether
5 agencies -- whether agencies actually use their
6 superior expertise.

7 In other words, the file rate doctrine isn't
8 about filing, or whether an agency has exercised its
9 authority, but instead about whether Congress has
10 given that authority to an agency, better positioned
11 than the federal courts would be to determine rates in
12 the industry.

13 Here the agency has regulatory authority over
14 published rates. The Shipping Act directed FMC to
15 regulate and public tariffs by, carriers charging less
16 than the tariff rates, from providing services that
17 isn't in accordance with the rates charged, that are
18 included in the tariffs and prohibiting unfair or
19 unjustly discriminatory rates and services, published
20 or unpublished tariffs.

21 The FMC has the authority to suspend tariffs
22 that file with the Shipping Act. They can initiate
23 investigation, oversee complaints, order payment of
24 reparations and assess civil penalties.

25 So the bottom line is because the FMC has

1 oversight over the rates at issue, the filed rate
2 doctrine applies and the plaintiffs' antitrust claims
3 must be dismissed.

4 The only other observation I will make is as
5 you said before, these claims ought to be brought to
6 the FMC, we are saying since this morning. In order
7 to decide whether a plaintiff was harmed by an
8 allegation of capacity restriction, which is all that
9 is left, the deciding body, which is the FMC, has to
10 look at the, plaintiffs are claiming the prices are
11 higher than they otherwise would have been. In order
12 to make that determination you have to not only know
13 the rate that was charged, that is relatively easy to
14 find. You need to know what the "but for" rates are.
15 The FMC is much better equipped as the expert
16 regulatory agency in this area to make that
17 determination.

18 I think it is very tight, the plaintiffs, the
19 claims the plaintiffs are talking about is what the
20 Third Circuit is talking about when they say where
21 there is a regulatory agency, leave it to them, don't
22 have the federal courts get involved.

23 THE COURT: Let me hear the point again. You
24 said, dealing with capacity restriction, the reason
25 they are able to charge higher prices is because the

1 capacity is restricted so there is not a lot to
2 choose from. You have to pay it or the you don't get
3 on.

4 And you say what to that? What is your
5 argument?

6 MR. NELSON: It is easier if I can use the
7 price fixing examples.

8 THE COURT: I need you to use the capacity
9 restriction.

10 MR. NELSON: The reason capacity restriction
11 is an antitrust violation and the way one would
12 ordinarily --

13 THE COURT: Tell me how it would work
14 ordinarily.

15 MR. NELSON: I will go through that.
16 Plaintiffs can correct me if they disagree. I think
17 they see it the same way. By the way, we are not
18 admitting to any of this.

19 THE COURT: I got you.

20 MR. NELSON: Plaintiffs say in their papers
21 that we didn't, the capacity rationale is outside its
22 whole pleadings as well. That is a different set of
23 facts.

24 In any event, so it is their theory is that
25 if we scrap a bunch of ships or set them idol, that

1 with less supply there is more competition to get on
2 to those ships and people will pay for because it is a
3 scarce resource, therefore, prices paid for
4 transporting the vehicles will have gone up, and that
5 is why they say they have a damage claim. There is
6 nothing, they don't have a problem with lack of
7 capacity in and of itself. They have a problem with
8 the lack of capacity forces them to pay higher prices,
9 so they allege.

10 So they end up paying \$500 instead of \$400 to
11 ship a car across the world. Because we had
12 constrained capacity. That is what they allege. So
13 we know that they, that is what they paid, we will
14 find an invoice for that. You don't need an expert
15 regulatory agency to answer what did they pay. But
16 somebody has to determine but for the illegal
17 arrangement, what would the rate have been?

18 THE COURT: If they had not scrapped the
19 ships, okay.

20 MR. NELSON: What is the competitive rate,
21 that would be have to be determined. I think here,
22 were this case to move forward in this court, and for
23 the reasons suggested, we don't think it should,
24 eventually you would have to make that determination
25 of what that but for rate would be, what the

1 competitive rate would be.

2 It seems to me that in precisely what the
3 Third Circuit is saying belongs in the hands of an
4 expert regulatory authority, where Congress set up a
5 scheme for such review and not in the hands of a
6 federal court.

7 THE COURT: Thank you, counsel.

8 MR. DE PALMA: Your Honor, no Third Circuit
9 case, has held that the file rate doctrine applies to
10 unfiled rates. Rates here do not have to be filed.
11 40105 simply requires that each common carrier keep
12 open to the public for inspection an automated tariff
13 system. That is about it.

14 Your Honor, what is interesting, too, is that
15 many of the rates in this industry, we know it from
16 the OEMs are privately negotiated. And we also know
17 from the OEMs, that for new cars, they don't even have
18 to file anything pursuant to this automated tariff
19 system. That is exception number 2 which we pointed
20 out in our brief. One doesn't apply with respect to
21 new assembled motor vehicles.

22 As I stated earlier, your Honor, we represent
23 direct purchasers of equal carrier services. Many of
24 those services were rendered in the transportation of
25 new assembled motor vehicles. The issue of whether --

1 -- your Honor, I will have to say that our clients,
2 the three clients, did not move new cars. But it is a
3 class certification issue. Members of our class moved
4 new cars. We could get to that at the appropriate
5 time. But the fact of the matter is that a large
6 bulk, a large bulk of rates --

7 THE COURT: Say that again for me?

8 MR. DE PALMA: Yes. Let me start it over.
9 Our three plaintiffs, the freight forwarders, the
10 class representatives, did not, did not transport or
11 were not freight forwarders in connection with new
12 assembled motor vehicles.

13 I want to state for the record, I want to be
14 very clear on that. But they are class
15 representatives for a class of direct purchasers,
16 including OEMs who choose not to opt out. We know
17 General Motors is probably going to opt out, but there
18 are a lot of other OEM who are out there that right
19 now, members of our putative class, and there is no
20 rate that has to be filed with the FMC with respect to
21 them, and furthermore, your Honor, there is nothing
22 that they have to do under this automated tariff
23 system because the carriers are exempt from needing to
24 even publish any rate for OEMs. Nothing.

25 So there is no case law that has been cited

1 in any brief, and I went through it where you have
2 such a division, that exists here.

3 You know, all the cases on filed rate, all of
4 them, everything either needs to be filed or not.
5 There is nothing that talks about a system like the
6 one present here where a large amount of rates, maybe
7 more than 50 percent, I don't know the exact amount,
8 but we have heard argument in the briefs that OEMs are
9 the bulk of the vehicle carrier service -- it is the
10 bulk, it is the new cars that form the bulk of the
11 damages.

12 So there is no case that talks about what
13 happens in a situation where 50 percent, 60, 70, I
14 don't know the exact percentage, don't even have to
15 file rates to begin with.

16 And your Honor, what is equally important is
17 that rates can be privately negotiated. The shipper,
18 and the carrier or the freight forwarder can privately
19 negotiate any rate they want. So you know, this is,
20 the cases don't didn't come close to addressing the
21 system we have in place here.

22 As we said in our brief, there is no
23 oversight. This section here, E says basically if a
24 carrier wants to increase their rates, all they need
25 to do is wait 30 days. If they want to decrease it,

1 they can do it right away.

2 Your Honor, this is not the kind of industry,
3 this is not the kind of regulatory scheme that any
4 single case cited in the briefing addresses. What we
5 have addressed are cases, Ultramax, In Re New Jersey
6 Title Insurance, and McCrea, the Circuit cases that
7 speak to filed rate, talk about the necessity of filed
8 rates, not merely published rates, one, and two is no
9 case, even in the area of whether a rate can merely be
10 published, talks about a situation like we have here,
11 where most of the rates can be kept private and
12 secret. That is not a filed rate doctrine case.

13 THE COURT: Very well, counsel.

14 All right. We are going to take a
15 five-minute break, then we will deal with the General
16 Motors issue.

17 (Recess.)
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1 THE COURT: We are now going to address the
2 General Motors tag-along action, 15-47 -, I am sorry,
3 15-4739. Can I have appearances by counsel?

4 MS. SOHL: Chahira Solh, Crowell Moring, for
5 General Motors.

6 MR. SASSE: Daniell Sasse, Crowell Moring,
7 for General Motors.

8 MR. RIVERA-SOTO: Roberto Rivera-Soto on
9 behalf of EUKOR and the related defendants. Mr.
10 Fornaciari is with me on behalf of the NYK defendants.
11 I will be speaking on behalf of both, your Honor.

12 THE COURT: Wonderful, counsel. Let's start
13 with GM. I realize the motion to stay that was filed
14 by the defendants got filed first, but since, you
15 know, I am interested in hearing General Motors
16 position on all these issues, there is actually two
17 issues now, and I am at a loss to understand why we
18 can't agree to a motion to stay the case entirely.

19 And because it just makes, it would make
20 sense, I think, to wait to see how the Court rules
21 with respect to all the arguments that we have gone
22 over, and all the arguments that are included in the
23 briefs that I cited earlier this morning.

24 And maybe I am missing something. But I am
25 just wondering why we can't agree to that.

1 MS. SOLH: Your Honor, Chahira Sohl. I think
2 today actually demonstrated for us exactly why we
3 can't agree to a stay. The direct purchaser class has
4 not advanced a lot arguments that we would against the
5 motion to dismiss and we are concerned that if we stay
6 the case, and we are not allowed to proceed with, if
7 the defendants decide to file a motion to dismiss, we
8 are going to be prejudiced by any rulings that you may
9 bring without actually having fully considered the
10 arguments that GM would be bringing. GM is --

11 THE COURT: Would any of my rulings
12 necessarily impact?

13 MS. SOLH: We don't think they would, but
14 according to the defendant briefing they think that
15 they would impact GM's claims and that for some reason
16 GM would then amend its complaint. We didn't think
17 that is accurate. GM is an OEM. We make newly
18 assembled motor vehicles and so the shipping action is
19 different in a lot of aspects than it would be than
20 the other class representatives we heard from today.

21 We have a lot of different arguments. Some
22 of the arguments I think the direct purchaser class
23 counsel was trying to advance did that hadn't been
24 advanced before are some of the issues that we would
25 raise in a motion to dismiss.

1 THE COURT: Give me an example. What is so
2 different?

3 MS. SOLH: One of the things that is
4 different about us, your Honor, is we have service
5 contracts we enter into with the defendants like NYK
6 and Willenius. The Shipping Act treats service
7 contracts for newly assembled motor vehicles different
8 than it does general service contracts. And the way
9 that it treats them differently is that it actually,
10 you are not required to file with the FMC and there is
11 actually a specific exception for jurisdiction over
12 those service contracts. So that is at section 40502
13 (b) (2).

14 The Shipping Act says specifically that
15 exclusive remedies for any breaches or violations of
16 those shipping, of those service contracts is an
17 action that is, that is something that we can take in
18 an appropriate court, and as we have said in our
19 complaint, the place where we agreed, and our service
20 contracts to deal with these issues is in the federal
21 courts of New York, which is where we filed our
22 complaint in the first place.

23 So this is just one example of how we are
24 different than some of the arguments that have been
25 raised by the direct --

1 THE COURT: But at least if you were to wait
2 for my opinion as to all the matters, I mean, I don't
3 think that necessarily bars you from raising the
4 points that you have that are separate and a part, and
5 there are carve outs. You are still going to be
6 permitted to do that. So why?

7 MS. SOLH: So your Honor, I think yes, you
8 are right, we would still be able to do that. The
9 concern is when, how long it would take --

10 THE COURT: I already said earlier today that
11 I intend on filing an opinion within the next few
12 weeks. Next few weeks. That is what I am saying.
13 This is not going to be something that is going to
14 happen in six months. I will tell you that. All
15 right?

16 So we are talking about an opinion that is
17 going to be filed within the next few weeks. That is
18 one of the reasons I am not making counsel supplement
19 by next, supplement, supplement by Tuesday. What is
20 the prejudice for you to wait until I have ruled on
21 the pending motions and then you are going to be able
22 to see what I have ruled? The beauty of seeing what I
23 have ruled, and then making your arguments that you
24 are free to make as it relates to your client.

25 MS. SOLH: Your Honor, when we opposed the

1 motion to stay in the first place, we didn't know that
2 you would be ruling as quickly as you said that you
3 would be ruling. And so I mean that, I think that we
4 could figure out a way, whether it is 30 days, as the
5 defendants have projected or something close, but the
6 concern and the reason we oppose these motion is one,
7 we didn't want to be prejudiced by the fact that
8 direct purchaser class didn't make any arguments that
9 we would actually make as an OEM.

10 THE COURT: Let me stop you there. So that I
11 am clear. Based on your agreement, your independent
12 agreement with the carrier, as an OEM, you feel there
13 are other arguments that obviously will impact the
14 issue of whether the action is barred or not, right?

15 MS. SOLH: That's correct.

16 THE COURT: You can still make those, right?
17 Even if I were to rule that the DPP's that are
18 currently before me are barred, right? That doesn't
19 impact you, does it?

20 MS. SOLH: It should not. And we would argue
21 that it would not, and so we just think, and we are
22 fine if, like I said, before we filed our opposition
23 to this we didn't know that you are would be ruling as
24 quickly. So if the plan is for you to rule in the
25 next two to three weeks --

1 THE COURT: Not two to three weeks. I am
2 telling you now hopefully I will be ruling by the end
3 of August. First week of September, the latest.
4 That is my plan. That is the schedule I set for
5 myself. And I want to move this case along.

6 And I wouldn't be asking you to tell me how
7 you are prejudiced and make a representation to you
8 that I don't intend to keep. So the reason I am
9 cutting to the chase here is that if we can agree to
10 stay this action, right, pending my ruling, then I am
11 sure counsel is not going to give me a hard time about
12 accepting service, right, Mr. Rivera-Soto?

13 MR. RIVERA-SOTO: Your, we are happy to abide
14 by what we offered, which is we will accept service
15 subject to things being stayed and having enough time
16 to respond. That is perfectly fine with us.

17 MS. SOLH: I already, from the original one
18 we had spoken previously that I think the defendants
19 would, stay would be lifted within 30 days of the
20 order.

21 MR. RIVERA-SOTO: We will go by what the
22 Court orders as to when we have to respond.

23 THE COURT: I would set -- Right.

24 MR. RIVERA-SOTO: It seems to me if your
25 Honor's opinion in respect of the other motions

1 affects the GM complaint, and I don't see how it
2 cannot, it will, they will have to replead.

3 MS. SOLH: We would argue that I think that
4 your opinion is not going to affect ours and we are
5 not planning on repleading.

6 THE COURT: Then we will have argument on
7 that. I mean, we will get to that, we will cross that
8 bridge when we get to it. I am not obviously going to
9 ask counsel to give me now arguments on the merits at
10 this point in time. But in any event, even if I were
11 to require them to at this point move, I am not going
12 to stay the action, I will stay discovery, stay the
13 action, they filed a brief, I can tell you I am not
14 going to hold on of issuing an opinion on the current
15 motions so the inevitable will happen. I will rule on
16 the motions currently before me, and you know, I know
17 that there were some arguments made as to you
18 understanding this litigation has been around for how
19 many years now? I want to say two?

20 MR. RIVERA-SOTO: It was originally filed in
21 September of 2013.

22 THE COURT: So there was sort of a, and I am
23 not obviously going to make a statement that in any
24 way prejudices you, with respect to timing here, but
25 you know, it seems like there was at least a late

1 arrival to the party and now we want to force the
2 Court's hands in some ways, and force counsels' hand,
3 and that just doesn't feel right to me.

4 MS. SOLH: So we sought the defendants' point
5 on about our late arrival, but you know, we have, GM
6 has been looking into this issue and as you can see,
7 we have only named two defendants. We have been
8 working to resolve these issues with our other
9 business partners. That is why it has taken us to
10 this point to actually file the complaint, because we
11 were trying to resolve it and not end up here, but we
12 are here now.

13 THE COURT: Can we agree then?

14 MS. SOLH: Yes. That we will stay the action
15 and then I think --

16 THE COURT: I see counsel. Are we not
17 agreeing?

18 MR. SASSE: Are we agreeing that within 30
19 days of your order they will respond since they are
20 technically in default now? Is that part of the
21 agreement?

22 THE COURT: I quite frankly think we are
23 making a lot of to-do about nothing. I am not going
24 to give any side more than I normally would. 30 days
25 sounds like a reasonable timeframe. I think counsel

1 would agree.

2 MR. RIVERA-SOTO: The only difficult I have
3 with respect of that is that despite what you are
4 being told here, I can see your Honor ruling in a
5 certain way that is going to require them to replead.
6 And if they are required to replead, then I should
7 have my 30 days from the date that I am served with a
8 repled document. If they are not going to replead,
9 then they need to give me notice so that I know when
10 my 30 days are going to start.

11 THE COURT: I agree. That is a good point.
12 You may decide when you read my opinion that you might
13 want to replead. Or you may decide I am totally
14 wrong, and you don't think you need to, and that is
15 fine. You guys have to make the strategic decisions
16 that you are going to make. But in fairness, if you
17 do replead, counsel has to have an opportunity within
18 the rules.

19 MS. SOLH: I completely agree.

20 THE COURT: All right. We have agreement.

21 MR. RIVERA-SOTO: And in exchange, your
22 Honor, we are, as we offered, willing to accept
23 service on behalf of the other defendants.

24 THE COURT: Thank you.

25 MR. RIVERA-SOTO: That is a representation we

1 made to the Court and we will live by it.

2 MS. SOLH: Great.

3 THE COURT: Thank you so much. Sorry for
4 making you wait several hours for this resolution to
5 occur. I appreciate everybody's time and patience
6 today. We are in recess.

7 (Adjourned at 4:30 p.m.)

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EXHIBIT D

UNITED STATES DISTRICT COURT
DISTRICT OF MARYLAND
Baltimore Division

FILED
U.S. DISTRICT COURT
DISTRICT OF MARYLAND

2015 MAR PM 4:11

CLERK'S OFFICE
AT BALTIMORE

UNITED STATES OF AMERICA

v.

NIPPON YUSEN KABUSHIKI KAISHA

Defendant.

Criminal No.:

Filed:

Violation: 15 U.S.C. § 1 (Sherman Act)

BY _____ DEPUTY

PLEA AGREEMENT

The United States of America and Nippon Yusen Kabushiki Kaisha ("defendant"), a corporation organized and existing under the laws of Japan, hereby enter into the following Plea Agreement pursuant to Rule 11(c)(1)(C) of the Federal Rules of Criminal Procedure ("Fed. R. Crim. P.");

RIGHTS OF DEFENDANT

1. The defendant understands its rights:
 - (a) to be represented by an attorney;
 - (b) to be charged by Indictment;
 - (c) as a corporation organized and existing under the laws of Japan, to decline to accept service of the Summons in this case, and to contest the jurisdiction of the United States to prosecute this case against it in the United States District Court for the District of Maryland;
 - (d) to plead not guilty to any criminal charge brought against it;
 - (e) to have a trial by jury, at which it would be presumed not guilty of the charge and the United States would have to prove every essential element of the charged offense beyond a reasonable doubt for it to be found guilty;

- (f) to confront and cross-examine witnesses against it and to subpoena witnesses in its defense at trial;
- (g) to appeal its conviction if it is found guilty; and
- (h) to appeal the imposition of sentence against it.

**AGREEMENT TO PLEAD GUILTY
AND WAIVE CERTAIN RIGHTS**

2. The defendant knowingly and voluntarily waives the rights set out in Paragraph 1(b)-(g) above. The defendant also knowingly and voluntarily waives the right to file any appeal, any collateral attack, or any other writ or motion, including but not limited to an appeal under 18 U.S.C. § 3742, that challenges the sentence imposed by the Court if that sentence is consistent with or below the recommended sentence in Paragraph 9 of this Plea Agreement, regardless of how the sentence is determined by the Court. This agreement does not affect the rights or obligations of the United States as set forth in 18 U.S.C. § 3742(b) or (c). Nothing in this paragraph, however, will act as a bar to the defendant perfecting any legal remedies it may otherwise have on appeal or collateral attack respecting claims of ineffective assistance of counsel or prosecutorial misconduct. The defendant agrees that there is currently no known evidence of ineffective assistance of counsel or prosecutorial misconduct. Pursuant to Fed. R. Crim. P. 7(b), the defendant will waive indictment and plead guilty to a one-count Information to be filed in the United States District Court for the District of Maryland. The Information will charge the defendant with participating in a combination and conspiracy, with its participation starting from at least as early as February 1997 and continuing until at least September 2012, to suppress and eliminate competition by allocating customers and routes, rigging bids, and fixing prices for international ocean shipping services for roll-on, roll-off cargo, such as cars and trucks, to and from the United States and elsewhere, in violation of the Sherman Antitrust Act, 15 U.S.C. § 1.

3. The defendant will plead guilty to the criminal charge described in Paragraph 2 above pursuant to the terms of this Plea Agreement and will make a factual admission of guilt to the Court in accordance with Fed. R. Crim. P. 11, as set forth in Paragraph 4 below.

FACTUAL BASIS FOR OFFENSE CHARGED

4. Had this case gone to trial, the United States would have presented evidence sufficient to prove the following facts:

(a) For purposes of this Plea Agreement, the “relevant period” is that period from at least as early as February 1997 and continuing until at least September 2012. During the relevant period, the defendant was a corporation organized and existing under the laws of Japan. Defendant had its principal place of business in Tokyo, Japan. Its U.S. subsidiary was headquartered at offices in Secaucus, New Jersey. During the relevant period, the defendant was engaged in the business of providing international ocean shipping services for roll-on, roll-off cargo to and from the United States and elsewhere. Roll-on, roll-off cargo is non-containerized cargo that can be both rolled onto and rolled off of an ocean-going vessel. Examples of such cargo include new and used cars and trucks, as well as construction, mining, and agricultural equipment. The international ocean shipment of roll-on, roll-off cargo as used herein is defined as deep-sea or trans-ocean transportation and does not include short-sea or coastal water freight transportation between the contiguous and non-contiguous states and territories of the United States. During the relevant period, defendant had more than 1,000 employees, and its sales for international ocean shipping services for new cars and trucks exported from the United States that were affected by the conspiracy were more than \$171,000,000.

(b) During the relevant period, the defendant, through certain employees in both Japan and the United States, including high-level personnel and other individuals with substantial authority within the company, participated in a conspiracy among ocean

carriers of roll-on, roll-off cargo, the primary purpose of which was to suppress and eliminate competition by allocating customers and routes, rigging bids, and fixing prices for international ocean shipping services for roll-on, roll-off cargo, such as cars and trucks, to and from the United States and elsewhere, in violation of the Sherman Antitrust Act, 15 U.S.C. § 1. In furtherance of the conspiracy, the defendant, through certain employees, engaged in discussions and attended meetings with representatives of other ocean carriers of roll-on, roll-off cargo. During these discussions and meetings, agreements were reached to allocate certain customers and routes, rig certain bids, and to fix, stabilize and maintain the prices for certain international ocean shipping services for roll-on, roll-off cargo to and from the United States and elsewhere. Affected customers included certain U.S.-based manufacturers of cars and trucks.

(c) During the relevant period, roll-on, roll-off cargo shipped by one or more of the conspirator firms, as well as payments for international ocean shipping services of such cargo, traveled in interstate and foreign commerce. The business activities of the defendant and its co-conspirators in connection with the international ocean shipping services for roll-on, roll-off cargo to and from the United States were within the flow of, and substantially affected, interstate and foreign trade and commerce.

(d) Acts in furtherance of this conspiracy were carried out within the District of Maryland, Baltimore Division. The Port of Baltimore is one of the largest ports in the United States for the import and export of new automobiles. During the relevant period, the defendant or its co-conspirators exported roll-on, roll-off cargo affected by the conspiracy from the Port of Baltimore.

ELEMENTS OF THE OFFENSE

5. The elements of the charged offense are that:

(a) the conspiracy described in the Information existed at or about the time alleged;

- (b) the defendant knowingly became a member of the conspiracy; and
- (c) the conspiracy described in the Information either substantially affected interstate commerce in goods or services or occurred within the flow of interstate commerce in goods and services.

POSSIBLE MAXIMUM SENTENCE

6. The defendant understands that the statutory maximum penalty which may be imposed against it upon conviction for a violation of Section One of the Sherman Antitrust Act is a fine in an amount equal to the greatest of:

- (a) \$100 million (15 U.S.C. § 1);
- (b) twice the gross pecuniary gain the conspirators derived from the crime (18 U.S.C. § 3571(c) and (d)); or
- (c) twice the gross pecuniary loss caused to the victims of the crime by the conspirators (18 U.S.C. § 3571(c) and (d)).

7. In addition, the defendant understands that:

- (a) pursuant to 18 U.S.C. § 3561(c)(1), the Court may impose a term of probation of at least one year, but not more than five years;
- (b) pursuant to §8B1.1 of the United States Sentencing Guidelines ("U.S.S.G.," "Sentencing Guidelines," or "Guidelines") or 18 U.S.C. § 3563(b)(2) or 3663(a)(3), the Court may order it to pay restitution to the victims of the offense; and
- (c) pursuant to 18 U.S.C. § 3013(a)(2)(B), the Court is required to order the defendant to pay a \$400 special assessment upon conviction for the charged crime.

SENTENCING GUIDELINES

8. The defendant understands that the Sentencing Guidelines are advisory, not mandatory, but that the Court must consider, in determining and imposing the sentence, the Guidelines Manual in effect on the date of sentencing, unless that Manual provides for greater

punishment than the Manual in effect on the last date the offense of conviction was committed, in which case the Court must consider the Guidelines Manual in effect on the last date that the offense of conviction was committed. The parties agree there is no ex-post-facto issue under the November 1, 2014 Guidelines Manual. The Court must also consider the other factors set forth in 18 U.S.C. § 3553(a), in determining and imposing sentence. The defendant understands that the Guidelines determinations will be made by the Court by a preponderance of the evidence standard. The defendant understands that, although the Court is not ultimately bound to impose a sentence within the applicable Guidelines range, its sentence must be reasonable based upon consideration of all relevant sentencing factors set forth in 18 U.S.C. § 3553(a).

SENTENCING AGREEMENT

9. Pursuant to Fed. R. Crim. P. 11(c)(1)(C) and subject to the full, truthful, and continuing cooperation of the defendant and its subsidiaries, as defined in Paragraph 13 of this Plea Agreement, the United States and the defendant agree that the appropriate disposition of this case is, and agree to recommend jointly that the Court impose, a sentence requiring the defendant to pay to the United States a criminal fine of \$59.4 million, payable in full before the fifteenth (15th) day after the date of judgment, and no order of restitution ("the recommended sentence"). The parties agree that there exists no aggravating or mitigating circumstance of a kind, or to a degree, not adequately taken into consideration by the U.S. Sentencing Commission in formulating the Sentencing Guidelines justifying a departure pursuant to U.S.S.G. §5K2.0. The parties agree not to seek at the sentencing hearing any sentence outside of the Guidelines range nor any Guidelines adjustment for any reason that is not set forth in this Plea Agreement. The parties further agree that the recommended sentence set forth in this Plea Agreement is reasonable.

(a) The defendant understands that the Court will order it to pay a \$400 special assessment, pursuant to 18 U.S.C. § 3013(a)(2)(B), in addition to any fine imposed.

(b) In light of the civil cases filed against the defendant, which potentially provide for a recovery of a multiple of actual damages, the recommended sentence does not include a restitution order for the offense charged in the Information.

(c) Both parties will recommend that no term of probation be imposed, but the defendant understands that the Court's denial of this request will not void this Plea Agreement.

(d) The United States and the defendant jointly submit that this Plea Agreement, together with the record that will be created by the United States and the defendant at the plea and sentencing hearings, and the further disclosure described in Paragraph 11, will provide sufficient information concerning the defendant, the crime charged in this case, and the defendant's role in the crime to enable the meaningful exercise of sentencing authority by the Court under 18 U.S.C. § 3553. The United States and the defendant agree to request jointly that the Court accept the defendant's guilty plea and impose sentence on an expedited schedule as early as the date of arraignment, based upon the record provided by the defendant and the United States, under the provisions of Fed. R. Crim. P. 32(c)(1)(A)(ii), U.S.S.G. §6A1.1, and Rule 32.1(h) of the Criminal Local Rules. The Court's denial of the request to impose sentence on an expedited schedule will not void this Plea Agreement.

10. The United States and the defendant agree that the applicable Guidelines fine range exceeds the fine contained in the recommended sentence set out in Paragraph 9 above. Subject to the full, truthful, and continuing cooperation of the defendant and its subsidiaries, as defined in Paragraph 13 of this Plea Agreement, and prior to sentencing in this case, the United States agrees that it will make a motion, pursuant to U.S.S.G. §8C4.1, for a downward departure from the Guidelines fine range and will request that the Court impose the recommended sentence set out in Paragraph 9 of this Plea Agreement because of the defendant's and its subsidiaries'

substantial assistance in the government's investigation and prosecutions of violations of federal antitrust laws involving international ocean shipping services for roll-on, roll-off cargo.

11. Subject to the full, truthful, and continuing cooperation of the defendant and its subsidiaries, as defined in Paragraph 13 of this Plea Agreement, and prior to sentencing in this case, the United States will fully advise the Court and the Probation Office of the fact, manner, and extent of the defendant's and its subsidiaries' cooperation and their commitment to prospective cooperation with the United States' investigation and prosecutions, all material facts relating to the defendant's involvement in the charged offense, and all other relevant conduct.

12. The United States and the defendant understand that the Court retains complete discretion to accept or reject the recommended sentence provided for in Paragraph 9 of this Plea Agreement.

(a) If the Court does not accept the recommended sentence, the United States and the defendant agree that this Plea Agreement, except for Paragraph 12(b) below, will be rendered void.

(b) If the Court does not accept the recommended sentence, the defendant will be free to withdraw its guilty plea (Fed. R. Crim. P. 11(c)(5) and (d)). If the defendant withdraws its plea of guilty, this Plea Agreement, the guilty plea, and any statement made in the course of any proceedings under Fed. R. Crim. P. 11 regarding the guilty plea or this Plea Agreement or made in the course of plea discussions with an attorney for the government will not be admissible against the defendant in any criminal or civil proceeding, except as otherwise provided in Fed. R. Evid. 410. In addition, the defendant agrees that, if it withdraws its guilty plea pursuant to this subparagraph of this Plea Agreement, the statute of limitations period for any offense referred to in Paragraph 15 of this Plea Agreement will be tolled for the period between the date of the signature of this Plea Agreement and the date the defendant withdrew its guilty

plea or for a period of sixty (60) days after the date of the signature of this Plea Agreement, whichever period is greater.

DEFENDANT'S COOPERATION

13. The defendant and its subsidiaries will cooperate fully and truthfully with the United States in the prosecution of this case, the current federal investigation of violations of federal antitrust laws involving international ocean shipping services for roll-on, roll-off cargo, any federal investigation resulting therefrom, and any litigation or other proceedings arising or resulting from such investigation to which the United States is a party (collectively "Federal Proceeding"). Federal Proceeding includes, but is not limited to, an investigation, prosecution, litigation, or other proceeding regarding obstruction of, the making of a false statement or declaration in, the commission of perjury or subornation of perjury in, the commission of contempt in, or conspiracy to commit such offenses in, a Federal Proceeding. The defendant's subsidiaries for purposes of this Plea Agreement are entities that the defendant had a greater than 50% ownership interest in as of the date of signature of this Plea Agreement. The full, truthful, and continuing cooperation of the defendant and its subsidiaries will include, but not be limited to:

(a) producing to the United States all documents, information, and other materials, wherever located, not protected under the attorney-client privilege or the work product doctrine (and with translations into English), in the possession, custody, or control of the defendant or any of its subsidiaries, requested by the United States in connection with any Federal Proceeding; and

(b) using its best efforts to secure the full, truthful, and continuing cooperation, as defined in Paragraph 14 of this Plea Agreement, of the current and former directors, officers, and employees of the defendant or any of its subsidiaries as may be requested by the United States, but excluding the seven (7) individuals listed in Attachment A filed under seal, including making these persons available in the United

States and at other mutually agreed-upon locations, at the defendant's expense, for interviews and the provision of testimony in grand jury, trial, and other judicial proceedings in connection with any Federal Proceeding. Current directors, officers, and employees are defined for purposes of this Plea Agreement as individuals who are directors, officers, or employees of the defendant or any of its subsidiaries as of the date of signature of this Plea Agreement.

14. The full, truthful, and continuing cooperation of each person described in Paragraph 13(b) above will be subject to the procedures and protections of this paragraph, and will include, but not be limited to:

- (a) producing in the United States and at other mutually agreed-upon locations all documents, including claimed personal documents, and other materials, wherever located, not protected under the attorney-client privilege or the work product doctrine (and with translations into English), requested by attorneys and agents of the United States in connection with any Federal Proceeding;

- (b) making himself or herself available for interviews in the United States and at other mutually agreed-upon locations, not at the expense of the United States, upon the request of attorneys and agents of the United States in connection with any Federal Proceeding;

- (c) responding fully and truthfully to all inquiries of the United States in connection with any Federal Proceeding, without falsely implicating any person or intentionally withholding any information, subject to the penalties of making false statements or declarations (18 U.S.C. §§ 1001, 1623), obstruction of justice (18 U.S.C. § 1503, *et seq.*), or conspiracy to commit such offenses;

- (d) otherwise voluntarily providing the United States with any material or information not requested in (a) - (c) of this paragraph and not protected under the

attorney-client privilege or the work product doctrine that he or she may have that is related to any Federal Proceeding;

(e) when called upon to do so by the United States in connection with any Federal Proceeding, testifying in grand jury, trial, and other judicial proceedings in the United States fully, truthfully, and under oath, subject to the penalties of perjury (18 U.S.C. § 1621), making false statements or declarations in grand jury or court proceedings (18 U.S.C. § 1623), contempt (18 U.S.C. §§ 401-402), and obstruction of justice (18 U.S.C. § 1503, *et seq.*); and

(f) agreeing that, if the agreement not to prosecute him or her in this Plea Agreement is rendered void under Paragraph 16(c), the statute of limitations period for any Relevant Offense, as defined in Paragraph 16(a), will be tolled as to him or her for the period between the date of the signing of this Plea Agreement and six (6) months after the date that the United States gave notice of its intent to void its obligations to that person under this Plea Agreement.

GOVERNMENT'S AGREEMENT

15. Subject to the full, truthful, and continuing cooperation of the defendant and its subsidiaries, as defined in Paragraph 13 of this Plea Agreement, and upon the Court's acceptance of the guilty plea called for by this Plea Agreement and the imposition of the recommended sentence, the United States agrees that it will not bring further criminal charges against the defendant or its subsidiaries for any act or offense committed before the date of the signing of this Plea Agreement that was undertaken in furtherance of an antitrust conspiracy involving international ocean shipping services for roll-on, roll-off cargo. The non-prosecution terms of this paragraph do not apply to (a) any acts of subornation of perjury (18 U.S.C. § 1622), making a false statement (18 U.S.C. § 1001), obstruction of justice (18 U.S.C. § 1503, *et seq.*), contempt (18 U.S.C. §§ 401-402), or conspiracy to commit such offenses; (b) civil matters of any kind; (c)

any violation of the federal tax or securities laws or conspiracy to commit such offenses; or (d) any crime of violence.

16. The United States agrees to the following:

(a) Upon the Court's acceptance of the guilty plea called for by this Plea Agreement and the imposition of the recommended sentence and subject to the exceptions noted in Paragraph 16(c), the United States will not bring criminal charges against any current or former director, officer, or employee of the defendant or its subsidiaries for any act or offense committed before the date of the signing of this Plea Agreement and while that person was acting as a director, officer, or employee of the defendant or its subsidiaries that was undertaken in furtherance of an antitrust conspiracy involving international ocean shipping services for roll-on, roll-off cargo ("Relevant Offense"), except that the protections granted in this paragraph do not apply to the seven (7) individuals listed in Attachment A filed under seal;

(b) Should the United States determine that any current director, officer, or employee of the defendant or its subsidiaries, other than the seven (7) individuals listed in Attachment A filed under seal, may have information relevant to any Federal Proceeding, the United States may request that person's cooperation under the terms of this Plea Agreement by written request delivered to counsel for the individual (with a copy to the undersigned counsel for the defendant) or, if the individual is not known by the United States to be represented, to the undersigned counsel for the defendant;

(c) If any person requested to provide cooperation under Paragraph 16(b) fails to comply with his or her obligations under Paragraph 14, then the terms of this Plea Agreement as they pertain to that person and the agreement not to prosecute that person

granted in this Plea Agreement will be rendered void, and the United States may prosecute such person criminally for any federal crime of which the United States has knowledge, including, but not limited to any Relevant Offense;

(d) Except as provided in Paragraph 16(e), information provided by a person described in Paragraph 16(b) to the United States under the terms of this Plea Agreement pertaining to any Relevant Offense, or any information directly or indirectly derived from that information, may not be used against that person in a criminal case, except in a prosecution for perjury or subornation of perjury (18 U.S.C. §§ 1621-22), making a false statement or declaration (18 U.S.C. §§ 1001, 1623), obstruction of justice (18 U.S.C. § 1503, *et seq.*), contempt (18 U.S.C. §§ 401-402), or conspiracy to commit such offenses;

(e) If any person who provides information to the United States under this Plea Agreement fails to comply fully with his or her obligations under Paragraph 14 of this Plea Agreement, the agreement in Paragraph 16(d) not to use that information or any information directly or indirectly derived from it against that person in a criminal case will be rendered void;

(f) The non-prosecution terms of this paragraph do not apply to civil matters of any kind; any violation of the federal tax or securities laws or conspiracy to commit such offenses; any crime of violence; or perjury or subornation of perjury (18 U.S.C. §§ 1621-22), making a false statement or declaration (18 U.S.C. §§ 1001, 1623), obstruction of justice (18 U.S.C. § 1503, *et seq.*), contempt (18 U.S.C. §§ 401-402), or conspiracy to commit such offenses; and

(g) Documents provided under Paragraphs 13(a) and 14(a) will be deemed responsive to outstanding grand jury subpoenas issued to the defendant.

17. The United States agrees that when any person travels to the United States for interviews, grand jury appearances, or court appearances pursuant to this Plea Agreement, or for meetings with counsel in preparation therefor, the United States will take no action, based upon any Relevant Offense, to subject such person to arrest, detention, or service of process, or to prevent such person from departing the United States. This paragraph does not apply to an individual's commission of perjury or subornation of perjury (18 U.S.C. §§ 1621-22), making false statements or declarations (18 U.S.C. §§ 1001, 1623), obstruction of justice (18 U.S.C. § 1503, *et seq.*), contempt (18 U.S.C. §§ 401-402), or conspiracy to commit such offenses.

18. The defendant understands that it may be subject to suspension or debarment action by federal or state agencies other than the United States Department of Justice Antitrust Division, based upon the conviction resulting from this Plea Agreement, and that this Plea Agreement in no way controls whatever action, if any, other agencies may take. However, the United States agrees that, if requested, it will advise the appropriate officials of any governmental agency considering such action of the fact, manner, and extent of the cooperation of the defendant and its subsidiaries as a matter for that agency to consider before determining what action, if any, to take. The defendant nevertheless affirms that it wants to plead guilty regardless of the suspension or debarment consequences of its plea.

REPRESENTATION BY COUNSEL

19. The defendant has been represented by counsel and is fully satisfied that its attorneys have provided competent legal representation. The defendant has thoroughly reviewed this Plea Agreement and acknowledges that counsel has advised it of the nature of the charge, any possible defenses to the charge, and the nature and range of possible sentences.

VOLUNTARY PLEA

20. The defendant's decision to enter into this Plea Agreement and to tender a plea of guilty is freely and voluntarily made and is not the result of force, threats, assurances, promises, or representations other than the representations contained in this Plea Agreement and Attachment A. The United States has made no promises or representations to the defendant as to whether the Court will accept or reject the recommendations contained within this Plea Agreement.

VIOLATION OF PLEA AGREEMENT

21. The defendant agrees that, should the United States determine in good faith, during the period that any Federal Proceeding is pending, that the defendant or any of its subsidiaries has failed to provide full, truthful, and continuing cooperation, as defined in Paragraph 13 of this Plea Agreement, or has otherwise violated any provision of this Plea Agreement, the United States will notify counsel for the defendant in writing by personal or overnight delivery, email, or facsimile transmission and may also notify counsel by telephone of its intention to void any of its obligations under this Plea Agreement (except its obligations under this paragraph), and the defendant and its subsidiaries will be subject to prosecution for any federal crime of which the United States has knowledge including, but not limited to, the substantive offenses relating to the investigation resulting in this Plea Agreement. The defendant agrees that, in the event that the United States is released from its obligations under this Plea Agreement and brings criminal charges against the defendant or its subsidiaries for any offense referred to in Paragraph 15 of this Plea Agreement, the statute of limitations period for such offense will be tolled for the period between the date of the signing of this Plea Agreement and

six (6) months after the date the United States gave notice of its intent to void its obligations under this Plea Agreement.

22. The defendant understands and agrees that in any further prosecution of it or its subsidiaries resulting from the release of the United States from its obligations under this Plea Agreement, because of the defendant's or its subsidiaries' violation of this Plea Agreement, any documents, statements, information, testimony, or evidence provided by it or its subsidiaries, or their current directors, officers, or employees to attorneys or agents of the United States, federal grand juries, or courts, and any leads derived therefrom, may be used against it or its subsidiaries. In addition, the defendant unconditionally waives its right to challenge the use of such evidence in any such further prosecution, notwithstanding the protections of Fed. R. Evid. 410.

ENTIRETY OF AGREEMENT

23. This Plea Agreement and Attachment A constitute the entire agreement between the United States and the defendant concerning the disposition of the criminal charge in this case. This Plea Agreement cannot be modified except in writing, signed by the United States and the defendant.

24. The undersigned is authorized to enter this Plea Agreement on behalf of the defendant as evidenced by the Resolution of the Board of Directors of the defendant attached to, and incorporated by reference in, this Plea Agreement.

25. The undersigned attorneys for the United States have been authorized by the Attorney General of the United States to enter this Plea Agreement on behalf of the United States.

26. A facsimile or PDF signature will be deemed an original signature for the purpose of executing this Plea Agreement. Multiple signature pages are authorized for the purpose of executing this Plea Agreement.

DATED: December 29, 2014

Respectfully submitted,

BY: 大西 徳昭
Naruaki Onishi
General Manager
Nippon Yusen Kabushiki Kaisha

BY: Richard A. Hellings, Jr.
Richard A. Hellings, Jr.
Jon B. Jacobs
Craig Y. Lee
Carsten M Reichel
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Counsel for Nippon Yusen Kabushiki Kaisha

NIPPON YUSEN KABUSHIKI KAISHA
U.S. DISTRICT COURT
DISTRICT OF MARYLAND
BOARD RESOLUTIONS

2015 MAR 11 PM 4:11

At the Meeting of the Board of Directors of NIPPON YUSEN KABUSHIKI KAISHA
("NYK Line") held on December 25, 2014, the Board:

BY _____ DEPUTY
CLERK'S OFFICE
AT BALTIMORE

RESOLVED, that the execution, delivery and performance of the Plea Agreement between the United States Department of Justice and NYK Line, in substantially the form attached hereto, is hereby approved;

RESOLVED, that Mr. Naoya Tazawa, Representative Director & Senior Managing Corporate Officer of NYK Line, Mr. Yoshiyuki Yoshida, Corporate Officer of NYK Line, Mr. Naruaki Onishi, General Manager of NYK Line, and Mr. Takaaki Hashimoto, Manager of NYK Line, are authorized, empowered and directed to execute and deliver the Plea Agreement in the name and on behalf of NYK Line; and

RESOLVED, that Mr. Naoya Tazawa, Representative Director & Senior Managing Corporate Officer, Mr. Yoshiyuki Yoshida, Corporate Officer, Mr. Naruaki Onishi, General Manager, and Mr. Takaaki Hashimoto, Manager, are authorized, empowered and directed to represent NYK Line before any court or governmental agency in order to make statements and confirmations in accordance with the Plea Agreement, including entering a guilty plea on behalf of NYK Line.

CERTIFICATE

I, Yasumi Kudo, President & President Corporate Officer of NYK Line, a company organized and existing under the laws of Japan, do hereby certify that the foregoing resolutions adopted by the Board of Directors of NYK Line, at a meeting of the Board of Directors held in Tokyo, Japan, on December 25, 2014, are true, correct and complete and that said resolutions have not been amended, modified or repealed, and remain in full force and effect, as of the date hereof.

Signed in Tokyo, Japan this 25th day of December, 2014



Yasumi Kudo

President, President Corporate Officer
NIPPON YUSEN KABUSHIKI KAISHA

EXHIBIT E

MANUFACTURER'S CERTIFICATE OF ORIGIN

**American Honda
Motor Co. Inc.**

DATE
12/28/11

INVOICE NO.
40234

DEALER
207096

VEHICLE IDENTIFICATION NO.
J

YEAR
2012

MAKE
HONDA

BODY TYPE

ENG. NO.

SHIPPING WEIGHT

4 DOOR UTILITY

K24Z7-1513356

3452

H.P. (S.A.E.)

G.V.W.R.

NO. CYLS.

SERIES OR MODEL

185.0

4564

04

CR-V50RAWDEX-L

093305

I, THE UNDERSIGNED AUTHORIZED REPRESENTATIVE OF THE COMPANY, FIRM OR CORPORATION NAMED BELOW, HEREBY CERTIFY THAT THE NEW VEHICLE DESCRIBED ABOVE IS THE PROPERTY OF THE SAID COMPANY, FIRM OR CORPORATION AND IS TRANSFERRED ON THE ABOVE DATE AND UNDER THE INVOICE NUMBER INDICATED TO THE FOLLOWING DISTRIBUTOR OR DEALER.

NAME OF DISTRIBUTOR, DEALER, ETC.

IT IS FURTHER CERTIFIED THAT THIS IS THE FIRST TRANSFER OF SUCH VEHICLE IN ORDINARY TRADE AND COMMERCE.

XXXXXXXXXXXXXXXXXXXX
CERTIFIED FOR SALE
IN ALL 50 STATES
XXXXXXXXXXXXXXXXXXXX

American Honda Motor Co., Inc.

BY: (SIGNATURE OF AUTHORIZED REPRESENTATIVE)

VICE PRESIDENT

037931187

Torrance, California

CITY - STATE

FORM 1454 (10-02)

EXHIBIT F



Administrative Conference of the United States

AGGREGATE AGENCY ADJUDICATION

Final Report: June 9, 2016

Michael Sant'Ambrogio
Michigan State University
College of Law

Adam Zimmerman
Loyola Law School,
Los Angeles

This report was prepared for the consideration of the Administrative Conference of the United States. The opinions, views and recommendation expressed are those of the authors and do not necessarily reflect those of the members of the Conference or its committees, except where formal recommendations of the Conference are cited.

requirements for a “coordinated” action, the agency would then appoint an experienced adjudicator to preside over a consolidated or aggregated proceeding. Among other things, the adjudicator could require parties to jointly file a case management order (“CMO”), calling for streamlined management of discovery, including expert reports and depositions of common witnesses, scheduling of overlapping motions, as well as other common issues.²²⁰ In addition, the adjudicator could determine whether a formal aggregation, like an EEOC class action or OMHA consolidation, is warranted.

E. Agencies Should Develop Procedures and Protocols To Determine Whether to Formally Aggregate Similar Cases in a Single Proceeding:

As our study has illustrated, agencies may aggregate claims in many different ways—from relying on representatives in a formal class action in a single proceeding to informally coordinating many different individual cases in front of the same adjudicator. To ensure aggregate adjudication complements—and doesn’t conflict with—other forms of agency decisionmaking, agencies can adopt threshold rules from complex litigation in federal courts to sort the cases suitable for class treatment from those that are not.

Like federal courts, agencies should consider a number of factors to determine whether formal or informal aggregation is “superior” to individual adjudication, including: (1) whether the number of cases or claims are sufficiently numerous to justify formal aggregation; (2) the comparative benefits of individual or collective control over the shape of the litigation; (3) the progress of any existing individual litigation; (4) the “maturity” of the litigation and whether the novelty or complexity of the issues being adjudicated would benefit from the input of different adjudicators; (5) whether the aggregate proceeding is manageable and materially advances the resolution of those cases.²²¹ In addition, agencies should consider other factors that account for agencies’ limited resources and their unique policymaking functions, like whether (6) a superior forum

question, also known as “tag along” cases, are also automatically centralized before the same ALJ. *See, e.g.*, J.P.M.L Rule 7.2(I) & 7.5(e).

²²⁰ MANUAL FOR COMPLEX LITIGATION, *supra* note 63, § 20.132 (advising, among other things, that judges deem rulings on some limited, but common issues, like statutes of limitations to apply to other cases and make available discovery already taken to newly filed cases to streamline cases).

²²¹ *See, e.g.*, FED. R. CIV. P. 23(b)(3)(A)-(D) (describing factors in class litigation).

exists in federal court to aggregate claims and (7) whether the agency can accomplish similar goals through informal rulemaking or stare decisis.

First, like federal courts and the EEOC when deciding whether to certify a class action, agencies considering formal aggregation should first address whether the cases or claims are sufficiently numerous to justify aggregating them into a single proceeding.²²² Agencies should consider formal aggregation where joining or consolidating multiple claims is “impractical.”²²³ There is no threshold minimum number of cases or claims required to aggregate, but federal courts generally consider the numerosity requirement of Rule 23(a) satisfied if the plaintiff demonstrates that the number of potential class members exceeds forty.²²⁴ This provides a useful point of reference for agencies, particularly where the following factors also weigh in favor of aggregation.

Second, to determine whether the interest in individual control outweighs the benefits of collectively handling cases together, agencies should give weight to the variety and value of potential claims.²²⁵ Aggregation generally becomes more challenging when claims are both highly variable and valuable. By contrast, formal aggregation historically has proven most useful (and least controversial) for very “common” claims seeking what commentators describe as “indivisible” relief, like declaratory or injunctive relief.²²⁶ In such cases, formal aggregation, through a class

²²² See, e.g., Fed. R. Civ. P. 23(a)(1) (“One or more members of a class may sue or be sued as representative parties on behalf of all members only if ... the class is so numerous that joinder of all members is impracticable”); 29 C.F.R. § 1614.204(a)(2)(i) (EEOC class complaints must allege that “[t]he class is so numerous that a consolidated complaint of the members of the class is impractical”).

²²³ Fed. R. Civ. P. 23(a)(1); 29 C.F.R. § 1614.204(a)(2)(i).

²²⁴ See 5 James Wm. Moore et al., *Moore's Federal Practice* § 23.22[3][a] (Matthew Bender 3d ed.1999). See also *Shahriar v. Smith & Wollensky Rest. Grp., Inc.*, 659 F.3d 234, 252 (2d Cir. 2011) (quoting *Consol. Rail Corp. v. Town of Hyde Park*, 47 F.3d 473, 483 (2d Cir. 1995)) (“numerosity is presumed where a putative class has forty or more members”); *Garcia-Rubiera v. Calderon*, 570 F.3d 443, 460 (1st Cir. 2009) (citing *Stewart v. Abraham*, 275 F.3d 220, 226 (3rd Cir.2001) (“generally if the named plaintiff demonstrates that the potential number of plaintiffs exceeds 40, the first prong of Rule 23(a) has been met”)).

²²⁵ ALI REPORT, *supra* note 11, § 2.02; Samuel Issacharoff, *Group Litigation of Consumer Claims: Lessons from the U.S. Experience*, 34 TEX. INT'L L.J. 135, 149 (1999); David Marcus, *Flawed but Noble: Desegregation Litigation and its Implications for the Modern Class Action*, 63 Fla. L. Rev. 657 (2011).

²²⁶ See ALI REPORT, *supra* note 23, § 2.04(c) (suggesting courts “authorize aggregate treatment of common issues concerning an indivisible remedy . . . even though additional divisible remedies are also available that warrant individual treatment or aggregate treatment with the opportunity of claimants to exclude themselves”); Elizabeth C. Burch,

action or formal consolidation, ensures that a single institution is not subject to inconsistent obligations or contradictory commands.²²⁷ Formal aggregation also arguably provides parties in those cases with more process by ensuring stakeholders have some voice in defining the entitlement and scope of relief likely to impact many people.²²⁸ The use of formal aggregate procedures could thus promote due process and diversify input in other declaratory relief orders, like those considered in the ACUS Recommendations on Declaratory Orders,²²⁹ and other cases seeking systemic or institutional reform.

Formal aggregation procedures may also make sense in cases seeking monetary relief, as part of an action brought on behalf of, or involving the same, employer policy or medical supplier to avoid imposing inconsistent obligations on the same organization, as illustrated by the EEOC and OMHA experiences. Agencies charged with adjudicating claims involving the same contested workplace pattern and practice, or large numbers of claims brought by a government contractor, may also benefit from formal aggregation. Monetary relief cases, however, should also afford parties more chances to participate in the action – or, as we discuss below, to “opt out” – in light of the strong interest each party may have in influencing their final claim to money damages.²³⁰

Adequately Representing Groups, 81 FORDHAM L. REV. 3043, 3044 (2013) (“When the underlying right arises from an aggregate harm--a harm that affects a group of people equally and collectively--and demands an indivisible remedy, courts should tolerate greater conflicts among group members when evaluating a subsequent claim of inadequate representation.”).

²²⁷ 1 WILLIAM B. RUBENSTEIN, ET AL., NEWBERG ON CLASS ACTIONS § 10 (5th ed. 2015) ([C]lass actions “reduce[] the risk of inconsistent adjudications. Individual processing leaves open the possibility that one court, or jury, will resolve a factual issue for the plaintiff while the next resolves a seemingly similar issue for the defendant.”).

²²⁸ See, e.g., Judith Resnik, Dennis E. Curtis & Deborah R. Hensler, *Individuals Within the Aggregate: Relationships, Representation, and Fees*, 71 N.Y.U. L. Rev. 296, 382 (1996) (observing that aggregate procedures can serve an important democratic function, allowing groups of individuals collectively to petition and redress widespread harm.).

²²⁹ Admin. Conf. of the U.S., Recommendation 2015-3, *Declaratory Orders*, 80 Fed. Reg. 78,163 (Dec. 16, 2015), <https://www.acus.gov/recommendation/declaratory-orders>; Emily S. Bremer, *Declaratory Orders: Final Report to the Administrative Conference of the United States*, October 30, 2015, <https://www.acus.gov/sites/default/files/documents/declaratory-orders-final-report.pdf>.

²³⁰ This is one reason why the Federal Rules of Civil Procedure affords individuals the right to opt-out of damage class actions, but not class actions that seek injunctive relief. Compare FED. R. CIV. P. 23(b)(2) (injunctive relief) with FED. R. CIV. P. 23(b)(3) (monetary relief). See also Marcus, *supra* note 225, at 659.

As claim values and interests diverge, less formal aggregation may strike a better balance between due process, consistency, and efficiency—like the NVICP’s Omnibus Proceeding that afford claimants a separate process with separate representation. In those cases, formally aggregating all claims into a single action may jeopardize plaintiffs’ and defendants’ ability to offer and test individualized evidence, create too much consistency by encouraging “damage averaging” (where weak claims and strong claims receive the same awards), and raise due process concerns. But informally coordinating similar cases before the same adjudicator, for the purpose of streamlining discovery, motion practice, or even conducting “test cases,” may help parties conduct hearings with as much information, consistency, and speed as formal adjudication.²³¹ At a minimum, the coordinated litigation would aim to ensure that certain categories of claimants raising fact-intensive issues receive consistent and expedited treatment before the agency.²³²

Third, agencies may also consider the extent to which individual litigation has already progressed in determining whether aggregation is appropriate. Cases involving highly fact-specific issues over, for example, one’s pending medical treatment, may preclude aggregation, particularly if the results of aggregate adjudication delay treatment for putative members of the litigation. On the other hand, repeatedly raised issues that, if not addressed, otherwise evade review may be appropriate candidates for a class action.²³³ For example, some have recently argued that class litigation to resolve many categories of veterans’ claims before the VA would be

²³¹ Howard M. Erichson, *Informal Aggregation: Procedural and Ethical Implications of Coordination Among Counsel in Related Lawsuits*, 50 DUKE L.J. 381, 466 (2000) (“The benefits of formal aggregation should be weighed against the reality of informal aggregation, rather than against an imaginary picture of economical individualized litigation.”).

²³² See MANUAL FOR COMPLEX LITIGATION, *supra* note 63, § 20.14 (identifying options for coordinating related cases); Joan A. Steinman, *The Effects of Case Consolidation on the Procedural Rights of Litigants: What They Are, What They Might Be Part II: Non Jurisdictional Matters*, 42 UCLA L. Rev. 967 (1995). See also ALI REPORT, *supra* note 12, § 1.02 cmt. b(2).

²³³ See *Deposit Guar. Nat’l Bank v. Roper*, 445 U.S. 326 (1980) (holding plaintiff has continued interest in litigating class certification question even when lower court enters judgment on individual claim in plaintiff’s favor); see also 2 WILLIAM B. RUBENSTEIN, ET AL., *NEWBERG ON CLASS ACTIONS* § 10 (5th ed. 2011) (discussing the “broad rule that once an order granting or denying class certification has issued, a class action will not be mooted if the class representative’s claim becomes moot”).

more feasible than the current system, which ordinarily requires years of individual litigation over common claims.²³⁴

Fourth, agencies may assess whether complex or novel issues need time to percolate or “mature” before aggregating large groups of claims before a single decisionmaker.²³⁵ For example, special masters in the NVICP observed that many vaccine cases involve complex questions of causation may require further factual development, and thus may benefit from several opinions and conclusions from different adjudicators about how a case may be handled expeditiously. By comparison, agencies may reap advantages by concentrating claims where adjudicators have reached some consensus about otherwise difficult questions of causation—like in the case of “signature illnesses” where a particular illness (“asbestosis”) is known to be associated with exposure to a particular agent (asbestos). In such cases, repeated individualized hearings may unnecessarily involve months or years of the “same witnesses, exhibits and issues from trial to trial.”²³⁶

Fifth, the adjudicator must consider whether aggregation is manageable. Federal courts often deem class actions “unmanageable” when they involve too many different issues of law or fact. Such cases may involve nationwide classes that seek money for workplace discrimination on behalf of different parties under different legal theories,²³⁷ or difficult questions of causation in various locations and times.²³⁸ However, adjudicators should consider aggregation when questions about defendant’s liability are more circumscribed in time and space, or when questions of causation and damages overlap substantially. Such questions may include allegations that a government workplace uses a policy that improperly

²³⁴ See Corrected Amicus Curiae Brief of the American Legion, et al., in Support of Appellant, *Monk v. McDonald*, 2015 WL 8485189 (Fed. Cir. 2015) (No. 15-7092).

²³⁵ McGovern, *supra* note 12, at 1824 (defining “maturity” in which both sides’ litigation strategies are clear, expected outcomes reach an “equilibrium,” and global resolutions or settlements may be sought). We note, however, that agencies may have less latitude than federal judges to permit disparate legal positions to “percolate” among its adjudicators in public rights and restitution cases.

²³⁶ *Jenkins v. Raymark Indus., Inc.*, 782 F.2d 468, 473 (5th Cir. 1986) (quoting lower court opinion) (granting certification of a class action involving asbestos); William Schwarzer, *Settlement of Mass Tort Class Actions: Order Out of Chaos*, 80 CORNELL L. REV. 837, 837–38 (1995) (explaining how class actions are seen as a remedy to duplicative litigation activity).

²³⁷ *Dukes v. Wal-Mart*, 564 U.S. 338 (2011).

²³⁸ *Amchem Prods., Inc. v. Windsor*, 521 U.S. 591, 617 (1997).

screens out or limits promotions to disabled workers,²³⁹ or a common collusive price fixing scheme at U.S. ports.²⁴⁰

Sixth, the agency should consider whether an alternative forum in federal court exists for aggregating claims more efficiently and fairly. As discussed above, both the CFTC and the FCC declined to adopt class actions in their own proceedings, in part, because parties enjoyed the option to file the same aggregated claims in a class action in federal court. Parties proceeding before the Court of Veterans Appeals, the Federal Maritime Commission, or the NVCIP, by contrast, may not.

This factor need not be determinative. The EEOC, for example, hears class actions commenced by government employees, who also enjoy the option to file similar claims in federal court. As set forth above, however, the EEOC has still found class actions to be an “essential tool” to fulfill its own statutory mission and meet its objective to combat systemic policies of workplace discrimination.

Seventh, agencies should consider whether aggregate adjudication is “superior” to other tools available to the agency, such as informal rulemaking. Informal rulemaking may provide a more effective, and less costly, way to address grievances raised by different groups of stakeholders when (1) an agency’s decision will impact a large number of future claimants, (2) when parties seek prospective relief, and (3) where the final determination likely will have broad policy implications that impact many other parties without a direct interest in the immediate litigation.²⁴¹ By comparison, some form of aggregate adjudication may provide a superior option when: (1) the agency hopes to resolve discrete groups of pending claims; (2) where the parties seek damages or other forms of retrospective relief; and (3) the final outcome only impacts a limited group of stakeholders. For example, informal rulemaking cannot resolve thousands of pending claims commenced by a single durable medical supplier seeking reimbursement from Medicare. Similarly, an informal rulemaking would be too cumbersome to address ratemaking abuses by a single energy supplier or a single employer’s workplace discrimination policy.

²³⁹ See, e.g., *Class Agent v. John Kerry*, EEOC Appeal 0720110007 (June 6, 2014).

²⁴⁰ *Class Action Complaint to Federal Maritime Commission Targets Ro-Ro Lines*, JOC.Com, (Jan. 13, 2016) http://www.joc.com/regulation-policy/transportation-regulations/us-transportation-regulations/class-action-complaint-fmc-targets-ro-ro-lines_20160113.html.

²⁴¹ M. Elizabeth Magill, *Agency Choice of Policymaking Form*, 71 U. CHI. L. REV. 1383, 1386-90, 1403 n.69 (2004) (collecting scholarship and noting the general preference for rulemaking over adjudication).